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The European Bathroom & Kitchen Product Markets

- 2021 Edition -

Russia

BRG
BUILDING SOLUTIONS

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Overview

BRG Building Solutions is a specialised market research consultancy serving the global building technologies industry. Combining unparalleled industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our core expertise lies in our coverage of the bathroom, kitchen, HVAC, and other building products/technologies. Throughout a history spanning over 40 years, we have assisted industry players in identifying and realising growth opportunities through a combination of regular market monitoring and ad-hoc consultancy services.

BRG's unique Enterprise Database is at the centre of our offering. This is a comprehensive tool and very detailed source of historic, current and forecast market trends and market share data (by holding and brand) on a country comparable basis. The database provides an essential tool to our clients as a platform to support their strategic decision making.

BRG Building Solutions is a genuinely global company, staffed with individuals from varied backgrounds and nationalities, working collaboratively from four offices across four countries. Combining a high level of industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our market coverage is also global, reflecting the nature of the industries we serve. Currently, 66 individual markets are covered annually in detail across the following key geographical regions (and number of countries):

- Africa (3)
- Australasia (2)
- East & Southeast Asia (6)
- Central America (4)
- Central Asia (1)
- Europe (31)
- South Asia (1)
- Middle East (7)
- North America (3)
- South America (5)
- Sub-Saharan Africa (3)

BRG has its own in-house dedicated modelling and forecasting unit. In cooperation with clients, we have since extended our offering to include market sizing for countries outside the traditional geographic reach of our main research

programme, via global market models

Product Coverage

Since the 1980s, BRG's Bathroom & Kitchen programme has provided industry players with insightful analysis and evidence-based information. In addition to detailed data on trends, values, end use, technical segmentations, market shares and distribution, our programme also includes perceptive text commentary, enabling our clients to easily identify and understand market characteristics and the latest industry developments.

BRG's programme has evolved steadily in terms of both geographic scope and product coverage and continues to do so each year. Each country report follows a uniform structure, to ensure that the data can be readily compared across regions and countries.

The product coverage has also expanded to cover virtually all bathroom, sanitary and kitchen related products, used in both residential and non-residential buildings, including:

Baths and Shower Trays

- Baths: cast iron, steel and synthetic
- Hydromassage baths
- Shower Trays: ceramic, steel/ cast iron and synthetic
- Shower systems (NAM): shower modules, integrated tub showers

Sanitary Ware

- WCs: wall hung, floor standing 1-piece and squat
- Washbasins: hand washbasins and countertops
- Other CSW: bidets, kitchen sinks, pedestals, shower trays, urinals and cisterns
- Plastic Cisterns: concealed and exposed.

Taps and Mixers ('Faucets'), both sanitary and kitchen:

- By application: basin/sink, bath, bidet, shower, kitchen sinks
- By type: pillar, two head, one head, thermostatic, self-closing, electronic
- By type (Americas): 4in centre set, 8in widespread, electronic, hand spray, pressure, single handle/one-head, self-closing, thermostatic, three handle.

Shower Wall

- Bath screens, conventional shower cubicles, hydrotherapy cubicles, bath & shower surrounds (NAM)

Bathroom Furniture

- Base units, mirror / mirror cabinets and separate cabinets.

Bathroom Accessories

- Soap holders and dispensers
- Towel holders, towel rings and towel bars
- Toilet paper holders and toilet brushes
- Towel and bathrobe hooks
- Toothbrush holders and tumblers
- Shelves, wastepaper bins, shower storage units and tissue holders.

Shower Accessories

- Shower heads, flexible hoses, shower supports, shower panels and shower pipes.

Kitchen Sinks

- Cast Iron, ceramic, enamelled steel, stainless steel and synthetic.

Definitions

Please note that all volumes given in the report refer to the number of units sold, where not indicated otherwise. In-depth product definitions are included in a separate document and available upon request.

All prices, both manufacturer and retail, exclude value-added-tax (VAT) and installation costs.

Methodology

The methodology behind the data remains true to our origins in that the industry participates in the research process, in many cases by providing BRG Building Solutions with annualised volume sales by product category per country and contacts for detailed expert interviews in all countries covered.

Our approach follows a multi-pronged strategy, gathering data inputs and information from many different sources. A further USP of BRG is the fact that we live and breathe the markets in which we specialise (bathroom, kitchen, plumbing & HVAC) and are in constant contact with manufacturers, distributors and other key influencers all of the time during our repeat annual research programme. The markets are built via a bottom-up approach. Extensive primary and secondary research complement the picture and provide all necessary insight for many

additional segmentations shown in the reports, like e.g. price segmentations, technical and end-use segmentations.

The reports are constantly evolving and refined based on industry feedback, and always reflect the latest developments in the industries.

All research is conducted in-house with a team of around 30 individuals who speak 20 different languages between them. As a result, we can transfer that knowledge and experience into services designed to assist stakeholders in understanding the opportunities available to them, at a fraction of that charged by the larger and less nimble global consultancies. BRG operates a policy of direct management of the team required to conduct the regular research work and avoids subcontracting its market studies to outside agencies.

The analysis has grown in complexity as the number of drivers affecting the markets grows, like e.g. economic uncertainty, construction cycles, new technologies, legislation. As a result, BRG Building Solutions considers all drivers through a holistic approach, recognising that products, end use segments and countries are all inter-linked.

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RUSSIA

BACKGROUND

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Geography and Demographics

Russia, officially the Russian Federation, is a country in northern Eurasia (combined landmass of Europe and Asia) that covers a total area of 17,075,400 km², making it by far the largest country in the world. Geographically, the Russian population is extremely dispersed. Around three quarters of the population are urban, concentrated in the industrial southwest, while only around 32 million people live to the east of the Urals. The largest city is Moscow, which had an estimated population of around 12 million in 2020. It should be noted that the actual population of Moscow is much higher, as many residents are not officially registered in the capital. Russia is still facing a demographic crisis, which is likely to continue.

Macroeconomic Overview

The energy sector and mineral resources account for a significant share of the country's GDP and are the largest source of revenue for the government. Russia's long-term economic challenges include a shrinking workforce, underinvestment in infrastructure and a high dependency on oil prices. The economy remained under pressure again in 2019, but has grown as oil prices increased and local currency strengthened (on the back of higher oil prices, weakening USD and fiscal improvements). The Russian rouble strengthened against the USD and EUR in 2019 but devaluated again in 2020. One of the important factors supporting oil prices in 2019 was a deal struck by Russia and OPEC leading to a decrease of oil production. However, the deal collapsed and oil prices dropped below USD 25 per barrel and to negative values in April. The deal was later signed but it did not have significant effect on prices. The fall in oil prices on top of COVID-19 negatively affected the Russian market.

Persistently high new daily COVID-19 cases hindered business activity in Russia. Concerns over the pandemic's second wave, oil prices below the state budget threshold price and further geopolitical risks led to devaluation of the RUR. Foreign reserves fluctuated during 2020 and by the end of the year stood at USD 582.7 billion. In the third quarter of 2020, the current account surplus fell from USD 10.7 billion to USD 2.5 billion compared to the same period of 2019.

The US and EU economic sanctions and counter sanctions remained in place in 2019 and 2020 and most likely remain in 2021; however, businesses are finding a way around them. The most constraining factor is the limited access of Russian companies to financing. Western sanctions have applied restrictions to a wide range of Russian businesses. Russian companies had over USD 500 billion outstanding in external debt before Western sanctions were introduced. Large Russian companies turned to the government for financing. The Russian commercial banks have been stripped of roubles, as people withdrew money from accounts to change into USD and euros. The Kremlin was forced to support these companies to avoid their insolvency and staff redundancies.

Due to the spread of COVID-19 the government introduced the following measures to support the population:

- only low-income families with up to seven-year-old children additionally received RUR 5,000 per month;
- unemployment benefits have been increased from RUR 8,000 to RUR 12,130 per month. Children of people on benefits can receive RUR 3,000 pm;
- credit holidays for up to six months were introduced on mortgages, loans and credit cards;
- healthcare workers' salaries have been increased;
- banks were banned from property repossessions until 2021.

Businesses could receive interest free loans to pay salaries and subsidies up to RUR 25 million. The government delayed loan payments for small companies until October: 1/3 of the interest was paid by the state, 1/3 by banks and only 1/3 by small companies.

In October-November 2020, Russia was hit by the second wave of the pandemic. Lots of employees were unwell and factories struggled with production. Russia came out of lockdown in January 2021. Schools, hotels, restaurants and universities were reopened. Events, gatherings and trade fairs are allowed. Russian companies asked employees to work from offices while Western companies still allow employees to fully or partially work from home. It seems that people are gradually getting used to living with the corona virus.

Residential Construction

New Housing

The construction output has been increasing in recent years and has only started falling since 2016. According to the National Housing Project around 120 million m² of housing should be built in Russia by 2024. However, levels were below the planned already in 2019 and this gap is only expected to widen in the future. There are several general constraints affecting the industry and the availability of housing. It is a well-recognised problem in Russia that a disproportionate number of those needing housing cannot afford to pay for it. A significant number of construction projects were financed by the state. Due to the presidential elections the government managed to maintain appropriate financing in 2018 which led to high completions in 2019. However, post-election and due to the deteriorating economy combined with the COVID-19 turmoil and the fall in oil prices, the housing market took a significant hit. Many new developments were suspended due to the economic situation. By April-May 2020, mainly Moscow and southern regions were hit by COVID-19 lockdowns and construction activities mainly suspended. However, in other regions they were ongoing and not affected.

The problem is becoming more acute, due to the lack of long-term mortgages (particularly during the crisis period) and decreasing disposable income. The interest rates of most banks are believed to be too high. SBERBANK and the VTB GROUP control most of the Russian mortgage market. They have been cut off from long-term international funding. Due to declining real wages and purchasing power, savings of ordinary citizens are too limited to make down payments. Many households diverted to consumer loan repayments, as the number of arrears increased. Others preferred to keep funds in savings accounts, in USD. As a result, the construction market was stripped of much-needed liquidity. The current levels of construction have been maintained, due to active involvement of the government and financing projects.

The government realised the problem and allocated RUR 52 billion to subsidise mortgages. The state support programme is planned to last until July 2021. As a result, interest rates declined significantly and fixed at 6.5%. People wanted to utilise this opportunity and buyers rushed to the market. Due to the significant demand for new dwellings in the second half of 2020 almost all construction companies continued to work as normal. Devaluation of the local currency, low interest rates on savings and an uncertain economic situation prompted people to invest in the real estate. The demand for new housing was so strong in some areas that it led to almost a 50% price increase in some areas. In Moscow and St Petersburg many flats which are due to be completed in 2021 were already sold in advance. Some high-end apartments due to be completed in 2023 have even been sold in Moscow.

In 2017, the Moscow authorities announced plans to demolish five storey 'Khrushcheyki' blocks and build instead modern dwellings. According to the plan, 25 million m² should be demolished, 1.6 million people will have improved living conditions, and investment should amount to RUR 3.5 trillion. The authorities started a programme called 'Renovation' which implies demolishing old five storey buildings and replacing them with new blocks. The Moscow authorities started to build New Moscow (Moscow's satellite city) in 2012. They are planning to invest RUR 7 trillion and build 89 million m² of dwellings and 64 million m² of commercial properties. The development should be completed by 2035.

Previously, construction companies in Russia could directly attract the population's (future dwelling owners) funds for construction. This process and spending were not monitored. As a result, several developers went bankrupt and end consumers lost their money. The government changed the financing process and prohibited developers from directly attracting money from the population. Instead all dwelling purchase deposits should be deposited to a bank account and the bank should release funds based on the project completion stage. The transition period was introduced between 1 July 2018 and 1 July 2019. The legislation had a negative impact on housing completions in 2020.

Many real estate agents consider the current situation as a real estate bubble. As long as there is state support, people cannot travel abroad (would be purchasing second homes in Russia instead of overseas) and spend on renovation or

acquisitions unspent travel money, the construction market is unlikely to crash. However, all these drivers are likely to evaporate by 2022 leading to a fall in new build sales. Due to the turmoil caused by the pandemic, devaluation of the RUR and further Western sanctions, the housing completion levels are expected to dip in 2022 when the state subsidies are withdrawn.

Housing RMI

Further mass construction programmes caused a change in architectural style – from smaller two to five floor buildings to concrete high-rise tower apartment blocks, often consisting of 12-20 floors (even higher in Moscow). The proportion of the existing urban housing stock built in the 1971-1995 period is estimated at being 43.7% (in square metres). Approximately 19% of the existing urban housing stock is modern buildings, constructed since 1995. Urban growth was extensive during the period 1917-1992; however, residential construction never caught up with (and, therefore, has never exactly reflected) population growth and migration to Russia's large industrial cities. In recent years, the overall population in Russia has fallen; however, this has not helped to solve the housing problems in commercial hubs and large cities, which continued to attract economic migrants from poorer regions and former Soviet republics. The Government extended operations of its Utility Fund until 2026 to support the renovation market.

Non-Residential Construction

The non-housing segment is estimated to have decreased by around 5% in 2020. Agriculture projects performed better than others, and only this segment recorded growth. The government started building new hospitals to cope with the pandemic. Investments into hospitality and leisure sectors have declined due to the pandemic.

II.2 Key Figures

RU - DEMOGRAPHICS AND HOUSEHOLDS

Value	Year
Segmentation	Category
Demographics	Population (% Rural)
	Population (% Urban)
	Population ('000)
Households	Average Size (Persons h/h)
	Total ('000)
Persons per Household (% of Total)	1
	2
	3
	4
	5+

Source: BRG based on Country Statistics.

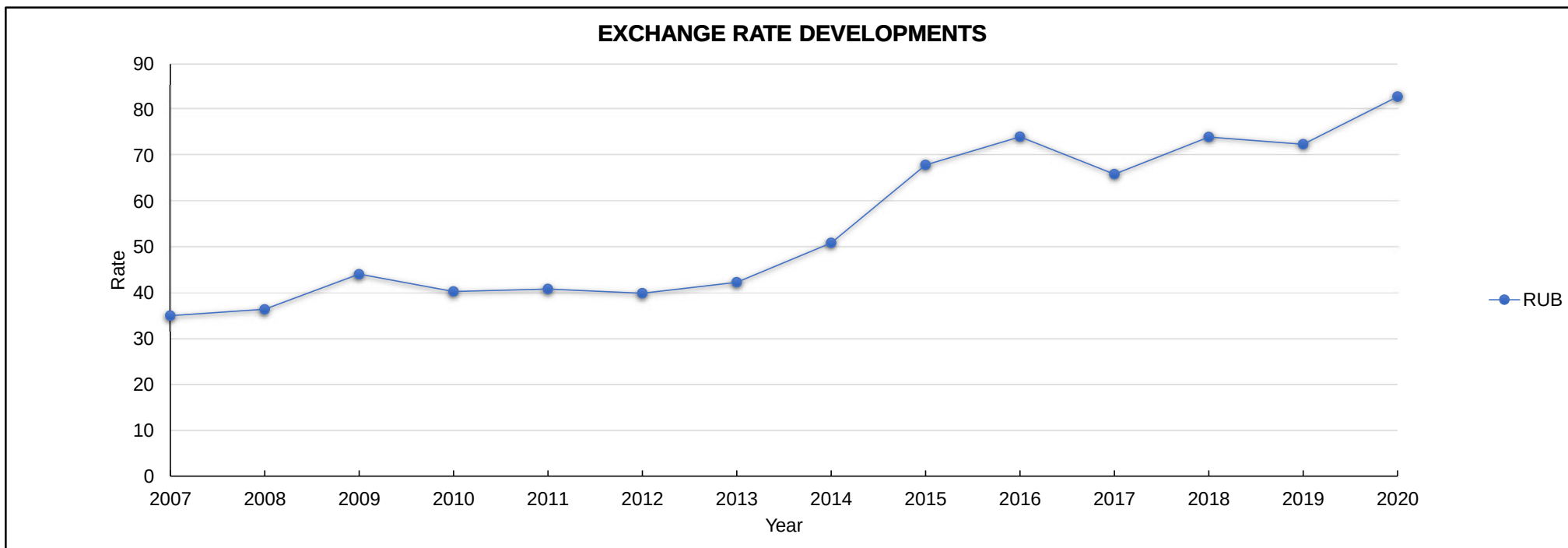
II.3 Macroeconomic Trends and Forecasts

RU - MACROECONOMIC KEY INDICATORS

Value	Year																				
Category	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Consumer Price Index(% change)	10.92	9.00	11.87	13.28	8.80	8.78	6.10	6.58	6.45	11.36	12.91	5.38	2.52	4.27	3.05	4.91	3.67	3.53	4.00	4.00	4.00
GDP (% change)	6.38	8.15	8.54	5.25	- 7.82	4.50	5.07	4.02	1.76	0.74	- 1.97	0.19	1.83	2.81	2.03	- 3.06	3.76	3.75	2.10	1.80	1.80
Government Balance (% of GDP)	7.60	7.80	5.59	4.55	- 5.89	- 3.19	1.43	0.38	- 1.16	- 1.07	- 3.39	- 3.67	- 1.47	2.92	1.94	- 4.10	- 0.79	- 0.33	- 0.53	- 0.47	- 0.04
Private Consumption (% change)	11.71	11.98	14.17	10.42	- 5.14	5.47	6.70	7.88	5.20	1.94	- 9.37	- 2.56	3.65	3.28	2.53	- 13.59	6.94	0.00	0.00	0.00	
Unemployment Rate(%)	7.15	7.05	6.03	6.23	8.24	7.36	6.51	5.45	5.50	5.16	5.58	5.53	5.20	4.80	4.60	5.78	5.40	5.04	4.84	4.76	4.68

Source : IMF and OECD. N.B. Household Saving Rate and Private Consumption not Available for all Forecast Years.

II.4 Historical and Current Exchange Rates
RU - EXCHANGE RATES : HISTORICAL AND CURRENT



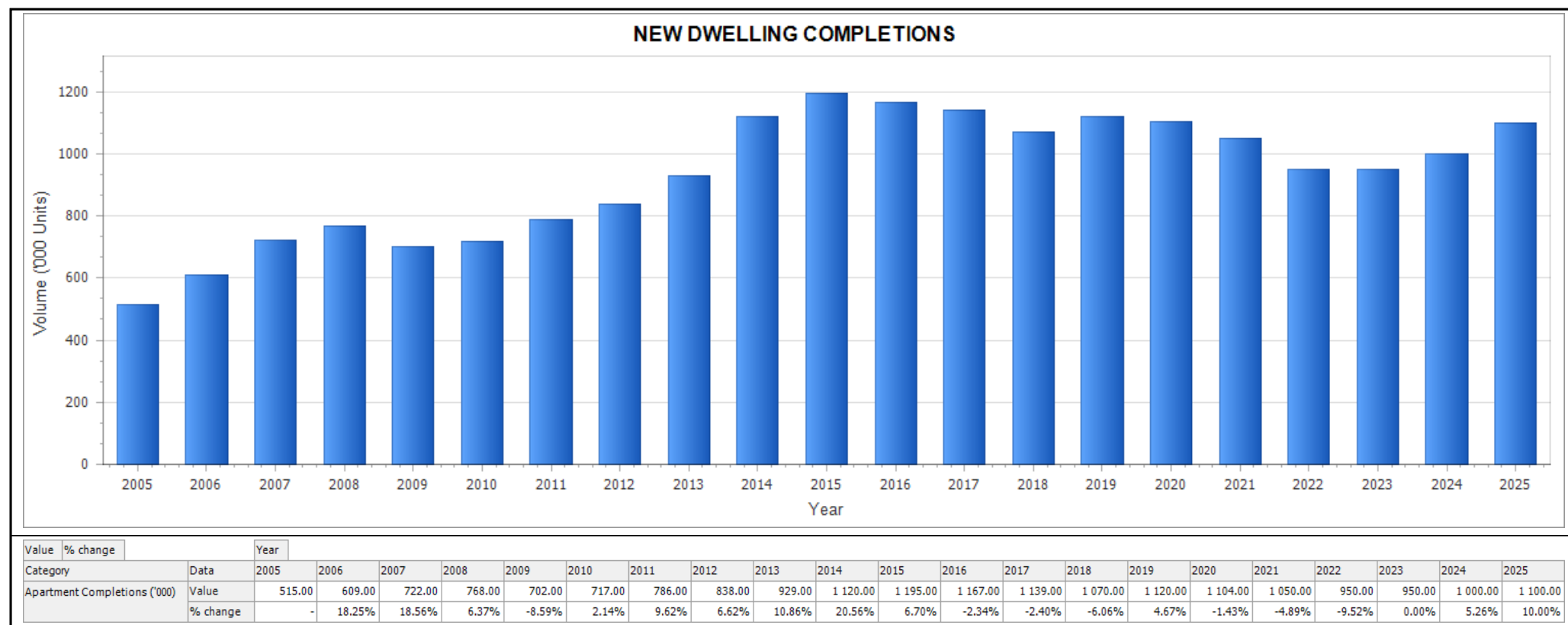
Local Currency	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020
EUR / RUB	35.02	36.42	44.10	40.30	40.87	39.93	42.31	50.93	67.95	74.10	65.94	74.03	72.45	82.86
% change		4.01%	21.07%	-8.61%	1.41%	-2.32%	5.98%	20.36%	33.42%	9.06%	-11.01%	12.27%	-2.14%	14.37%

Source: OANDA

The Russian Ruble (RUB) is the Currency of Russia. The Exchange Rates Shown are the EUR to the RUB.

II.5 New Dwelling Construction

RU - NEW DWELLING COMPLETIONS ('000 UNITS)



Source: BRG based on Country Statistics.

II.6 Dwelling Stock by Type and Tenure
RU - DWELLING STOCK BY TYPE AND TENURE ('000 UNITS)

Value		Year
Segmentation	Category	2020
Dwelling Stock by Type	Apartments (%)	73.15
	Apartments ('000)	49 000.00
	Houses : Rural (%)	23.88
	Houses : Rural ('000)	16 000.00
	Houses : Urban (%)	2.97
	Houses : Urban ('000)	1 990.00
Dwelling Stock by Tenure	Primary Owned (%)	79.28
	Primary Owned ('000)	53 110.00
	Primary Rented : Private (%)	2.88
	Primary Rented : Private ('000)	1 930.00
	Primary Rented : Public (%)	9.11
	Primary Rented : Public ('000)	6 100.00
	Secondary (%)	8.73
	Secondary ('000)	5 850.00

Source: BRG based on Country Statistics.

RUSSIA

DISTRIBUTION

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Overview

When compared to European markets, the distribution of bathroom and kitchen products is still not particularly structured. The distribution patterns are also affected by the division of the country by the Ural Mountains into two independent markets, which are supplied almost independently in terms of imports.

There is a high degree of fragmentation, a large share of ad-hoc sales at markets, and irregular seasonal imports. The number of powerful national players is small, with many small and medium-sized companies involved in importing and wholesaling. Some powerful regional players have started to import goods on their own instead of sourcing from Moscow wholesalers, or have started their own production. However, the share and influence of the national players is increasing. Importers usually have a network of companies involved in the importing function. These companies often are not legally directly connected to the main company. Therefore, even though business is centrally managed, distribution and finances are legally fragmented to decrease business risks and make the business tax-efficient.

There was a gradual emergence of national distributors, specialising in heating, ventilation and bathroom products in early 2010s. However, as these companies have grown some realised that it is better to concentrate on some specific product groups where they have strong positions. As a result, some companies divested certain businesses and remained purely bathroom distributors.

The largest players in Moscow have started to open representative offices or branches in other regional centres throughout Russia. Furthermore, there has been a development of multifunctional companies with fluid characteristics involved in imports, customs clearance, wholesale, retail, installation and after-sales service.

Large wholesalers are nowadays diversifying, in order to compensate for the sluggish market demand in 2021. Several importers and/or wholesalers introduced private labels, but so far only a few of them have been successful (mainly in the taps and mixers sector).

There is a growing number of DIY stores. Only large cities are covered properly by the national chains. There are a number of DIY chains operating only in their regions. The importer/wholesaler usually plays the role of intermediary between the producer and retailer. Manufacturers were in the past rarely selling directly to DIY stores, as they did not like to work under the tight contract terms set by them. However, this trend has been changing and DIY chains are increasingly working directly with manufacturers. Internet retail is growing, but most of the sales still go via wholesalers and retailers rather than independent online retailers. The share of online sales is still small, but growing. DIY retailers are increasingly investing and developing online channels and the COVID-19 pandemic accelerated the process and forced smaller retailers to develop online platforms.

The distribution of goods in Russia has noticeably improved over the last few years. A number of companies involved in distribution have become national or multiregional, with main offices being usually in Moscow and sometimes St Petersburg. Although there are signs of a national distribution network emerging, distribution is still very fragmented, with regions being underdeveloped and neglected. This can be explained by the huge geographical scope of the country and the difficulty in achieving truly national coverage, along with the massive concentration of wealth in Moscow.

It is forecast that the distribution system will gradually become more structured in the long term. This will be achieved by the consolidation of leading importers and their expansion into the regions, the gradual disappearance of smaller national wholesalers, and the development of specialisation according to the various functions (such as wholesale, installation, retail, etc.) of building, heating and bathroom products.

Grey imports have decreased significantly; as a result, foreign manufacturers can no longer benefit from outsourcing importing functions to local importers. In addition, foreign manufacturers want to have more control over the distribution system. Some of the foreign manufacturers have started production in Russia or source on an OEM basis, due to cheaper labour and high importing costs. As a result, large players have started to open local warehouses in Russia and take back distribution functions from local companies.

Bathroom furniture and synthetic bath manufacturers have found themselves in a complicated situation due to a sluggish market, increasing competition, and a power switch towards DIY retailers. As a result, they have expanded offerings by either starting to produce additional product groups or sourcing bathroom accessories on an OEM basis. Some of them have developed online shops, while large players have opened physical shops.

Due to the pandemic distribution (imports) channels have been broken down. Initially production sites were shut down in China. Later Russian manufacturers stopped placing orders due to uncertainty. Russian customs tried to limit imports from China to prevent spread of coronavirus via goods. The import from China usually takes a couple months (longer than from Europe). Because of that the Chinese manufacturers found themselves in the disadvantage positions when sales skyrocketed in Russia in July and wholesalers were unable to satisfy consumers. As a result, demand exceeded supply.

After lockdown, due to the deferred demand and devaluated RUR, consumers started actively spending money and purchasing bathroom goods. Sales started growing in June and accelerated in July. Construction activities resumed fully except for an insignificant number of small developers which went bankrupt.

Wholesale Level

At the primary stage, the main channels of distribution are importers/wholesalers and, in certain cases, representative offices of foreign suppliers (some of them involved in import and distribution, while others are limited to representative functions only). These companies supply directly to new build (construction contractors and big installers), smaller retailers and wholesalers, and DIY retailers, and also sell through their own retail outlets.

A large number of companies involved in imports have a variety of functions, including importing, distributing/wholesaling (selling on to other merchants or retailers), operating as merchants (selling to builders or installers), retailing (selling to private consumers), installation, and after-sales service.

As companies get larger and expand their range of building products, they divide into either separate departments or separate companies involved in various elements of distribution. The most popular trend in the last few years for these companies has been to open their own retail outlets, often small shops. Wholesalers, however, usually only serve one or two areas with retail outlets, in order to avoid direct competition with regional dealers and retailers. For the moment there is a clear preference towards wholesaling, which accounts for a high proportion of turnover. Usually, wholesalers distribute several product groups; they offer one or two brands in each product group if they have exclusivity. Otherwise, wholesalers distribute several brands per product.

Over 70% of imported products are believed to be distributed through Moscow, as the capital city represents both the largest market and the import destination for most foreign goods. However, the growth of competition in all areas of business and the division of spheres of influence on the Moscow market make it imperative for importers and distributors to intensify their activities in the regions. There are signs of regional distribution structures developing, as big importers and distributors realise the potential of the Russian regions. Given the transportation difficulties, however, distribution of imported products still remains marginal (from Moscow) in many areas of the country, such as eastern Siberia and the far eastern region.

Importers/wholesalers usually choose one of two approaches to distribution and expansion. Firstly, importers/wholesalers do not enter the regions or the retail segment, supplying regional dealers directly and avoiding direct competition with them. On the other hand, regional dealers usually do not try to import. However, regional dealers that have reached significant turnover have started to import some products in recent years. Secondly, importers/wholesalers open a retail outlet in cities where they are based, usually Moscow or St Petersburg. In addition, they open regional offices and warehouses in large cities and directly supply small dealers or retailers. Even these wholesalers, however, cannot cover the entire country and are present via independent dealers in other locations.

Some goods are imported through St Petersburg, where a number of large distributors are expanding to attain national scope. In the east of Russia, some goods are imported via Khabarovsk and Vladivostok. Products imported in the east tend to be sold only in the far east of the country and eastern Siberia.

As a result of the improving economic climate and the development of small businesses, the number of specialist retailers working with heating and bathroom products, as well as small installers, has grown over the last decade. These businesses have been established both individually (using private capital) and by large market players looking for geographic expansion of sales and service. However, the trend has started to change in recent years. Some highly-leveraged players have experienced problems with financing. Many smaller players have seen a decline in turnover and have tried to distribute other products to compensate the loss. After the imposition of sanctions on Russia, the structure of the supply began to change again. Depending on the product groups, smaller players have started to source goods from large importers – which manage to decrease customs duties.

Retail Level

DIY Retailers

The DIY segment is still developing in Russia. The main hindrances to development of the segment are thought to be the following: installers' fees are lower than those in Western Europe, and the population often uses installers for bathroom product installations; most distributors provide an installation service and competition with the construction material markets.

There are two types of DIY chains in Russia. They operate on either national or regional levels. Some Western-style DIY chains have also been developing in Russia. Despite a challenging year, many companies (particularly LEROY MERLIN) continued expansions; however, it makes sense to note that growth is slowing down. The main industry-hindering factors are increasing product prices, devaluation of the rouble, shortage of liquidity and the low purchasing power of the general population.

Not all manufacturers are happy with the contract terms imposed by large DIYs, such as prices fixed in RUR, deferred payment, quick delivery of goods, etc. As a result, predominantly only large manufacturers and wholesalers work with DIY stores. Large DIY players introduced private labels and source from either Asia or locally. Due to the decreased construction forecast, the share of DIY sales is estimated to increase with greater renovation demand in the midterm. Installers rarely use DIY chains and usually work with local dealers. DIY chains gradually take share from specialist retailers in large cities. Usually branded and private label products are sold via DIYs. Depending on the region, DIY retailer and product group goods can be sourced either directly from manufacturers or from wholesalers.

Even economically-developed Moscow is surrounded by construction material markets. Large distributors have outlets on the main markets. The open markets are gradually losing ground to online stores and DIY. DIY stores are gradually entering online business, and successfully compete with specialist online stores.

Among the most significant players are:

LEROY MERLIN is believed to be the largest and fastest-expanding chain in Russia. LEROY MERLIN purchased 12 KESKO GROUP stores in Russia in 2018 and purchased CASTORAMA stores in 2019. The company operated around 110 stores in 46 cities in 2021. LEROY MERLIN plans to invest EUR 235 million per year into its expansion. The focus of the programme is cities with populations between 100,000 and 500,000. The company started to directly source goods under the own labels. LEROY MERLIN is also actively increasing online sales and provides this service in all cities where its stores are present. The company plans to increase online assortment tenfold. LEROY MERLIN also expanded in the project business and founded a separate entity to supply projects.

By 2021, the number of OBI's stores remained stable (25) in Russia. As the DIY sector in large cities (with a population of over one million) is becoming more competitive, the retailer has shifted its attention to the regional markets. Like LEROY MERLIN it plans to develop a smaller DIY shop concept.

PETROVICH became one of the largest local DIY retailers. The company operated 26 stores in Russia in 2021, predominantly in Moscow and St Petersburg.

VIMOS is an expanding DIY chain in Russia, operating 38 outlets. Its construction and raw materials total more than 12,000 various items. Besides selling products of well-known brands, the company has its own production as well.

SATURN is another large DIY chain in Russia. It has 47 outlets in 24 cities. Wholesale and retail trade of construction products and raw materials are the major activities of the group. Its product range consists of about 15,000 various items. The SATURN GROUP sells almost all kinds of building materials, including heating, bathroom, plumbing and ventilation products.

In April-May 2020, mainly Moscow and southern regions were hit by COVID-19 lockdowns. As a result, retailers and DIYs moved to online sales and a click and collect system, while shops were temporarily closed for the general public in Moscow and southern regions. However, in Ural and Povolzhie retailers and DIY were predominantly open. The lockdown situation was different in all regions. An estimated 40% of DIY shops was open for the general public in Russia during the first lockdown.

Specialist Retailers

Specialist retailers work closely with installers and contractors. Some of them operate independently (like LUNDA) while others are part of wholesale companies. The type of retailer ranges from established chains like LUNDA, to local shops operating on the construction material markets. Other national players are SANTEKHKOMPLEKT's retail arm MASTER SANTEKHNIKI, and VESTA TRADING. Wholesaler MAXLEVEL remains one of the largest local chains in Moscow. Other large wholesalers tried to expand in retail but were generally unsuccessful.

IKEA targets end users rather than installers. All other specialist retailers operate chains or single shops on a local basis, covering only one city.

In large cities, specialist retailers experience rising competition from online and DIY stores. Therefore, only large chains that are parts of wholesale companies successfully manage to compete, while smaller players are experiencing mounting pressure. National DIYs are not interested in small cities, where specialist retailers dominate the market.

All retailers were open for the general public in Russia as of March 2021.

Internet Retailers

Internet sales are small in Russia, as most consumers prefer to see products in store rather than make purchases based on pictures. In addition, the online shopping and delivery network is not fully developed in Russia. Predominantly branded and upmarket products were sold online and mainly in large cities until the pandemic hit Russia. However, internet sales are growing, but most sales still go via online stores operated by wholesalers and retailers (including DIY) rather than independent online retailers. Some people prefer to see large items in store and later purchase online, if it is cheaper to do so. Usually, simple products are sold online more actively. In terms of price segments, all products are represented in the internet shops. There are three types of independent internet shops operating in Russia: those selling only specific brands, bathroom specialist shops, or mixed online shops that also distribute bathroom products.

Only a few shops operate on the national level (usually several regions), while others supply only one region or even one city. Online sales are predominantly developed in large cities, where people have better access to the Internet and logistics are organised better.

Due to the 2014-2016 politico-economic squeeze, many manufacturers experienced a decline in sales. In order to facilitate sales some bathroom furniture and synthetic baths manufacturers have opened their own internet stores. This trend is particularly visible among synthetic bath and bathroom furniture manufacturers. DIY retailers are also actively developing online channels.

The emergence of local internet platforms like PRICE.RU and ALI EXPRESS accelerated growth of online sales. Internet retailers apply aggressive pricing policies and offer significant discounts during sale promotions.

Western manufacturers are eyeing the internet market and are gradually rolling out online portals for distributors and open online stores for end users and installers. Based on the overall manufacturers' perception, BRG believes this segment is likely to expand further as more manufacturers will try to sell directly to end users.

There is no significant independent national online retailer in Russia. Therefore, aggregated platforms where various online retailers are present are gaining popularity. In 2019, YANDEX and SBERBANK jointly created the BERU.RU market place.

Due to the spread of coronavirus, retail sales of bathroom products almost completely moved to online in April-May 2020. Online sales increased (by an estimated 50% during this period) and people liked the service. After lockdown (when brick and mortar shops reopened) online sales dipped insignificantly but remained high. Most brick and mortar shops either opened online shops or upgraded existing internet platforms. Some online shops specialising in electronics moved to the bathroom segment.

Unlike the rest of the market, the largest specialist bathroom retailer SANTEKHNICA ONLINE plans to open retail outlets in Russia.

III.2 RU - SUMMARY OF LEADING DISTRIBUTORS

Holding	Trading Name	Distributor Type	General Product Orientation Profile	Home Market Coverage		Specific Product Orientation (all figures are in %)														Buying Group Affiliation
				No. of Depots	Geographical Coverage	Specialist						Specialist					Other			
						Total	Heat	Bath	Plumbing	Vent/ Aircon	Tiles	Total	Building Materials	Timber	Insulation	Roof	Other	Specify		
VIMOS	VIMOS	Retailer	DIY	38	Russia		xx	xxx	x											
OBI	OBI	Retailer	DIY	25	Russia		x	x	x		x		x	x	x	x				
LEROY MERLIN	LEROY MERLIN	Retailer	DIY	110	Russia		x	x	x		x				x					
PETROVICH	PETROVICH	Retailer	DIY	28	Russia		x	x	x		x									
TEREM	TEREM	Wholesaler/Importer	bathrooms/heating	16	Russia		xxx	xxx												
HOGART	HOGART	Wholesaler/Importer	heating/bathrooms	2	Russia		xx	xx		xx										
SANTECHKOMPLEKT	SANTECHKOMPLEKT	Wholesaler/Importer	plumbing	23	Russia		x	x	xx											
VESTA TRADING	VESTA TRADING	Wholesaler/Importer	bathrooms	14	Russia		x	x	xx											
LUNDA	LUNDA	Retailer	heating/bathrooms	63	Russia		xx	xx	xx	xx										
CHESHKII DVOR	CHESHKII DVOR	Wholesaler/Retailer	bathrooms	1	Russia		xx	xx			xx						xx			
IKEA	IKEA	Retailer	household goods	23	Russia			x									xxx			
KONZEPT	KONZEPT	Wholesaler/Importer	bathrooms	2	Russia		x	xxx									x			
MAXLEVEL	MAXLEVEL	Specialist Merchant	bathrooms	15	Russia		x	xx			xx						xx	kitchen		
CENTR SANTEKHNIKI	CENTR SANTEKHNIKI	Wholesaler	bathroom	1	Russia			xxx												
SANTOP	SANTOP	Wholesaler	bathroom	1	Russia			xxx												

Source: BRG based on company information and industry interviews

x=marginal activity

xx=substantial activity

xxx=core activity

RUSSIA

BATHS AND SHOWER TRAYS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

The Russian market is one of the most dynamic in Europe for baths and, to a certain extent, shower trays. The main reasons for this are the Russian mentality and lifestyle, which favour more durable products. However, the current level of bath sales in Russia remains far behind those of Western European countries, given the size of the country. A similar picture can be drawn for the Russian market for shower trays. Under the Soviet Union, the Russian shower trays market was largely restricted to the non-residential sector and holiday homes. In the 1990s, the shower trays market started to move into the housing sector as installations of shower enclosures in individual houses and apartments became more popular. There was also a tendency to replace baths with showers in small(er) bathrooms, in order to provide room for a washing machine. There is no significant substitution trend from bath to shower trays/enclosures. However, the penetration of shower enclosures is gradually growing. Recently wet shower rooms have been getting more popular in private housing, where they are installed in addition to a bath.

The Russian market is characterised by a high number of steel baths and shower trays, with cast iron baths also having a relatively strong presence, and the vast majority of these steel products sold on the Russian market are also domestically produced. Cast iron shower trays, unlike cast iron baths, are rarely purchased and installed in Russia. The cast iron bath segment, on the other hand, is slowly shrinking due to changes in customer tastes, cheaper prices for steel baths, decreasing sales to municipal projects, and a broader variety of synthetic baths. Steel and cast iron baths and shower trays are predominantly locally produced or imported from China, and are low price products. Manufacturers have not invested in new technologies and are able to keep costs low and, consequently, low prices. Steel was often chosen due to its low price, with the average retail price of acrylic baths being higher. The market for steel baths and shower trays, however, has faced strong competition from synthetic products in the new construction segment over the last several years. The share of ceramic shower trays is marginal.

The share of synthetic products is gradually increasing, due to the growing presence of local suppliers. Consumers today tend to base their choices more on design and aesthetics than on tradition, as well as on the advice of neighbours. However, as synthetic baths and shower trays become more affordable for the middle class, Russian consumers have become more aware of the qualities of the products. Some manufacturers promote synthetic baths as antibacterial and a safer option compared to other types. Newly constructed bathrooms are larger, which also affects synthetic bath sales (as synthetic baths can occupy more space than steel models). In addition, these products offer a variety of shapes and sizes. Russian manufacturers are mainly using low-priced materials (like ABS) in production and, as a result, are driving average prices down.

Hydrotherapy products were only introduced to the Russian market in the 1990s, but sales were growing almost every year until 2009, albeit from a low base. The Russian hydrotherapy market is far from saturation. Demand for hydromassage products came mainly from the wealthy, to whom hydrotherapy products appeal as they were expensive and regarded as prestigious. High income households, living in single family houses, will remain the major market for hydrotherapy products; however, with the gradual price decrease, the middle class can now also afford hydrotherapy products.

Hydromassage baths are the most common product on the Russian hydrotherapy products market. The market has recently shifted significantly towards domestic supply, with a growing number of Russian manufacturers and assemblers moving into the business, rather than imports. Although the market is still linked to high income housing, there has been a growing demand for cheaper products that is targeted by domestic manufacturers. The growth of Russian suppliers, in terms of numbers, is attributed to the increasing middle class, who give preference to low or middle priced products.

Recent Market Trends

Despite a hectic year, the Russian baths market increased in 2020 supported by extraordinary replacement demand. During lockdowns people were locked at home or moved to summer houses/villas. Considering that many families had more time and more money (unspent holiday savings) they decided to renovate existing dwellings in the first half of 2020. People usually stay at summer houses for short periods of time and these premises are not well maintained. When people realised that they would stay in summer houses for much longer owners started upgrading bathrooms. In the second half of 2020, a construction boom took place in Russia. Many buyers returned to the market and started actively purchasing flats. All of the above led to healthy increase in sales of baths. The demand was so high that steel bath manufacturers were unable to satisfy demand.

Considering that synthetic baths are popular in new housing and easier to install, they benefited most in 2020 and were the only market driver. Popularity of synthetic baths is growing and it is overcompensated by the fall in steel and cast iron segments. Synthetic bath sales predominantly increased in the regions more than in the capital. Many Russian manufacturers found themselves in an advantageous position due to the significant fluctuation of the Russian rouble, devaluation of national currency and flooded the market with cheap products. Synthetic bath manufacturers operating in the middle price segment suffered most. Some of them have suffered a significant decline in sales. The companies that launched low price products, or were operating in the economy sector, managed to significantly expand presence. The largest local manufacturers are trying to decrease the cost of production by coming up with new solutions that negatively affect the quality of the products. Companies operating in the middle price segment are launching low price models in order to survive. Due to ongoing economic problems, demand for low price products has increased at the expense of middle and partially upper price products. There is an ongoing insignificant shift from baths towards showers in the

new housing sector, eroding the demand for baths. There were disruptions with Chinese imports and local manufacturers increased the market share in 2020. The trend is likely to continue in 2021.

The shower tray market has increased due to a growing penetration of the product. Sales have increased only for synthetic shower trays as they are more appealing to end users, while the ceramic and steel/cast iron (due to plummeted sales of Chinese products) shower tray segment has shrunk. The synthetic shower tray market has seen an influx of Asian products and a re-formation of the market. There has been a shift towards ad hoc imports and low price products. The synthetic baths market, similarly to the whole sector, remains under significant pressure. In order to boost sales, local manufacturers have increased their production ranges (mainly moving to lower price products), started OEM production, or opened their own retail outlets.

Sales of hydrotherapy products decreased further in 2020, due to the complex economic situation. The segment suffered the most due to the economic problems, as the products are regarded as non-essential luxury products. Hydrotherapy products are one of the most expensive bathroom products. The middle and upper price segments were hit most severely, as the middle-class population could not afford hydrotherapy products anymore and either stopped purchasing or switched to lower priced goods. Some households have replaced hydromassage baths with synthetic models. The market is evolving and population preferences change. Emerging fitness clubs combined with the busy lifestyle of the Russian urban population have changed the preferences of some end users. They do not have time to enjoy hydrotherapy products, and do not want to be troubled with the maintenance and cleaning of jets. As a result, some households replace them with showers instead.

Prices and Market Values

Russia remains a price-driven market and the proportion of cheaper baths, especially Russian-made and Asian imports, is very high. Most European and Asian manufacturers continued a gradual increase in prices in 2020, in order to maintain profitability. In order to capture a moment and increase margins, and also to capitalise on the price gap between imported and local goods, domestic players increased prices in RUR by around 4% for synthetic baths and trays and by around 8% for steel baths and trays on average in 2020. However, a shift towards the lower price segments continued in 2020. The trend was more visible in the synthetic baths and shower trays segments where manufacturers operating in the economy segment expanded significantly. Only hydromassage baths recorded growth in average prices both in RUR and EUR.

Another important factor that affects price development is an increasing share of DIY and online sales. Specialist online shops are for 'bargain hunters' and mainly source discounted products. DIYs are actively expanding and increase their bargaining power which, in turn, allows them to negotiate lower prices.

Most cast iron baths and shower trays are sold in the economy segment, as they are cheap and reliable products with long lifespans. Steel baths and steel shower trays are also sold only in the economy and middle segments but look better aesthetically. Most local manufacturers target the economy segment, while importers such as KALDEWEI and ROCA position products in the middle and upper segments. The majority of synthetic baths are sold in the economy segment, followed by the middle segment. Asian products are present in the economy segment, while Russian production predominantly goes into the lower and middle priced segments. Asian low-priced models are even cheaper than Russian models, and Russian manufacturers experience problems due to severe competition. Western European imports are split between the middle and upper price markets.

The ongoing coronavirus turmoil and low oil prices negatively affected Russian households' incomes and purchasing power. Therefore, local manufacturers decreased prices in EUR in order to stay afloat and gain the market share in 2020.

New Housing

BRG estimates that more than a half of bath sales went into new dwellings in 2020. The majority of synthetic and steel baths are associated with this sector. There is thought to be a 'double' market in the new construction sector: contractors often installed cheap baths which were then replaced with an acrylic models by the new owners; although this trend has decreased in recent years.

Shower trays are sold mainly in apartments in the new housing segment to save space. The new housing segment remained the second largest in 2020. Owners give showers preference as they occupy less space, leaving more available space in bathrooms. In addition, many young families have busy lives and prefer showers over baths and hydromassage baths.

There is a clear preference towards synthetic products. The average number of installations of baths and shower trays per dwelling remains almost stable, and unlikely to increase significantly in the near future. The vast majority of newly-built apartments are equipped with one bathroom. Mainly upper end dwellings and houses have two (or more) bathrooms. All new dwellings are usually equipped with baths or shower trays. The overall sales are forecast to decline in the segment due to a fall in construction completions in the short-term but forecast to pick up in the long term. In terms of penetration, installations of baths are likely to decrease in the long term, with an increasing penetration of shower trays/enclosures.

Housing RMI

The home improvement sector is the second-largest segment in the baths and the largest for shower trays segment, with a significant number of cast iron baths and trays being sold to RMI, as there is a large park of cast iron products and consumers often prefer to replace them with similar (material) products. The shower tray sector is expected to increase significantly in the middle and long term,

as the economic situation is forecast to settle down and improve. Historically, baths have been installed in dwellings in Russia. As a result, not many existing dwellings are equipped with shower trays. Therefore, replacement of shower trays still remains low. Most steel and cast iron shower trays go to the replacement segment. The bath and shower tray markets are still far from maturity; however, they have a good growth potential in the long term.

Due to the decreasing purchasing power of the general population, some households cannot afford hydromassage baths anymore and are moving towards synthetic bath models when a replacement is needed.

Non-Housing

Demand for baths and shower trays from the non-housing market is small, and mainly hotels are equipped with them. Baths were historically mainly installed in hotels, but in recent years shower enclosures and shower trays have been gaining popularity. Steel baths are mainly installed in hotels in small regional cities, and synthetic baths and shower trays in the large cities. A significant share of shower trays is installed in hospitals and gyms. The non-housing segment is estimated to decrease in the short term, as the government is not expected to have sufficient funds and businesses are unlikely to invest in the current economic climate.

Supply Structure

There have been no major changes in the supply of cast iron baths.

The domestic producer VIZ dominates the steel bath market. The remainder of the market is fragmented and made up entirely of imports split between Asian and European manufacturers. Due to problems with Chinese imports the company increased the market share and was running on full capacity in the second half of 2020. It was unable to satisfy the demand. It also sharply increased sales of shower trays.

In recent years, players like ROCA have started to produce locally synthetic baths in Russia in order to successfully compete with domestic players. A few foreign companies have expanded their OEM bases in Russia and started to source synthetic baths.

Apart from products from domestic producers, the synthetic bath sector comprises many European and Asian imports. The market is fragmented, without clear market leaders. Russian companies increased their shares when the market was growing, and have dominated the overall market since 2017. Due to the economic crisis, many households are turning towards cheaper products. TRITON, RADOMIR and AQUANET are predominantly selling via DIY chains. It is believed that LEROY MERLIN has started to source directly from Asia. In terms of coverage, the synthetic bath manufacturers are split into multi-regional and regional players. All large players distribute their products nationally, while smaller ones operate only in their own regions. AQUANET and MARKA 1 have started production on an OEM

basis, and are opening their own retail outlets in large regional cities.

TRITON is perceived to be one of the cheapest brands. It had mainly relied on online channel and small retailers before 2017. It launched a new economy range in 2018 and mainly targeted developers and DIY.

RADOMIR has introduced low price lines which were rapidly expanding. It largely maintained stable sales in the middle price segment.

BAS is gradually expanding into the shower enclosure and bath screens segment.

The steel shower tray market was very unstable in terms of suppliers, as it was dominated by Asian imports until 2019 and these players do not have a stable presence in Russia – and some of them only operate on an ad hoc basis. The Asian importers that operate in Russia mainly cover the eastern part of the country and supply the whole Russian market from that side. VIZ is the only Russian manufacturer present in the segment.

The synthetic shower tray market is fragmented, dominated by Asian players with an unstable supply due to a high share of ad hoc sales. It should be noted that there are several shower enclosure producers that supply their products together with shower trays. Russian bath and shower tray exports usually go to former USSR republics. BAS UNITRANS started producing shower trays from cast marble in 2020.

In the hydromassage bath segment, the major players have retained their positions. Russian manufacturers have kept their leading positions, with TRITON remaining the leader and the rest of the market being dominated by other local producers such as BAS UNITRANS, RADOMIR and BELRADO. There is a number of small local manufacturers that buy synthetic baths and upgrade them to hydromassage baths. Many people buy synthetic baths and then install jets, converting them into hydromassage models. Alternatively, they purchase low-priced Chinese options. The lifespan of both products is fairly short, and consumers tend not to maintain them properly.

Apart from several local producers, the majority of the hydrotherapy cubicle market is in the hands of importers. The major brands in the segment are SUNWAY, ERLIT and ROSSTAR.

Forecasts

BRG's forecast is based on the assumption that oil prices would remain above USD 40 per barrel and the pandemic would not get much worse. However, there are a few factors that can make things worse for Russia. Firstly, if COVID-19 becomes more aggressive, then the government would not be able to hide this from the population. Secondly, if oil prices remain under USD 40 for a prolonged period of time, since Russia needs an oil price around USD 40 a barrel to balance its federal budget. Thirdly, President Putin may resort to external wars

or aggressive moves as a means to divert the population's attention away from the current economic crisis. Finally, the relationship with the US is very important.

The Russian market was hit by a significant slump in oil prices, Western sanctions and the spread of the COVID-19 virus in 2020. The last lockdown ended in Russia in January 2021.

Many people moved to summer houses and villas during the summer period in 2020. Most summer houses are poorly maintained and people diverted money that was allocated for holidays to renovation. The demand for second homes (namely houses) is expected to remain strong in 2021 supporting both new installations and replacement of baths and shower trays. However, it is expected to dip in 2022 as most people who could afford would have already purchased by that time.

Around 75% of new build dwellings in Russia is purchased with mortgages. The government allocated funds to subsidise mortgages. The state support programme is planned to last at least until July 2021. As a result, interest rates declined significantly and fixed at 6.5%. Consumers wanted to utilise this opportunity and buyers returned to the market. Due to a reasonable level of demand for new dwellings almost all construction companies continued to work as normal. Low interest rates played a very important role for the market and in fact represented a turning point for the construction sector. The demand for new housing is so high that prices even increased in large cities. Due to the turmoil caused by the pandemic, devaluation of the RUR and further Western sanctions, the housing completion levels are expected to dip in 2022 when the state subsidies are withdrawn.

The industry experts believe that the spending level would continue to stay on the same level in the first half of 2021 as in the last quarter of 2020. People who have money have already purchased (or committed to buy) dwellings, dachas or baths/shower trays. Therefore, these spendings are likely to start falling by the end of 2021. On another hand, some people lost jobs and purchasing power for others declined due to significant devaluation of the RUR. Therefore, working class people are likely to struggle with finances and mortgage/loan payments in the near future.

Many real estate agents consider the current situation as a real estate bubble. As long as there is state support, people cannot travel abroad (would be purchasing second homes in Russia instead of overseas) and spend on renovation or acquisitions unspent travel money the construction market is unlikely to crash. However, all these drivers are likely to evaporate by 2022 leading to fall in new build sales.

The overall bathroom market is expected to pick up in 2023 unless it is hit by other major disruptions or a continuous spread of the coronavirus. Consumer spending is estimated to pick up by the end of 2023. The overall market is set to grow in the long term, as the replacement level has remained low over the last decade and the market is far from saturation. As a result, the share and sales of cast iron baths should continue to decline as they slowly lose popularity, even though cast iron

baths are often replaced with the same material, whereas the steel and synthetic baths markets are expected to continue to grow. Synthetic baths, being much lighter than cast iron ones but less durable, come in many shapes and sizes and are becoming more and more popular among Russian consumers. In short, the Russian market for baths is expected to grow steadily in the long term, with new and improved ranges of products and the arrival of new manufacturers. However, the lifespan of synthetic baths (particularly low quality models) is much shorter than cast iron and steel ones. As a result, it should naturally increase replacement levels.

Growing domestic production of cheaper ABS baths, a broader variety of designs and a new generation of bathrooms should help to maintain growth in the synthetic bath market, although it is unlikely that synthetic products will replace the traditional cast iron and steel segments entirely in the very near future, a characteristic which makes the Russian market quite distinct from the rest of Eastern Europe.

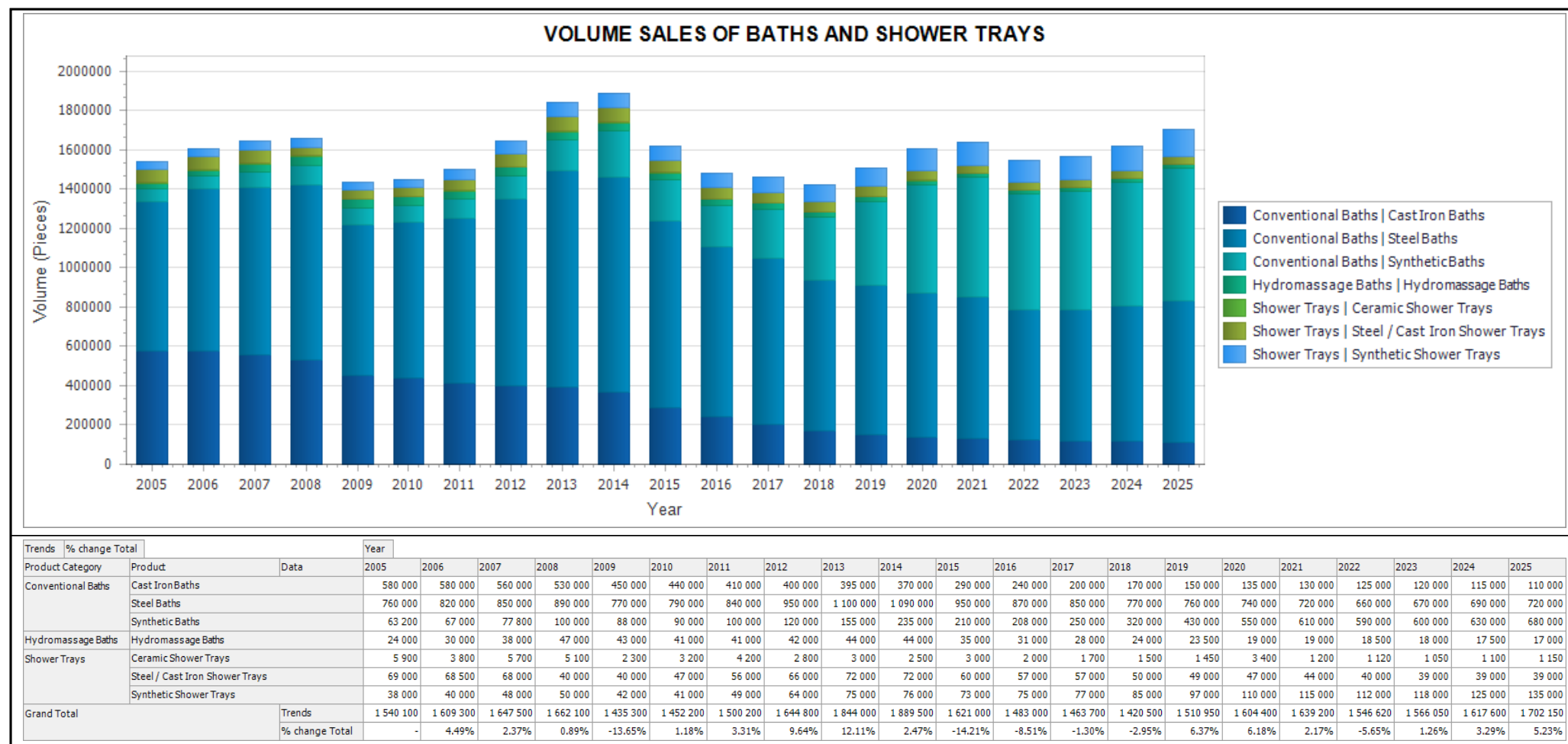
The planned expansion of Moscow, the replacement of '*Khrushchovki*' buildings by modern blocks in Moscow, and regional (construction) development are forecast to positively affect the shower tray market in the long term. In line with the slow but steadily increasing trend of Russian consumers buying synthetic products, it is expected that the share of steel/cast iron shower trays will continue to decline and the share of synthetic shower trays will increase in the upcoming years.

The market is very sensitive to the political and economic situation. A stable political environment leads to consumer confidence and higher spending (which translates into replacement, renovation and construction, leading to more installations). However, during periods of political/economic instability people tend to spend less which, in turn, also affects sales of shower trays and baths. Therefore, the most important variables affecting the market will be political activity, coronavirus and oil/gas prices. BRG's forecast is based on the assumption that the political situation will not change in Russia and that oil and gas prices should gradually recover; President Putin will probably not make aggressive steps that force the West to impose further sanctions.

The purchasing power of the general population remains lower than in most EU countries. As a result not everyone, particularly in rural areas, can afford modern products. Therefore, economic growth and the increasing purchasing power of households should positively affect sales.

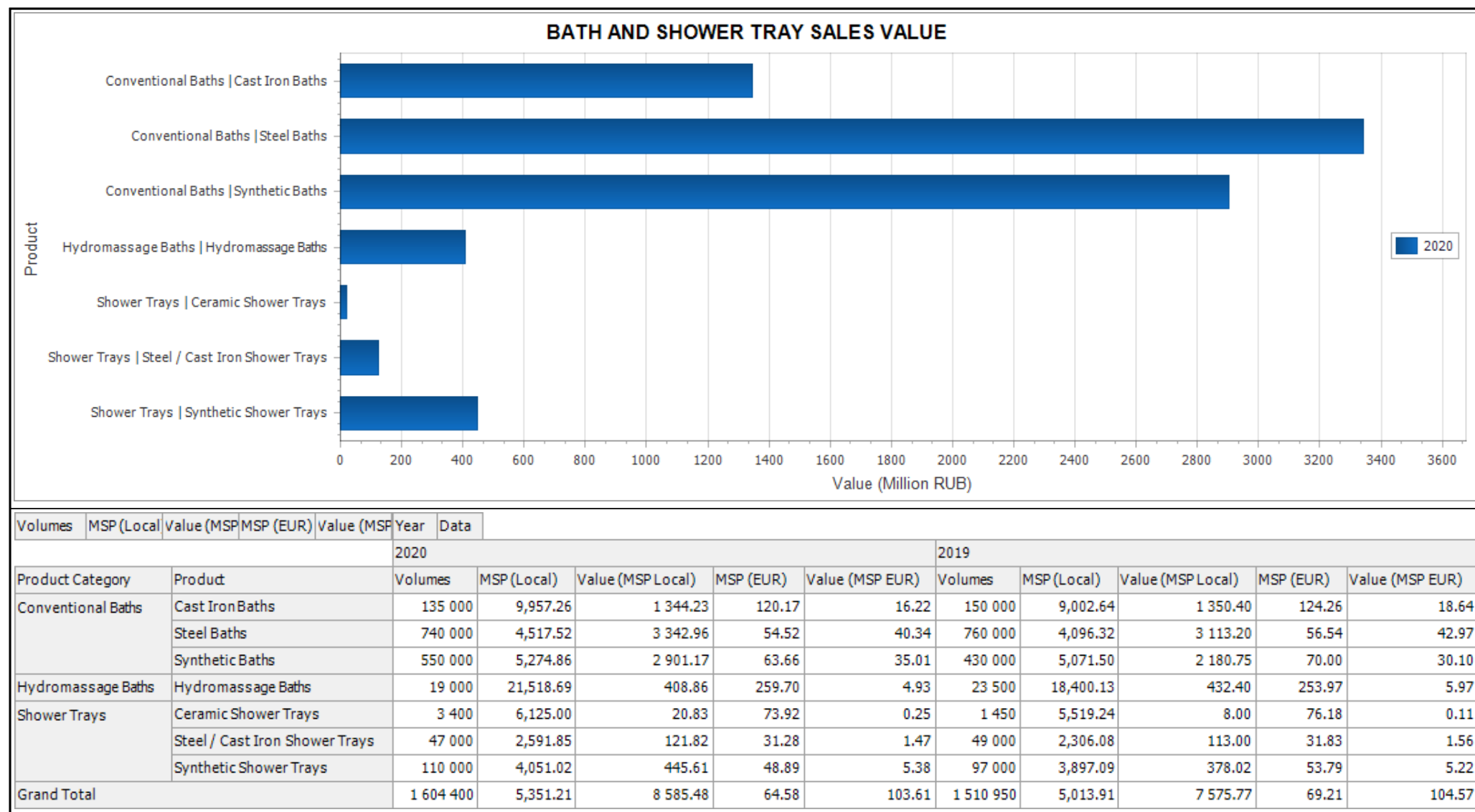
1.2 Historical Trends and Forecasts

RU - SUMMARY OF TRENDS IN THE BATH AND SHOWER TRAY MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

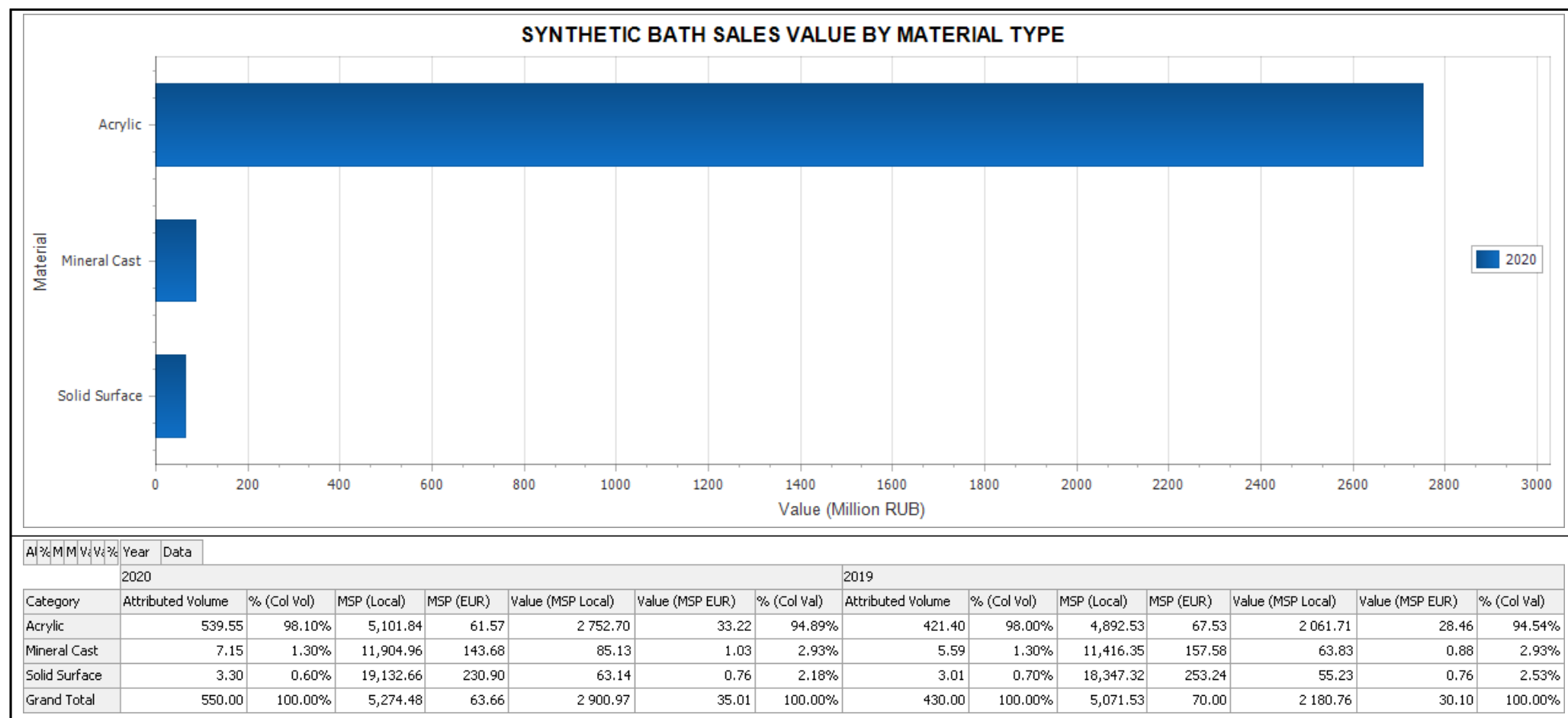
1.3.1 Prices and Market Values : Baths and Shower Trays
RU - ESTIMATED VALUES OF THE BATH AND SHOWER TRAY MARKET



Source: BRG based on industry interviews. Local Prices Shown in RUB. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.2 Prices and Market Values : Synthetic Baths

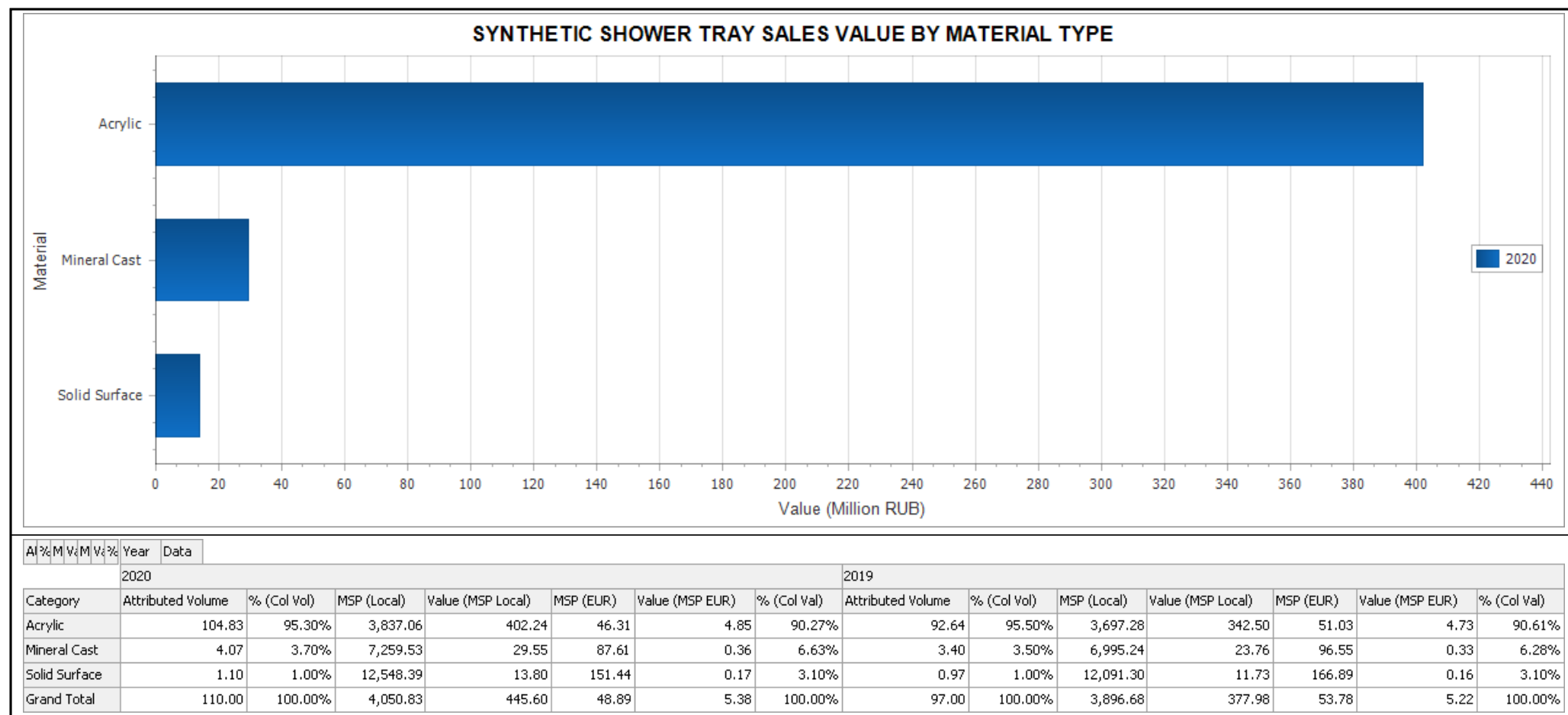
RU - ESTIMATED VALUES OF THE SYNTHETIC BATH MARKET BY TYPE OF MATERIAL



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in RUB. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.3 Prices and Market Values : Synthetic Shower Trays

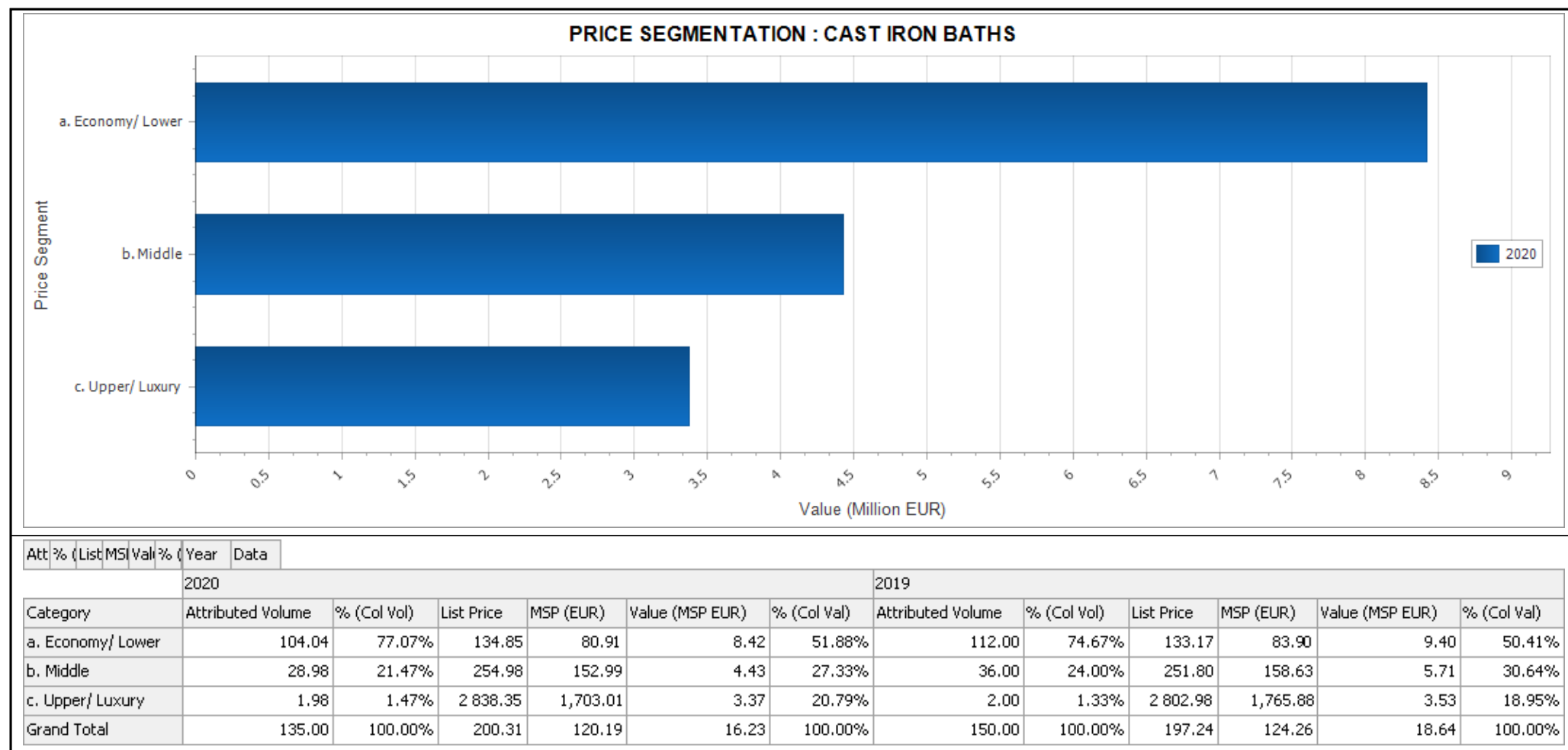
RU - ESTIMATED VALUES OF THE SYNTHETIC SHOWER TRAYS MARKET BY TYPE OF MATERIAL



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in RUB. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.4 Price Segmentation : Cast Iron Baths

RU - ESTIMATED PRICE SEGMENTATION FOR CAST IRON BATHS

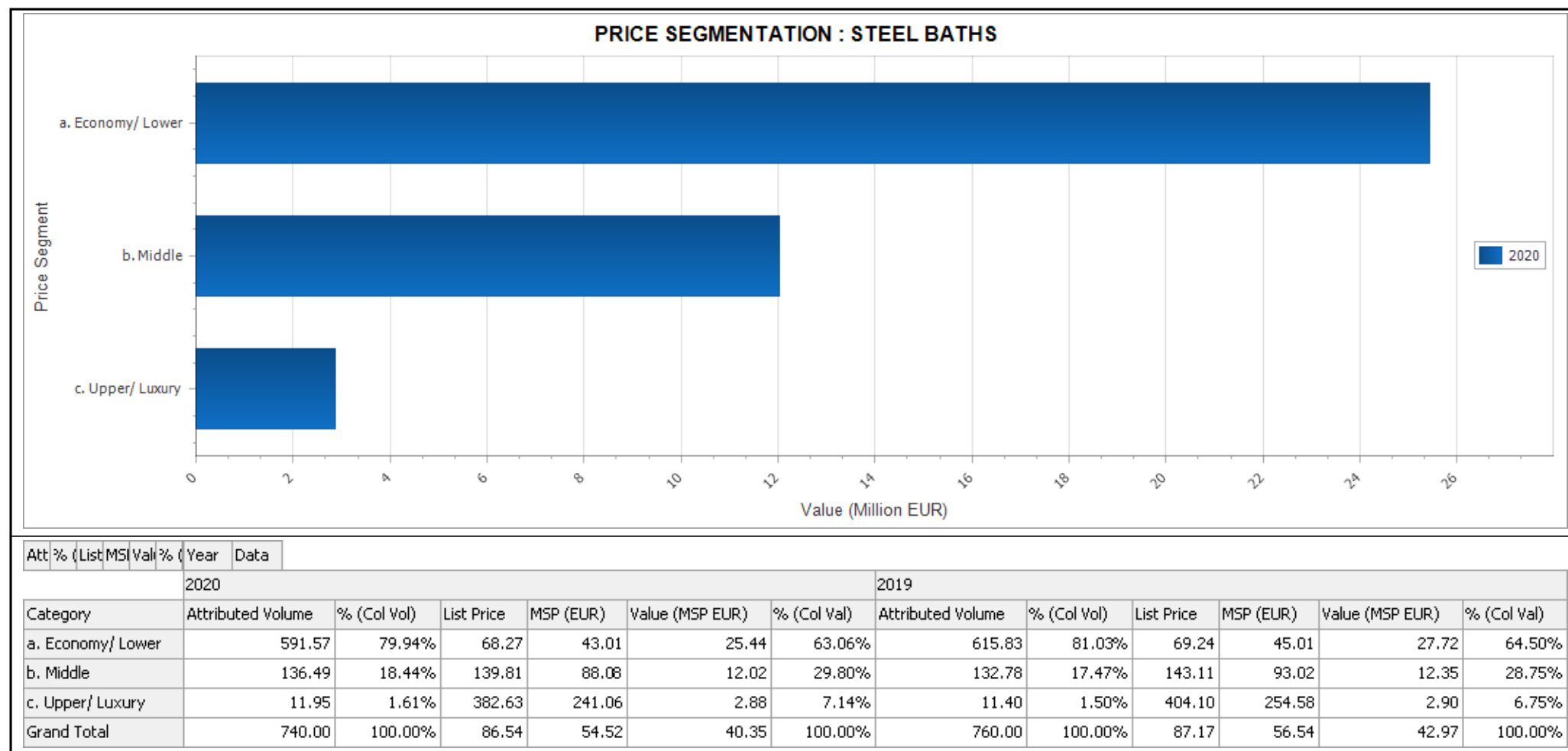


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€300, Upper/ Luxury >€300

1.3.5 Price Segmentation : Steel Baths

RU - ESTIMATED PRICE SEGMENTATION FOR STEEL BATHS

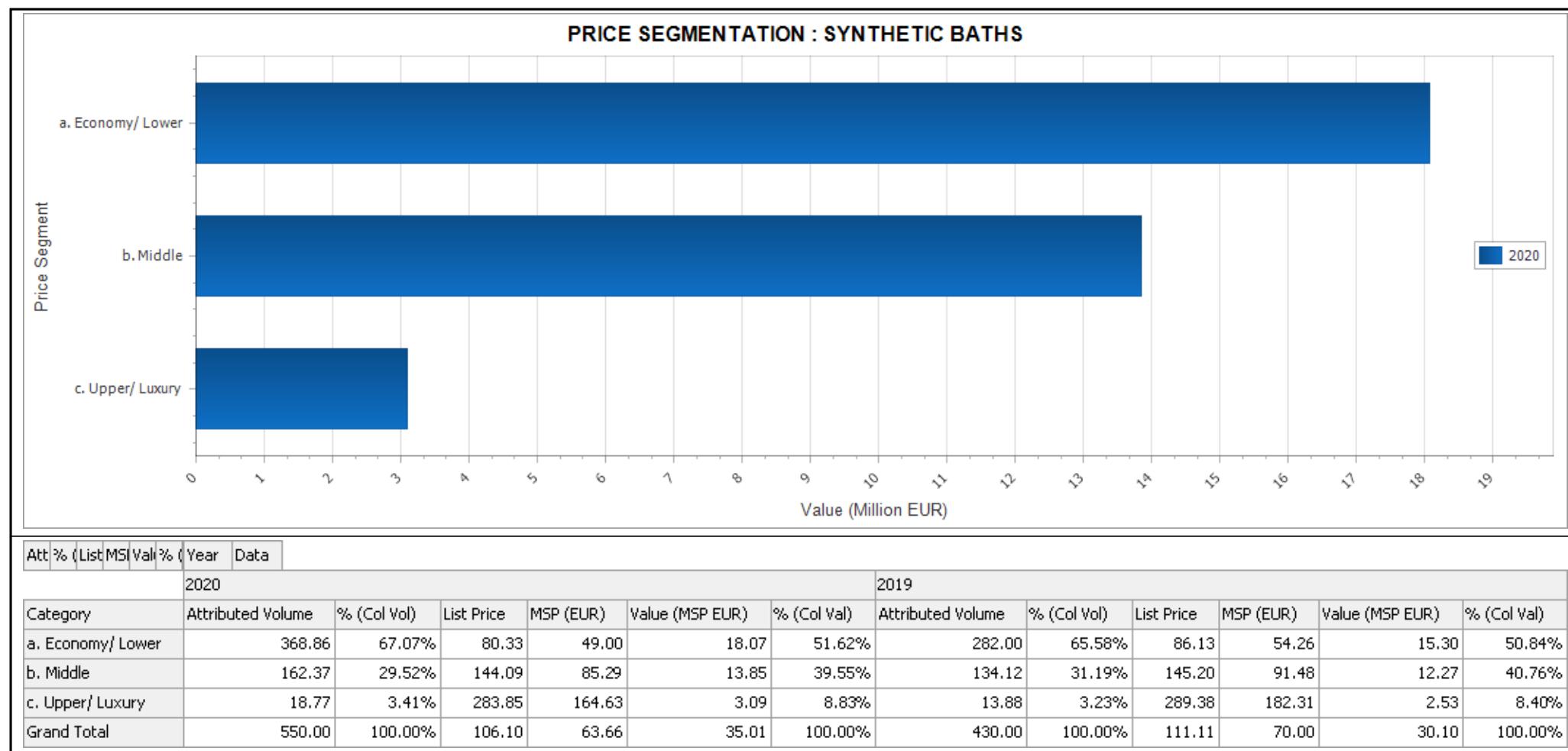


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€70, Middle €70-€150, Upper/ Luxury >€150

1.3.6 Price Segmentation : Synthetic Baths

RU - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC BATHS

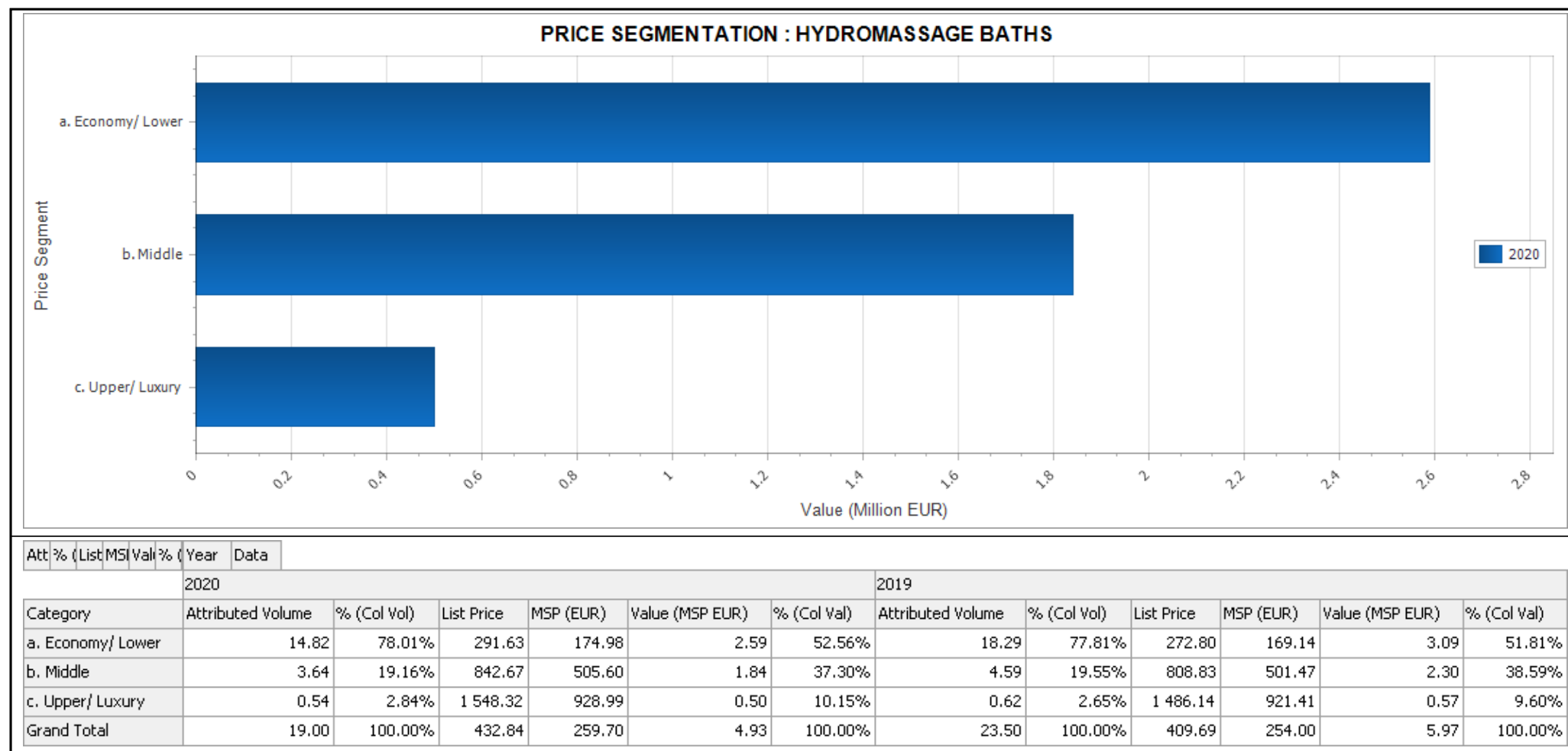


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€70, Middle €70-€130, Upper/ Luxury >€130

1.3.7 Price Segmentation : Hydromassage Baths

RU - ESTIMATED PRICE SEGMENTATION FOR HYDROMASSAGE BATHS

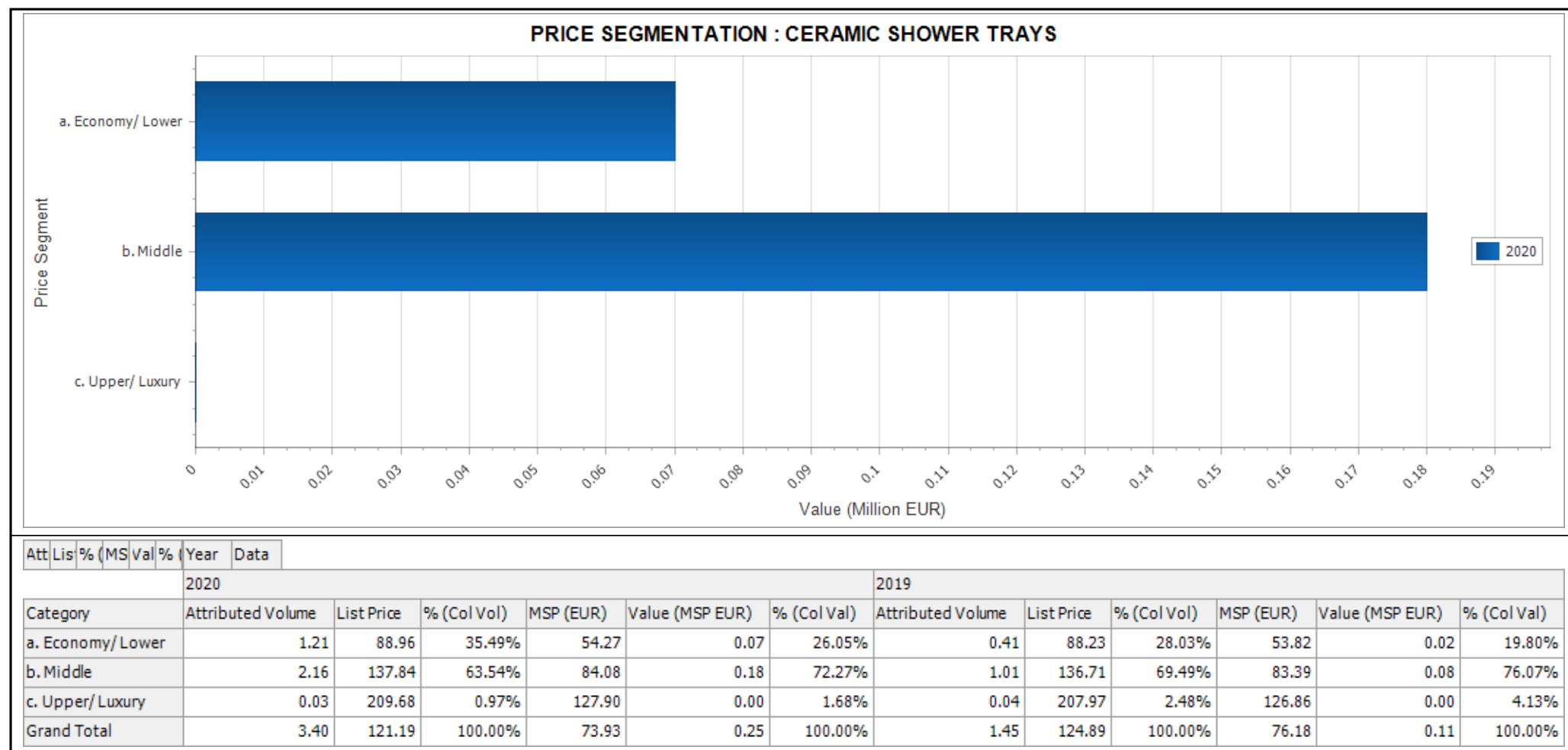


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€300, Middle €300-€700, Upper/ Luxury >€700

1.3.8 Price Segmentation : Ceramic Shower Trays

RU - ESTIMATED PRICE SEGMENTATION FOR CERAMIC SHOWER TRAYS

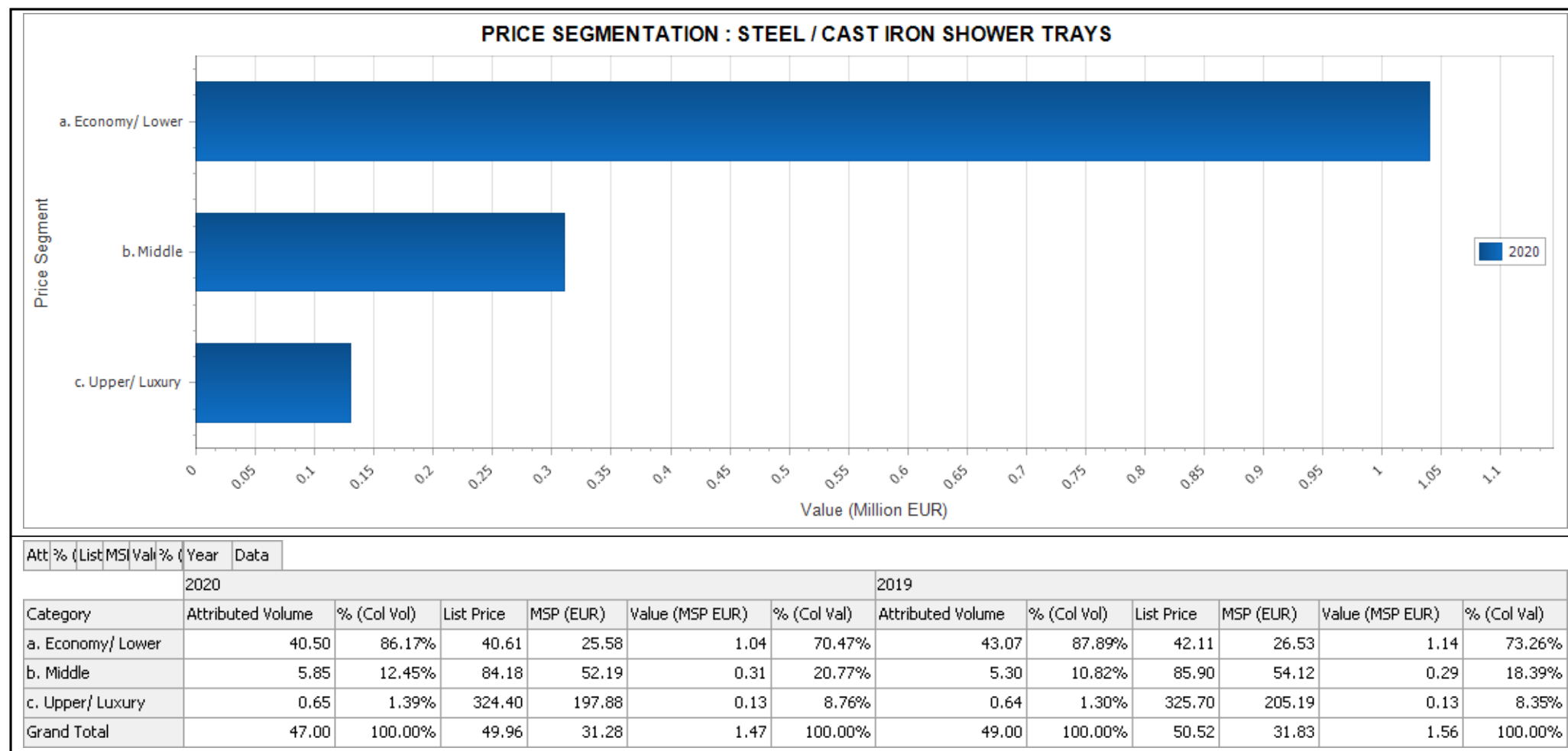


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€70, Middle €70-€100, Upper/ Luxury >€100

1.3.9 Price Segmentation : Steel/ Cast Iron Shower Trays

RU - ESTIMATED PRICE SEGMENTATION FOR STEEL / CAST IRON SHOWER TRAYS

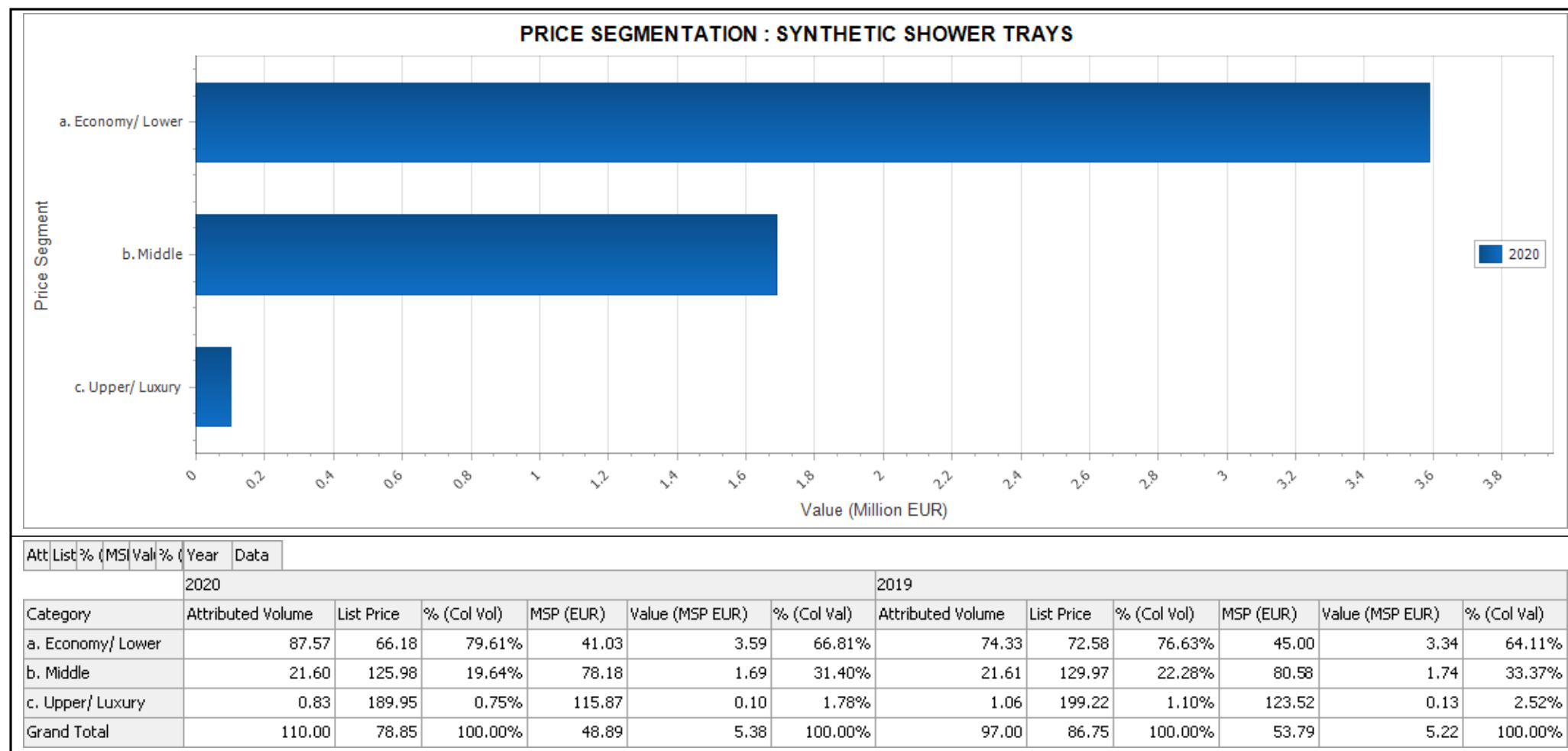


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€40, Middle €40-€80, Upper/ Luxury >€80

1.3.10 Price Segmentation : Synthetic Shower Trays

RU - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC SHOWER TRAYS

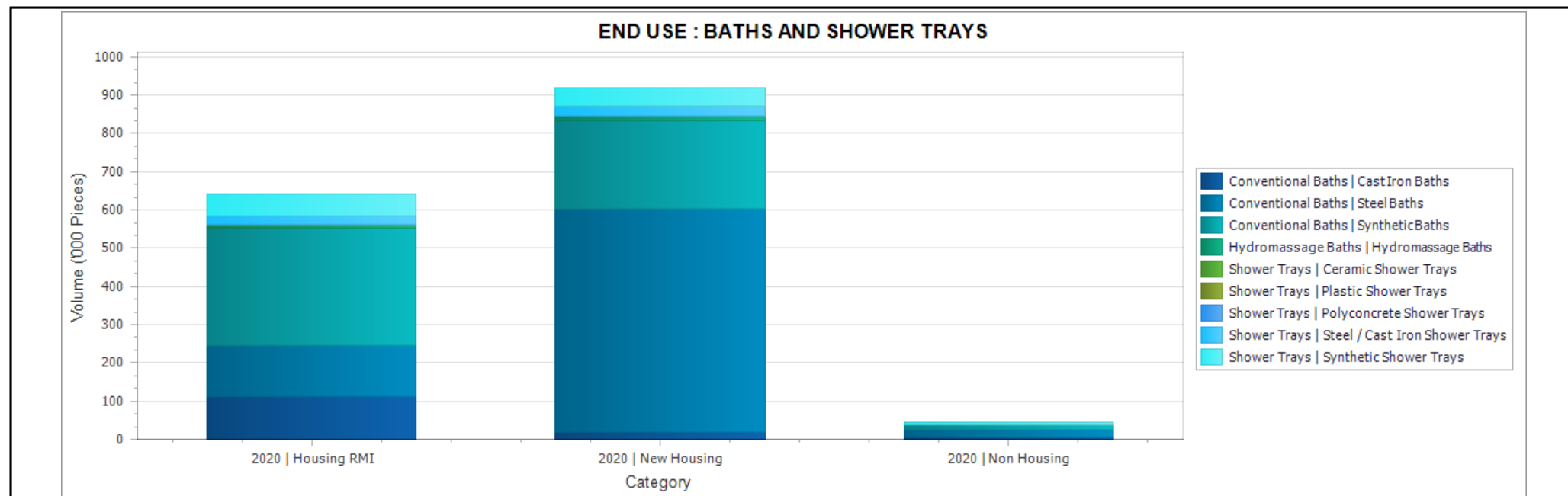


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€60, Middle €60-€100, Upper/ Luxury >€100

End Use : Base Year

RU - SALES OF BATHS AND SHOWER TRAYS BY TYPE AND END USE SEGMENT ('000 PIECES)

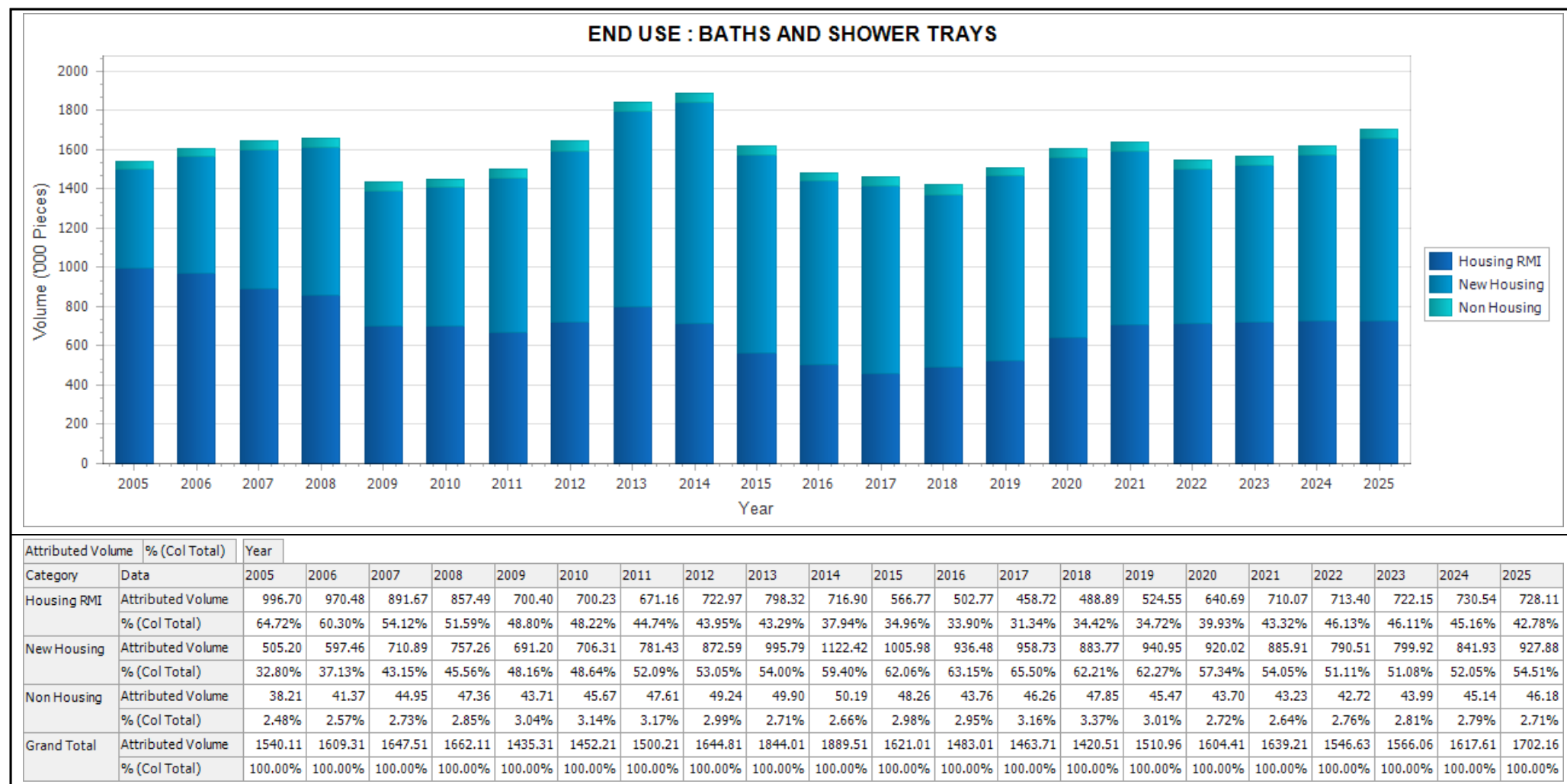


Attributed Volume		% (Col Total)	% (Row)												
				Year	Category	Data									
				2020											
				Housing RMI			New Housing			Non Housing			2020 Total		
Product Category	Product	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)		
Conventional Baths	Cast Iron Baths	112.07	17.49%	83.02%	17.64	1.92%	13.07%	5.29	12.11%	3.92%	135.00	8.41%	100.00%		
	Steel Baths	133.10	20.77%	17.99%	587.15	63.82%	79.34%	19.76	45.22%	2.67%	740.00	46.12%	100.00%		
	Synthetic Baths	307.48	47.99%	55.91%	229.95	24.99%	41.81%	12.57	28.77%	2.29%	550.00	34.28%	100.00%		
Hydromassage Baths	Hydromassage Baths	6.44	1.00%	33.87%	12.19	1.32%	64.13%	0.38	0.87%	2.01%	19.00	1.18%	100.00%		
Shower Trays	Ceramic Shower Trays	2.77	0.43%	81.48%	0.63	0.07%	18.52%	0.00	0.00%	0.00%	3.40	0.21%	100.00%		
	Steel / Cast Iron Shower Trays	23.34	3.64%	49.66%	22.87	2.49%	48.66%	0.79	1.80%	1.67%	47.00	2.93%	100.00%		
	Synthetic Shower Trays	55.49	8.66%	50.45%	49.60	5.39%	45.09%	4.91	11.24%	4.46%	110.00	6.86%	100.00%		
Grand Total		640.69	100.00%	39.93%	920.02	100.00%	57.34%	43.70	100.00%	2.72%	1604.41	100.00%	100.00%		

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.2 End Use : Historical and Forecasts

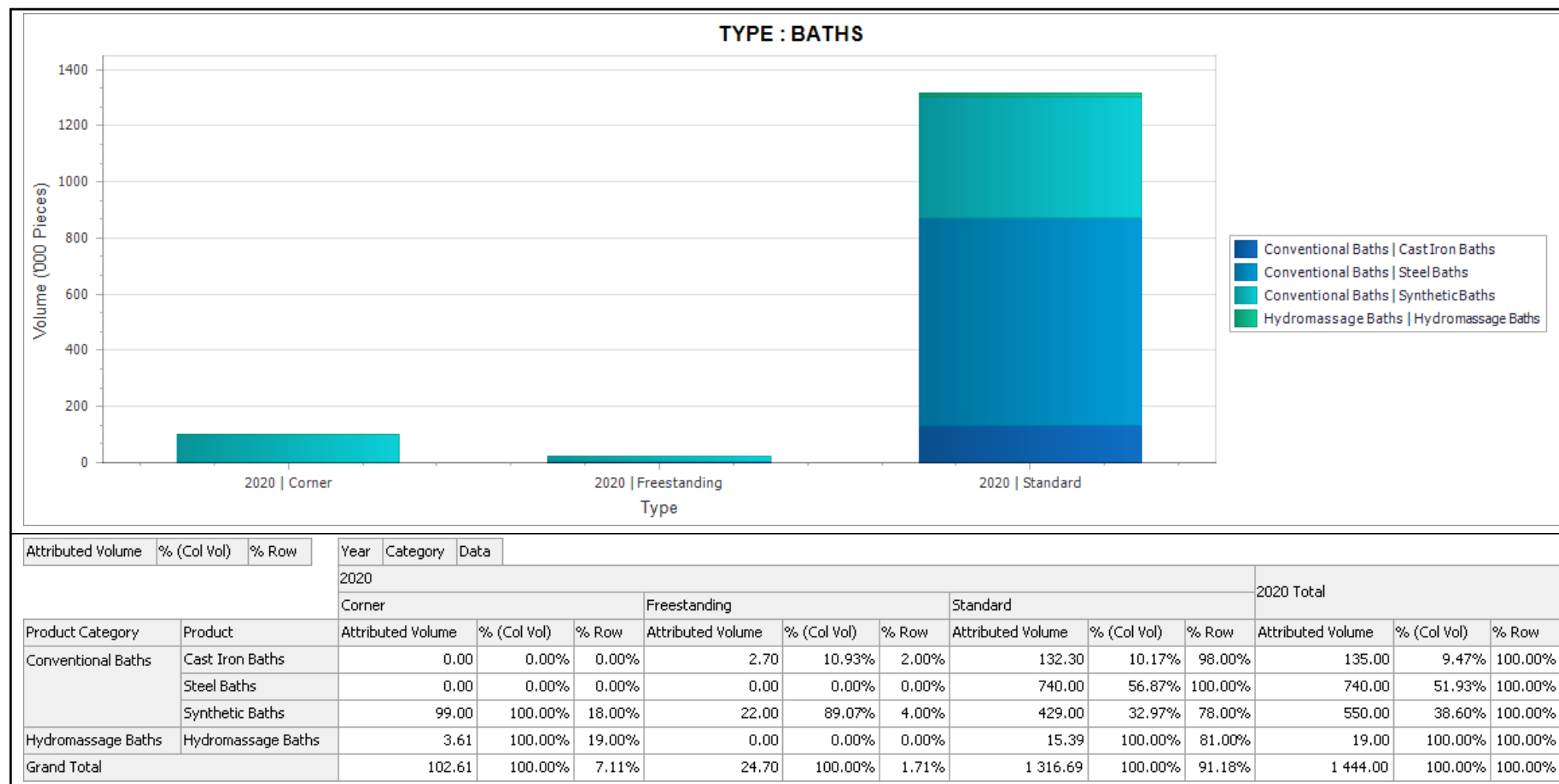
RU - SALES OF BATHS AND SHOWERS TRAYS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.3 Sales by Type : Baths

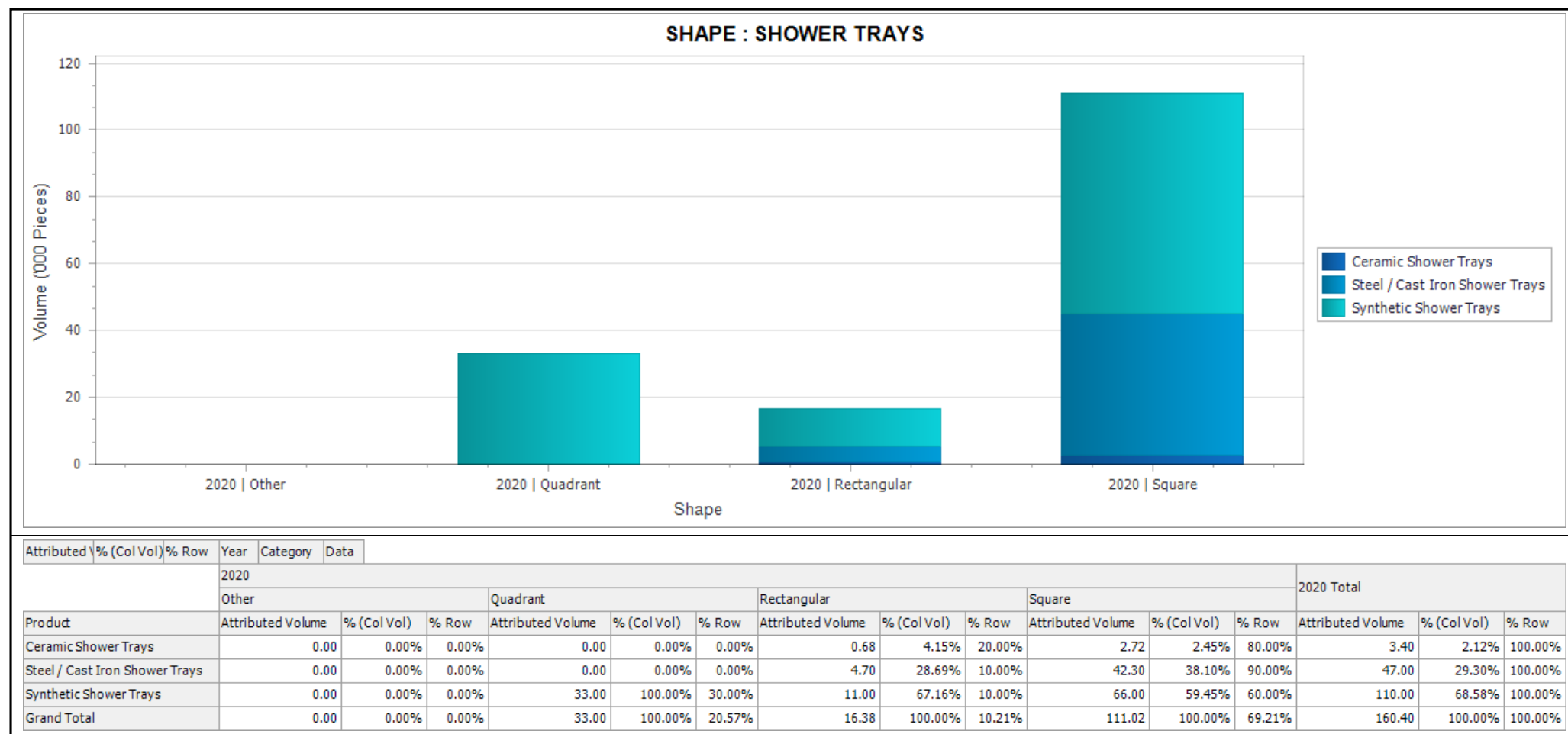
RU - BATH SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.4 Sales by Shape : Shower Trays

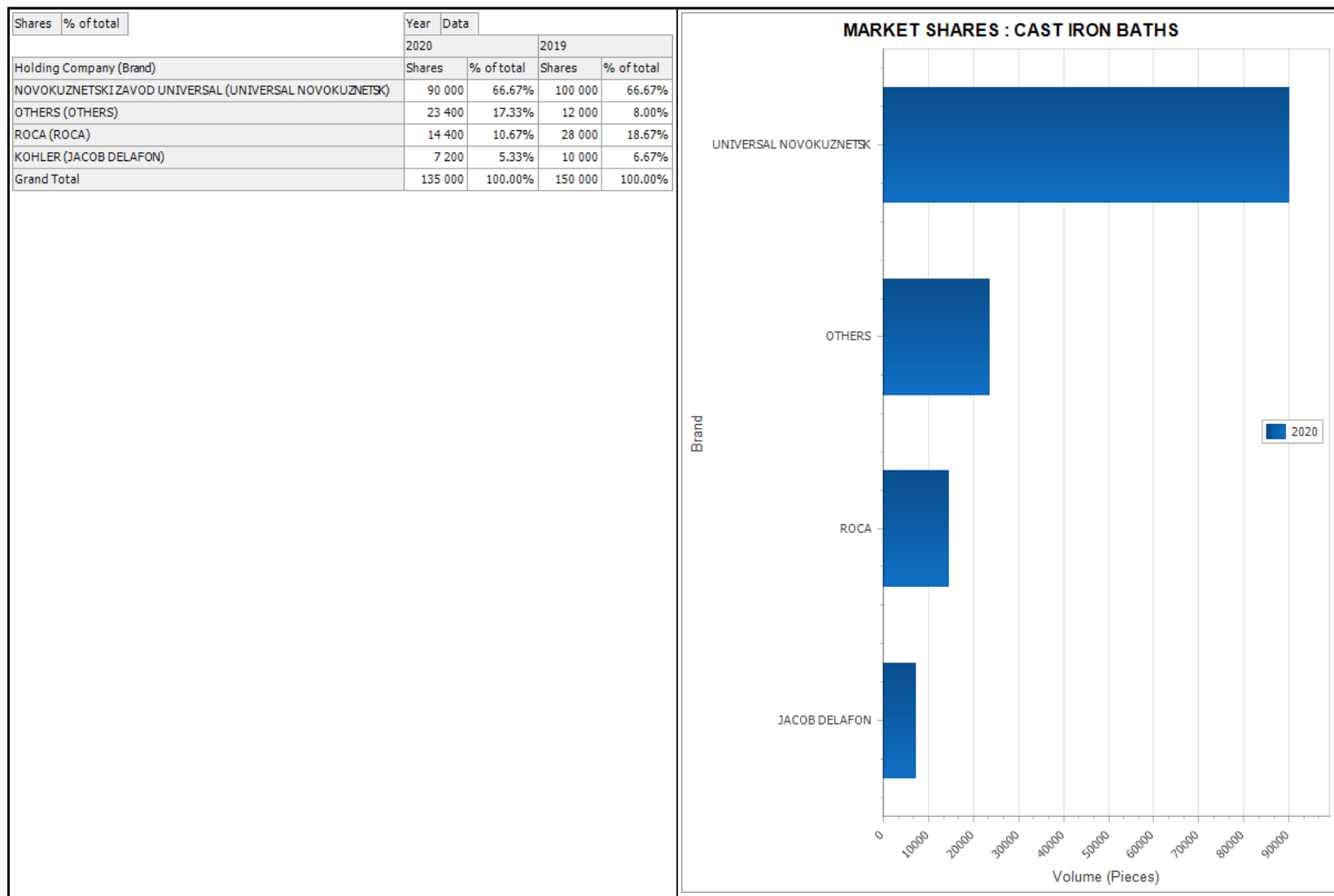
RU - SHOWER TRAY SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.5.1 Market Shares : Cast Iron Baths

RU - ESTIMATED MARKET SHARES FOR CAST IRON BATHS

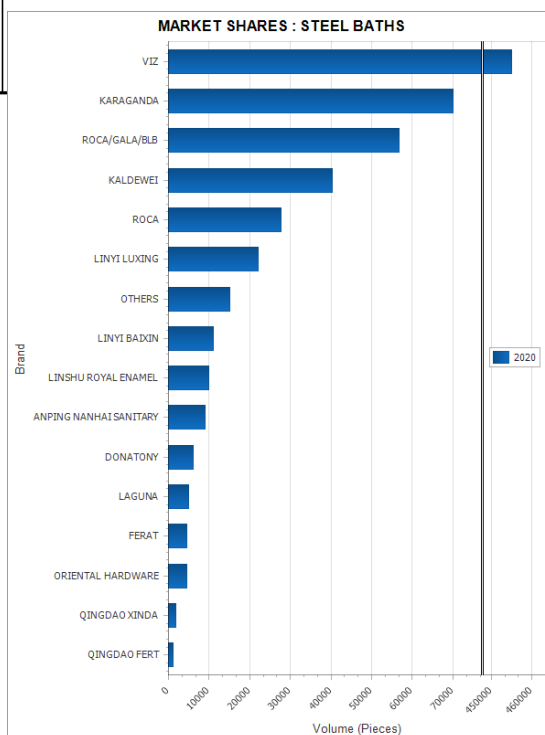


Source: BRG based on industry interviews.

1.5.2 Market Shares : Steel Baths

RU - ESTIMATED MARKET SHARES FOR STEEL BATHS

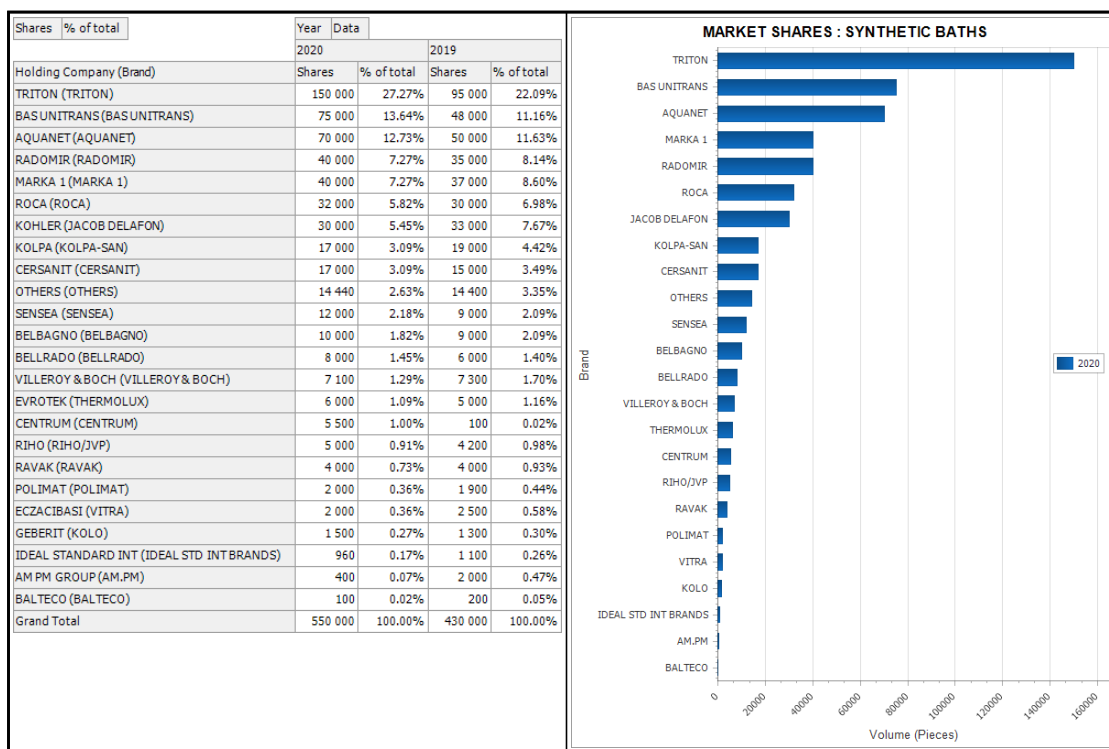
Shares	% of total	Year		Data	
		2020		2019	
Holding Company (Brand)		Shares	% of total	Shares	% of total
VIZ (VIZ)		455 000	61.49%	460 000	60.53%
KARAGANDA (KARAGANDA)		70 000	9.46%	35 000	4.61%
ROCA (ROCA/GALA/BLB)		56 700	7.66%	36 200	4.76%
KALDEWEI (KALDEWEI)		40 400	5.46%	32 500	4.28%
ROCA (ROCA)		27 600	3.73%	32 000	4.21%
LINYI LUXING (LINYI LUXING)		22 100	2.99%	26 800	3.53%
OTHERS (OTHERS)		15 100	2.04%	27 500	3.62%
LINYI BAIKIN (LINYI BAIKIN)		11 000	1.49%	19 700	2.59%
LINSHU ROYAL ENAMEL (LINSHU ROYAL ENAMEL)		10 000	1.35%		0.00%
ANPING NANHAI SANITARY (ANPING NANHAI SANITARY)		9 000	1.22%		0.00%
DONATONY (DONATONY)		6 000	0.81%	11 600	1.53%
LAGUNA (LAGUNA)		5 000	0.68%	13 300	1.75%
FERAT (FERAT)		4 600	0.62%		0.00%
ORIENTAL HARDWARE (ORIENTAL HARDWARE)		4 500	0.61%	12 000	1.58%
QINGDAO XINDA (QINGDAO XINDA)		1 800	0.24%		0.00%
QINGDAO FERT (QINGDAO FERT)		1 200	0.16%	9 000	1.18%
SMAVIT (SMVIT)			0.00%	3 000	0.39%
SENSEA (SENSEA)			0.00%	16 700	2.20%
LINYI WANKIN (LINYI WANKIN)			0.00%	1 300	0.17%
LINYI JINHONG SANITARY (LINYI JINHONG SANITARY)			0.00%	23 400	3.08%
Grand Total		740 000	100.00%	760 000	100.00%



Source: BRG based on industry interviews

1.5.3 Market Shares : Synthetic Baths

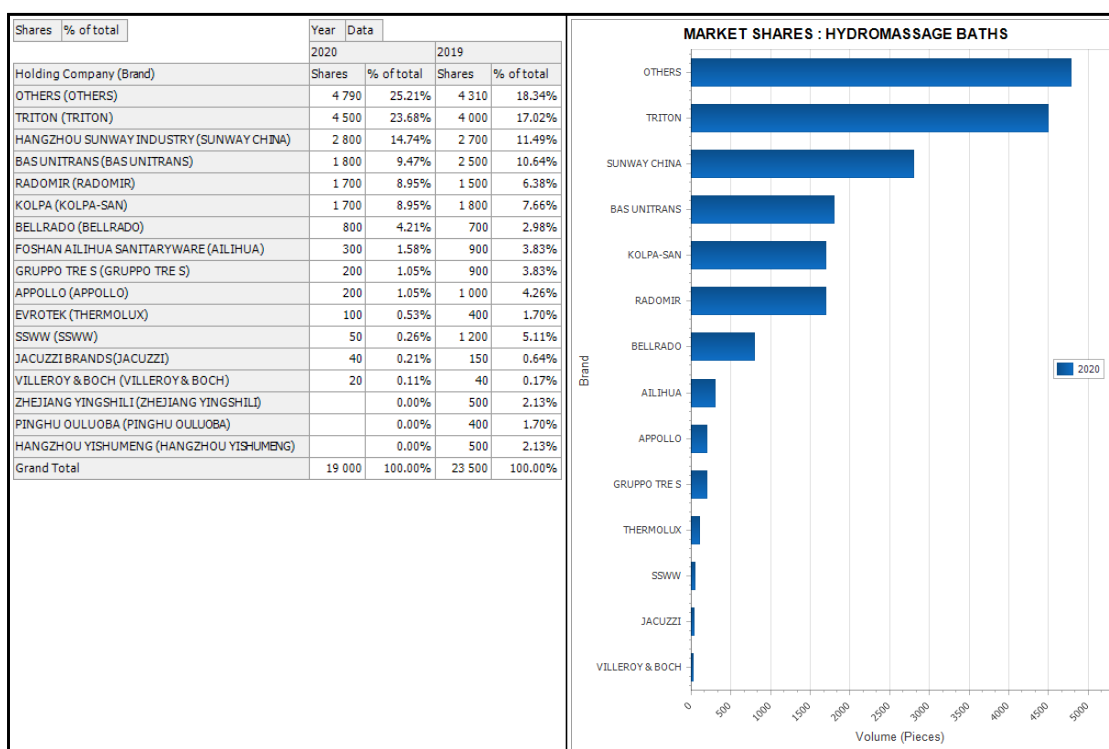
RU - ESTIMATED MARKET SHARES FOR SYNTHETIC BATHS



Source: BRG based on industry interviews.

1.5.4 Market Shares : Hydromassage Baths

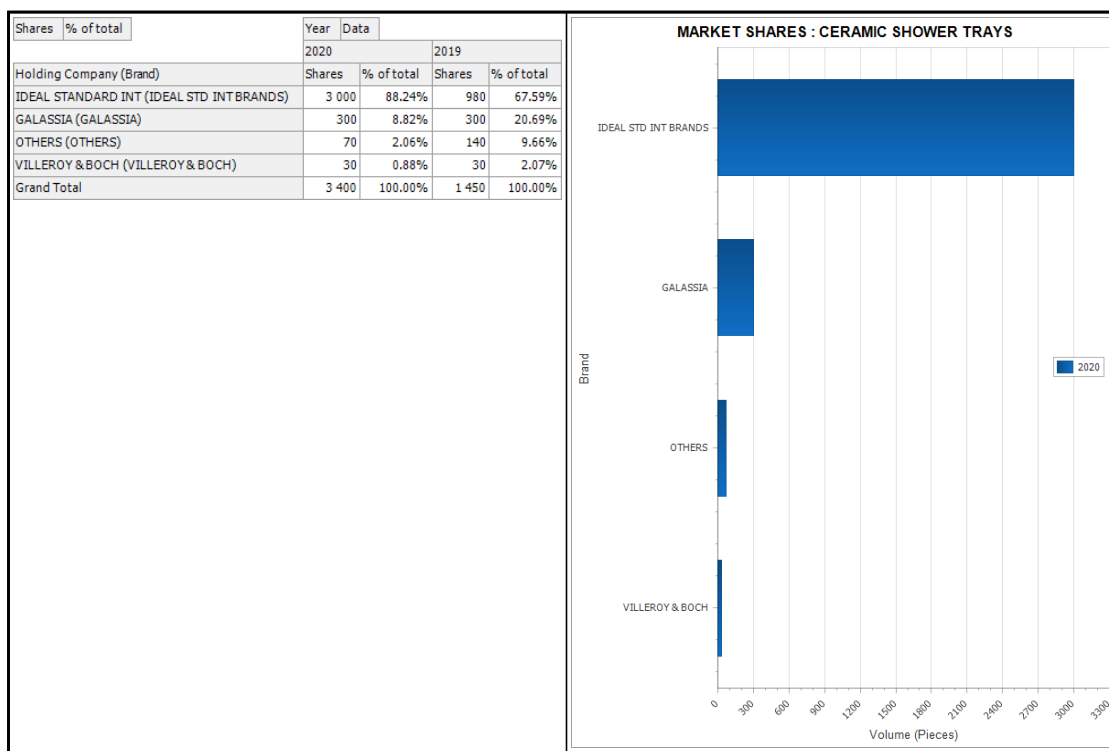
RU - ESTIMATED MARKET SHARES FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews.

1.5.5 Market Shares : Ceramic Shower Trays

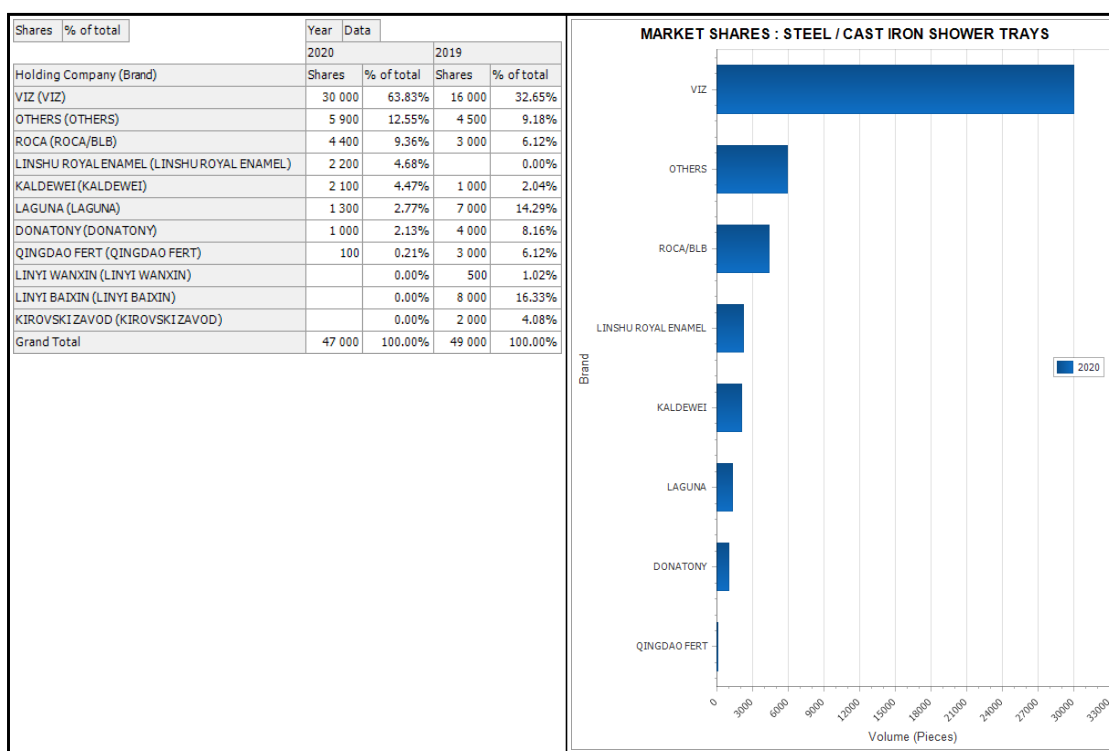
RU - ESTIMATED MARKET SHARES FOR CERAMIC SHOWER TRAYS



Source: BRG based on industry interviews

1.5.6 Market Shares : Steel / Cast Iron Shower Trays

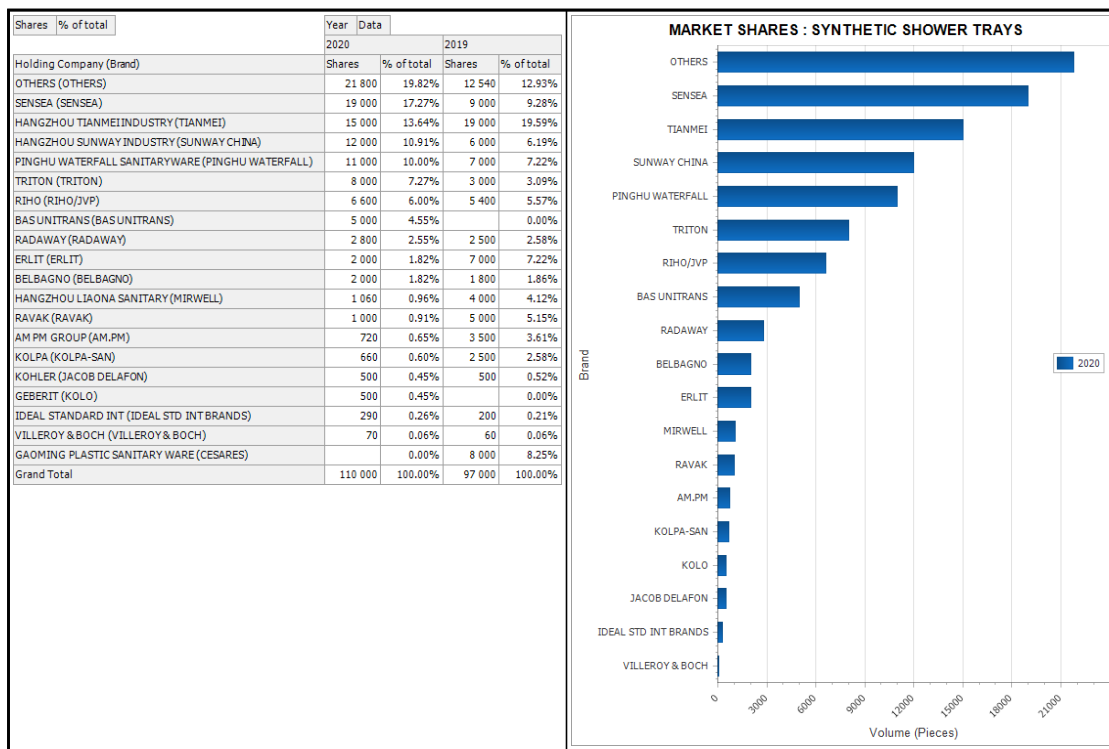
RU - ESTIMATED MARKET SHARES FOR STEEL / CAST IRON SHOWER TRAYS



Source: BRG based on industry interviews.

1.5.7 Market Shares : Synthetic Shower Trays

RU - ESTIMATED MARKET SHARES FOR SYNTHETIC SHOWER TRAYS



Source: BRG based on industry interviews.

1.6.1 RU - IMPORTS OF BATHS AND SHOWER TRAYS - CAST IRON 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	3 435	68.6%	5 175	61.9%	4 763	60.1%	6 923	52.2%
Spain	1 387	27.7%	2 842	34.0%	2 910	36.7%	5 827	44.0%
Kazakhstan	152	3.0%	193	2.3%	164	2.1%	240	1.8%
OTHERS	33	0.7%	145	1.7%	94	1.2%	260	2.0%
Total	5 007	100.0%	8 355	100.0%	7 931	100.0%	13 250	100.0%

Source : Trademap

1.6.2 RU - EXPORTS OF BATHS AND SHOWER TRAYS - CAST IRON 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Belarus	625	47.8%	838	50.0%	651	50.6%	970	52.9%
Uzbekistan	185	14.2%	212	12.6%	165	12.8%	185	10.1%
Tajikistan	172	13.2%	212	12.6%	167	13.0%	186	10.1%
Kazakhstan	161	12.3%	202	12.0%	168	13.1%	256	14.0%
Kyrgyzstan	112	8.6%	140	8.3%	134	10.4%	233	12.7%
Ukraine	48	3.7%	64	3.8%	0	0.0%	1	0.1%
OTHERS	4	0.3%	9	0.5%	1	0.1%	3	0.2%
Total	1 307	100.0%	1 677	100.0%	1 286	100.0%	1 834	100.0%

Source : Trademap

1.6.3 RU - IMPORTS OF BATHS AND SHOWER TRAYS - STEEL 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Kazakhstan	2 343	28.5%	2 961	20.7%	2 085	26.6%	2 704	19.2%
Portugal	1 936	23.5%	3 540	24.7%	1 796	22.9%	3 257	23.2%
Germany	1 783	21.7%	4 480	31.3%	1 463	18.7%	3 962	28.2%
China	1 104	13.4%	1 517	10.6%	1 463	18.7%	2 201	15.6%
Spain	888	10.8%	1 592	11.1%	885	11.3%	1 643	11.7%
Belarus	161	2.0%	147	1.0%	33	0.4%	48	0.3%
OTHERS	20	0.2%	83	0.6%	117	1.5%	252	1.8%
Total	8 235	100.0%	14 320	100.0%	7 842	100.0%	14 067	100.0%

Source : Trademap

1.6.4 RU - EXPORTS OF BATHS AND SHOWER TRAYS - STEEL 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Kazakhstan	1 775	63.6%	2 934	62.4%	1 522	59.2%	2 725	58.7%
Kyrgyzstan	344	12.3%	565	12.0%	312	12.1%	582	12.5%
Belarus	252	9.0%	475	10.1%	228	8.9%	427	9.2%
Ukraine	232	8.3%	389	8.3%	229	8.9%	406	8.7%
Tajikistan	98	3.5%	145	3.1%	162	6.3%	217	4.7%
Moldova, Republic of	55	2.0%	102	2.2%	67	2.6%	134	2.9%
OTHERS	33	1.2%	92	2.0%	51	2.0%	152	3.3%
Total	2 789	100.0%	4 702	100.0%	2 571	100.0%	4 643	100.0%

Source : Trademap

1.6.5 RU - IMPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	28 500	90.5%	45 775	79.6%	29 288	89.3%	50 003	76.2%
Poland	891	2.8%	2 839	4.9%	1 022	3.1%	3 260	5.0%
Czech Republic	585	1.9%	2 912	5.1%	540	1.6%	2 691	4.1%
Belarus	550	1.7%	881	1.5%	795	2.4%	1 009	1.5%
OTHERS	983	3.1%	5 117	8.9%	1 169	3.6%	8 625	13.2%
Total	31 509	100.0%	57 524	100.0%	32 814	100.0%	65 588	100.0%

Source : Trademap

1.6.6 RU - EXPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Kazakhstan	2 005	56.1%	4 922	55.8%	1 398	56.1%	4 230	56.0%
Ukraine	574	16.0%	1 404	15.9%	432	17.3%	1 145	15.1%
Belarus	529	14.8%	1 527	17.3%	335	13.4%	1 256	16.6%
Azerbaijan	103	2.9%	162	1.8%	67	2.7%	167	2.2%
Moldova, Republic of	74	2.1%	141	1.6%	29	1.2%	78	1.0%
Kyrgyzstan	65	1.8%	143	1.6%	71	2.9%	186	2.5%
Uzbekistan	63	1.8%	101	1.1%	51	2.0%	155	2.1%
Armenia	54	1.5%	130	1.5%	37	1.5%	129	1.7%
Tajikistan	43	1.2%	74	0.8%	45	1.8%	92	1.2%
OTHERS	67	1.9%	218	2.5%	26	1.0%	121	1.6%
Total	3 577	100.0%	8 822	100.0%	2 491	100.0%	7 559	100.0%

Source : Trademap

1.7.1

Route to Market: Baths
RU - ESTIMATED DISTRIBUTION FOR BATHS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

72.3%
Wholesalers / Merchants
72.3%

Retail Level

Manufacturer	Wholesaler
0.0%	6.0%
Internet Retailers	
6.0%	

Manufacturer	Wholesaler
15.3%	13.0%
DIY Retailers	
28.3%	

Manufacturer	Wholesaler
1.1%	21.0%
Specialist Retailers	
22.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
11.3%	14.0%	0.0%	4.0%	2.1%
Installers				
31.4%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	17.3%	6.0%	24.3%	20.0%	29.8%
Residential					
97.4%					

New Build			Residential RMI		
58.7%			38.7%		
Project	Non-Project		Project	Non-Project	
43.0%	15.7%		1.0%	37.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	1.0%	0.0%	0.0%	0.0%	1.6%
Non-Residential					
2.6%					

New Build			Non-Residential RMI		
0.5%			2.1%		
Project	Non-Project		Project	Non-Project	
0.5%	0.0%		2.0%	0.1%	

1.7.2

Route to Market: Baths
RU - ESTIMATED DISTRIBUTION FOR BATHS: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

70.0%
Wholesalers / Merchants
70.0%

Retail Level

Manufacturer	Wholesaler
0.0%	6.0%
Internet Retailers	
6.0%	

Manufacturer	Wholesaler
18.0%	9.0%
DIY Retailers	
27.0%	

Manufacturer	Wholesaler
1.0%	20.0%
Specialist Retailers	
21.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
11.0%	15.0%	0.0%	5.0%	2.0%
Installers				
33.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	19.0%	6.0%	22.0%	19.0%	31.7%
Residential					
97.7%					

New Build			Residential RMI		
56.2%			41.6%		
Project	Non-Project		Project	Non-Project	
40.0%	16.2%		1.0%	40.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	1.0%	0.0%	0.0%	0.0%	1.3%
Non-Residential					
2.3%					

New Build			Non-Residential RMI		
0.5%			1.8%		
Project	Non-Project		Project	Non-Project	
0.5%	0.0%		1.7%	0.1%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

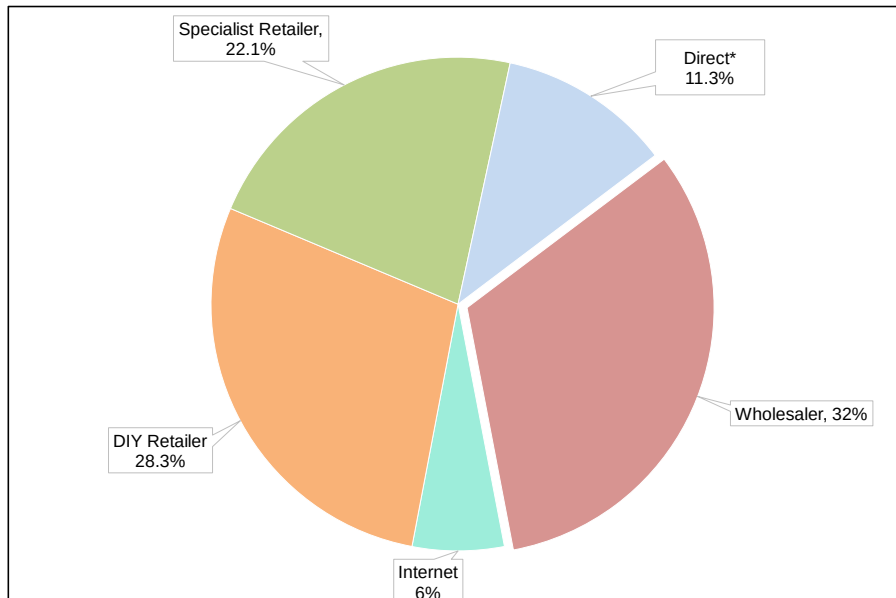
1.7.3 Route to Market - Consolidated View : Baths
RU - ESTIMATED DISTRIBUTION FOR BATHS : 2020

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
32.3%	6.0%	28.3%	22.1%	11.3%	44.0%	2.5%	53.4%	0.1%
100%					46.5%		53.5%	

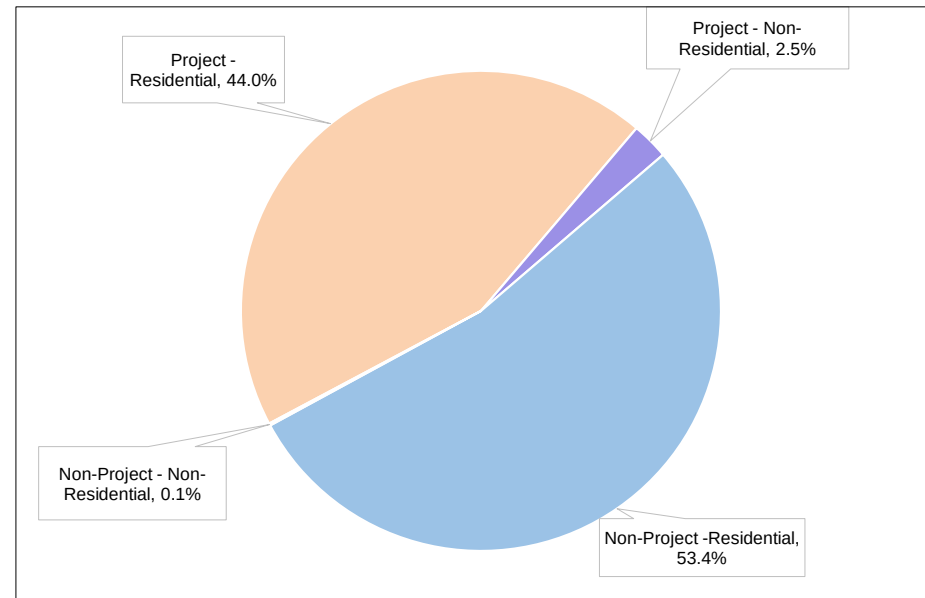
1.7.4 Route to Market - Consolidated View : Baths
RU - ESTIMATED DISTRIBUTION FOR BATHS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
35.0%	6.0%	27.0%	21.0%	11.0%	41.0%	2.2%	56.7%	0.1%
100%					43.2%		56.8%	

RU - SALES OF BATHS BY DISTRIBUTION CHANNEL: 2020



RU - SALES OF BATHS BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.7.5

Route to Market: Shower Trays
RU - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

89.8%
Wholesalers / Merchants
89.8%

Retail Level

Manufacturer	Wholesaler
0.0%	8.0%
Internet Retailers	
8.0%	

Manufacturer	Wholesaler
8.2%	11.0%
DIY Retailers	
19.2%	

Manufacturer	Wholesaler
2.1%	24.0%
Specialist Retailers	
26.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	35.0%	0.0%	3.0%	3.1%
Installers				
41.1%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	11.8%	8.0%	16.2%	23.0%	37.5%
Residential					
96.4%					

New Build			Residential RMI		
45.6%			50.9%		
Project	Non-Project		Project	Non-Project	
35.0%	10.6%		1.0%	49.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.0%	0.0%	0.0%	3.6%
Non-Residential					
3.6%					

New Build			Non-Residential RMI		
1.5%			2.1%		
Project	Non-Project		Project	Non-Project	
1.5%	0.0%		2.0%	0.1%	

1.7.6

Route to Market: Shower Trays
RU - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

80.0%
Wholesalers / Merchants
80.0%

Retail Level

Manufacturer	Wholesaler
0.0%	8.0%
Internet Retailers	
8.0%	

Manufacturer	Wholesaler
16.0%	5.0%
DIY Retailers	
21.0%	

Manufacturer	Wholesaler
2.0%	24.0%
Specialist Retailers	
26.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.0%	32.0%	0.0%	3.0%	8.0%
Installers				
45.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	11.0%	8.0%	18.0%	18.0%	38.3%
Residential					
93.3%					

New Build			Residential RMI		
39.9%			53.4%		
Project	Non-Project		Project	Non-Project	
32.0%	7.9%		2.0%	51.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.0%	0.0%	0.0%	6.7%
Non-Residential					
6.7%					

New Build			Non-Residential RMI		
2.5%			4.2%		
Project	Non-Project		Project	Non-Project	
2.5%	0.0%		3.5%	0.7%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.7.7 Route to Market - Consolidated View : Shower Trays

RU - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2020

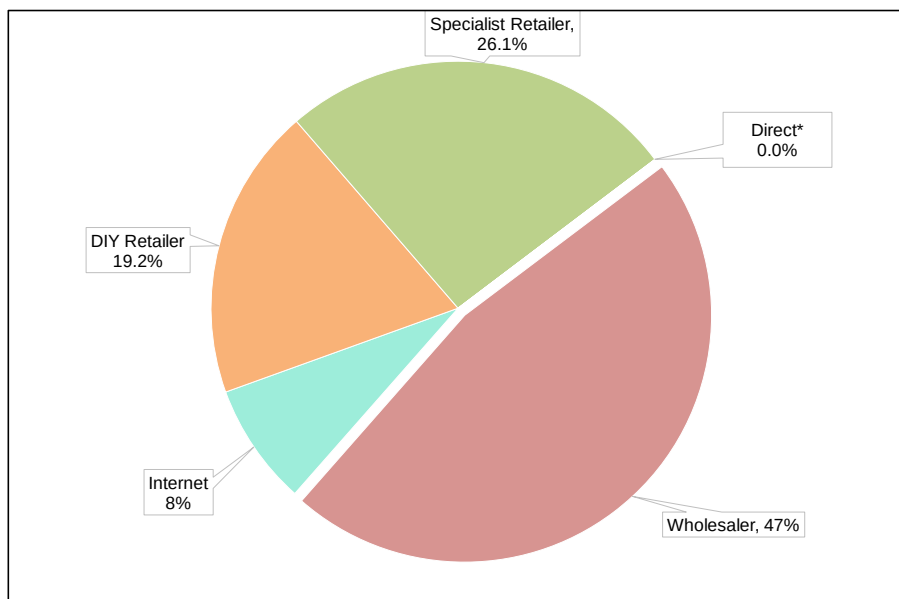
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
46.8%	8.0%	19.2%	26.1%	0.0%	36.0%	3.5%	60.4%	0.1%
100%					39.5%		60.5%	

1.7.8 Route to Market - Consolidated View : Shower Trays

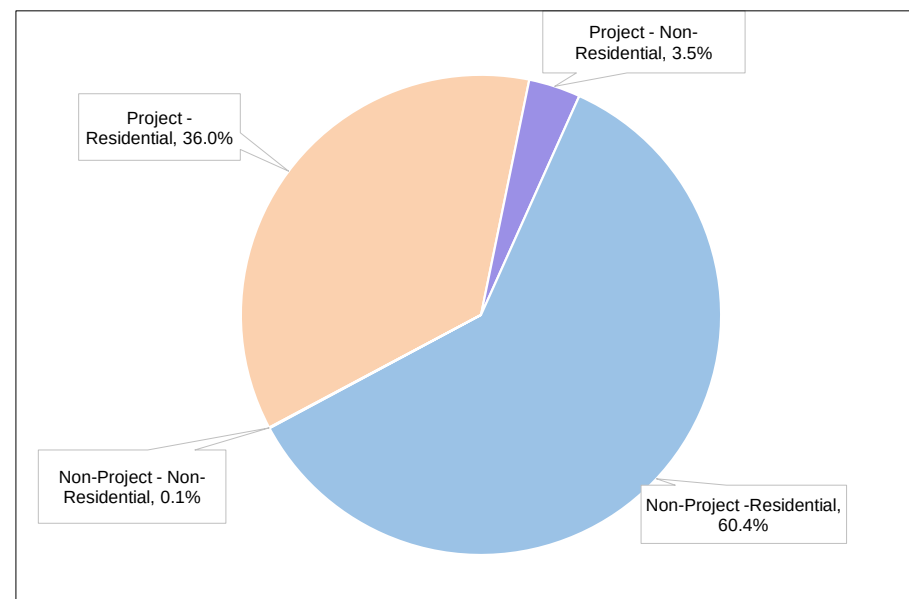
RU - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
43.0%	8.0%	20.9%	26.0%	2.1%	34.0%	6.0%	59.3%	0.7%
100%					40.0%		60.0%	

RU - SALES OF SHOWER TRAYS BY DISTRIBUTION CHANNEL: 2020



RU - SALES OF SHOWER TRAYS BY POINT OF DECISION AND END-USE SECTOR: 2020



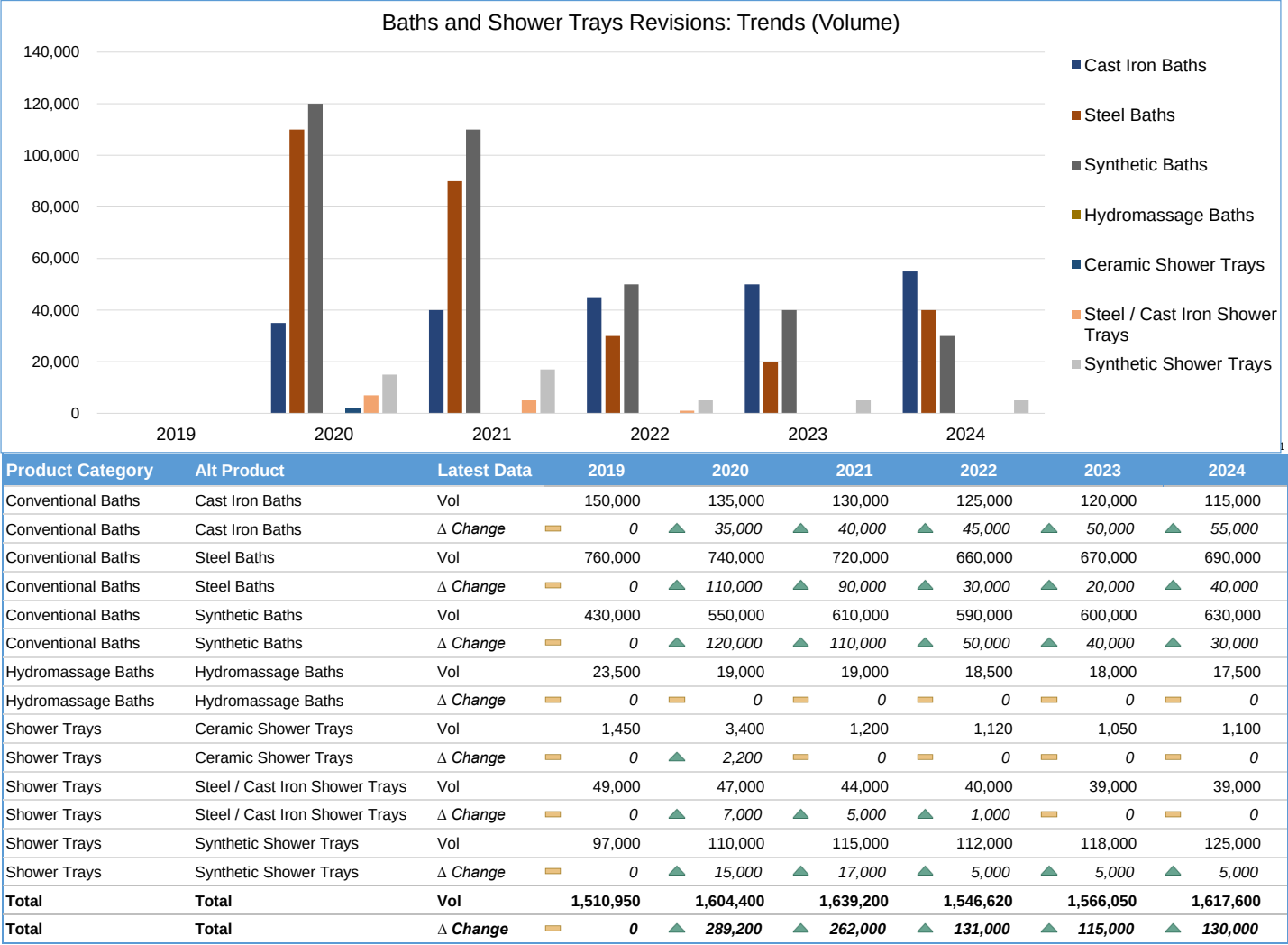
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.8 Revisions in the Russian Baths and Shower Trays Market (April 2021)

RU - REVISIONS IN THE RUSSIAN BATHS AND SHOWER TRAYS MARKET

Data Comparison: October 2020



No revisions have been made to historical volumes and values for this market.

RUSSIA

SANITARY WARE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

Water closets (WCs), ceramic cisterns and washbasins are the traditional pieces of the Russian bathroom products industry. Although WCs were fitted with a separate wall hung plastic or ceramic cistern until the early 1990s, the majority of WCs produced now are compact, or close-coupled WCs (sold in sets). As for washbasins, they were traditionally fitted to the wall, but are now sold increasingly with pedestals. The proportion of coloured products is higher than in other Eastern European countries; however, a trend towards white products has been observed in recent years. Nevertheless, the proportion of variously coloured products is still high, making up around 8% of the total market. Defective products account for less than 6% of most Russian manufacturers' production.

Exposed cisterns are mainly represented by local manufacturers. The exposed cistern segment is forecast to maintain a stable position as demand for ceramics is still high. The market for concealed plastic cisterns is thought to be small, and there is no legislation requiring their installation. Accustomed to the DIY culture of repairing bathroom equipment themselves, Russians like to have access to the cistern. Other factors influencing sales are the complex installation and high prices; however, on the non-housing side, concealed plastic cisterns have found their market, with most of them being sold and installed in commercial buildings such as large shopping centres, DIY stores, offices and entertainment centres. The vast majority of WC cisterns are thought to be sold with installation frames. The largest portion of the market, exposed cisterns, is mainly represented by domestic production, with some unbranded imports from the Far East and Turkey. The segment is expected to remain strong as long as there is a large park of older-style ceramics.

Wall hung sanitary engineering is becoming more and more popular, both in private and public housing construction. Toilets, bidets and sinks are fixed on the wall in some apartments. Concealed plastic cistern manufacturers have introduced a variety of wall profiles, especially for these kinds of systems. Many Russian companies are testing grounds in this segment, offering between one and three separate wall hung models.

The usual pattern is that most new dwellings have only one bathroom, with three or four CSW pieces. In terms of washbasins, most of them are built in base units and the remaining are wall hung models. In recent years sales have reached a high level, and the market is estimated to be approaching saturation levels. RMI has been high in the last decade and the sector is also believed to be close to saturation. Sales of non-ceramic sanitary ware have been increasing in recent times, as the economy has been growing.

Rimless technology was introduced to the Russian market during the course of 2014, with DURAVIT, VILLEROY & BOCH, VITRA and IDEAL STANDARD, and KIROVSKAYA KERAMIKA. Sales of KIROVSKAYA KERAMIKA have remained

cyclical in this segment. The Russian WC market is dominated by standard open rim models. There are no known sales of closed rim products in the country. Rimless products are not popular as the market is price-driven and the rimless products are relatively expensive models. Another hindering factor for the market is splashing water and water drops on the floor (or at least the perception of that) and low product awareness. In all end-use sectors, standard open rim models are still largely favoured by consumers.

Most Russian manufacturers of the ceramic sanitary ware market have increased production capacities over the last decade. The growth in production capacities is estimated to exceed the growth in consumption, and this might lead to an increase in competition – which will mainly affect companies operating in the low and middle price segments. Furthermore, overproduction might lead to the growth of Russian export volumes, particularly to FSU (Former Soviet Union) countries.

Recent Market Trends

In spring 2020, some CSW factories stopped production in Russia as managements were not sure about demand and future. Some closed due to staff COVID-19 sickness. However, the demand skyrocketed in the second half of 2020 and manufacturers were unable to satisfy demand and some of them had empty warehouses. This led to overall decrease of the sanitary ware market.

Import of Chinese CSW decreased. Initially Chinese factories were closed and stopped shipping. By summer, shipment prices increased, RUR devaluated and Chinese goods prices in USD became less price competitive. Some players believe that Russian customs also tried to limit Chinese imports.

In spite of the challenging economic situation, replacement and new build demand picked up in the second half of the year. There was a shift towards online and DIY sales.

Rimless products are offered by Western European companies that operate in the upper price segment and have limited sales. Among local manufacturers only ROCA has significant sales in this segment. The rimless products accounted for marginal sales in 2020. Only a handful of manufacturers offer the product. Sales of wall hung models recorded healthy growth.

Popularity of skirted WCs is growing and more local manufacturers have started production. Russian manufacturers have become so successful that European brands have become less price competitive.

Popularity of pedestals and half pedestals is declining and more prefer to install base units instead due to better utilisation of space.

Prices and Market Values

Most CSW production in Russia is local. Manufacturer's selling prices (MSPs) of the domestic manufacturers increased in RUR by around 6-8%, while some importers increased prices even more due to devaluation of the RUR. Most Russian manufacturers suffered increases in labour and energy costs, as well as overhead costs; as prices had been under pressure for the previous couple of years and manufacturers were forced to gradually increase them.

Another factor that affected prices was a change in the product mix itself. There was a slight shift towards economy and lower products. Major Russian manufacturers targeted the lower price segment, mainly working with construction companies, and some Russian manufacturers have been trying to move from the economy to the lower and middle price sectors. European importers mainly target the upper middle and upper segments because they find it difficult to compete with the low prices offered by local manufacturers. Italian and German manufacturers have a strong foothold in the upper segment.

The average MSP for concealed cisterns has increased both in EUR and RUR, as manufacturers have continued to gradually increase prices.

New Housing

Sales to the new housing sector decreased in 2020. The segment is expected to decrease over the next few years due to an expected decrease of the residential construction segment. The sales in this segment are expected to increase only after 2023. In private real estate housing, predominantly middle and upper price sanitary ware is installed (usually European or Russian), while in the case of social housing only economy, locally-produced CSW is installed. There is also an insignificant trend towards wall hung WCs in luxury housing. This trend is gradually spreading into apartment blocks as well. Exposed plastic cisterns are considered to be low quality products, and are rarely installed in new housing.

Housing RMI

Replacement remains the largest market and normally drives overall sanitary ware demand. Ceramic sanitary ware and exposed plastic cisterns dominate this end-use sector. The latter were often destined for replacement in rural areas. Due to the pandemic CSW factories were closed for a short period of time in 2020. Some of them due to worry that they would not be able to sell goods, others because of staff sickness. As a result, production fell in the first half. When consumers returned to the market manufacturers were unable to satisfy high demand. As a result, replacement levels declined in 2020. The demand is expected to increase from 2021 onwards.

Non-Housing

Sales of sanitary ware to the non-housing sector are relatively low. High demand for concealed plastic cisterns came from hotels and state contracts, but also constructions such as offices, trade centres and public buildings. The market is likely to fluctuate in the midterm, due to an unstable local currency, the pandemic and Western sanctions. Hotels were significant end users of ceramic sanitary ware. The pandemic brought uncertainty to this sector. As some new projects are postponed and replacement spending can shrink as well.

Supply Structure

There are four main sources of supply: domestic production, imports from countries of the former Soviet Union, Chinese imports and European imports. Customs duties for Ukrainian goods increased in 2016 and their sales are already adversely affected by the new customs regulation. Due to conflict with Russia, Ukrainian imports had virtually disappeared after 2019.

Due to conflict with Turkey, Russian officials make it more difficult to import Turkish CSW. As a result, sales declined in 2016-2018. Even Turkish companies with production in Russia found it difficult to operate. In spite of improvement in the relationship between Russia and Turkey, Turkish goods still find it difficult to enter the Russian market.

The majority of imports are sourced from China and European countries. Decorative sanitary ware also has a small niche market. Most CSW is sold in single pieces rather than in suites. Usually, people only replace bathroom pieces when necessary. Suite installations are more popular in the new and non-housing sectors.

ROCA remains the largest manufacturer of ceramic sanitary ware in Russia, with its UGRAKERAM and SANTEK plants. It is believed that the company is in the process of further expansion in Russia. ROCA is also present, via its ROCA, JIKA and LAUFEN brands. The next largest Western European importing group is GEBERIT. VILLEROY & BOCH is present with its GUSTAVSBERG brand in the middle segment, as well as with VILLEROY & BOCH in the upper segment.

After losing a contract with DREJA, KIROVSKAYA KERAMIKA started its own production of washbasins for bathroom furniture manufacturers. The products were branded as KIROVIT, and by 2017 the company had started to supply most of the furniture producers.

LOBNENSKII STROIFARFOR is believed to have lost its largest contract and has experienced a sales decline.

DELLA was put for sale in 2019. The pandemic adversely affected the manufacturer and it stopped production in 2020.

The CIS (Commonwealth of Independent States) importers are represented by KERAMIN. KERAMIN (Belarus) has undergone significant modernisation, improving the standard and quality of its production. The company is very much present in the retail network. However, it started losing positions in Russia and tries to sell more in Europe.

A variety of Chinese ceramic sanitary ware products are being imported via various companies all around the country, as they are in other markets in Europe. These products are usually either unbranded or branded on behalf of Russian manufacturers.

The rimless without ledge segment is dominated by the floor-standing rimless model offered by KIROVSKAYA KERAMIKA. The company started production of the OLYMP model in 2015. It is the cheapest rimless model on the market. EZCACIBASI is the second-largest player thanks to its VITRA brand, and is well known on the rimless without ledge segment for its S20 and S50 model ranges. IDEAL STANDARD is predominantly present on this segment, with its CONNECT and ECO collections.

The rimless with ledge segment is largely dominated by VILLEROY & BOCH, with a small presence for DURAVIT. VILLEROY & BOCH is by far the leading player in this segment.

The exposed plastic cistern market is highly fragmented, and most plastic cisterns are unbranded. The concealed plastic cistern market has been completely in the hands of importers until recently. In the last several years, a few local manufacturers have emerged in Russia. ALCAPLAST became very active on the market and has several distributors in the country. IDEAL STANDARD started growing faster after starting distribution via LEROY MERLIN.

Forecasts

BRG's forecast is based on the assumption that oil prices would remain above USD 40 per barrel and the pandemic would not get much worse. However, there are a few factors that can make things worse for Russia. Firstly, if COVID-19 becomes more aggressive, then the government would not be able to hide this from the population. Secondly, if oil prices remain under USD 40 for a prolonged period of time, since Russia needs an oil price around USD 40 a barrel to balance its federal budget. Thirdly, President Putin may resort to external wars or aggressive moves as a means to divert the population's attention away from the current economic crisis. Finally, the relationship with the US is very important.

The Russian market was hit by a significant slump in oil prices, Western sanctions and the spread of the COVID-19 virus in 2020. The last lockdown ended in Russia in January 2021.

Many people moved to summer houses and villas during the summer period in 2020. Most summer houses are poorly maintained and people diverted money that was allocated for holidays to renovation. The demand for second homes (namely houses) is expected to remain strong in 2021 supporting both new installations and replacement of sanitary ware. However, it is expected to dip in 2022 as most people who could afford holiday homes would have already purchased by that time.

Around 75% of new build dwellings in Russia is purchased with mortgages. The government allocated funds to subsidise mortgages. The state support programme is planned to last at least until July 2021. Due to a reasonable level of demand for new dwellings almost all construction companies continued to work as normal. Low interest rates played a very important role for the market and in fact represented a turning point for the construction sector. The demand for new housing is so high that prices even increased in large cities. All Russian manufactures are running on full capacity in 2021 to cover shortage of CSW. The gap is unlikely to be filled by Chinese imports due to problems with logistics, shortage of containers and increased shipment cost.

The industry experts believe that the spending levels would continue to stay high in the first half of 2021. People who have money have already purchased (or committed to buy) dwellings, dachas or sanitary ware. Therefore, these spendings are likely to start falling by the end of 2021. On another hand, some people lost jobs and purchasing power for others declined due to significant devaluation of the RUR. Therefore, working class people are likely to struggle with finances and mortgage/loan payments in the near future.

Many real estate agents consider the current situation as a real estate bubble. As long as there is state support, people cannot travel abroad (would be purchasing second homes in Russia instead of overseas) and spend on renovation or acquisitions unspent travel money the construction market is unlikely to crash. However, all these drivers are likely to evaporate by 2022 leading to fall in new build sales. Due to the turmoil caused by the pandemic, devaluation of the RUR and further Western sanctions the housing completion levels are expected to dip in 2022 when the state subsidies are withdrawn.

The products sold in recent years have been of low quality with short lifespans. As a result, the replacement rate should grow in the long term. It is expected that the government will start to reduce funding for social housing as the effect of the crisis dissipates. This is estimated to have a greater effect on the sales mix than overall sales volume, as consumer spending is estimated to be strong after 2022.

The overall sanitary ware market is only expected to pick up in 2023 unless it is hit by other disruptions or further spread of the coronavirus. Consumer spending is estimated to pick up by the end of 2023 as the economic growth is expected to stabilise.

The planned expansion of Moscow, the replacement of '*Khrushchovki*' buildings by modern blocks in Moscow, and regional (construction) development are forecast to

positively affect the sanitary ware market in the long term. It is estimated that local manufacturers will be the main beneficiary.

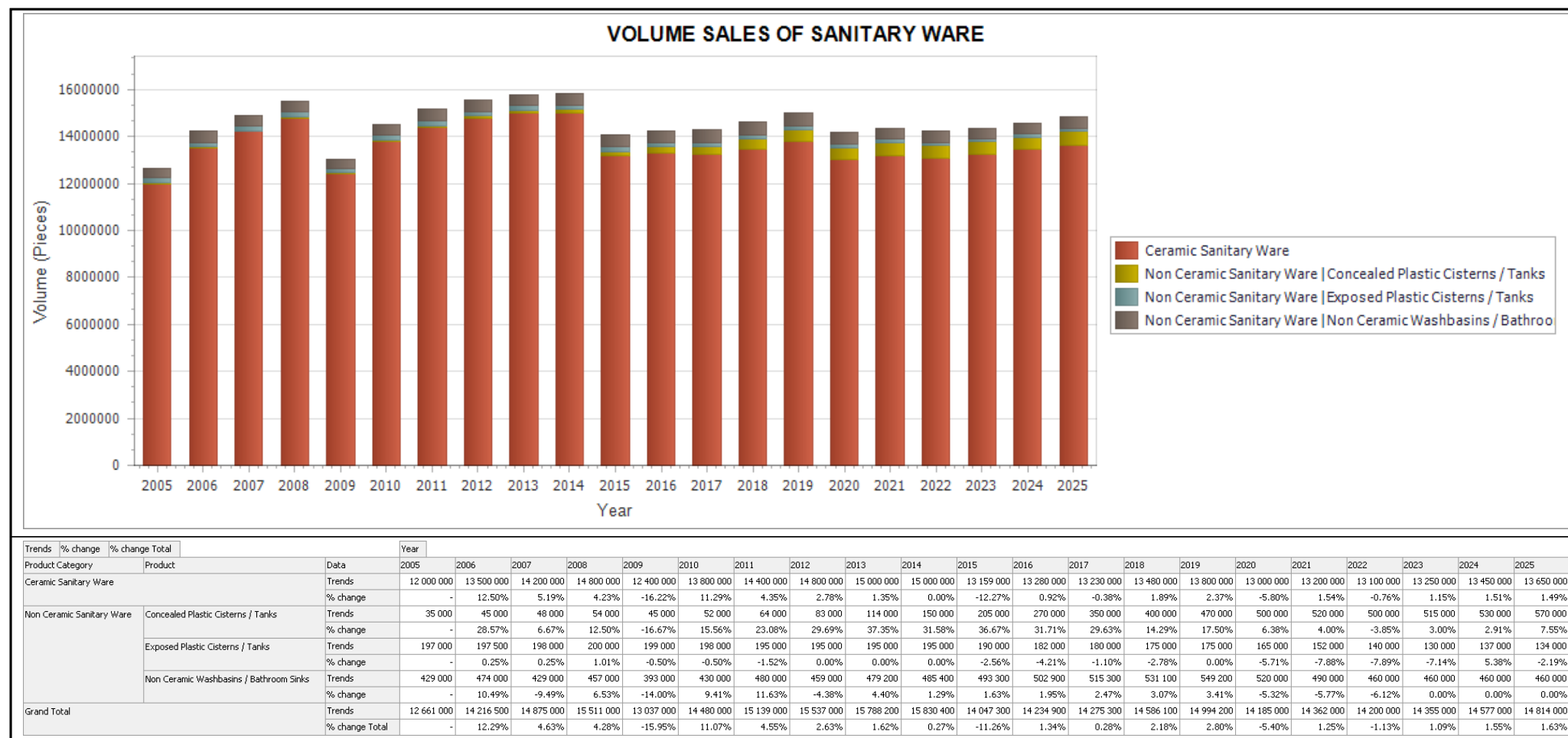
BRG is confident that standard open rim models will account for the vast majority of sales by 2025. The popularity of rimless models is likely to remain very low as, apart from one Russian manufacturer, only companies with an insignificant Russian presence offer this product.

The market is very sensitive to the political and economic situation. A stable political environment leads to consumer confidence and higher spending (which translates into replacement, renovation and construction, leading to more installations). However, during periods of political/economic instability people tend to spend less which, in turn, also affects sales of sanitary ware. Therefore, the most important variables affecting the market will be political activity, coronavirus and oil/gas prices. BRG's forecast is based on the assumption that the political situation will not change in Russia and that oil and gas prices should fluctuate but remain fairly stable.

The purchasing power of the general population remains lower than in most EU countries. As a result not everyone, particularly in rural areas, can afford modern products. Therefore, economic growth and the increasing purchasing power of households should positively affect sales.

2.2.1 Historical Trends and Forecasts : Sanitary Ware

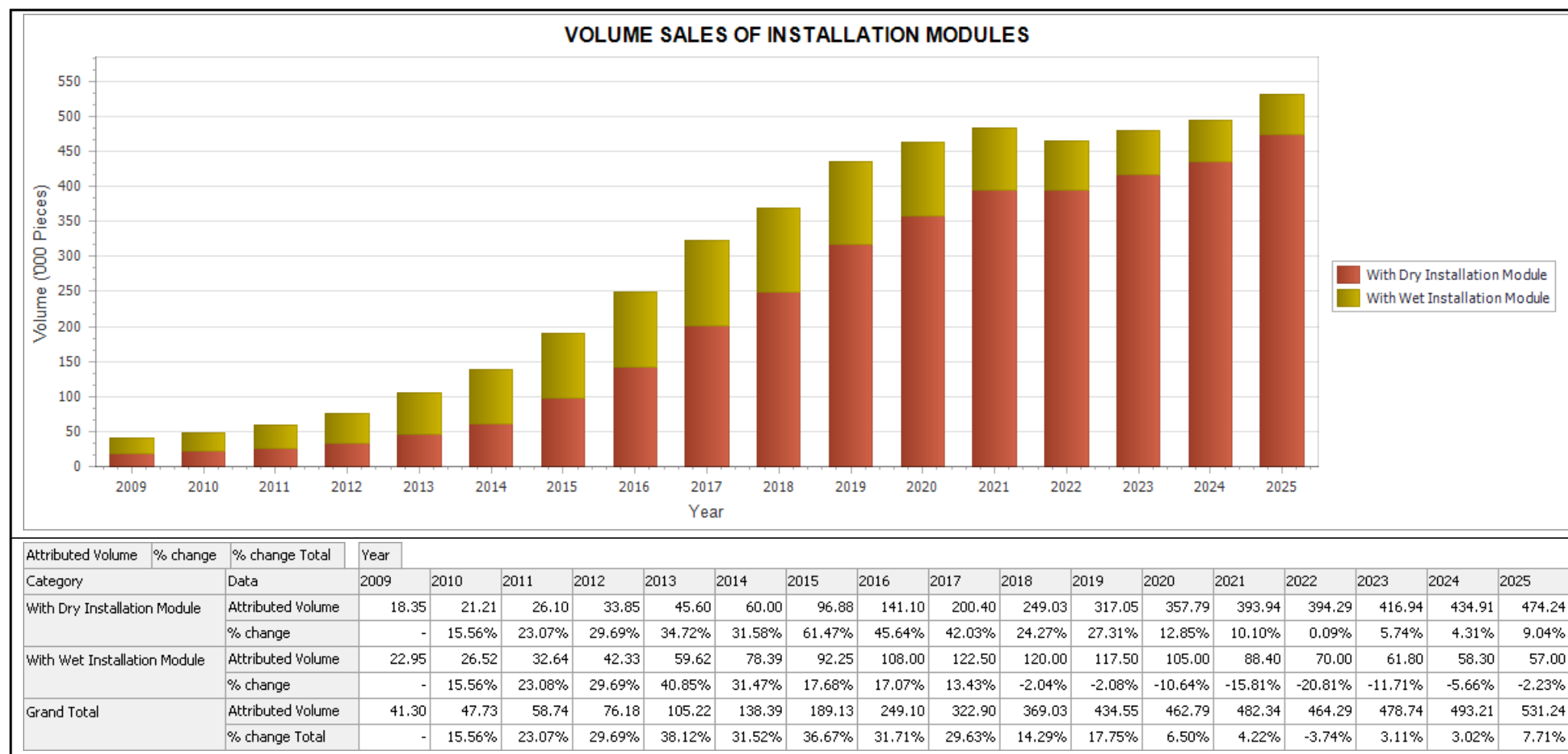
RU - SUMMARY OF TRENDS IN THE SANITARY WARE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. NB: Ceramic Sanitary Ware Includes Ceramic Shower Trays.

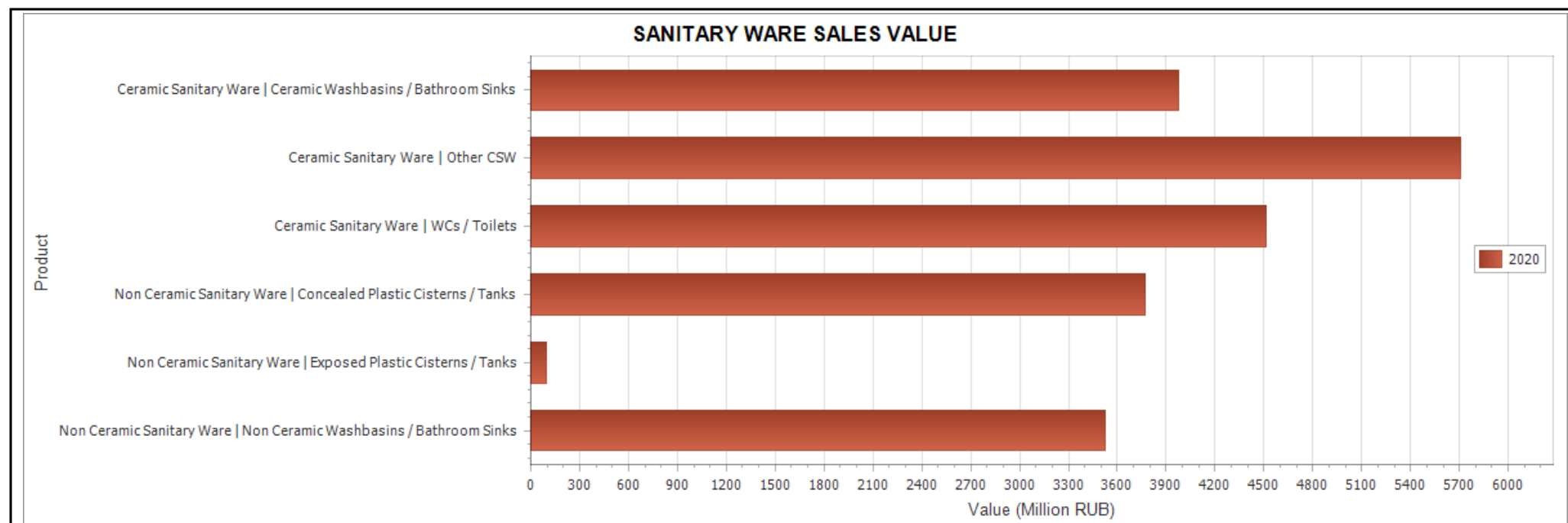
2.2.2 Historical Trend and Forecasts: Installation Mod.

RU - SUMMARY OF TRENDS IN THE INSTALLATION MODULE MARKET : HISTORICAL AND FORECASTS ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.3.1 Prices and Market Values : Sanitary Ware



Volumes	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	Year	Data						
						2020	2019					
Product Category		Product	Volumes	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)
Ceramic Sanitary Ware	Ceramic Washbasins / Bathroom Sinks		3 600 000	1,104.52	3 976.27	13.33	47.99	3 750 000	1,014.30	3 803.63	14.00	52.50
	Other CSW		5 900 000	966.97	5 705.12	11.67	68.85	6 400 000	894.03	5 721.79	12.34	78.98
	WCs / Toilets		3 500 000	1,289.30	4 512.55	15.56	54.46	3 650 000	1,171.52	4 276.05	16.17	59.02
Non Ceramic Sanitary Ware	Concealed Plastic Cisterns / Tanks		500 000	7,545.21	3 772.61	91.06	45.53	470 000	6,516.15	3 062.59	89.94	42.27
	Exposed Plastic Cisterns / Tanks		165 000	551.85	91.05	6.66	1.10	175 000	501.35	87.74	6.92	1.21
	Non Ceramic Washbasins / Bathroom Sinks		520 000	6,782.90	3 527.11	81.86	42.57	549 200	5,908.30	3 244.84	81.55	44.79
Grand Total			14 185 000	1,521.66	21 584.71	18.36	260.50	14 994 200	1,346.96	20 196.63	18.59	278.77

Source: BRG based on industry interviews. Local Prices Shown in RUB. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

2.3.2 Prices and Market Values by Type : CSW

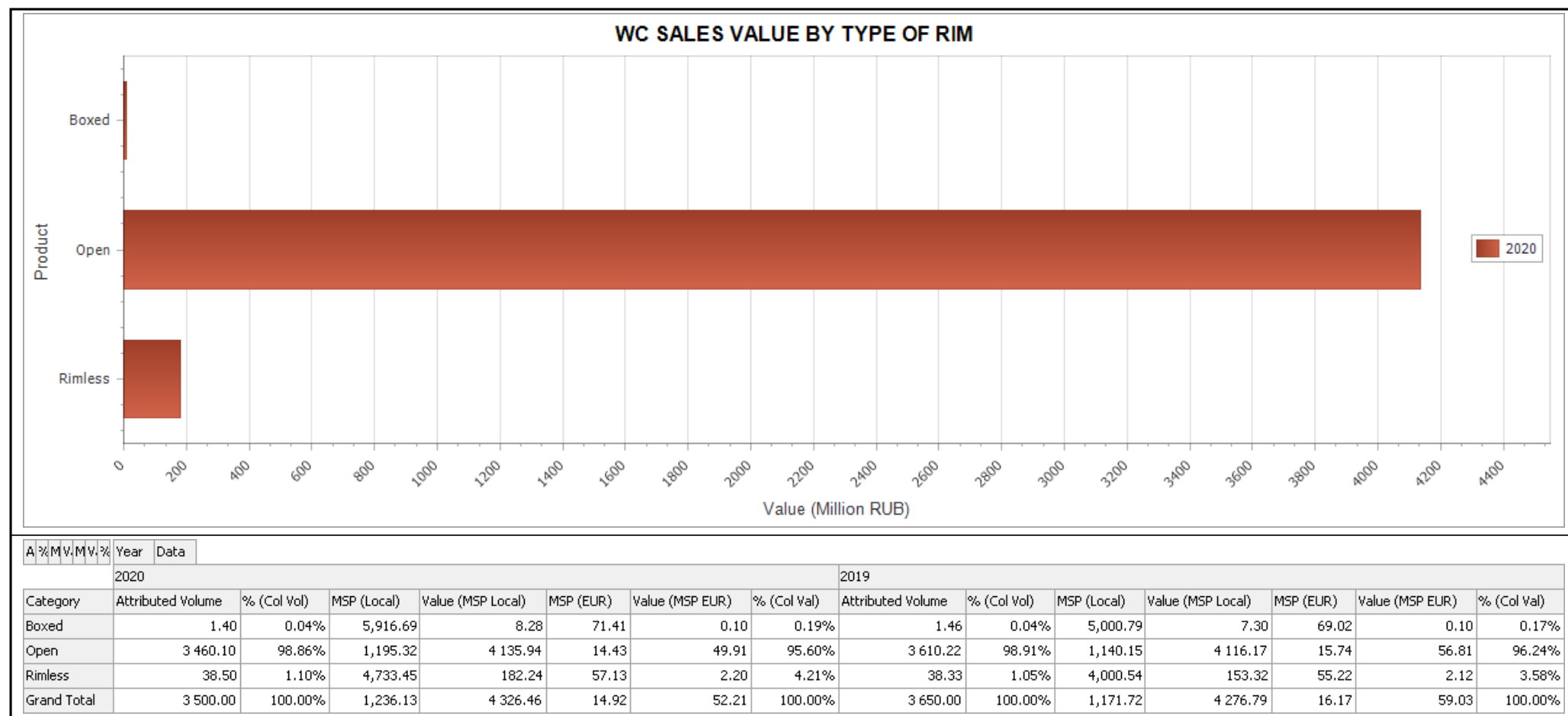
RU - ESTIMATED VALUES OF THE CERAMIC SANITARY WARE MARKET BY TYPE OF PRODUCT

Attributed	% (Col Vol)	MSP (Local)	Value (MSP)	MSP (EUR)	Value (MSP)	% (Col Val)	Year	Data								
2020									2019							
Alt Product	Category	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Val)	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Val)	
Ceramic Washbasins / Bathroom Sinks	Countertop Washbasins	635.40	17.65%	1,153.66	733.03	13.92	8.85	18.44%	652.50	17.40%	1,065.23	695.06	14.70	9.59	18.28%	
	Hand Washbasins	565.20	15.70%	608.61	343.98	7.35	4.15	8.65%	592.50	15.80%	561.81	332.87	7.75	4.59	8.75%	
	Inset Washbasins	18.00	0.50%	1,531.21	27.56	18.48	0.33	0.69%	18.75	0.50%	1,414.19	26.52	19.52	0.37	0.70%	
	Pedestal Washbasins	1 845.00	51.25%	1,192.44	2 200.04	14.39	26.55	55.35%	1 931.25	51.50%	1,091.13	2 107.25	15.06	29.09	55.42%	
	Semi-Recessed Washbasins	108.00	3.00%	1,340.01	144.72	16.17	1.75	3.64%	112.50	3.00%	1,237.59	139.23	17.08	1.92	3.66%	
	Undermount Washbasins	10.80	0.30%	1,313.62	14.19	15.85	0.17	0.36%	11.25	0.30%	1,213.10	13.65	16.74	0.19	0.36%	
	Wall Hung Washbasins	417.60	11.60%	1,224.75	511.46	14.78	6.17	12.87%	431.25	11.50%	1,131.16	487.81	15.61	6.73	12.83%	
Other CSW	Bidets	53.10	0.90%	1,658.26	88.06	20.01	1.06	1.55%	57.60	0.90%	1,531.45	88.21	21.14	1.22	1.54%	
	Close-Coupled Cisterns	3 912.10	66.31%	960.38	3 757.10	11.59	45.34	65.97%	4 236.25	66.19%	886.75	3 756.50	12.24	51.85	65.66%	
	Kitchen Sinks	4.20	0.07%	27,609.13	115.99	333.20	1.40	2.04%	5.50	0.09%	24,350.12	133.88	336.10	1.85	2.34%	
	Others	2.95	0.05%	1,779.17	5.25	21.47	0.06	0.09%	3.20	0.05%	1,643.06	5.26	22.68	0.07	0.09%	
	Pedestals & Half Pedestals	1 876.20	31.80%	887.73	1 665.55	10.71	20.10	29.24%	2 041.60	31.90%	819.88	1 673.87	11.32	23.10	29.26%	
	Shower Trays	1.30	0.02%	6,361.02	8.26	76.77	0.10	0.14%	1.45	0.02%	5,519.45	8.02	76.18	0.11	0.14%	
	Urinals	50.15	0.85%	1,104.09	55.37	13.32	0.67	0.97%	54.40	0.85%	1,019.55	55.46	14.07	0.77	0.97%	
WCs / Toilets	Close-Coupled WC Bowls	2 100.00	60.00%	775.03	1 627.56	9.35	19.64	36.07%	2 190.00	60.00%	750.65	1 643.93	10.36	22.69	38.44%	
	Floor Standing WC Bowls	875.00	25.00%	765.33	669.67	9.24	8.08	14.84%	996.45	27.30%	741.24	738.61	10.23	10.19	17.27%	
	Wall Hung WC Bowls	525.00	15.00%	4,219.27	2 215.12	50.92	26.73	49.09%	463.55	12.70%	4,085.38	1 893.78	56.39	26.14	44.29%	
Grand Total		13 000.00	100.00%	1,090.99	14 182.90	13.17	171.17	100.00%	13 800.00	100.00%	999.99	13 799.92	13.80	190.48	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in RUB.Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.3 Prices and Market Values by Type of Rim : WCs

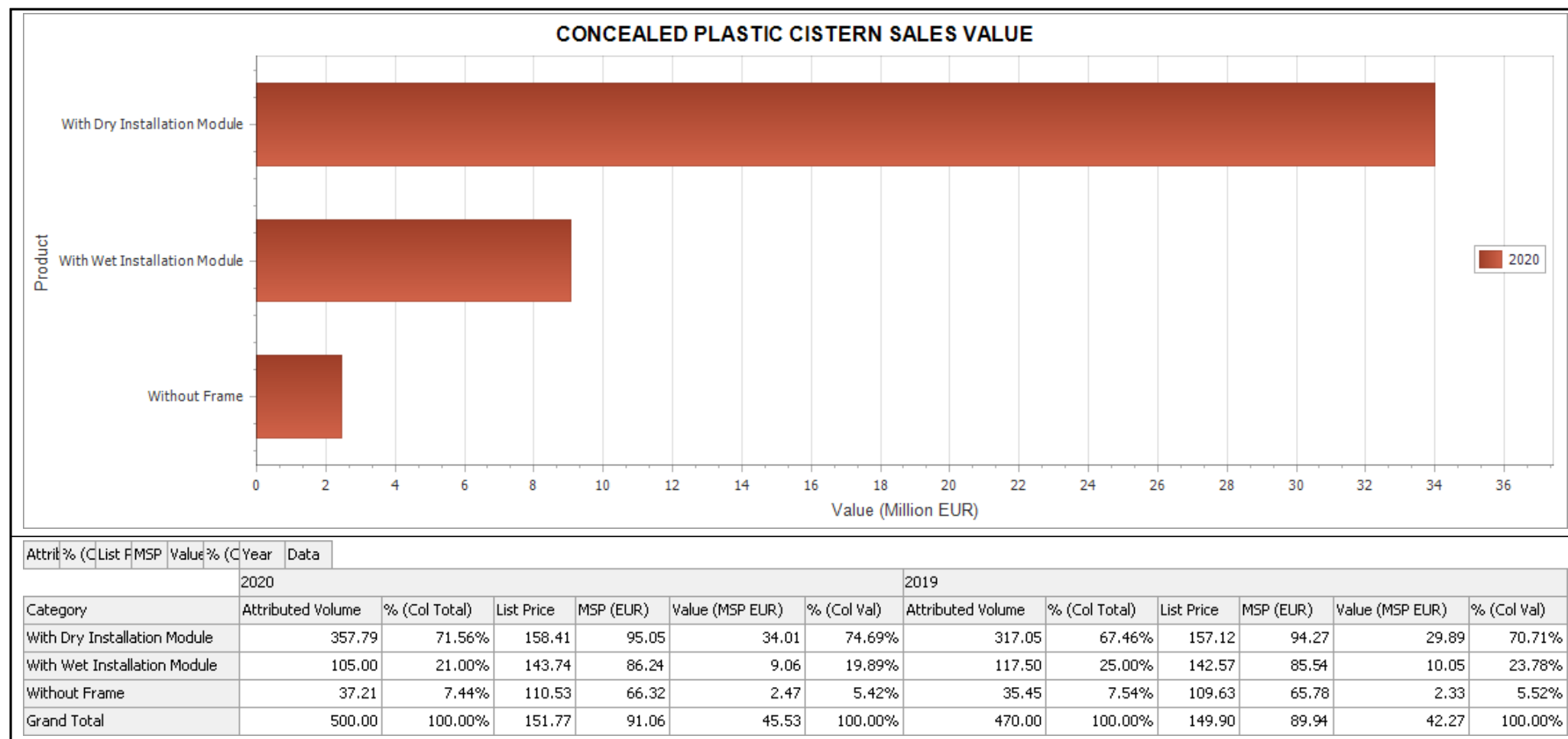
RU - ESTIMATED VALUES OF THE WC MARKET BY TYPE OF RIM



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in RUB. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.4 Prices and Market Values by Type : Conc. Cisterns

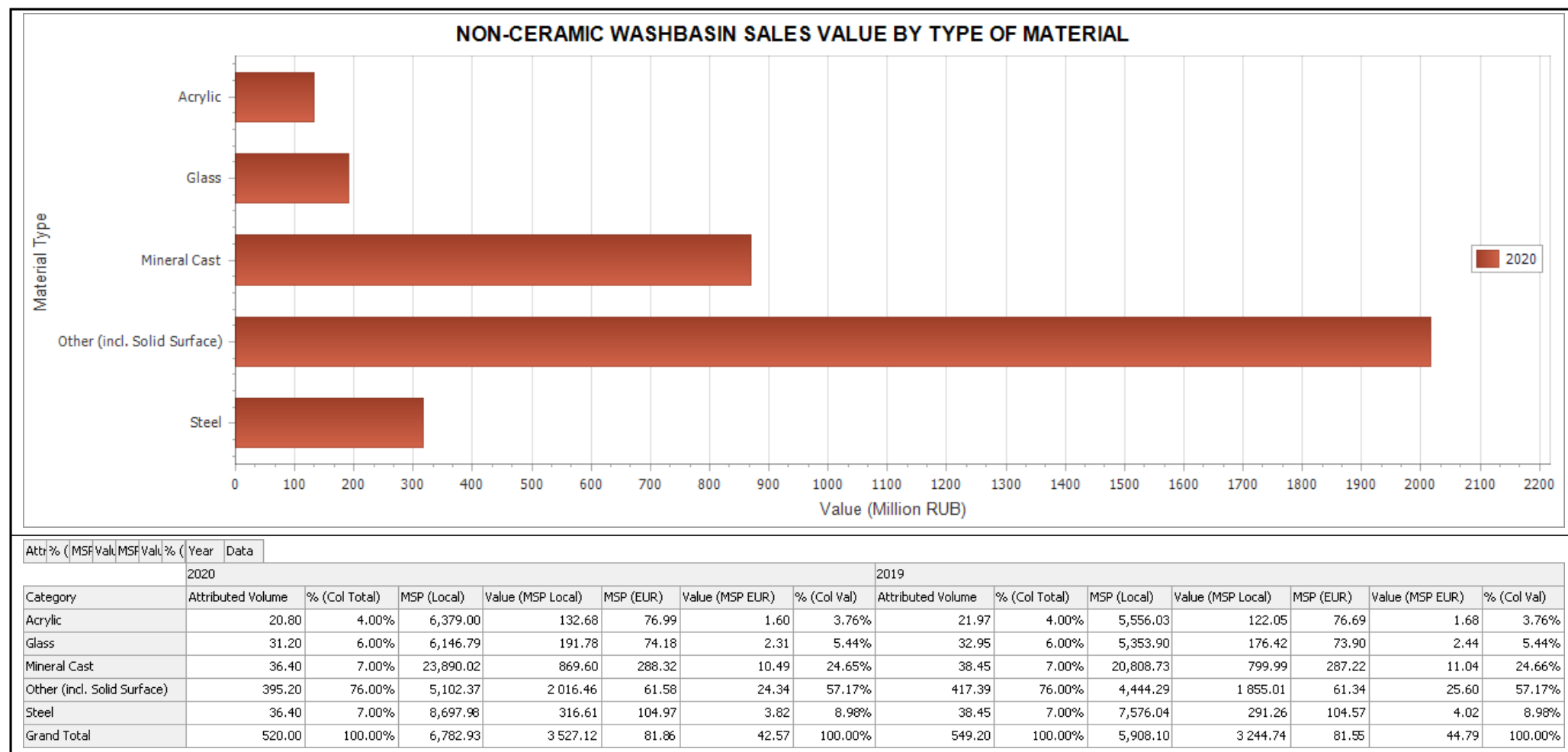
RU - ESTIMATED VALUE OF THE CONCEALED PLASTIC CISTERNS MARKET BY TYPE OF INSTALLATION



Source: BRG based on industry interviews. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.5 Prices and Market Values : Non-Ceramic Washbasins

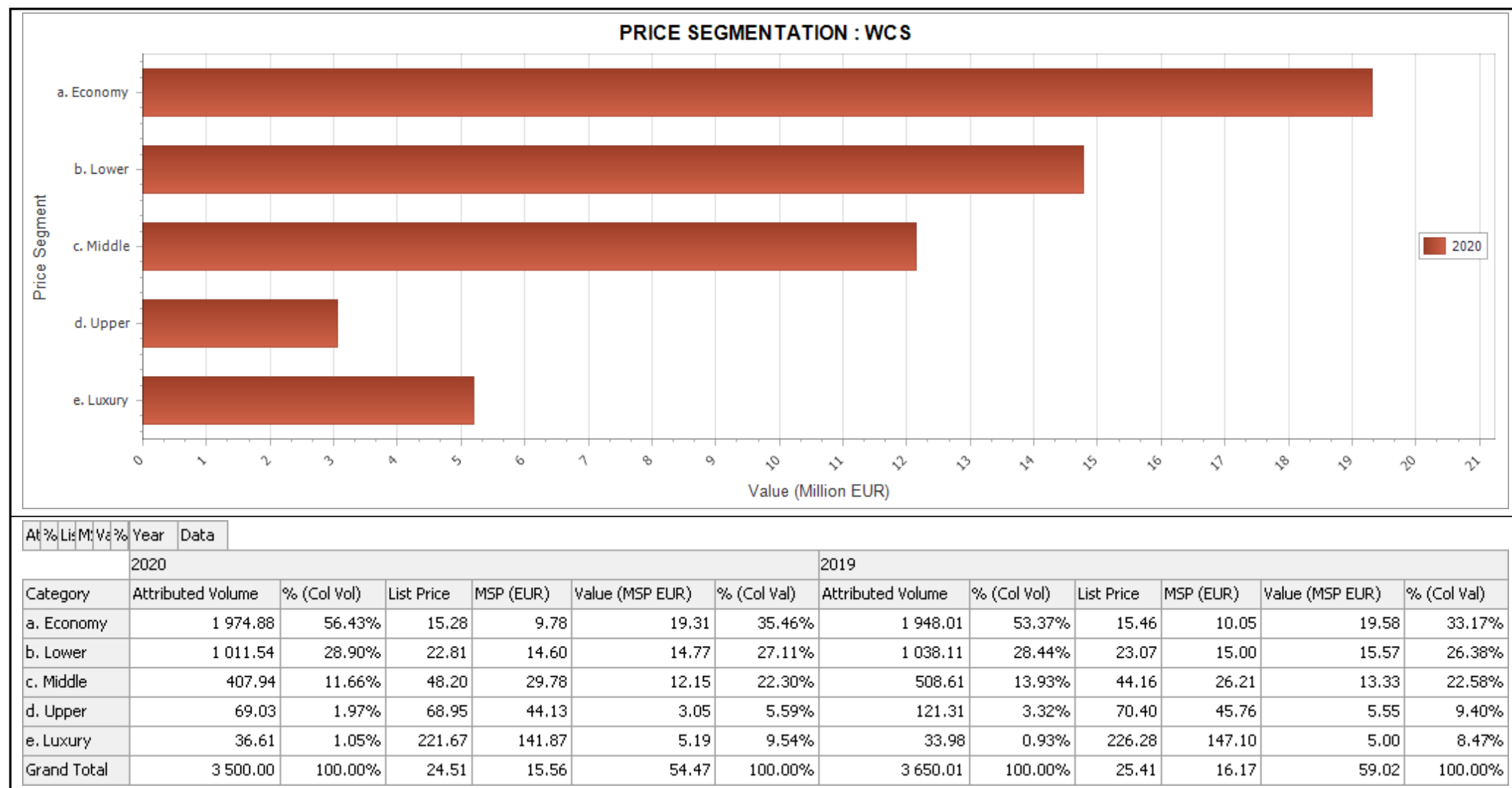
RU - ESTIMATED VALUE OF THE NON-CERAMIC WASHBASIN MARKET BY MATERIAL TYPE



Source: BRG based on industry interviews. Local Prices Shown in RUB. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.6 Price Segmentation : WCs

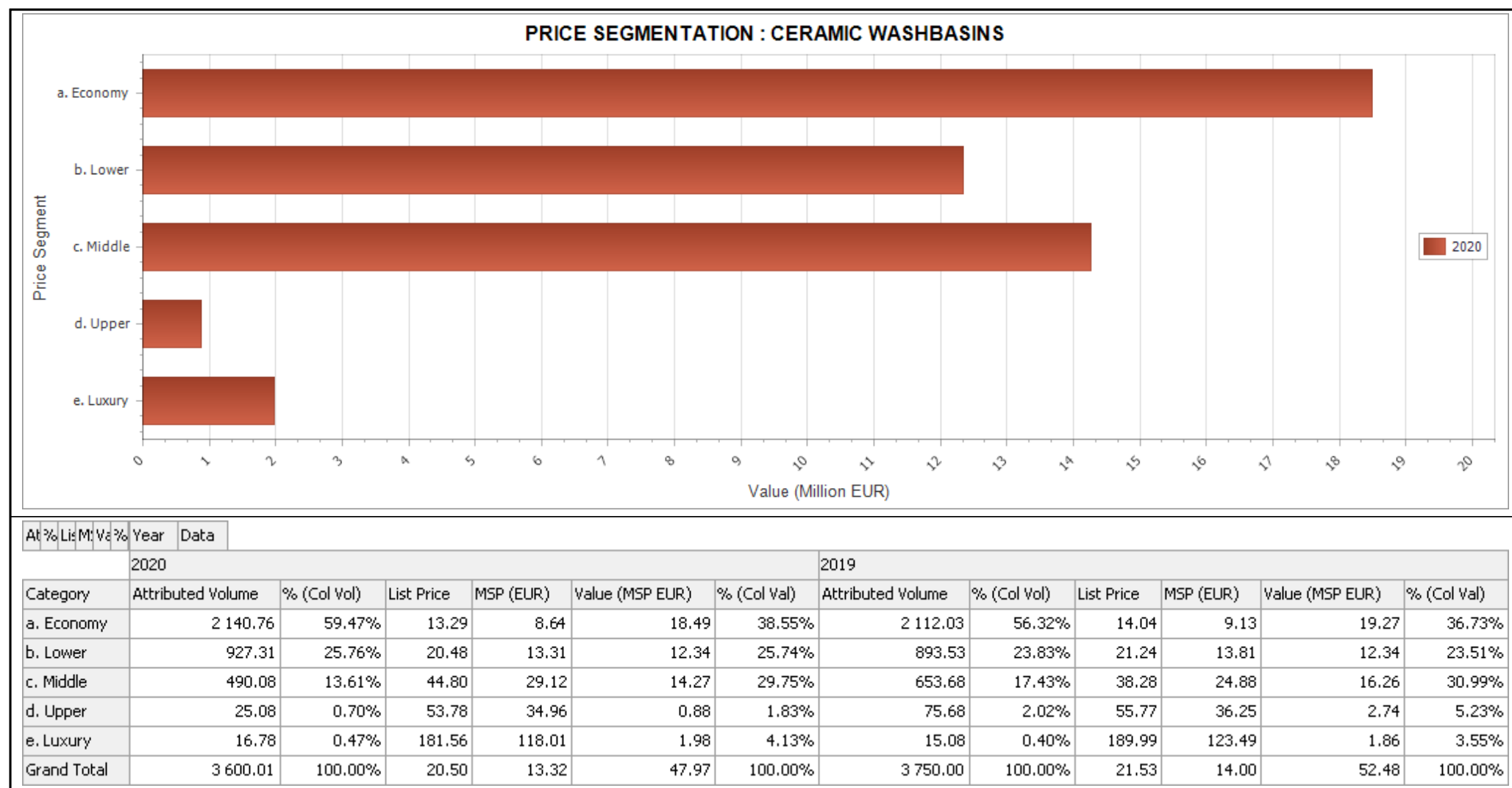
RU - ESTIMATED PRICE SEGMENTATION FOR WC



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€13, Lower €13-€20, Middle €20-40, Upper €40-€80, Luxury >€80

2.3.7 Price Segmentation : Ceramic Washbasins

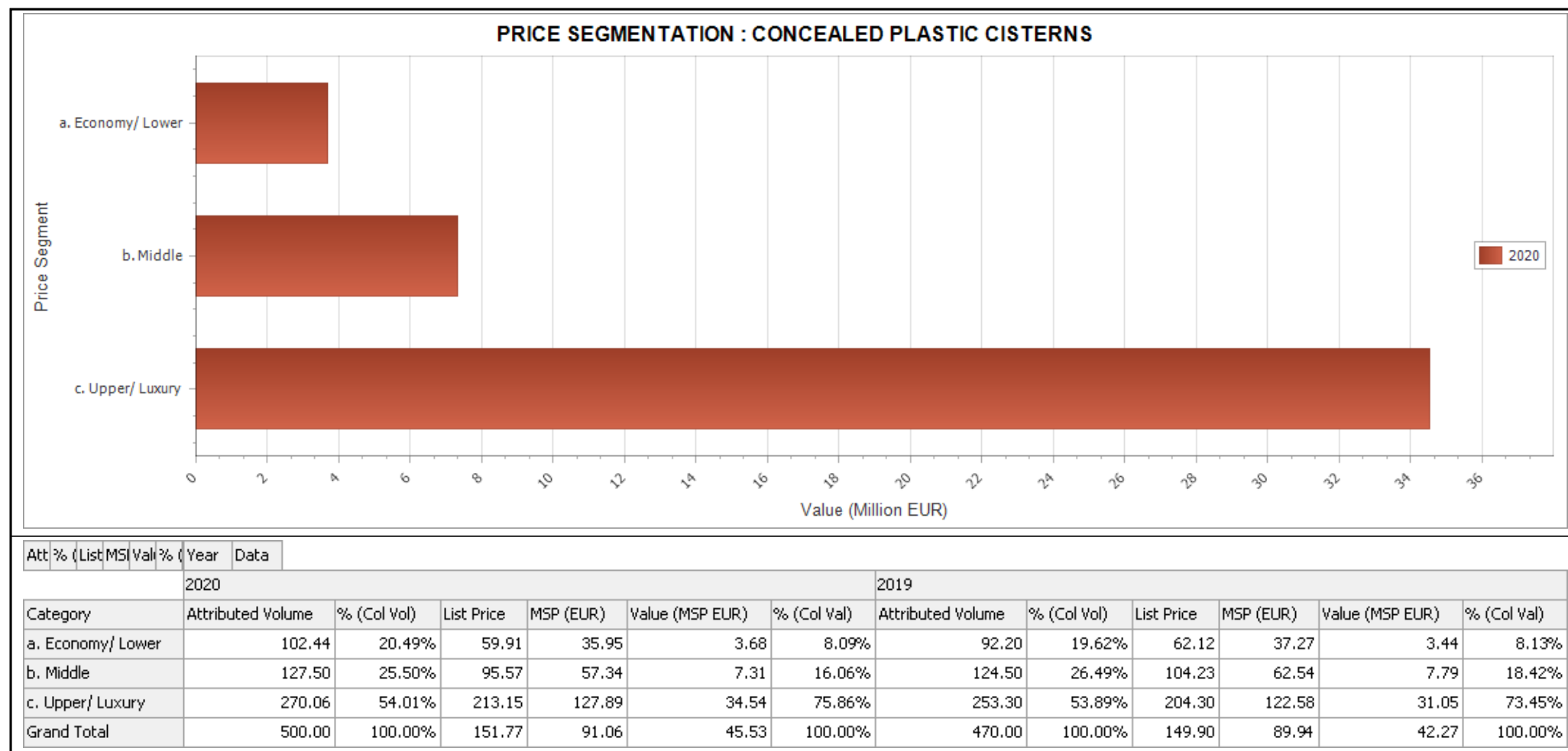
RU - ESTIMATED PRICE SEGMENTATION FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€12, Lower €12-€20, Middle €20-€30, Upper €30-€70, Luxury >€70

2.3.8 Price Segmentation : Concealed Plastic Cisterns

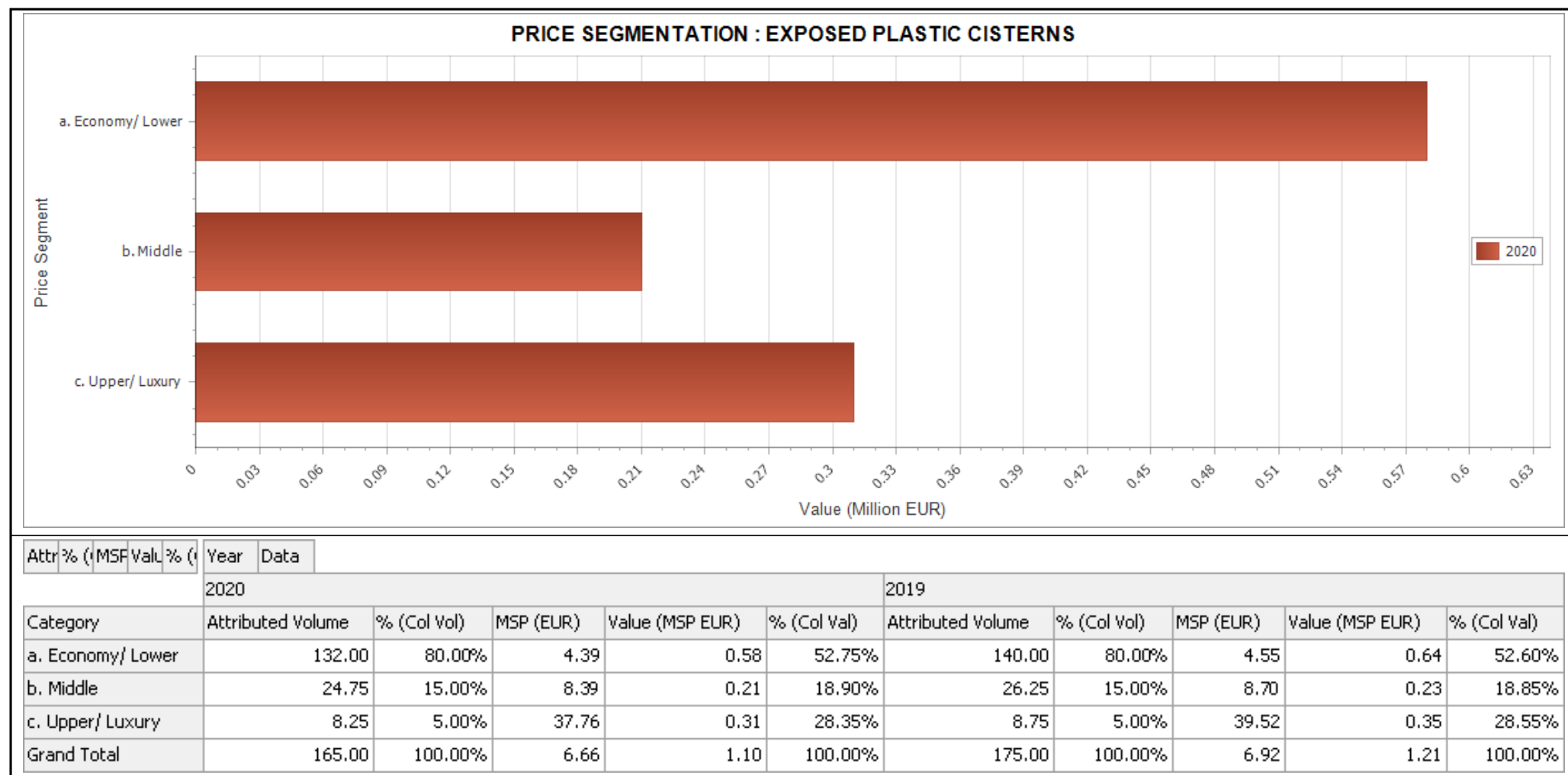
RU - ESTIMATED PRICE SEGMENTATION FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€40, Middle €40-€80, Upper/ Luxury >€80

2.3.9 Price Segmentation : Exposed Plastic Cisterns

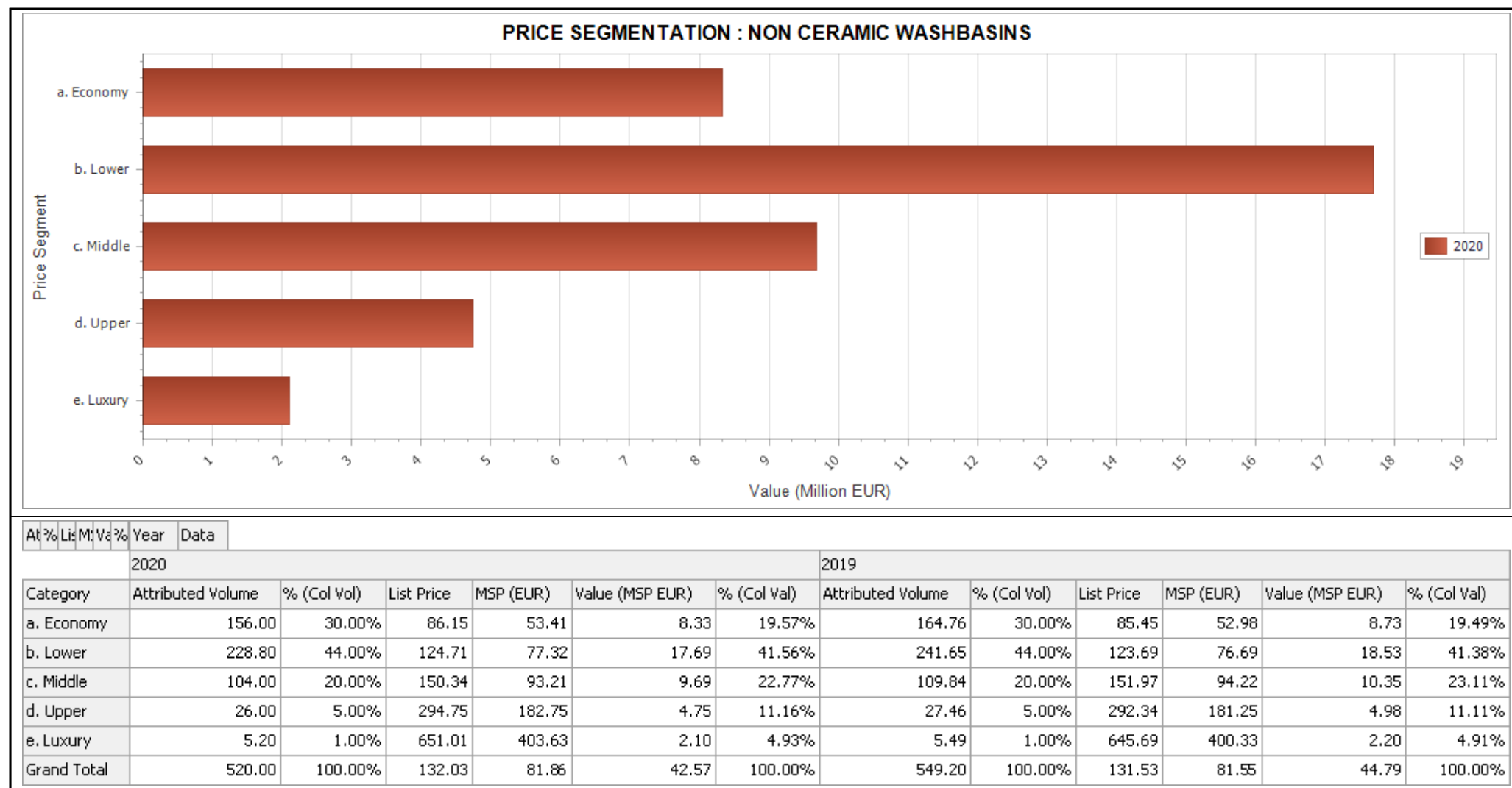
RU - ESTIMATED PRICE SEGMENTATION FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€7, Middle €7-€15, Upper/ Luxury >€15

2.3.10 Price Segmentation : Non Ceramic Washbasins

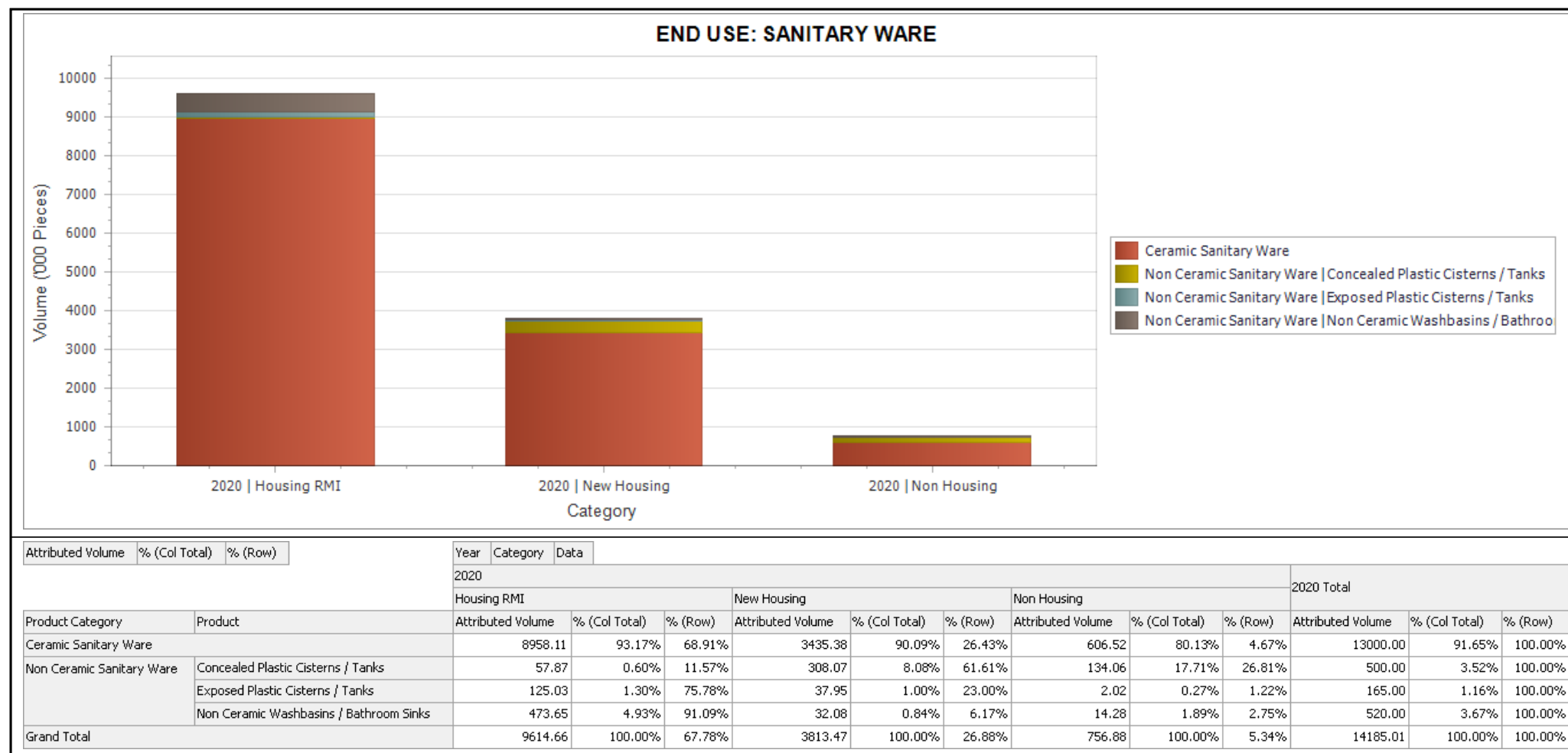
RU - ESTIMATED PRICE SEGMENTATION FOR NON CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€60, Lower €60-€85, Middle €85-€150, Upper €150-€250, Luxury >€250

2.4.1 End Use : Base Year

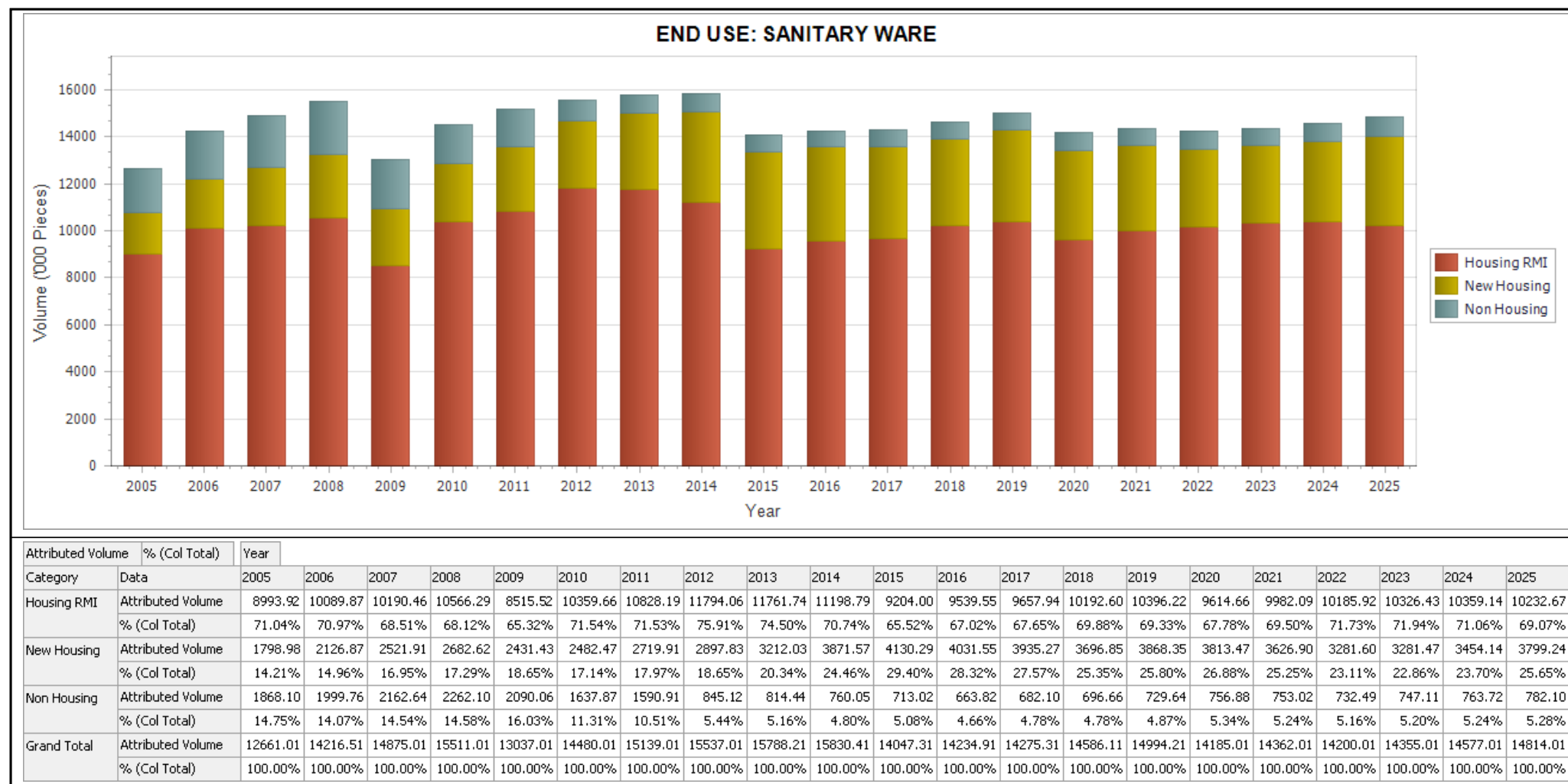
RU - SALES OF SANITARY WARE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.4.2 End Use : Historical and Forecasts

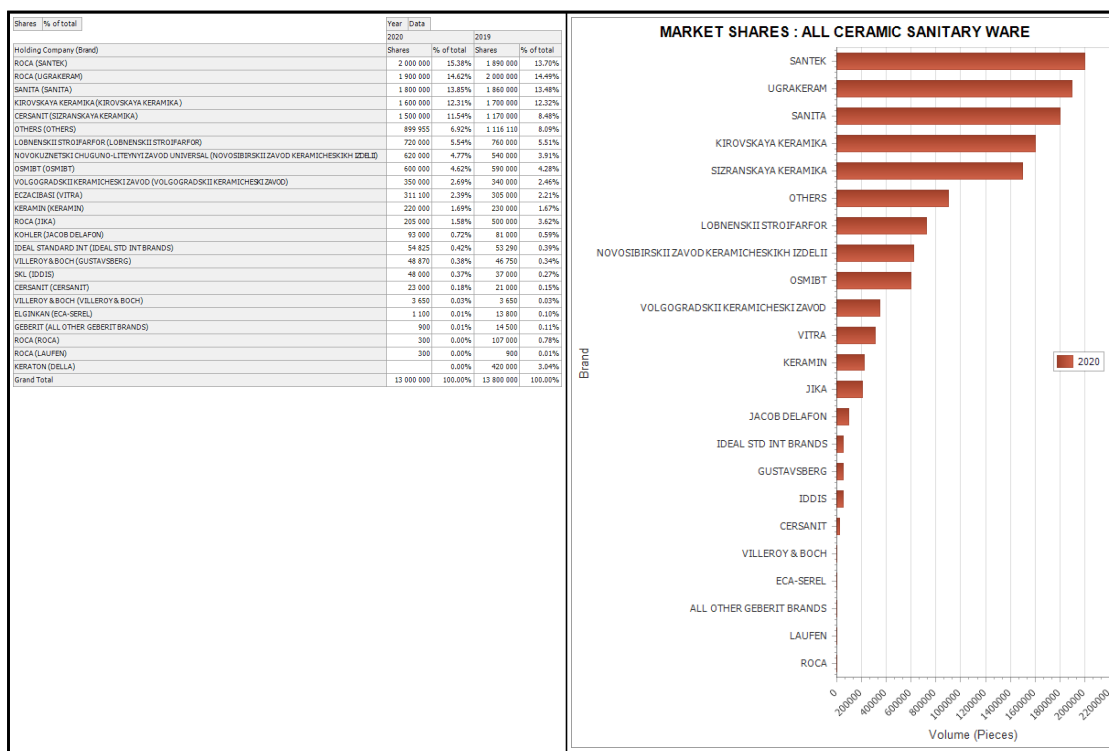
RU - SALES OF SANITARY WARE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.5.1 Market Shares : All Ceramic Sanitary Ware

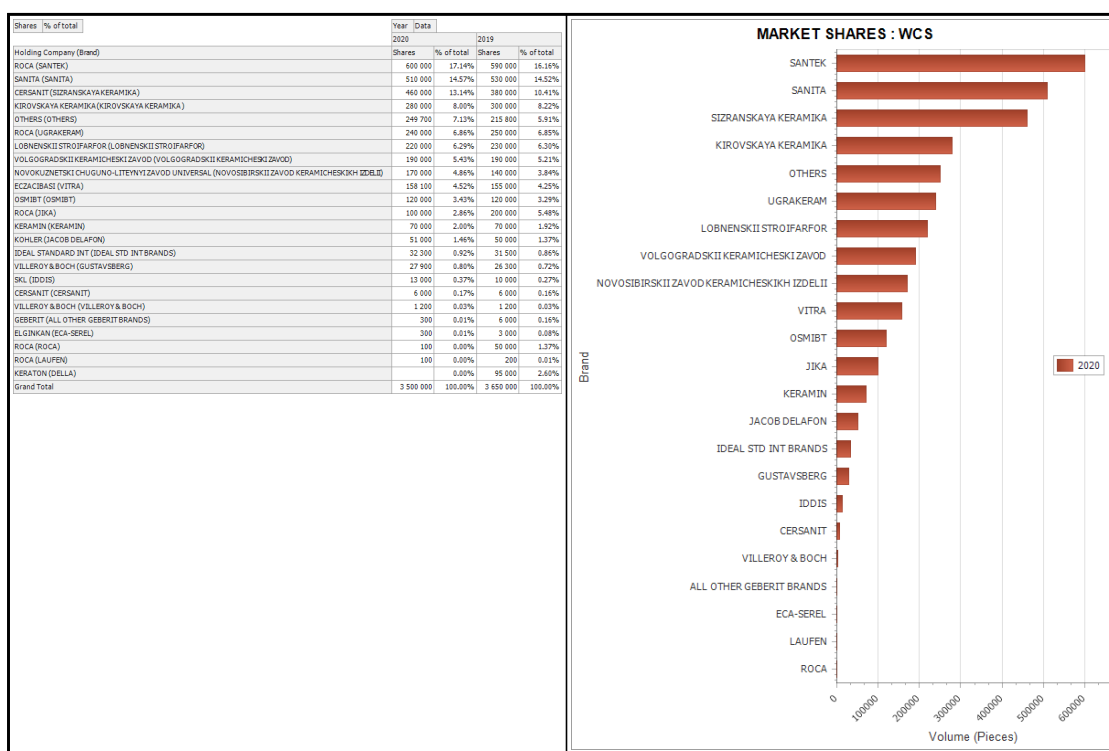
RU - ESTIMATED MARKET SHARES FOR ALL CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.2 Market Shares : WCs

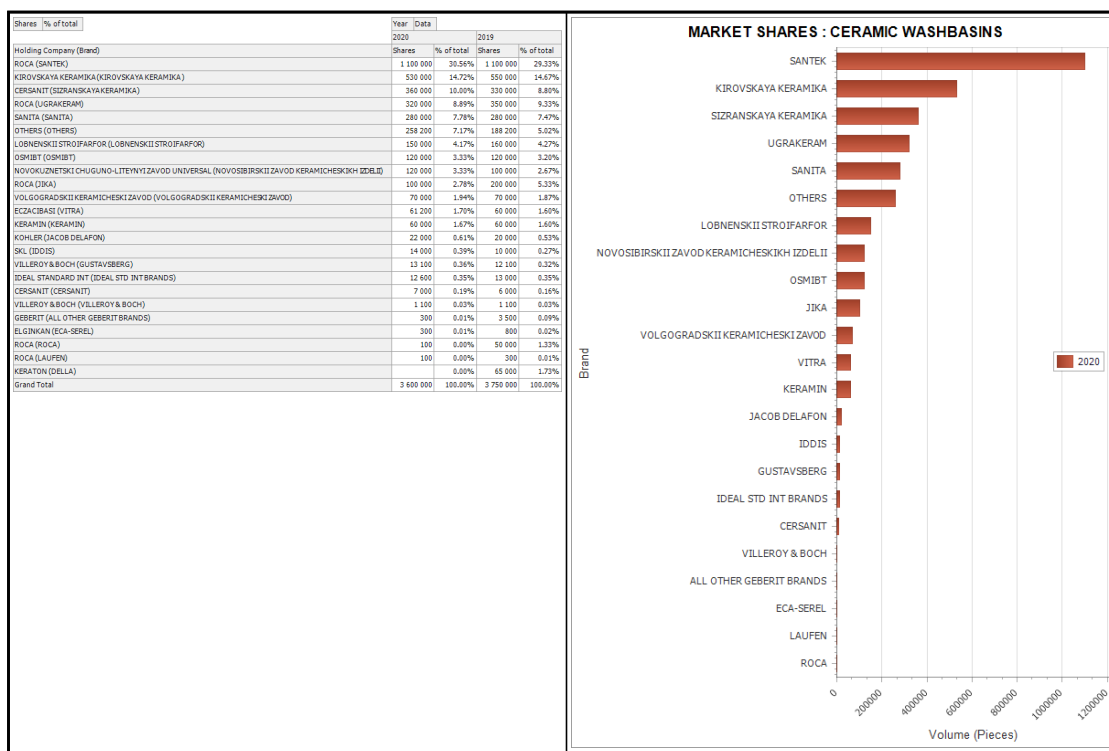
RU - ESTIMATED MARKET SHARES FOR WCS



Source: BRG based on industry interviews.

2.5.3 Market Shares : Ceramic Washbasins

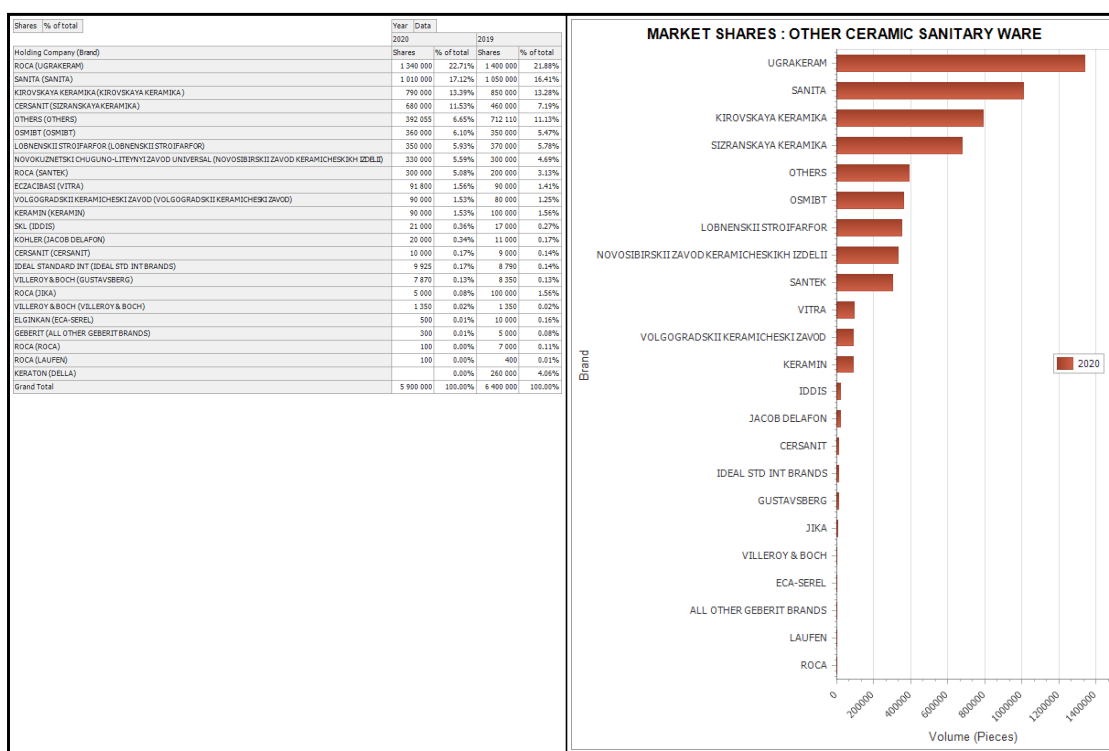
RU - ESTIMATED MARKET SHARES FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews

2.5.4 Market Shares : Other Ceramic Sanitary Ware

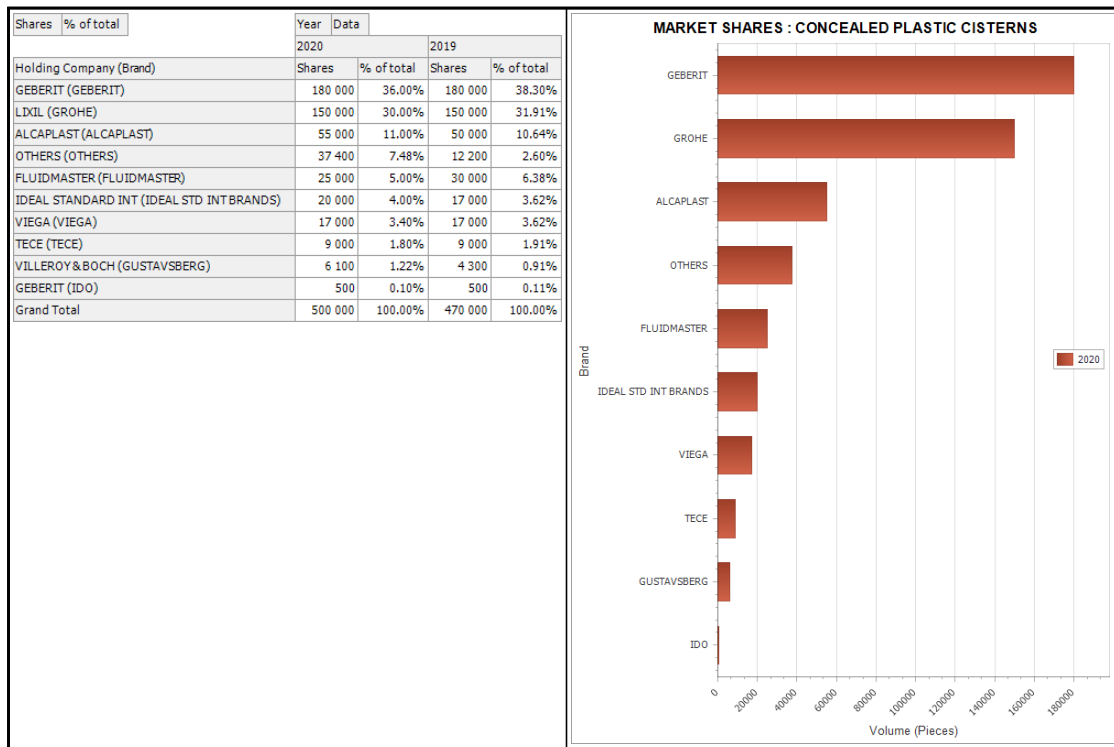
RU - ESTIMATED MARKET SHARES FOR OTHER CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.5 Market Shares : Concealed Plastic Cisterns

RU - ESTIMATED MARKET SHARES FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews

2.6.1 RU - IMPORTS OF ALL CERAMIC SANITARY WARE 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	14 719	45.7%	22 006	34.9%	12 753	43.8%	19 316	32.4%
Turkey	3 015	9.4%	5 115	8.1%	2 244	7.7%	4 179	7.0%
Belarus	2 471	7.7%	1 928	3.1%	2 703	9.3%	1 808	3.0%
Viet Nam	1 364	4.2%	2 563	4.1%	1 411	4.8%	2 482	4.2%
Egypt	1 357	4.2%	2 259	3.6%	1 033	3.5%	2 523	4.2%
Germany	1 283	4.0%	5 278	8.4%	808	2.8%	4 702	7.9%
Poland	1 070	3.3%	2 412	3.8%	1 500	5.1%	3 085	5.2%
Bulgaria	1 036	3.2%	1 848	2.9%	1 009	3.5%	1 666	2.8%
Italy	1 022	3.2%	5 552	8.8%	946	3.2%	5 270	8.8%
Czech Republic	990	3.1%	2 189	3.5%	792	2.7%	1 905	3.2%
Morocco	699	2.2%	1 381	2.2%	937	3.2%	1 614	2.7%
OTHERS	3 162	9.8%	10 457	16.6%	3 002	10.3%	11 041	18.5%
Total	32 188	100.0%	62 988	100.0%	29 138	100.0%	59 591	100.0%

Source : Trademap

2.6.2 RU - EXPORTS OF ALL CERAMIC SANITARY WARE 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Kazakhstan	18 951	43.8%	20 000	44.1%	16 751	40.3%	18 688	41.1%
Uzbekistan	5 525	12.8%	4 655	10.3%	5 162	12.4%	4 548	10.0%
Belarus	4 052	9.4%	5 912	13.0%	3 402	8.2%	5 476	12.1%
Kyrgyzstan	1 989	4.6%	1 939	4.3%	2 644	6.4%	2 811	6.2%
Germany	1 905	4.4%	1 489	3.3%	2 796	6.7%	1 934	4.3%
Ukraine	1 689	3.9%	1 960	4.3%	1 603	3.9%	1 939	4.3%
Georgia	1 669	3.9%	1 766	3.9%	2 190	5.3%	2 436	5.4%
Armenia	1 571	3.6%	1 669	3.7%	2 128	5.1%	2 342	5.2%
Azerbaijan	1 333	3.1%	1 233	2.7%	1 368	3.3%	1 380	3.0%
Tajikistan	1 300	3.0%	1 114	2.5%	1 438	3.5%	1 319	2.9%
Moldova, Republic of	949	2.2%	988	2.2%	883	2.1%	1 003	2.2%
OTHERS	2 311	5.3%	2 586	5.7%	1 225	2.9%	1 547	3.4%
Total	43 244	100.0%	45 311	100.0%	41 590	100.0%	45 423	100.0%

Source : Trademap

2.6.3 RU - IMPORTS OF PLASTIC CISTERNS 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	6 667	56.0%	36 416	54.1%	5 522	49.8%	35 461	51.5%
China	1 731	14.5%	9 805	14.6%	2 021	18.2%	13 218	19.2%
Slovenia	633	5.3%	2 078	3.1%	662	6.0%	2 113	3.1%
Czech Republic	609	5.1%	6 634	9.9%	517	4.7%	5 787	8.4%
Turkey	508	4.3%	1 615	2.4%	637	5.7%	2 146	3.1%
Poland	413	3.5%	1 864	2.8%	372	3.4%	1 588	2.3%
Belarus	301	2.5%	458	0.7%	330	3.0%	375	0.5%
Portugal	261	2.2%	1 741	2.6%	119	1.1%	964	1.4%
United Kingdom	143	1.2%	1 164	1.7%	116	1.0%	958	1.4%
Finland	139	1.2%	1 199	1.8%	137	1.2%	1 324	1.9%
OTHERS	500	4.2%	4 279	6.4%	663	6.0%	4 912	7.1%
Total	11 905	100.0%	67 253	100.0%	11 096	100.0%	68 846	100.0%

Source : Trademap

2.6.4 RU - EXPORTS OF PLASTIC CISTERNS 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Belarus	849	31.1%	2 256	25.0%	359	20.8%	1 920	26.9%
Kazakhstan	773	28.3%	3 400	37.6%	427	24.7%	2 199	30.8%
Ukraine	258	9.5%	831	9.2%	277	16.0%	891	12.5%
Lithuania	187	6.9%	265	2.9%	133	7.7%	140	2.0%
Uzbekistan	103	3.8%	357	3.9%	101	5.8%	355	5.0%
Romania	84	3.1%	203	2.2%	71	4.1%	206	2.9%
Latvia	76	2.8%	187	2.1%	70	4.1%	201	2.8%
Italy	74	2.7%	244	2.7%	9	0.5%	30	0.4%
Poland	52	1.9%	135	1.5%	62	3.6%	179	2.5%
Kyrgyzstan	51	1.9%	230	2.5%	23	1.3%	117	1.6%
Moldova, Republic of	33	1.2%	155	1.7%	29	1.7%	136	1.9%
OTHERS	188	6.9%	778	8.6%	167	9.7%	769	10.8%
Total	2 728	100.0%	9 041	100.0%	1 728	100.0%	7 143	100.0%

Source : Trademap

2.7.1 Route to Market: Ceramic Sanitary Ware
RU - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2020

Manufacturer / Importer	<table><tr><td colspan="5">Manufacturers / Importers</td></tr><tr><td colspan="5">100.0%</td></tr></table>					Manufacturers / Importers					100.0%																																																																																															
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Retail Level	<table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>0.0%</td><td>6.0%</td></tr><tr><td colspan="2">Internet Retailers</td></tr><tr><td colspan="2">6.0%</td></tr></table>	Manufacturer	Wholesaler	0.0%	6.0%	Internet Retailers		6.0%		<table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>13.1%</td><td>17.0%</td></tr><tr><td colspan="2">DIY Retailers</td></tr><tr><td colspan="2">30.1%</td></tr></table>	Manufacturer	Wholesaler	13.1%	17.0%	DIY Retailers		30.1%		<table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>1.5%</td><td>29.0%</td></tr><tr><td colspan="2">Specialist Retailers</td></tr><tr><td colspan="2">30.5%</td></tr></table>	Manufacturer	Wholesaler	1.5%	29.0%	Specialist Retailers		30.5%																																																																																
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End Use Level	<table><tr><td>Manufacturer</td><td>Wholesaler</td><td>Internet</td><td>DIY</td><td>Specialist</td><td>Installer</td></tr><tr><td>0.0%</td><td>11.7%</td><td>6.0%</td><td>28.1%</td><td>30.0%</td><td>19.4%</td></tr><tr><td colspan="6">Residential</td></tr><tr><td colspan="6">95.3%</td></tr><tr><td colspan="3">New Build</td><td colspan="3">Residential RMI</td></tr><tr><td colspan="3">26.4%</td><td colspan="3">68.9%</td></tr><tr><td>Project</td><td colspan="2">Non-Project</td><td>Project</td><td colspan="2">Non-Project</td></tr><tr><td>20.0%</td><td colspan="2">6.4%</td><td>2.0%</td><td colspan="2">66.9%</td></tr></table>					Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	0.0%	11.7%	6.0%	28.1%	30.0%	19.4%	Residential						95.3%						New Build			Residential RMI			26.4%			68.9%			Project	Non-Project		Project	Non-Project		20.0%	6.4%		2.0%	66.9%		<table><tr><td>Manufacturer</td><td>Wholesaler</td><td>Internet</td><td>DIY</td><td>Specialist</td><td>Installer</td></tr><tr><td>0.0%</td><td>1.5%</td><td>0.0%</td><td>0.0%</td><td>0.0%</td><td>3.2%</td></tr><tr><td colspan="6">Non-Residential</td></tr><tr><td colspan="6">4.7%</td></tr><tr><td colspan="3">New Build</td><td colspan="3">Non-Residential RMI</td></tr><tr><td colspan="3">1.0%</td><td colspan="3">3.7%</td></tr><tr><td>Project</td><td colspan="2">Non-Project</td><td>Project</td><td colspan="2">Non-Project</td></tr><tr><td>1.0%</td><td colspan="2">0.0%</td><td>3.0%</td><td colspan="2">0.7%</td></tr></table>					Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	0.0%	1.5%	0.0%	0.0%	0.0%	3.2%	Non-Residential						4.7%						New Build			Non-Residential RMI			1.0%			3.7%			Project	Non-Project		Project	Non-Project		1.0%	0.0%		3.0%	0.7%	
Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer																																																																																																					
0.0%	11.7%	6.0%	28.1%	30.0%	19.4%																																																																																																					
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Project	Non-Project		Project	Non-Project																																																																																																						
1.0%	0.0%		3.0%	0.7%																																																																																																						

2.7.2 Route to Market: Ceramic Sanitary Ware
RU - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2025

Manufacturer / Importer	Manufacturers / Importers				
	100.0%				
Wholesale Level	72.0%				
	Wholesalers / Merchants				
	72.0%				
Retail Level	Manufacturer		Wholesaler		
	0.0%		6.0%		
	Internet Retailers				
	6.0%				
	Manufacturer		Wholesaler		
	15.0%		15.0%		
	DIY Retailers				
	30.0%				
	Manufacturer		Wholesaler		
	3.0%		27.0%		
Specialist Retailers					
30.0%					

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

2.7.3 Route to Market - Consolidated View : Ceramic Sanitary Ware

RU - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2020

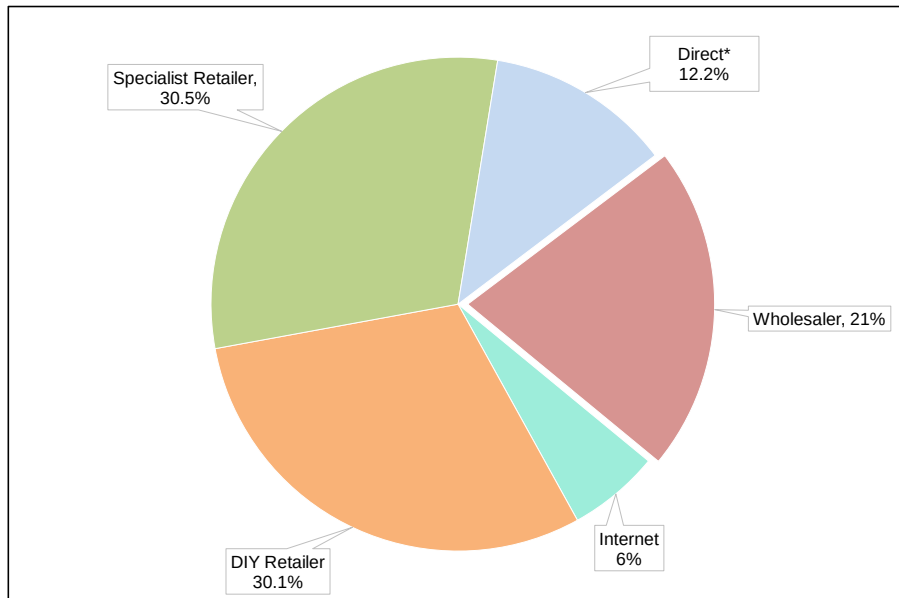
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
21.2%	6.0%	30.1%	30.5%	12.2%	22.0%	4.0%	73.3%	0.7%
100%					26.0%		74.0%	

2.7.4 Route to Market - Consolidated View : Ceramic Sanitary Ware

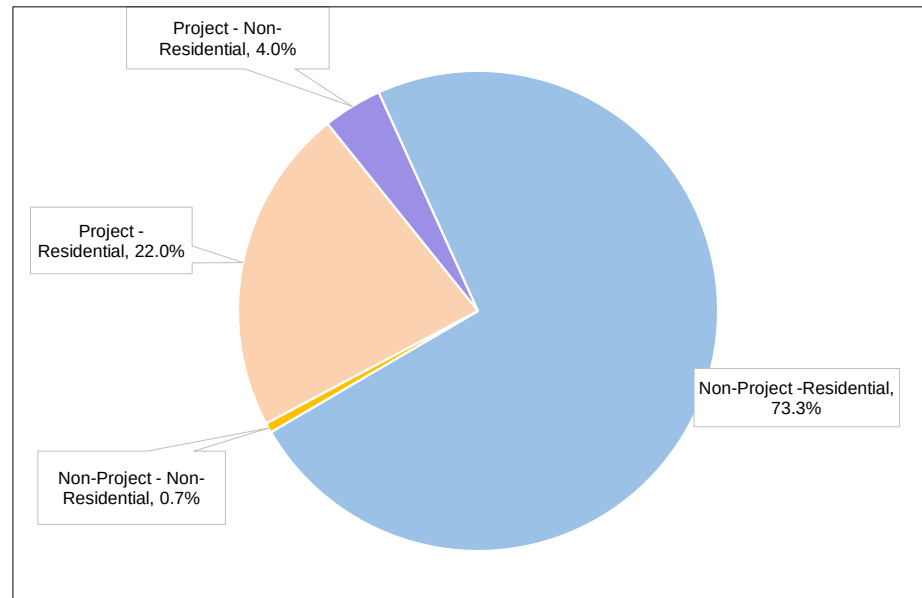
RU - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
24.0%	6.0%	30.0%	30.0%	10.0%	20.0%	4.0%	75.5%	0.5%
100%					24.0%		76.0%	

RU - SALES OF CERAMIC SANITARY WARE BY DISTRIBUTION CHANNEL: 2020



RU - SALES OF CERAMIC SANITARY WARE BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.7.5

Route to Market: Plastic Cisterns
RU - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

90.9%
Wholesalers / Merchants
90.9%

Retail Level

Manufacturer	Wholesaler
0.0%	7.0%
Internet Retailers	
7.0%	

Manufacturer	Wholesaler
4.2%	20.0%
DIY Retailers	
24.2%	

Manufacturer	Wholesaler
0.0%	38.0%
Specialist Retailers	
38.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
4.9%	18.0%	0.0%	2.0%	20.0%
Installers				
44.9%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	2.9%	7.0%	22.2%	18.0%	29.4%
Residential					
79.5%					

New Build			Residential RMI		
52.0%			27.5%		
Project	Non-Project		Project	Non-Project	
45.0%	7.0%		2.0%	25.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	5.0%	0.0%	0.0%	0.0%	15.5%
Non-Residential					
20.5%					

New Build			Non-Residential RMI		
7.0%			13.5%		
Project	Non-Project		Project	Non-Project	
7.0%	0.0%		11.0%	2.5%	

2.7.6

Route to Market: Plastic Cisterns
RU - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

90.0%
Wholesalers / Merchants
90.0%

Retail Level

Manufacturer	Wholesaler
0.0%	7.0%
Internet Retailers	
7.0%	

Manufacturer	Wholesaler
6.0%	20.0%
DIY Retailers	
26.0%	

Manufacturer	Wholesaler
0.0%	38.0%
Specialist Retailers	
38.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
4.0%	18.0%	0.0%	2.0%	20.0%
Installers				
44.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	2.0%	7.0%	24.0%	18.0%	28.3%
Residential					
79.4%					

New Build			Residential RMI		
52.1%			27.2%		
Project	Non-Project		Project	Non-Project	
45.0%	7.1%		2.0%	25.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	5.0%	0.0%	0.0%	0.0%	15.6%
Non-Residential					
20.6%					

New Build			Non-Residential RMI		
6.0%			14.6%		
Project	Non-Project		Project	Non-Project	
6.0%	0.0%		12.0%	2.6%	

Source: BRG Based on Industry Interviews. N.B. Include both Exposed and Concealed Plastic Cisterns - Totals may vary due to roundings

2.7.7 Route to Market - Consolidated View : Plastic Cisterns

RU - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2020

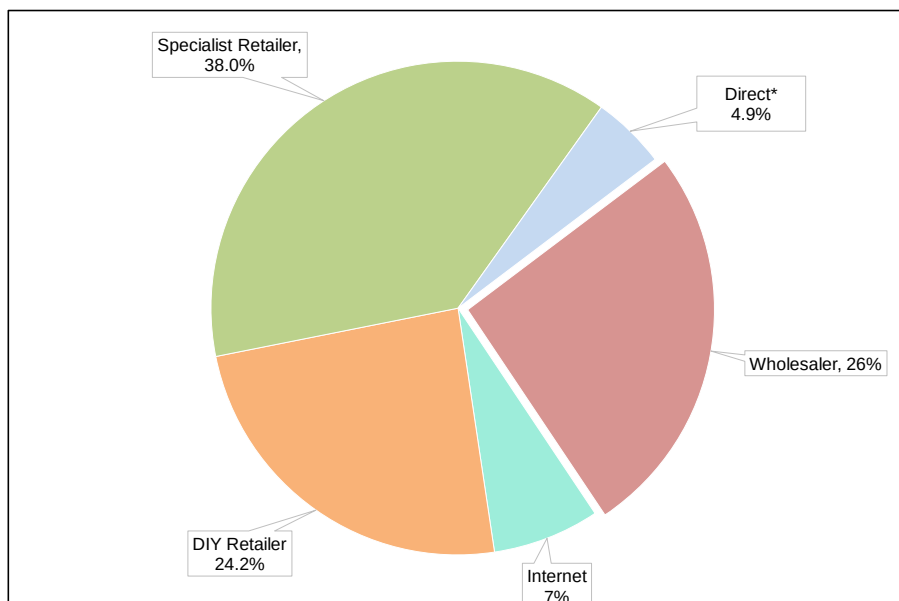
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
25.9%	7.0%	24.2%	38.0%	4.9%	47.0%	18.0%	32.5%	2.5%
100%					65.0%		35.0%	

2.7.8 Route to Market - Consolidated View : Plastic Cisterns

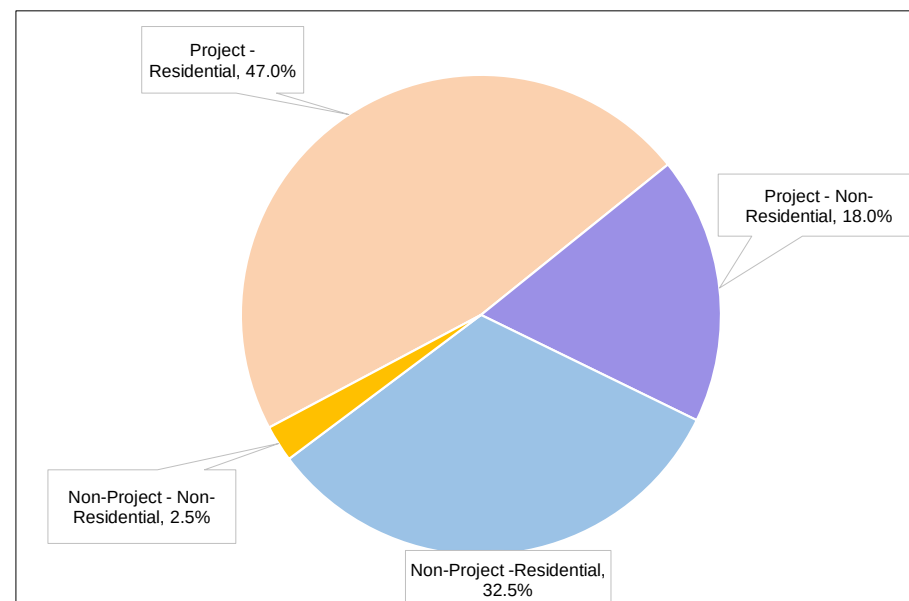
RU - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
25.0%	7.0%	26.0%	38.0%	4.0%	47.0%	18.0%	32.4%	2.6%
100%					65.0%		35.0%	

RU - SALES OF PLASTIC CISTERNS BY DISTRIBUTION CHANNEL: 2020



RU - SALES OF PLASTIC CISTERNS BY POINT OF DECISION AND END-USE SECTOR: 2020



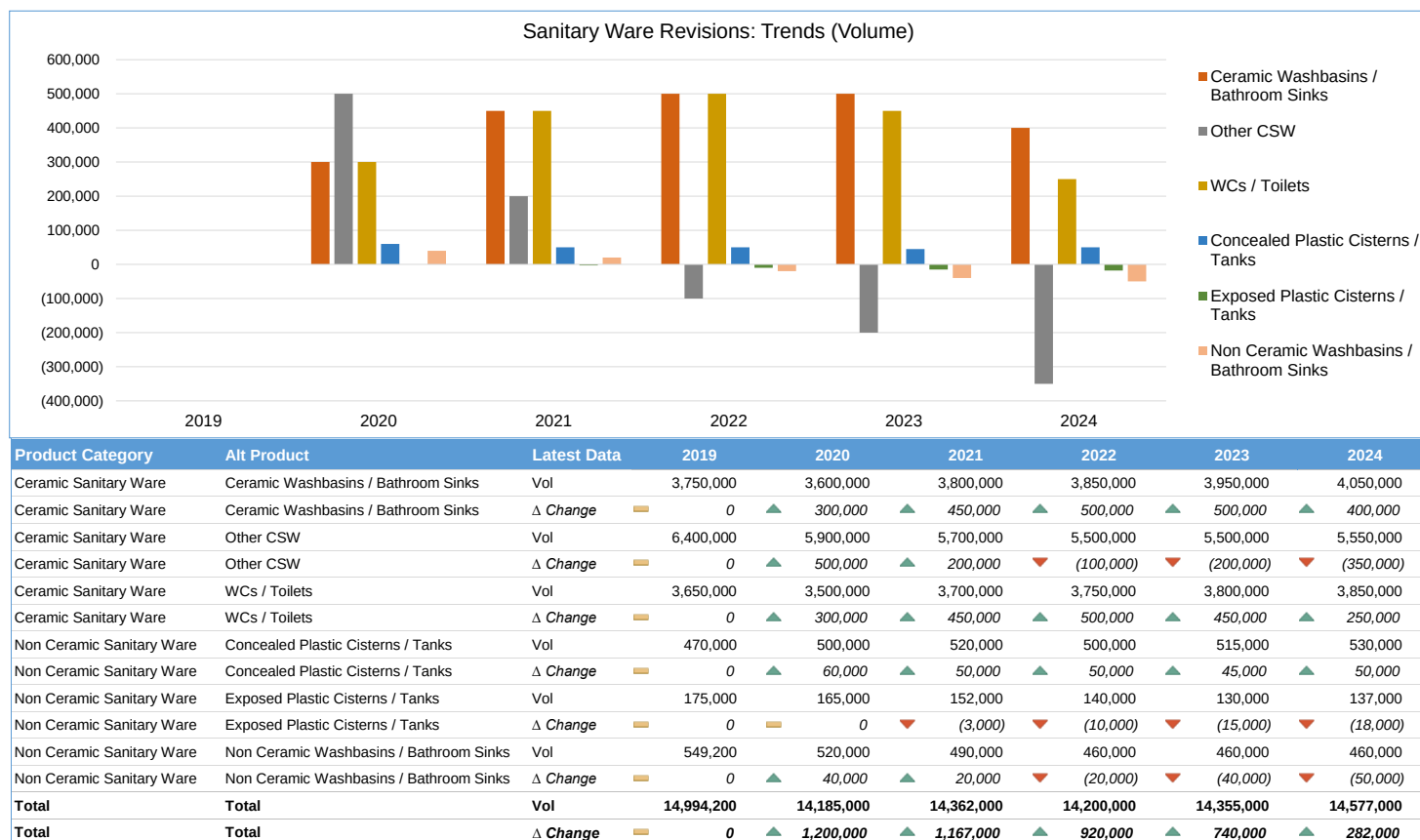
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.8 Revisions in the Russian Sanitary Ware Market (April 2021)

RU - REVISIONS IN THE RUSSIAN SANITARY WARE MARKET

Data Comparison: October 2020



No revisions have been made to historical volumes and values for this market.

RUSSIA

TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

Some Asian manufacturers have tried to adapt local patterns and have offered wall mounted bath mixers with the long swivel. As in all other bathroom sectors, Russian tap and mixer manufacturers tend to offer less quality and design standards than imported products. This has led to a large demand for imported mixers, which are seen as offering more reliable quality (some importers offer mixers that are specifically adapted to the Russian market) and, in the case of Asian imports, lower prices. By 2020, all but one local manufacturer stopped production in Russia.

Most European taps and mixers tend to be installed in new individual dwellings and high-quality renovations, while Russian and Chinese mixers go to municipal projects, either in new construction or renovation, or are bought directly by private consumers for replacement. Most of the Russian made mixers are two head, while bathroom mixers are wall mounted.

The major characteristics of the Russian market, by type of product, are as follows:

The typical Russian bathroom in apartments built between the 1950s and 1980s had a cast iron bath and a washbasin with a wall mounted mixer, with a long spout that swivelled over the bath and the washbasin. Nowadays there is a trend towards appliance mounted mixers; these dominate in new construction, especially private construction. However, their development in renovation is restricted, mainly due to change-related costs. For example, it is impossible to install a mixer on old, and even some new, baths, as there is not enough space on the sides. The traditional Russian wall mounted mixer with a long spout is slowly disappearing from the market and sales become limited to low-cost municipal housing.

The share of two head mixers is decreasing. There is a growing trend towards one head mixers, especially in Moscow. Other regions are more conservative, but also have less access to new products and advertising. The traditional Russian two head mixer with the long swivel (in both the kitchen and bathroom) is still in demand, which has prompted some foreign suppliers to start manufacturing these types of models, specifically designed for the Russian market.

The growing market for one head mixers is represented mainly by imported products. There is marginal Russian production of single head mixers, but these are of rather poor quality and expensively priced. One head mixers have captured the majority of the market.

The share of pillar taps is low. There is marginal use in holiday homes, which often do not even have hot water.

Sales of thermostatic mixers have been increasing but it is unlikely that the market will grow very quickly, mainly because there is low awareness of the advantages

that thermostatic mixers offer and also because their prices are higher than average tap and mixer prices. The majority of thermostatic mixers sold are exposed models. They are mainly installed in showers. Some Russians like to install in showers bath mixers with long swivel.

The market of self-closing and electronic mixers is relatively small in Russia. They are popular in the non-housing segment, e.g. hotels and restaurants.

Recent Market Trends

Despite a difficult year the overall market for taps and mixers in Russia increased in 2020 supported by extraordinary replacement demand. During lockdowns people were locked at home or moved to summer houses/villas. Considering that many families had more time and more money (unspent holiday savings) they decided to renovate existing dwellings and upgrade taps and mixers in the first half of 2020.

The second increase in sales took place in the summer. People usually stay at holiday homes for short periods of time and these premises are not well maintained. When people realised that they would stay in summer houses for much longer owners started upgrading bathrooms and replacing mixers.

In the second half of 2020, a construction boom took place in Russia. Many buyers returned to the market and started actively purchasing flats.

All of the above led to healthy increase in sales of taps and mixers. The segment remained extremely fragmented, with some new entrants. Sales of electric mixers increased sharply due to the pandemic.

Overall, the Russian taps and mixers market has been flooded by low quality taps and mixers in recent years, not only from Asia but also Eastern Europe. As a result, the average lifespan of these products has decreased. Some of them even require replacement after one year. New brands have been introduced to the market and some old brands have been divested. The market is moving from unbranded to OEM products, with some Russian companies having two or three brands in their portfolio. Asian companies have successfully introduced Russian '*elochki*' mixers (mixer with long swivel that can be used for washbasin and bath), and they sell these products mainly in the Russian regions. Internet sales have increased further.

Prices and Market Values

The local currency significantly devaluated in 2020, affecting price trends. The average local MSP has increased in RUR across all types of taps and mixers. Domestic manufacturers have increased prices by around 7% in RUR, while the price change in the case of importers was around 13-16%. In order to compete successfully, most manufacturers have been forced to introduce cheaper models, compromising quality.

The majority of pillar, one head and two head mixers are sold in the economy sector, whereas thermostatic mixers are mainly sold in the middle and upper sectors.

Thermostatic and electric mixers are mainly imported from Europe. There has been no significant shift towards lower-priced products. Most manufacturers have increased prices in EUR in order to compensate for the decline in previous years.

New Housing

Decreased housing construction negatively affected the taps and mixers market in 2020. New dwellings are usually equipped with one head mixers from the middle and upper price segments. Usually, three mixers are installed per flat. More mixers are installed in luxury housing and villas with several bathrooms. In social housing, predominantly Russian or Asian products are installed, while in commercial and residential housing preference is given to European-branded production. Usually, established European brands manage to win commercial projects in large cities. Sales in the new housing segment are expected to have a fall during the short term, due to the ongoing economic problems in the country and the expected fall in construction.

Housing RMI

The housing RMI segment increased in volume in 2020. Housing RMI comprises the largest part of sales of all taps and mixers in Russia and it is primarily driven by consumer investments. However, replacement levels are low and the market is still far from its potential maturity. Therefore, it will have very good growth potential when the economy starts to recover again. The market is driven largely by home improvement, partially for the replacement of old taps but mainly as part of the refurbishment of an entire bathroom, which is a very popular activity among Russians in rural areas. Most taps and mixers sold are associated with this sector. The demand in this sector is very high and the product price range is also very wide. The market is expected to grow over the foreseeable future.

Flushing valves are a relatively new product, and replacement levels remain low.

Non-Housing

Demand for taps and mixers comes from all non-housing sectors, although the most significant end users remain hotels, restaurants, office buildings and the government. The non-housing market is very close to saturation and there is only marginal growth potential left. However, the pandemic supported the market by creating demand for contactless electric mixers. On another hand, demand was sluggish from struggling hospitality businesses.

Almost all electronic and self-closing valves are installed in the non-housing segment, such as public toilets and hospitals. Flushing valves are also installed in

the non-housing sector.

Supply Structure

ARKON remains the only local manufacturer in Russia, as all other local producers have either stopped production or switched to assembling and importing mixers. The main factor hindering the sales of the Russian manufacturer is the continued loss of traditional markets (Russian companies don't have the capability to produce single lever mixers that are gaining popularity and mainly produced by importers).

CENTR SANTEKHNIKI and VARION import parts, mainly from Asia, and assemble mixers in Russia.

European companies have a small presence in Russia, as they are unable to compete successfully with low price Asian imports. Chinese companies successfully introduced '*elochki*' models (the mixer installed in the bath and used for the bath and sink). On the Chinese imports side, taps and mixers are imported by various distributors and are usually unbranded or branded on order and, thus, very difficult to identify and quantify. Most of these products are supplied on an OEM basis and include brands such as MILARDO, G-LAUF, LEMARK, AM.PM, POTATO, IDDIS, ROSSINKA SILVERMIX, BRAVAT, WASSER KRAFT, GAPPO, ROSTOVSKAYA MANUFACTURA GERHANS, ESKO and ACCOONA. The remaining Chinese suppliers have fragmented, unstable and ad hoc sales.

Forecasts

BRG's forecast is based on the assumption that oil prices would remain above USD 40 per barrel and the pandemic would not get much worse. However, there are a few factors that can make things worse for Russia. Firstly, if COVID-19 becomes more aggressive, then the government would not be able to hide this from the population. Secondly, if oil prices remain under USD 40 for a prolonged period of time, since Russia needs an oil price around USD 40 a barrel to balance its federal budget. Thirdly, President Putin may resort to external wars or aggressive moves as a means to divert the population's attention away from the current economic crisis. Finally, the relationship with the US is very important. The Russian market was hit by a significant slump in oil prices, Western sanctions and the spread of the COVID-19 virus in 2020. The last lockdown ended in Russia in January 2021.

Several market drivers that incepted in 2020 progressed to 2021. Around 75% of new build dwellings in Russia are purchased with mortgages. The government allocated funds to subsidise mortgages. The state support programme is planned to last at least until July 2021. Due to a reasonable level of demand for new dwellings almost all construction companies continued to work as normal. Low interest rates played a very important role for the market and in fact represented a turning point for the construction sector. The demand for new housing is so high that prices even increased in large cities. People who have money have already purchased (or committed to buy) dwellings, dachas or sanitary ware. Therefore,

these spendings are likely to start falling by the end of 2021.

Many people moved to summer houses and villas during the summer period in 2020. Most summer houses are poorly maintained and people diverted money that was allocated for holidays to renovation. The demand for second homes (namely houses) is expected to remain strong in 2021 supporting both new installations and replacement of taps and mixers. The demand is expected to dip in 2022 as most people who could afford holiday homes would have already purchased by that time.

The spending levels would continue to stay high in 2021 driving the overall market up. On another hand, some people lost jobs and purchasing power for others declined due to significant devaluation of the RUR. Therefore, working class people are likely to struggle with finances. The overall market is expected to start growing from 2023 onwards.

The products sold in recent years have been of low quality with short lifespans. Due to the fact that mixers are relatively cheap when compared to other bathroom products, and most people can afford to replace a broken mixer; the lifespan of products, due to low quality, is gradually declining and they will require more frequent replacement. Consumer spending is estimated to pick up after 2022 as the current crisis is expected to settle and economic growth stabilises. The overall market is set to grow in the long term, as the replacement level has remained low and the market is far from saturation.

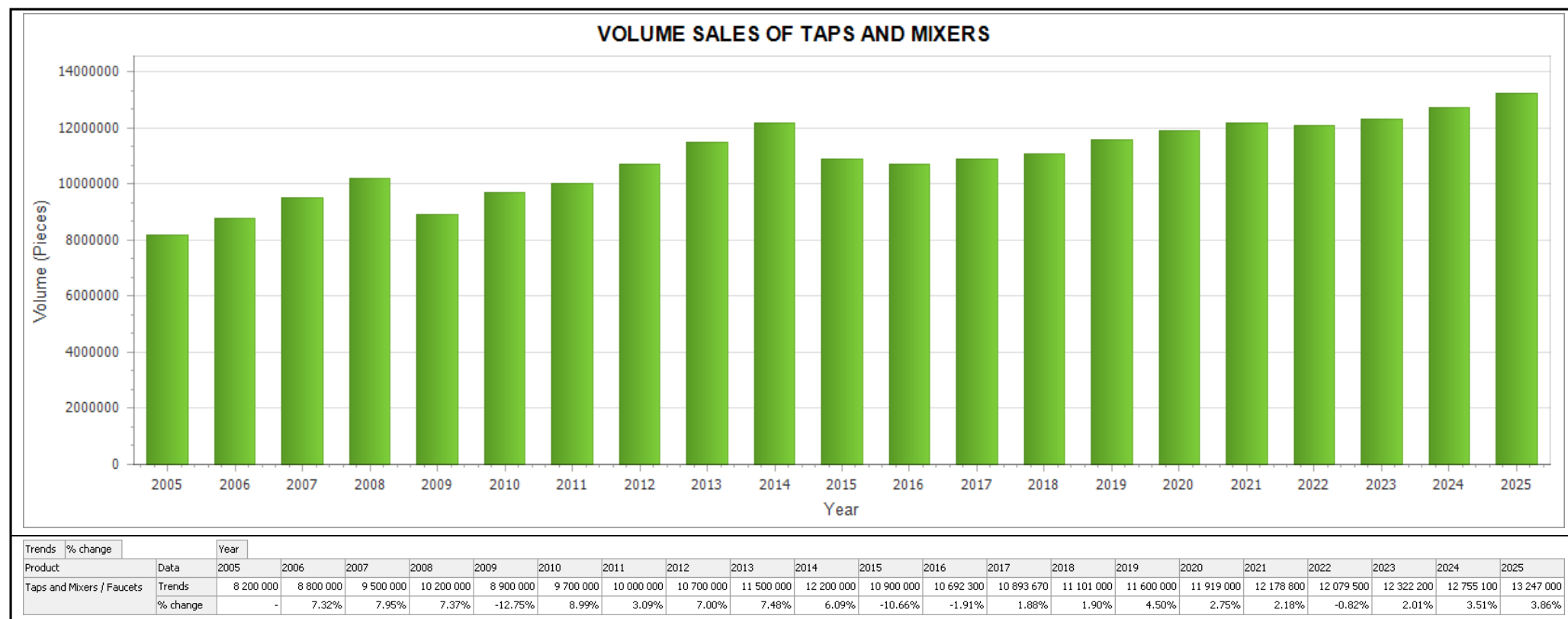
The market is very sensitive to the political and economic situation. A stable political environment leads to consumer confidence and higher spending (which translates into replacement, renovation and construction, leading to more installations). However, during periods of political/economic instability people tend to spend less which, in turn, also affects sales of bathroom products. Therefore, the most important variables affecting the market will be political activity, coronavirus and oil/gas prices.

The purchasing power of the general population remains lower than in most EU countries. As a result, not everyone, particularly in rural areas, can afford modern products. Therefore, economic growth and the increasing purchasing power of households should positively affect sales.

Russian taps and mixers' production is dwindling and it is likely that all mixers will be imported at some point. There are no signs of foreign manufacturers establishing production in Russia or local players expanding. Therefore, fluctuations in exchange rates could affect overall sales.

3.2 Historical Trends and Forecasts : Taps and Mixers

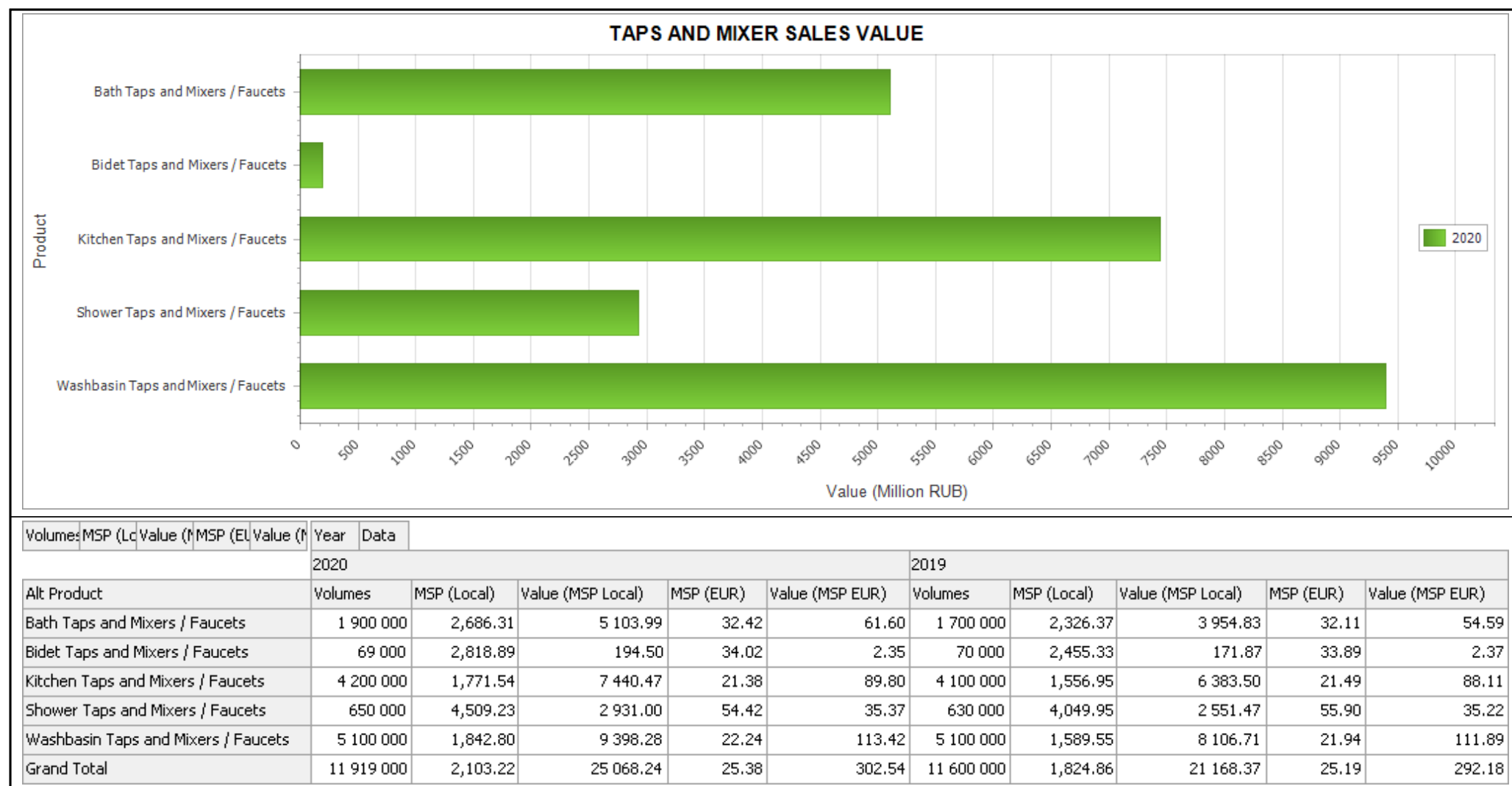
RU - SUMMARY OF TRENDS IN THE TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.3.1 Prices and Market Values : Taps and Mixers

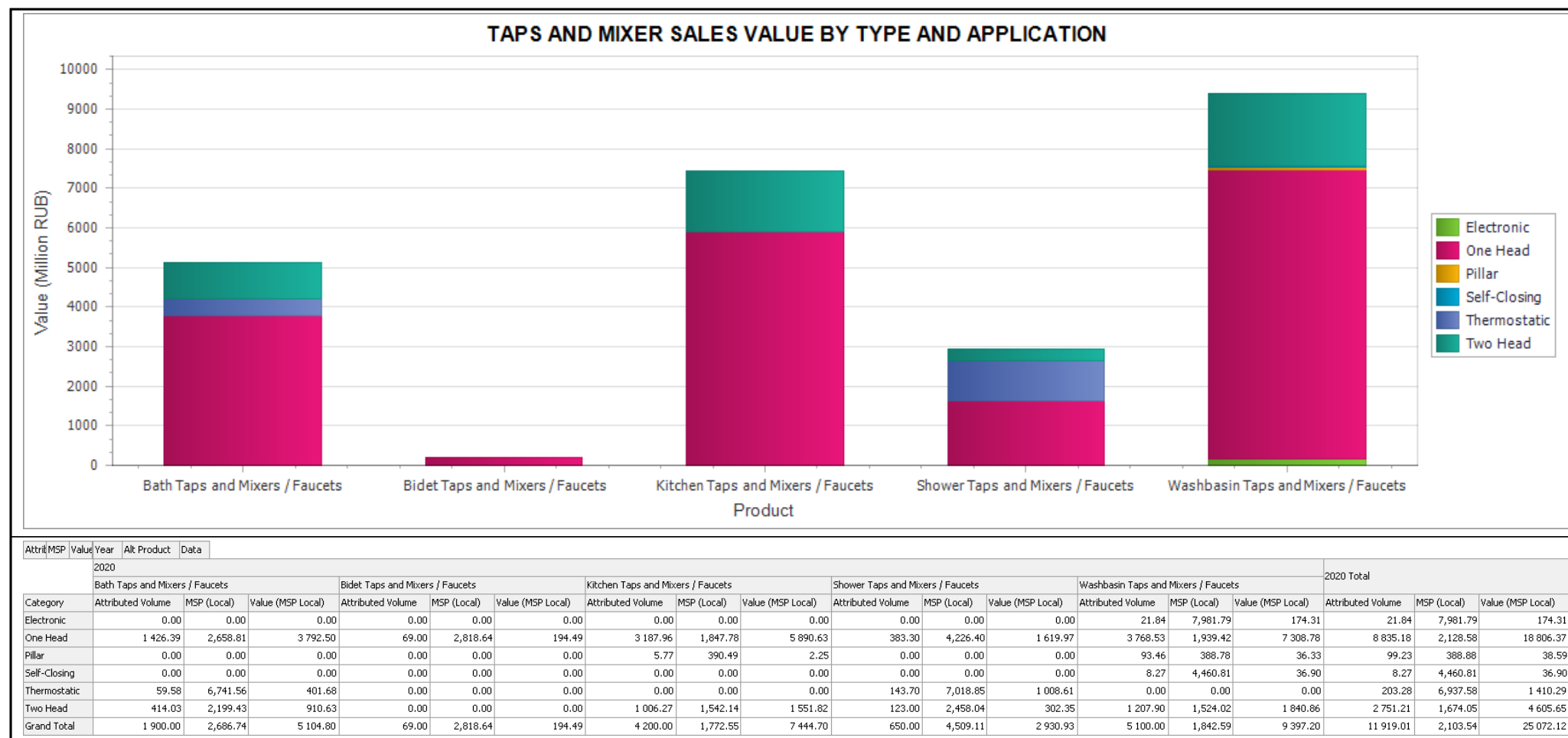
RU - ESTIMATED VALUES OF THE TAP AND MIXER MARKET



Source: BRG based on industry interviews. Local Prices Shown in RUB. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.2 Prices and Market Values by Type : Taps & Mixers

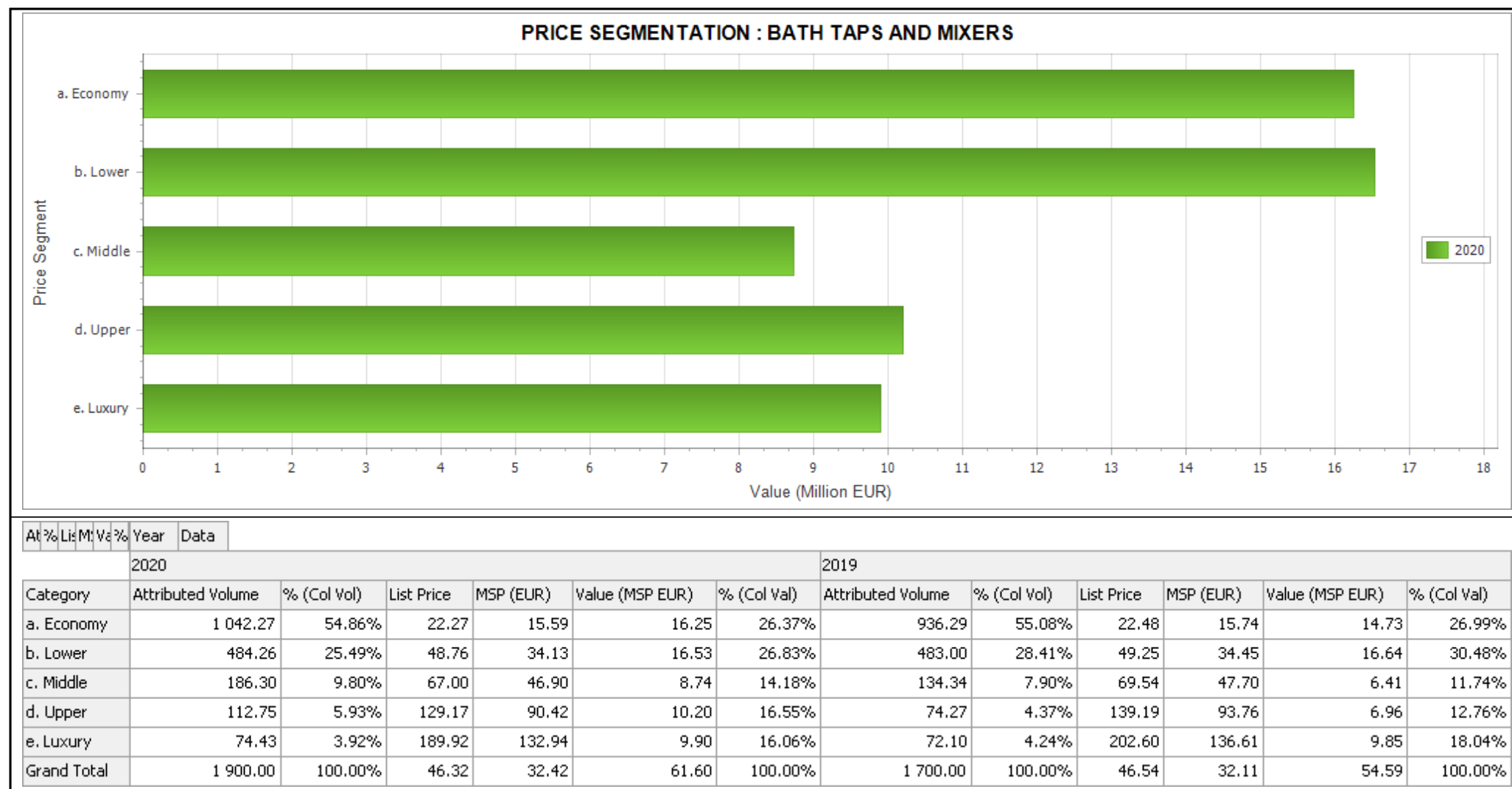
RU - ESTIMATED VALUES OF THE TAP AND MIXER MARKET BY TYPE AND APPLICATION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in RUB. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.3 Price Segmentation : Bath Taps and Mixers

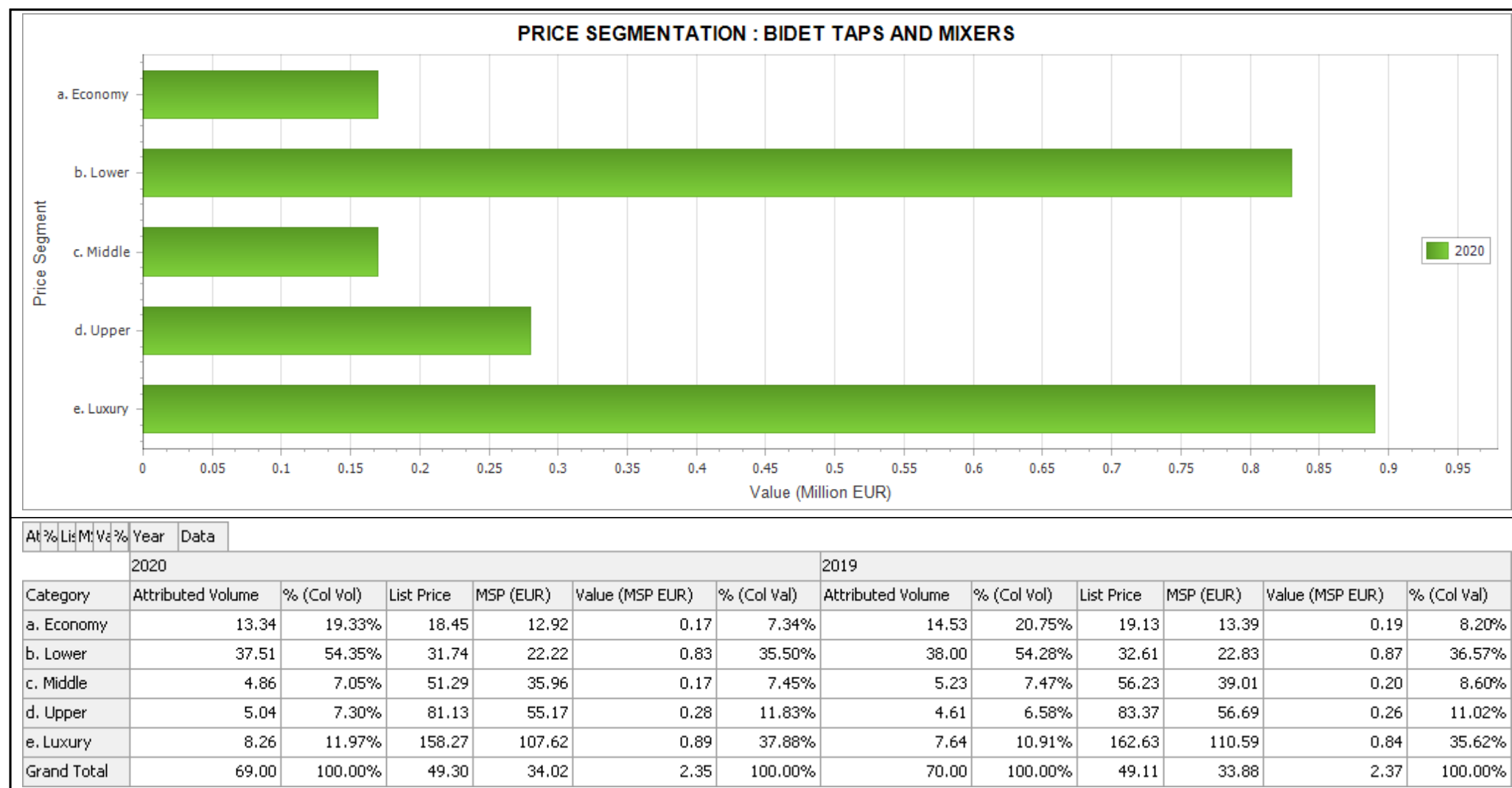
RU - ESTIMATED PRICE SEGMENTATION FOR BATH TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€30, Lower €30-€45, Middle €45-€80, Upper €80-€120 and Luxury >€120

3.3.4 Price Segmentation : Bidet Taps and Mixers

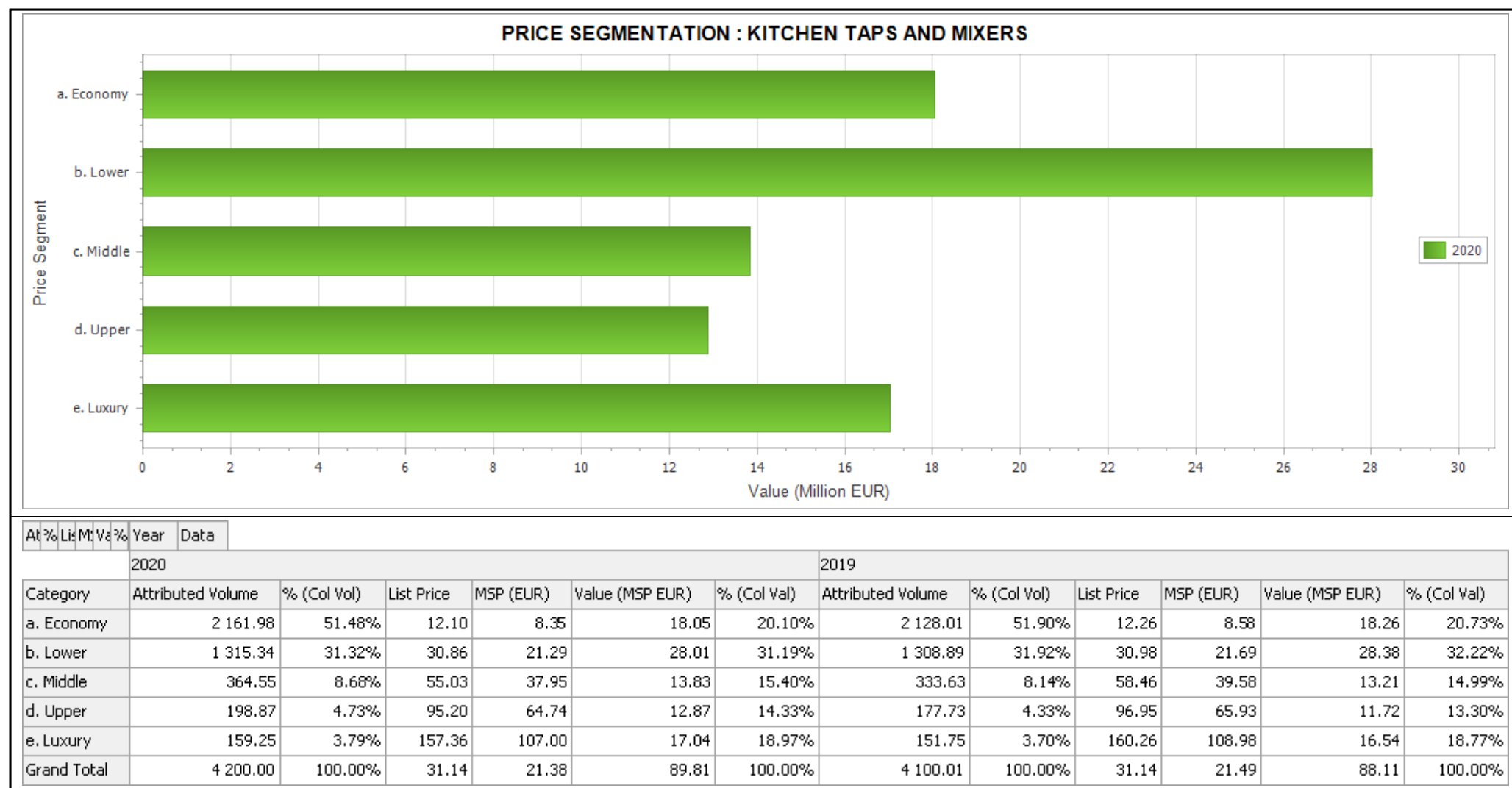
RU - ESTIMATED PRICE SEGMENTATION FOR BIDET TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€30, Middle €30-€50, Upper €50-€80 and Luxury >€80

3.3.5 Price Segmentation : Kitchen Taps and Mixers

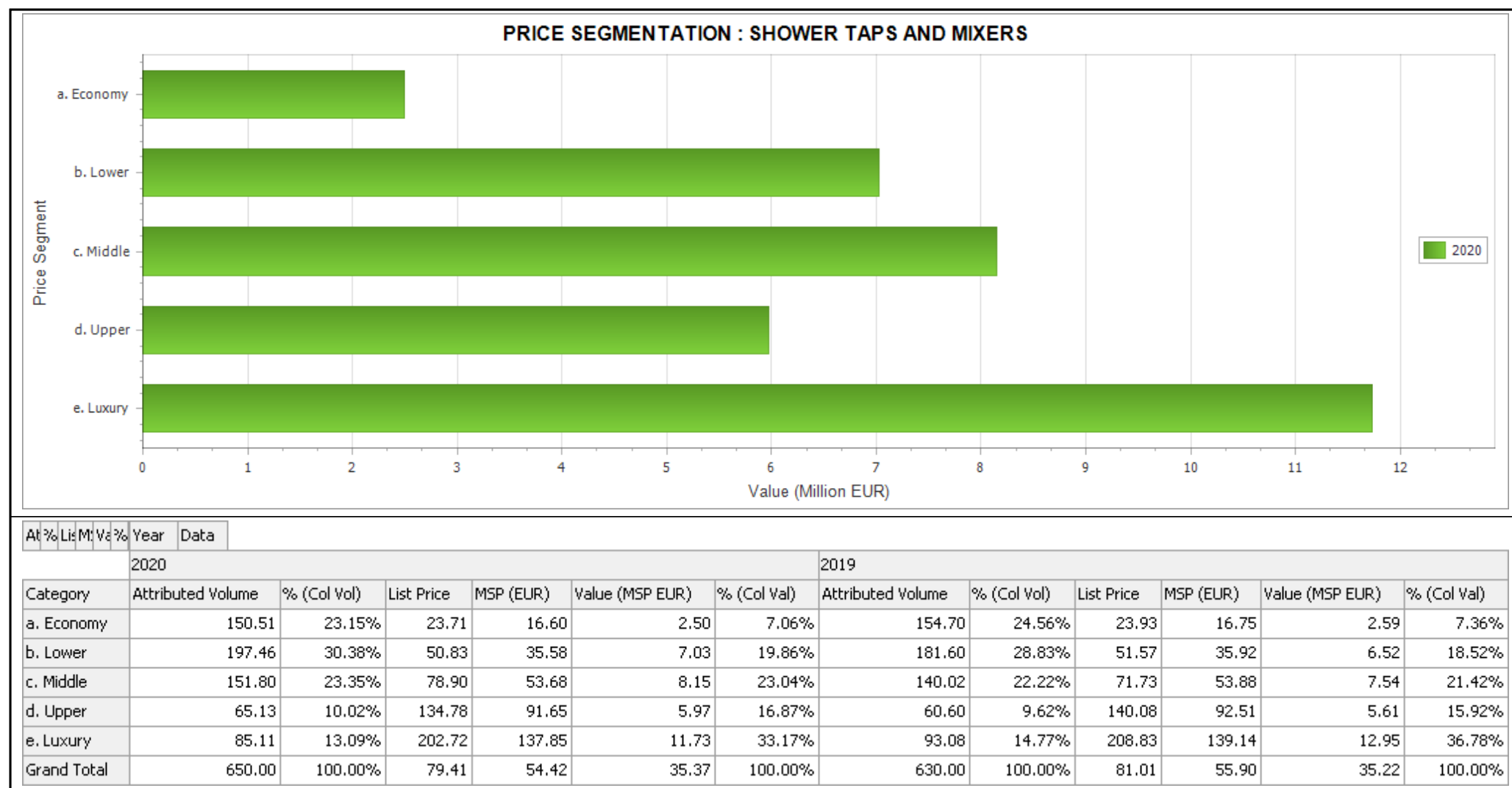
RU - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€35, Middle €35-€60, Upper €60-€100 and Luxury >€100

3.3.6 Price Segmentation : Shower Taps and Mixers

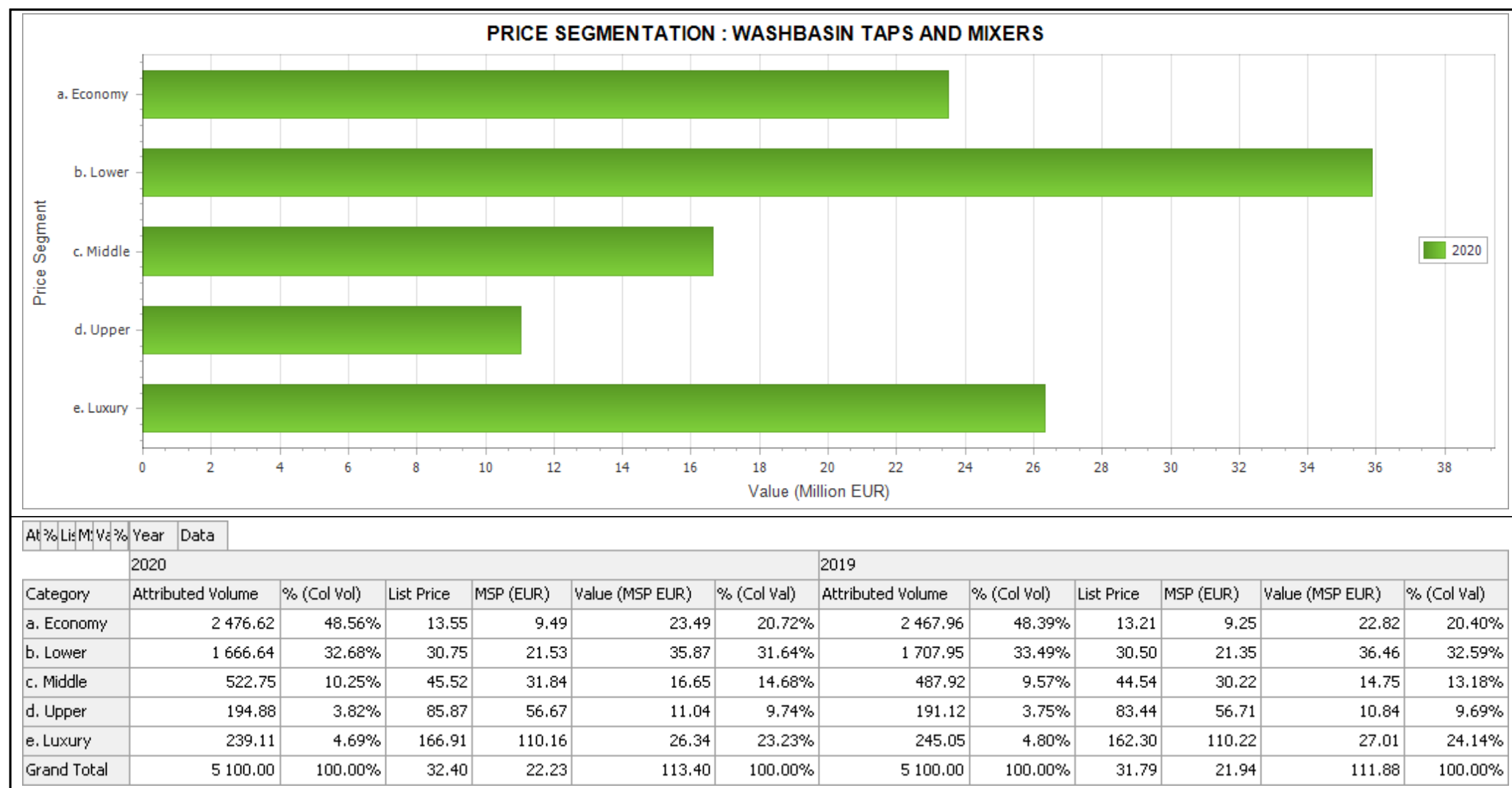
RU - ESTIMATED PRICE SEGMENTATION FOR SHOWER TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€30, Lower €30-€50, Middle €50-€80, Upper €80-€120 and Luxury >€120

3.3.7 Price Segmentation : Washbasin Taps and Mixers

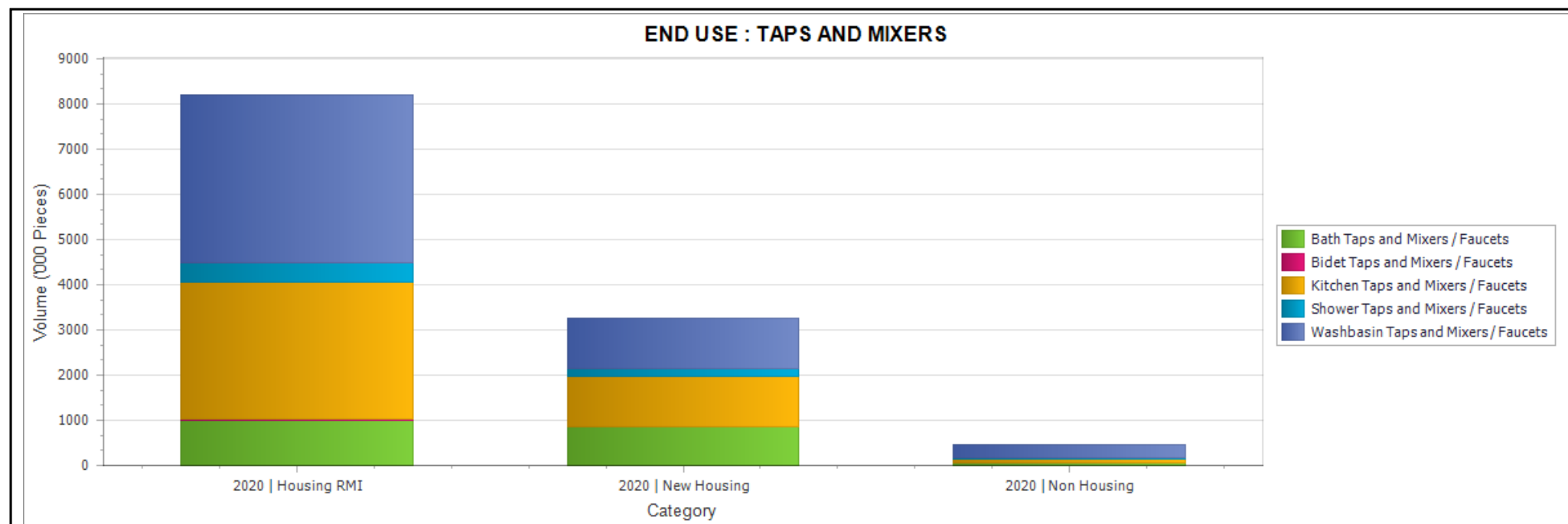
RU - ESTIMATED PRICE SEGMENTATION FOR WASHBASIN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€30, Middle €30-€50, Upper €50-€80 and Luxury >€80

3.4.1 End Use : Base Year

RU - SALES OF TAPS AND MIXERS BY TYPE AND END USE SEGMENT ('000 PIECES)

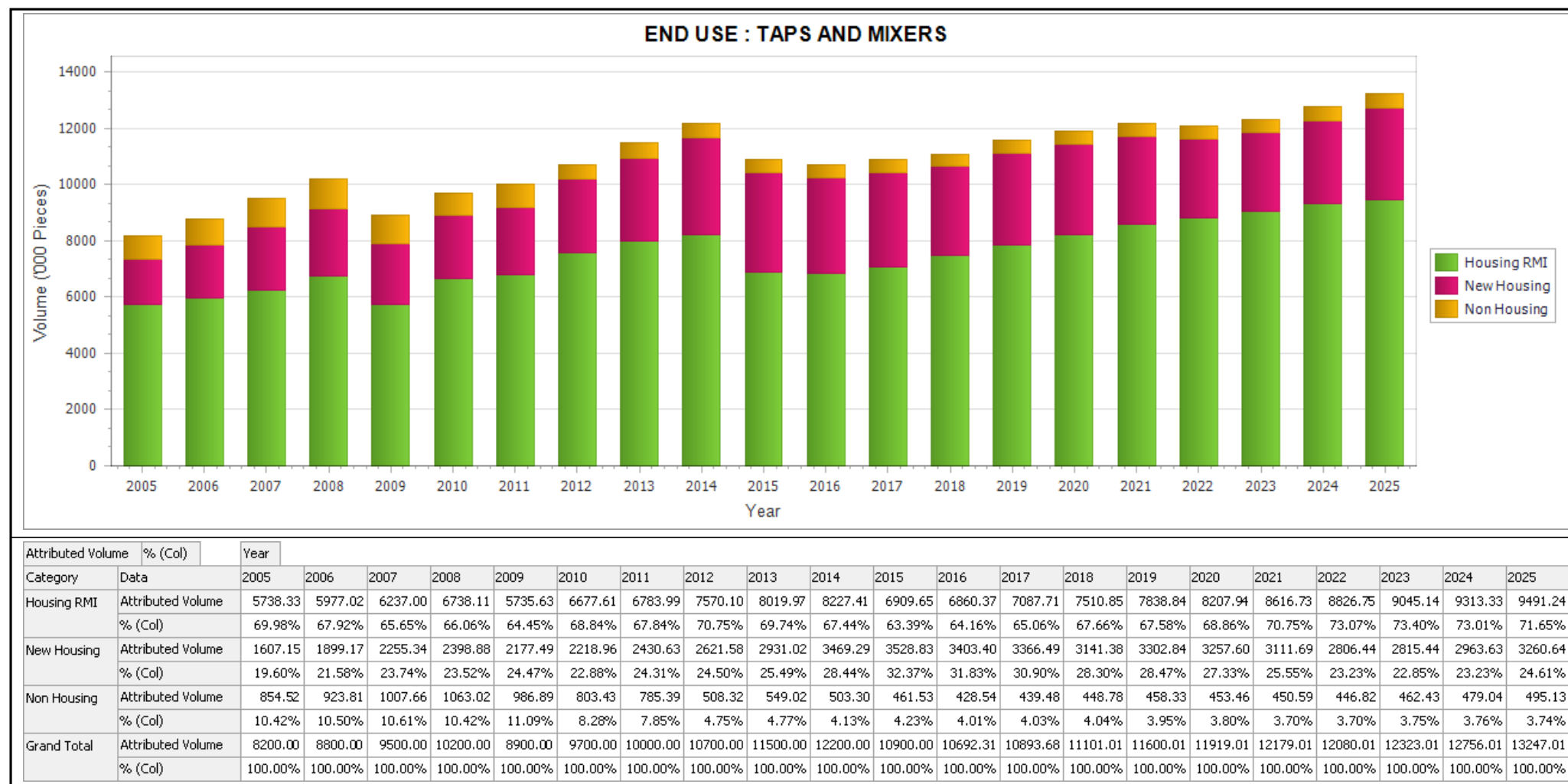


Attributed Volume	% (Col)	% (Row)	Year	Category	Data							
			2020							2020 Total		
			Housing RMI			New Housing		Non Housing				
Alt Product	Attributed Volume	% (Col)	% (Row)	Attributed Volume	% (Col)	% (Row)	Attributed Volume	% (Col)	% (Row)	Attributed Volume	% (Col)	% (Row)
Bath Taps and Mixers / Faucets	989.05	12.05%	52.06%	846.92	26.00%	44.57%	64.03	14.12%	3.37%	1900.00	15.94%	100.00%
Bidet Taps and Mixers / Faucets	51.23	0.62%	74.25%	14.85	0.46%	21.52%	2.93	0.65%	4.24%	69.00	0.58%	100.00%
Kitchen Taps and Mixers / Faucets	3010.50	36.68%	71.68%	1104.00	33.89%	26.29%	85.51	18.86%	2.04%	4200.00	35.24%	100.00%
Shower Taps and Mixers / Faucets	446.02	5.43%	68.62%	175.98	5.40%	27.07%	28.00	6.17%	4.31%	650.00	5.45%	100.00%
Washbasin Taps and Mixers / Faucets	3711.15	45.21%	72.77%	1115.86	34.25%	21.88%	273.00	60.20%	5.35%	5100.00	42.79%	100.00%
Grand Total	8207.94	100.00%	68.86%	3257.60	100.00%	27.33%	453.46	100.00%	3.80%	11919.01	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Kitchen and Sanitary Taps & Mixers

3.4.2 End Use : Historical and Forecasts

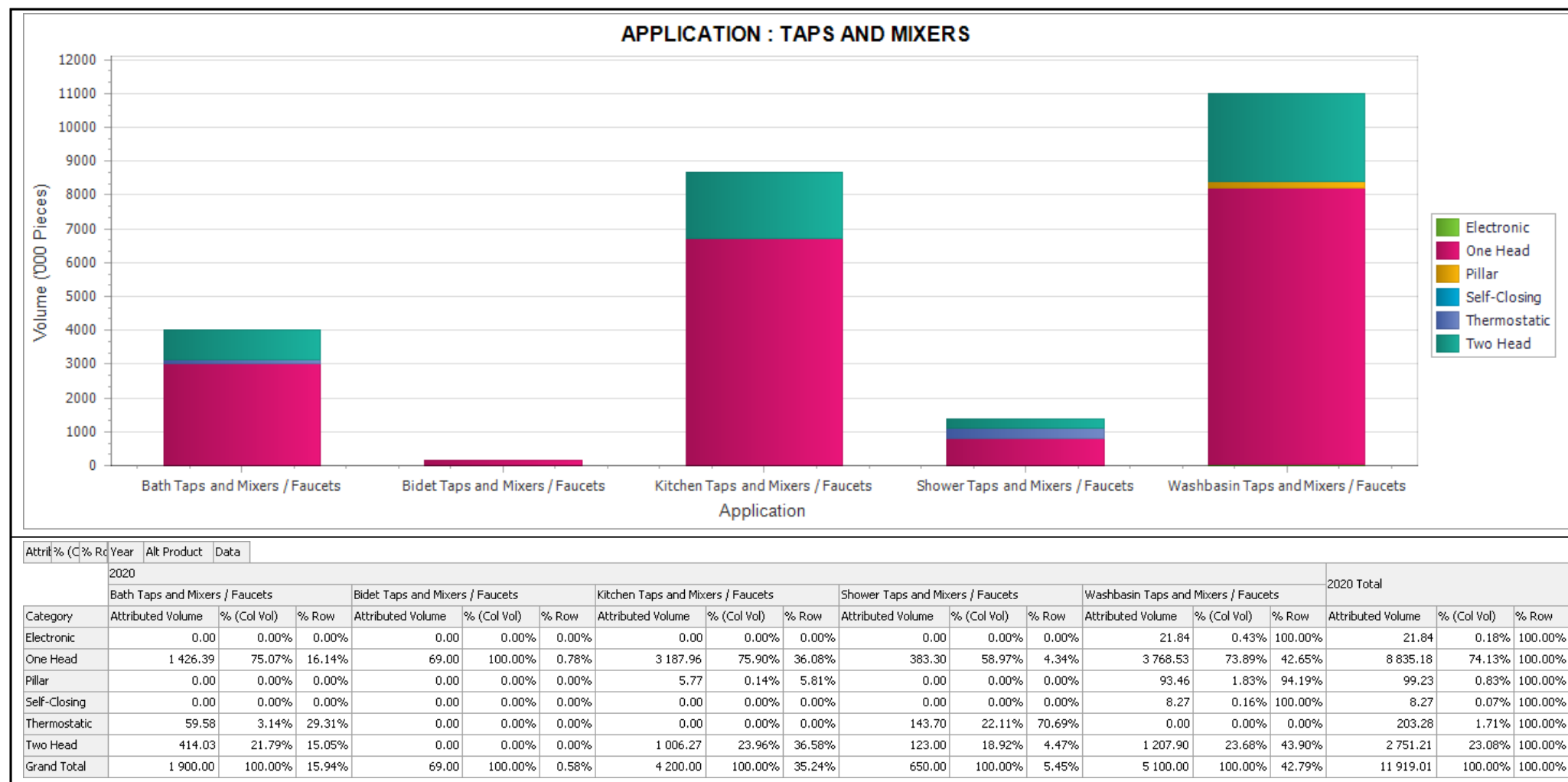
RU - SALES OF TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.4.3 Sales by Type and Application : Taps and Mixers

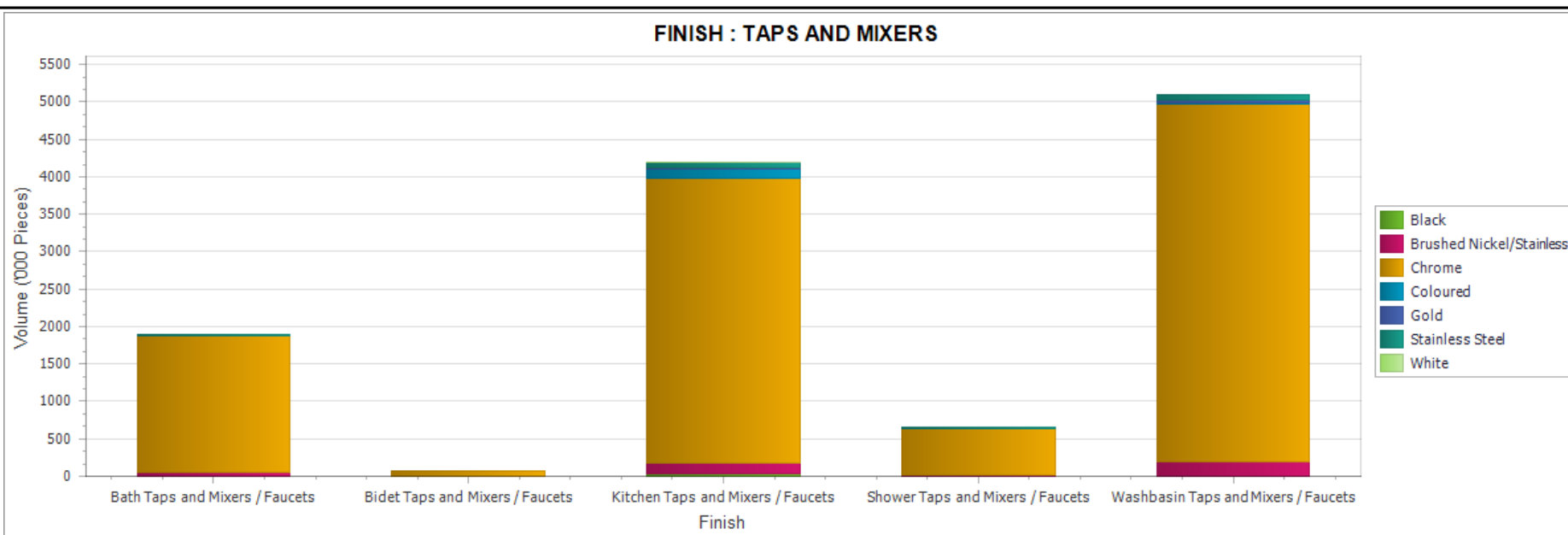
RU - TAP AND MIXER SALES BY TYPE AND APPLICATION ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.4 Sales by Type of Finish : Taps and Mixers

RU - TAP AND MIXER SALES BY FINISH AND APPLICATION ('000 PIECES)

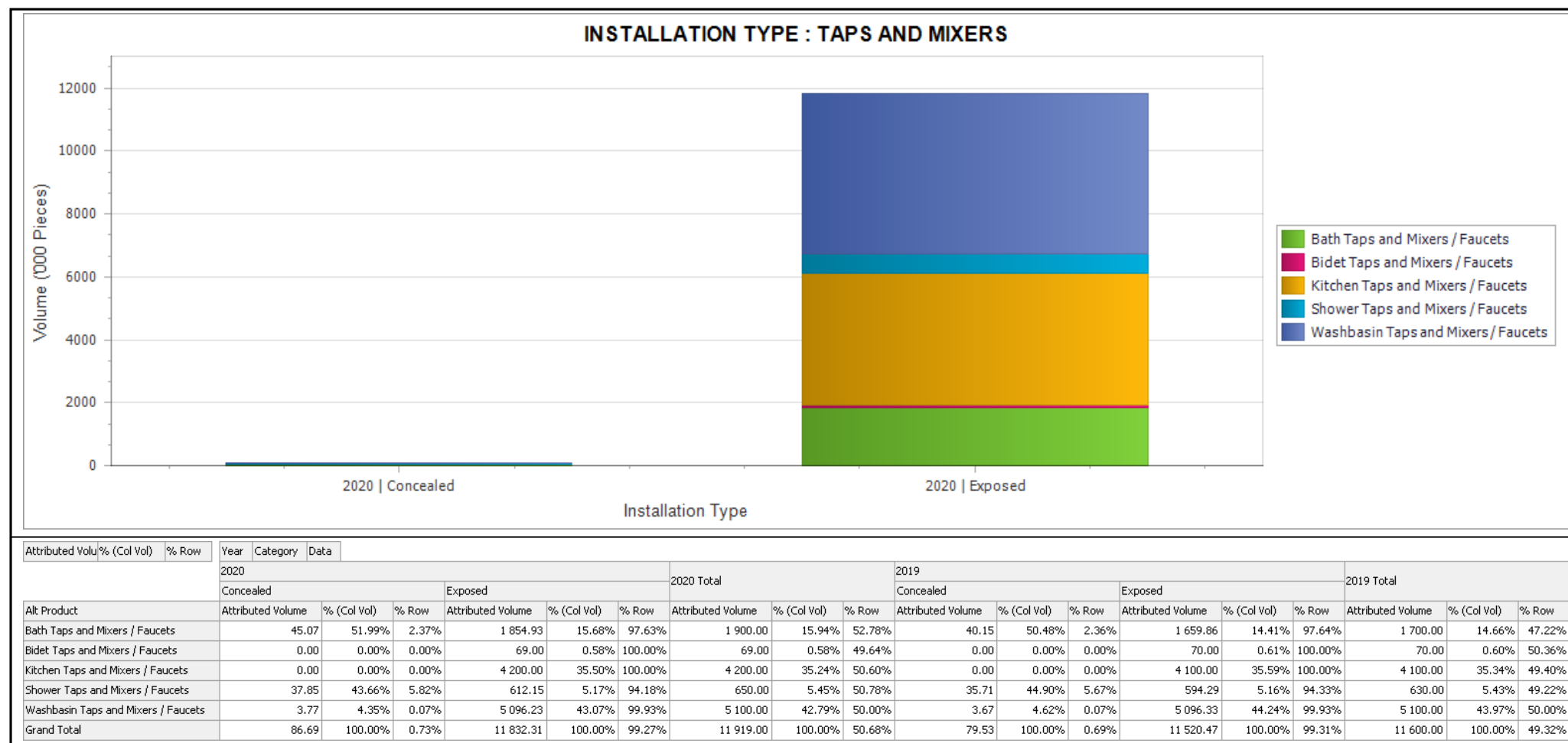


Attributed Volume	% (Col Vol)	Year	Alt Product	Data												
					2020										2020 Total	
					Bath Taps and Mixers / Faucets		Bidet Taps and Mixers / Faucets		Kitchen Taps and Mixers / Faucets		Shower Taps and Mixers / Faucets		Washbasin Taps and Mixers / Faucets			
Category	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)				
Black	0.00	0.00%	0.00	0.00%	33.60	0.80%	0.00	0.00%	5.10	0.10%	38.70	0.32%				
Brushed Nickel/Stainless	58.90	3.10%	0.00	0.00%	151.20	3.60%	20.15	3.10%	188.70	3.70%	418.95	3.51%				
Chrome	1 808.80	95.20%	69.00	100.00%	3 796.80	90.40%	618.15	95.10%	4 783.80	93.80%	11 076.55	92.93%				
Coloured	0.00	0.00%	0.00	0.00%	130.20	3.10%	0.65	0.10%	10.20	0.20%	141.05	1.18%				
Gold	1.90	0.10%	0.00	0.00%	12.60	0.30%	0.65	0.10%	35.70	0.70%	50.85	0.43%				
Stainless Steel	30.40	1.60%	0.00	0.00%	67.20	1.60%	10.40	1.60%	76.50	1.50%	184.50	1.55%				
White	0.00	0.00%	0.00	0.00%	8.40	0.20%	0.00	0.00%	0.00	0.00%	8.40	0.07%				
Grand Total	1 900.00	100.00%	69.00	100.00%	4 200.00	100.00%	650.00	100.00%	5 100.00	100.00%	11 919.00	100.00%				

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.5 Sales by Type of Installation : Taps and Mixers

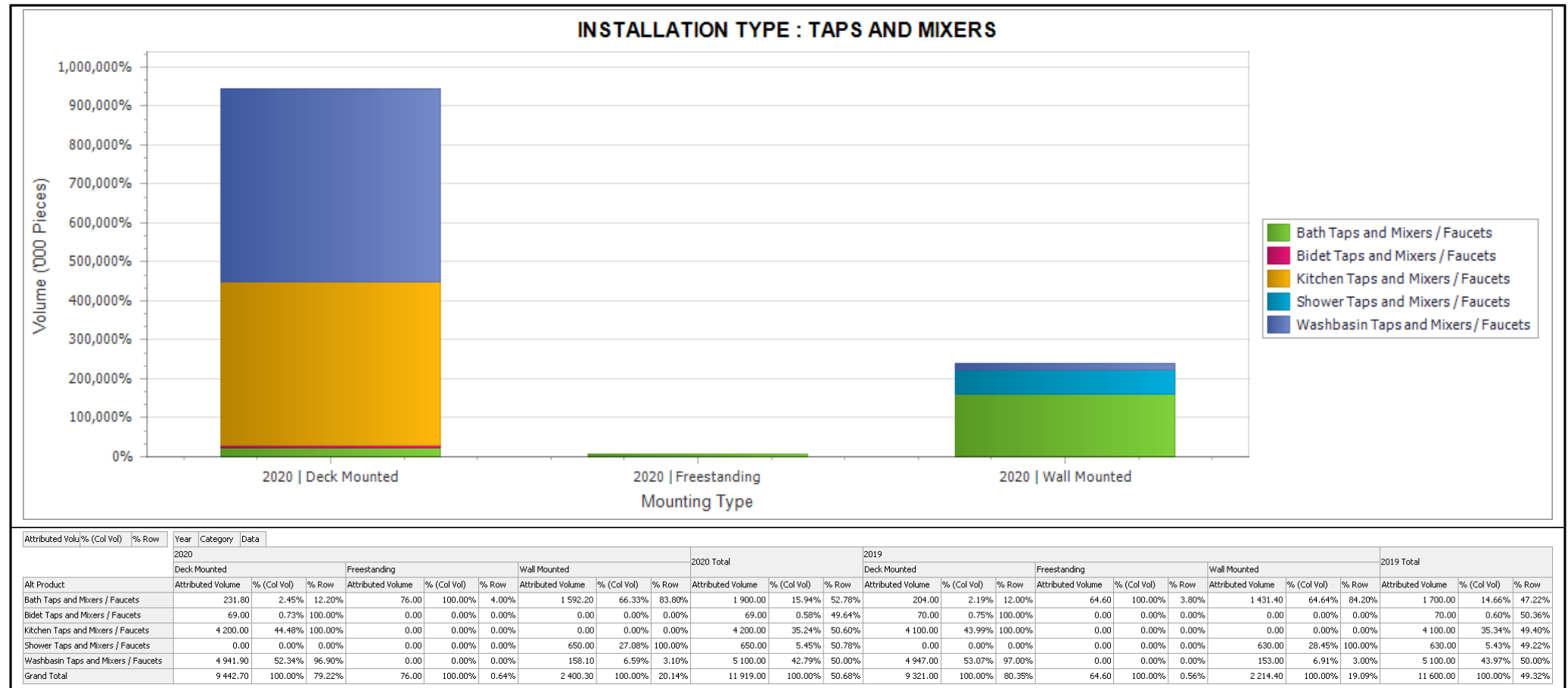
RU - TAP AND MIXER SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.6 Sales by Type of Mounting : Taps and Mixers

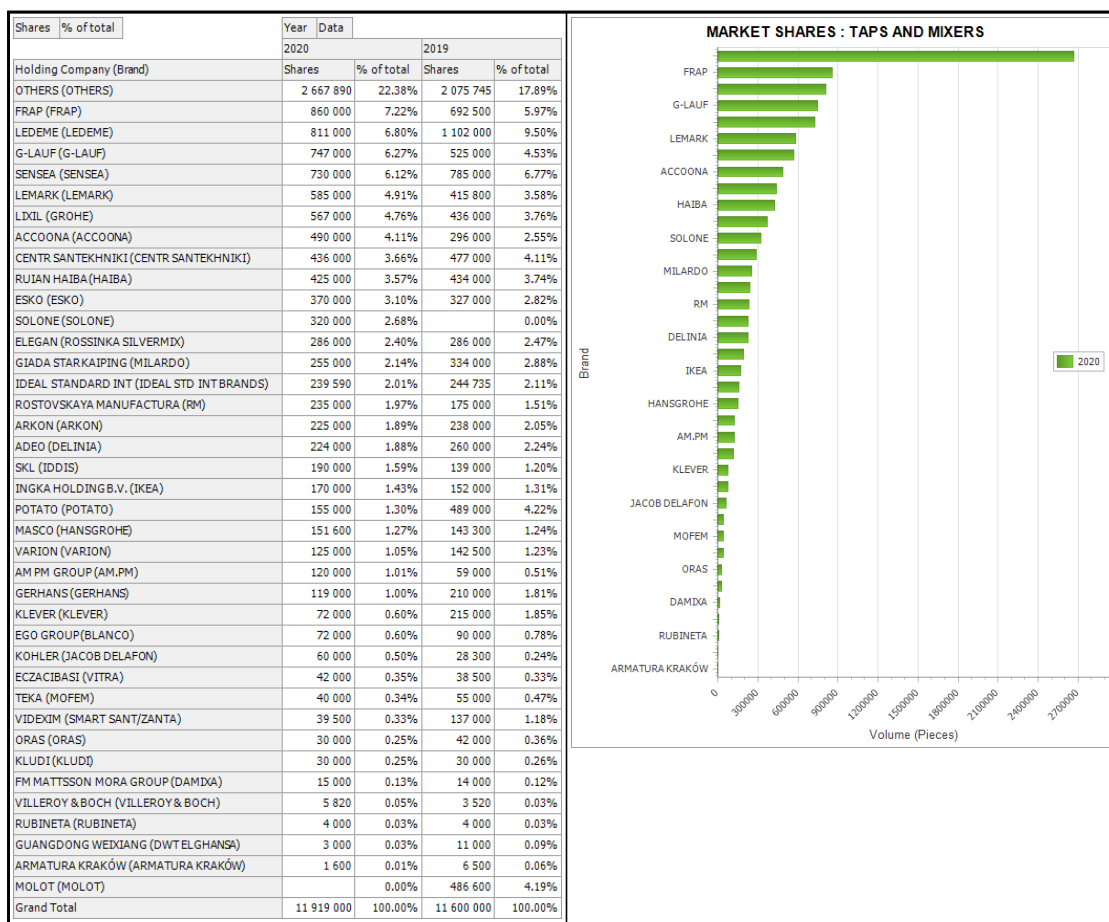
RU - TAP AND MIXER SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.5 Market Shares : Taps and Mixers

RU - ESTIMATED MARKET SHARES FOR TAPS AND MIXERS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers.

3.6.1 RU - IMPORTS OF TAPS & MIXERS 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	79 887	56.6%	505 637	33.5%	78 391	53.9%	508 672	32.2%
Belarus	14 729	10.4%	48 686	3.2%	18 671	12.8%	50 656	3.2%
Italy	13 004	9.2%	283 506	18.8%	11 546	7.9%	256 390	16.3%
Germany	5 176	3.7%	155 439	10.3%	4 557	3.1%	161 374	10.2%
Ukraine	3 937	2.8%	16 260	1.1%	4 895	3.4%	19 312	1.2%
Czech Republic	3 496	2.5%	53 820	3.6%	3 739	2.6%	54 173	3.4%
Poland	2 520	1.8%	28 566	1.9%	2 343	1.6%	29 908	1.9%
Turkey	2 338	1.7%	16 999	1.1%	2 026	1.4%	15 667	1.0%
Spain	1 587	1.1%	27 072	1.8%	1 722	1.2%	34 829	2.2%
France	1 445	1.0%	26 424	1.7%	1 727	1.2%	31 837	2.0%
OTHERS	12 977	9.2%	347 780	23.0%	15 789	10.9%	414 614	26.3%
Total	141 096	100.0%	1 510 189	100.0%	145 406	100.0%	1 577 432	100.0%

Source : Trademap

3.6.2 RU - EXPORTS OF TAPS & MIXERS 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Kazakhstan	8 365	38.6%	60 248	26.7%	9 350	43.3%	61 428	26.9%
Belarus	4 431	20.5%	44 355	19.6%	5 688	26.3%	68 790	30.2%
Uzbekistan	2 775	12.8%	19 347	8.6%	1 792	8.3%	16 449	7.2%
Ukraine	1 824	8.4%	11 291	5.0%	1 538	7.1%	10 164	4.5%
India	552	2.6%	41 279	18.3%	236	1.1%	27 086	11.9%
Kyrgyzstan	491	2.3%	2 432	1.1%	362	1.7%	2 216	1.0%
Armenia	331	1.5%	2 005	0.9%	276	1.3%	2 447	1.1%
Turkmenistan	328	1.5%	2 453	1.1%	91	0.4%	1 392	0.6%
Azerbaijan	257	1.2%	1 230	0.5%	392	1.8%	3 216	1.4%
Lithuania	243	1.1%	2 256	1.0%	187	0.9%	1 145	0.5%
Moldova, Republic of	221	1.0%	1 229	0.5%	150	0.7%	1 052	0.5%
OTHERS	1 829	8.4%	37 798	16.7%	1 533	7.1%	32 633	14.3%
Total	21 647	100.0%	225 923	100.0%	21 595	100.0%	228 018	100.0%

Source : Trademap

3.7.1

Route to Market: Kitchen Taps & Mixers / Faucets
RU - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

89.3%
Wholesalers / Merchants
89.3%

Retail Level

Manufacturer	Wholesaler
0.0%	8.0%
Internet Retailers	
8.0%	

Manufacturer	Wholesaler
9.8%	28.0%
DIY Retailers	
37.8%	

Manufacturer	Wholesaler
1.0%	38.0%
Specialist Retailers	
39.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	0.0%	0.0%	5.0%	19.0%
Installers				
24.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	14.3%	8.0%	32.8%	20.0%	22.9%
Residential					
98.0%					
New Build			Residential RMI		
26.3%			71.7%		
Project	Non-Project		Project	Non-Project	
20.0%	6.3%		1.0%	70.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	1.0%	0.0%	0.0%	0.0%	1.0%
Non-Residential					
2.0%					
New Build			Non-Residential RMI		
0.5%			1.5%		
Project	Non-Project		Project	Non-Project	
0.5%	0.0%		1.0%	0.5%	

3.7.2

Route to Market: Kitchen Taps & Mixers / Faucets
RU - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

87.0%
Wholesalers / Merchants
87.0%

Retail Level

Manufacturer	Wholesaler
0.0%	8.0%
Internet Retailers	
8.0%	

Manufacturer	Wholesaler
11.0%	26.0%
DIY Retailers	
37.0%	

Manufacturer	Wholesaler
2.0%	35.0%
Specialist Retailers	
37.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	0.0%	0.0%	5.0%	17.0%
Installers				
22.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	17.0%	8.0%	32.0%	20.0%	21.3%
Residential					
98.3%					
New Build			Residential RMI		
24.7%			73.6%		
Project	Non-Project		Project	Non-Project	
19.0%	5.7%		1.0%	72.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	1.0%	0.0%	0.0%	0.0%	0.7%
Non-Residential					
1.7%					
New Build			Non-Residential RMI		
0.4%			1.3%		
Project	Non-Project		Project	Non-Project	
0.4%	0.0%		0.6%	0.7%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.7.3 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

RU - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2020

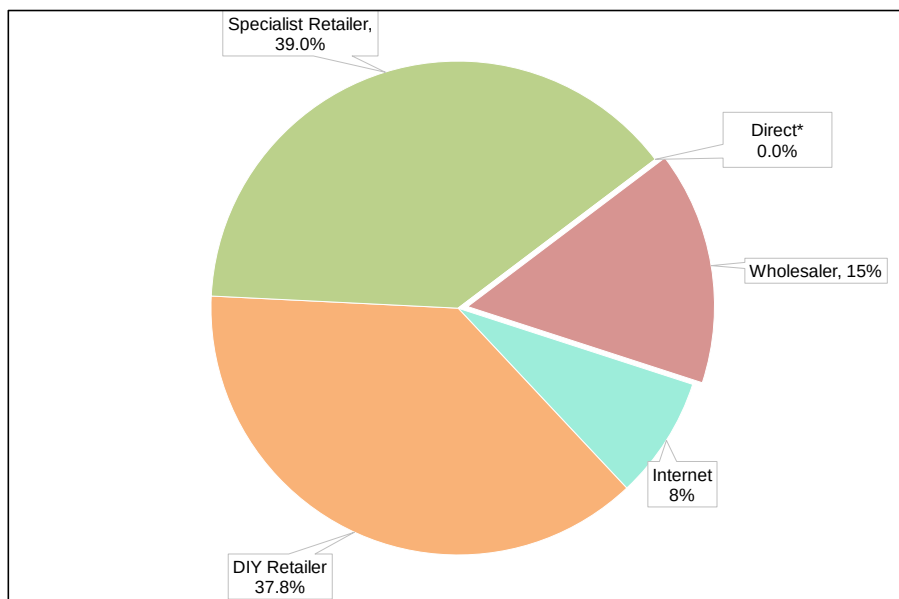
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
15.3%	8.0%	37.8%	39.0%	0.0%	21.0%	1.5%	77.0%	0.5%
100%					22.5%		77.5%	

3.7.4 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

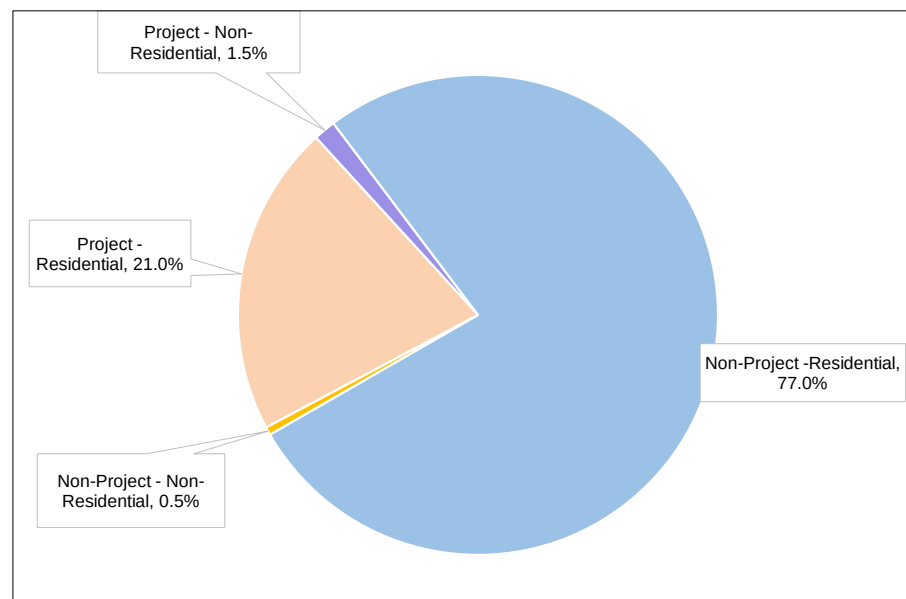
RU - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
18.0%	8.0%	37.0%	37.0%	0.0%	20.0%	1.0%	78.3%	0.7%
100%					21.0%		79.0%	

RU - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2020



RU - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.7.5

Route to Market: Sanitary Taps & Mixers / Faucets
RU - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

85.2%
Wholesalers / Merchants
85.2%

Retail Level

Manufacturer	Wholesaler
0.0%	8.0%
Internet Retailers	
8.0%	

Manufacturer	Wholesaler
13.1%	24.0%
DIY Retailers	
37.1%	

Manufacturer	Wholesaler
1.7%	38.0%
Specialist Retailers	
39.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	0.0%	0.0%	5.0%	19.7%
Installers				
24.7%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	13.2%	8.0%	32.1%	20.0%	21.9%
Residential					
95.2%					

New Build			Residential RMI		
27.9%			67.3%		
Project	Non-Project		Project	Non-Project	
23.0%	4.9%		1.0%	66.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	2.0%	0.0%	0.0%	0.0%	2.8%
Non-Residential					
4.8%					

New Build			Non-Residential RMI		
1.2%			3.6%		
Project	Non-Project		Project	Non-Project	
1.2%	0.0%		3.0%	0.6%	

3.7.6

Route to Market: Sanitary Taps & Mixers / Faucets
RU - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

84.0%
Wholesalers / Merchants
84.0%

Retail Level

Manufacturer	Wholesaler
0.0%	8.0%
Internet Retailers	
8.0%	

Manufacturer	Wholesaler
14.0%	23.0%
DIY Retailers	
37.0%	

Manufacturer	Wholesaler
2.0%	38.0%
Specialist Retailers	
40.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	0.0%	0.0%	5.0%	20.0%
Installers				
25.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	13.0%	8.0%	32.0%	20.0%	22.2%
Residential					
95.2%					

New Build			Residential RMI		
24.6%			70.7%		
Project	Non-Project		Project	Non-Project	
21.0%	3.6%		1.0%	69.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	2.0%	0.0%	0.0%	0.0%	2.8%
Non-Residential					
4.8%					

New Build			Non-Residential RMI		
1.2%			3.6%		
Project	Non-Project		Project	Non-Project	
1.2%	0.0%		3.0%	0.6%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.7.7 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

RU - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2020

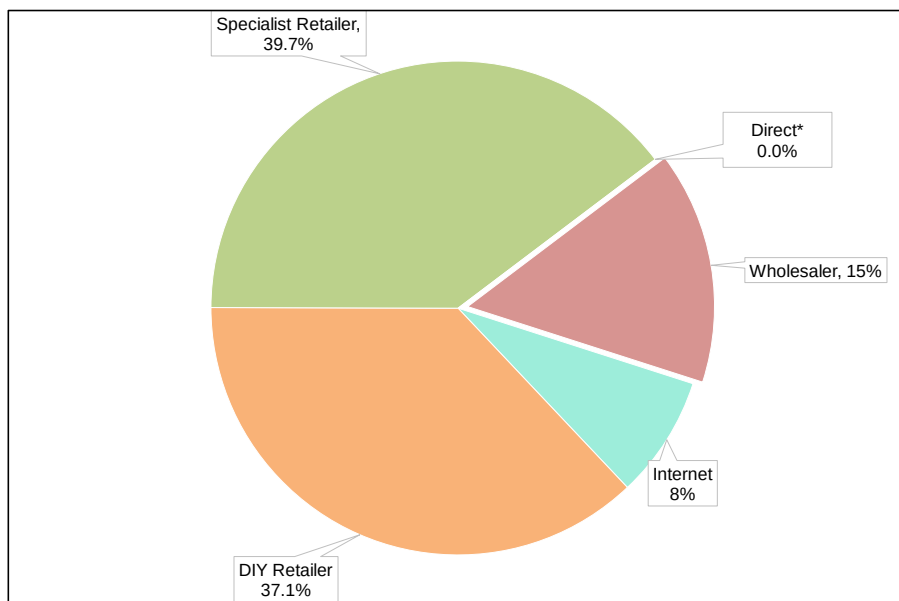
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
15.2%	8.0%	37.1%	39.7%	0.0%	24.0%	4.2%	71.2%	0.6%
100%					28.2%		71.8%	

3.7.8 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

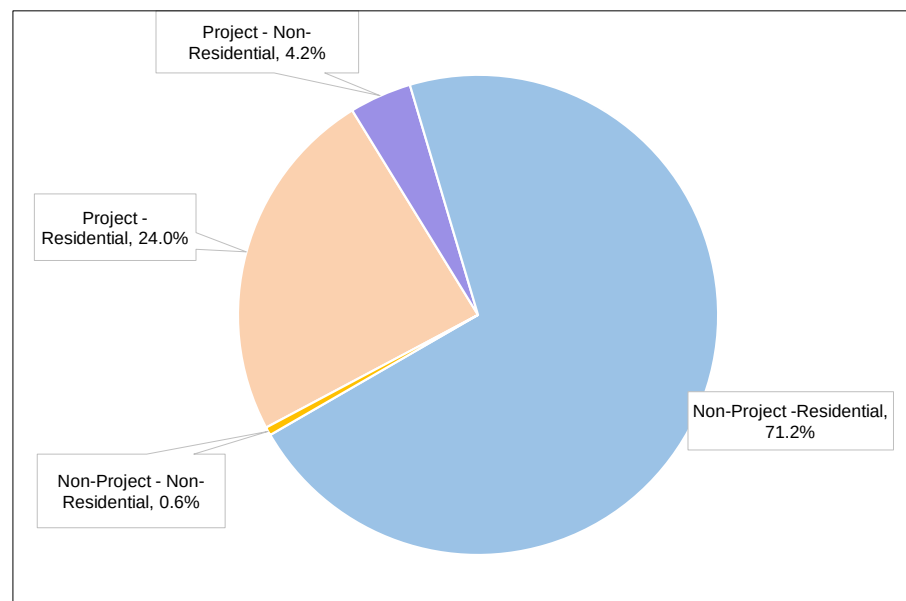
RU - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
15.0%	8.0%	37.0%	40.0%	0.0%	22.0%	4.2%	73.2%	0.6%
100%					26.2%		73.8%	

RU - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2020



RU - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2020



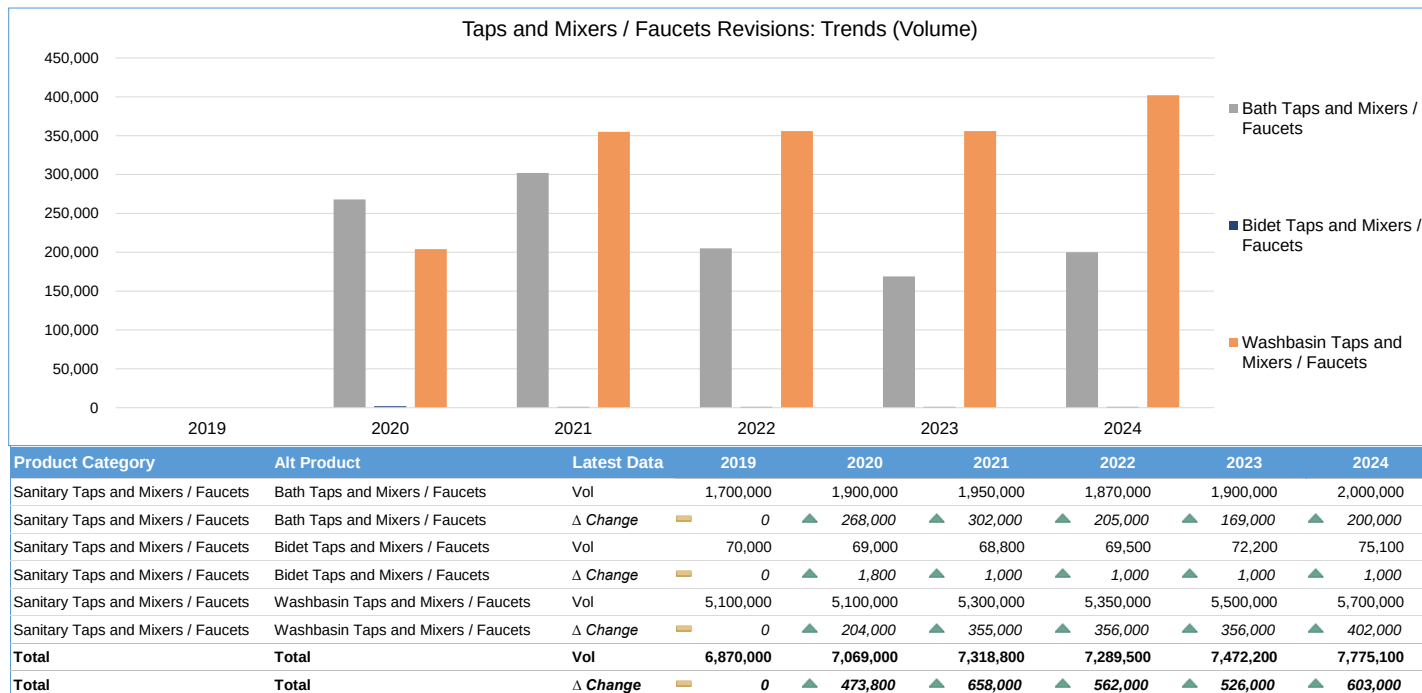
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.8 Revisions in the Russian Taps and Mixers / Faucets Market (April 2021)

RU - REVISIONS IN THE RUSSIAN TAPS AND MIXERS / FAUCETS MARKET

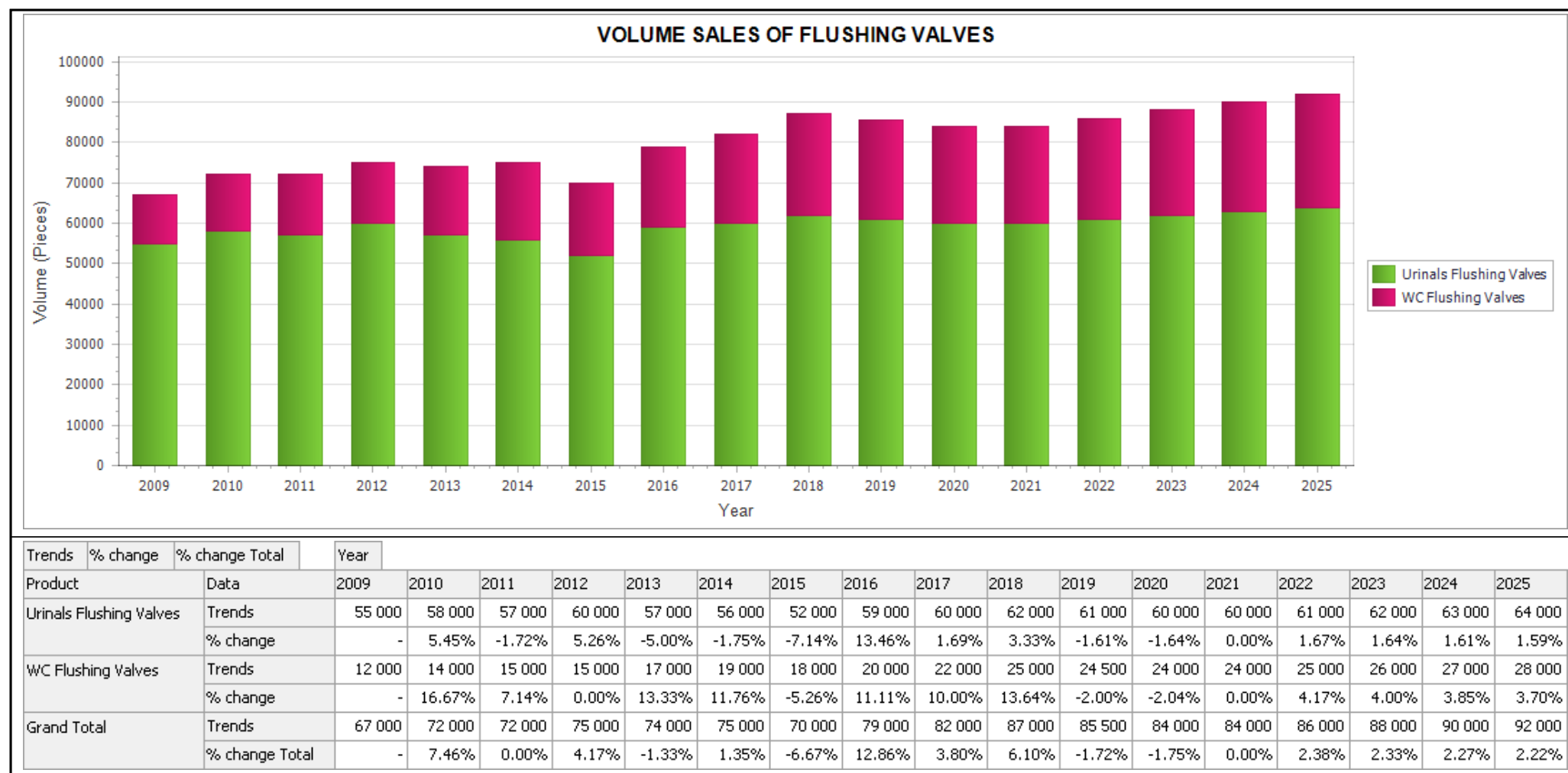
Data Comparison: October 2020



No revisions have been made to historical volumes and values for this market.

3.9.1 Historical Trends and Forecasts : Flushing Valves

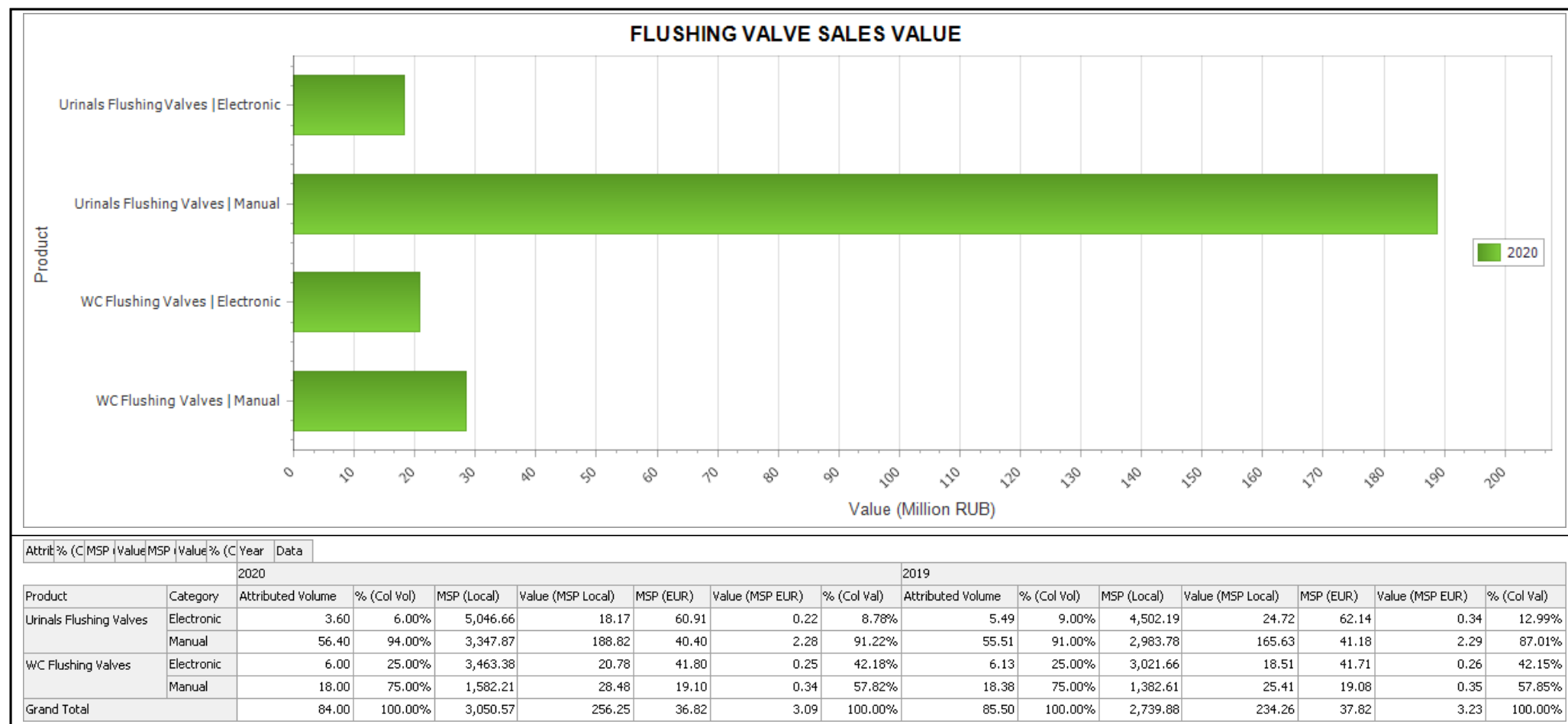
RU - SUMMARY OF TRENDS IN THE FLUSHING VALVE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

3.9.2 Prices and Market Values : Flushing Valves

RU - ESTIMATED VALUES OF THE FLUSHING VALVE MARKET

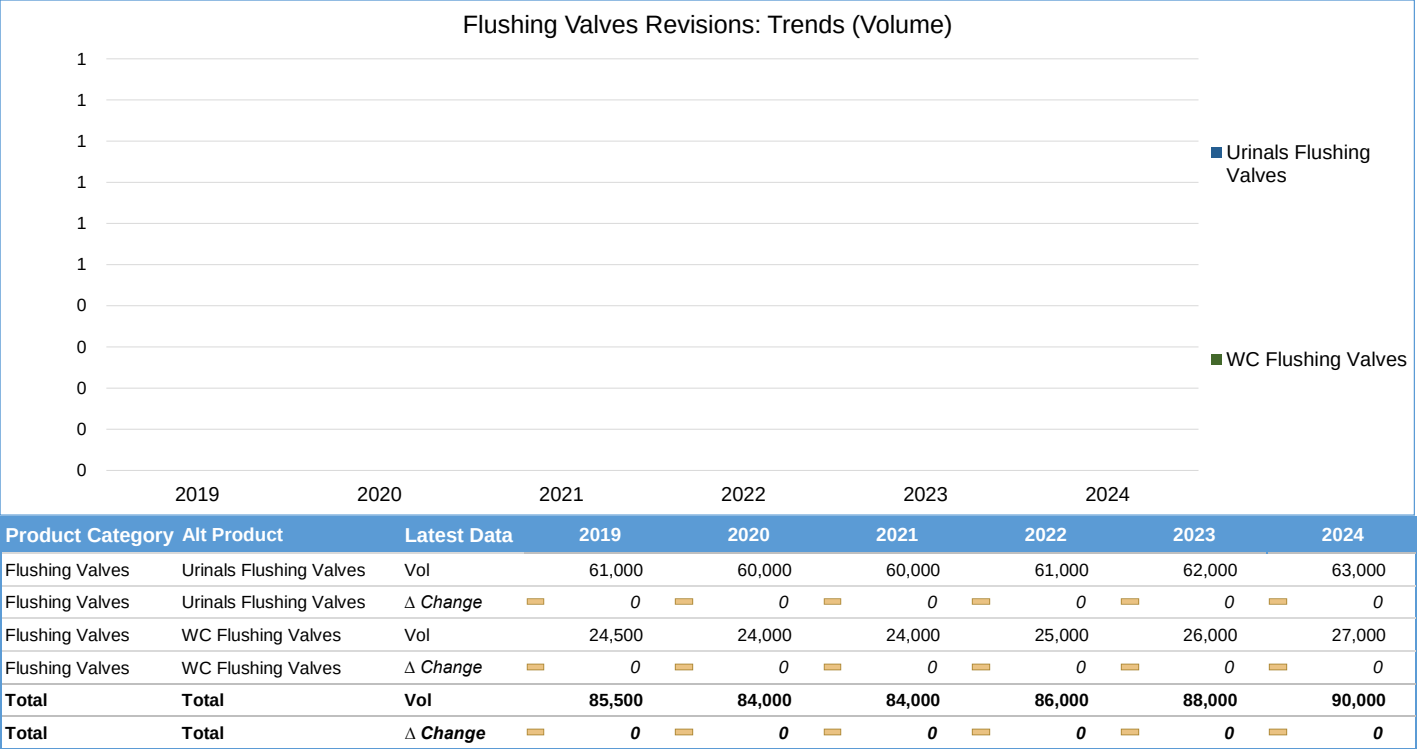


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in RUB. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

3.10 Revisions in the Russian Flushing Valves Market (April 2021)

RU - REVISIONS IN THE RUSSIAN FLUSHING VALVES MARKET

Data Comparison: October 2020



No revisions have been made to historical volumes for this market.

RUSSIA

SHOWER WALL

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

During the time of the Soviet Union, demand for shower wall products was low and restricted to the non-housing sector, while most apartment bathrooms were normally equipped with a bath without any shower wall products. In recent years, however, the demand has increased for shower wall products in housing, in new construction of both individual houses and apartments – due to extensive renovations.

In Russia, there is still a predominance of small bathrooms equipped with a bath with a plastic shower and/or bath curtain. However, in new construction there has been a clear trend towards larger bathrooms. In renovation, the trend is to replace the bath in a small bathroom with a shower to create space for a washing machine. In addition, there remains a market in holiday homes for shower trays and shower enclosures. Thus, the market is expected to develop in the long term, benefiting from the growing attention paid by Russian consumers to their bathrooms. The Russian shower wall product market is small when compared to other Eastern European countries.

There is a marked difference in sales between urban and rural areas. Shower enclosures, for example, sell much better in large towns and cities than in small towns and villages. Moscow and St Petersburg are the major markets and have the highest purchasing power. Since the mid-2000s, however, regional development has accelerated in the Central and Ural regions.

Shower enclosures are by far the largest product within the shower wall family. Local manufacturers are struggling to compete with low-priced Chinese imports and European brands in the upper segment. Glass is the most popular material for shower enclosures and bath screens. Round/pivoting, side wall and sliding door types account for the majority of shower enclosure sales. Five angle model sales are marginal.

Shower enclosures are not always installed with shower trays, but in the majority of cases they are installed together. Bath screens are usually the choice of upper-middle class and wealthy individuals.

Recent Market Trends

Despite a difficult year, the Russian shower wall market recorded growth in 2020 supported by healthy replacement demand. During lockdowns people were locked at home or moved to holiday houses/villas. Some households had more time and money (unspent holiday savings) and they invested these savings in the upgrade of shower enclosures. People usually stay at summer houses for short periods of time and these premises are not well maintained. Usually cheap shower enclosures or even trays with curtains are installed there. When people realised that they would stay in summer houses for much longer owners started upgrading shower

enclosures. In the second half of 2020, a construction boom took place in Russia. Many buyers returned to the market and started actively purchasing flats. All of the above led to a healthy increase in sales of shower wall products.

The relationship between shower trays and shower enclosures did not change significantly. Similar to previous years the shower enclosures market remained in the hands of Chinese manufacturers. The market saw redistribution of shares among them in 2021. Russian manufacturers significantly increased their sales but they still remain small players.

The bath screen segment has recorded growth, due to a growing penetration of the product. The share of ad hoc sales has decreased, as there were some problems with shipment of goods from China. In addition, local manufacturers and LEROY MERLIN strengthened positions in the segment.

Russian synthetic bathroom manufacturers are eyeing the sector, with some companies (BAS and TRITON) launching new products recently.

The luxury hydrotherapy shower cubicles price segment has declined, which is directly linked to the decline in completions of luxury housing. The sector is small in comparison to the size of Russia. The major obstacle remains the current economic crisis of the country and the relatively small size of new-build block dwellings. As a result, hydrotherapy cubicles are mainly installed in luxury apartments and individual houses.

Prices and Market Values

Average prices of bath screens and hydrotherapy cubicles increased in EUR in 2020. Average prices of conventional cubicles and shower enclosures decreased in EUR as there was a continuous shift towards economy products and significant competition. In spite of the market being dominated by imports, Asian manufacturers have become more innovative and have introduced models similar to those of high-end European manufacturers. Due to the challenging economic environment, all players tried to maintain their market presence and did not increase prices significantly in 2020.

New Housing

The new build sector has remained popular for shower wall products, and these products have established themselves in the sector in recent years. However, the segment remains under pressure. Apart from shower enclosures, a significant share of bath screens and shower cubicles are sold in this segment. The penetration of shower enclosures is forecast to increase in the segment in the long term. Despite a decline in the new housing segment due to the increasing penetration sales of shower wall products increased in the segment in 2021.

Housing RMI

The RMI sector remains far from maturity. The segment is expected to sustain a healthy growth in the long term and increase considerably. Sales of shower enclosures increased rapidly in the new build sector in the past, laying the groundwork for increasing demand from the RMI segment. Shower enclosures are the most popular product in the home improvement segment.

Conventional shower cubicles are mostly used for renovation purposes, when an existing cubicle is replaced. The segment recorded healthy growth in 2020 thanks to a renovation drive triggered by the pandemic.

Non-Housing

Most shower wall products sold in the non-housing segment were installed in hotels. The sector is sensitive to hotel completions and renovations. The share of this segment remains very low in comparison to the size of the overall market for shower walls. Completions of hotels are set to decline, due to the current economic situation in the short term.

Shower enclosures are installed predominantly in hotels in the large cities, while regional hotels prefer to install baths. Hospitals and nursing homes are equipped with baths rather than shower enclosures. The coronavirus crisis will have a significant impact on hotels and is expected to lead to lower demand for bathroom products. Similar to the residential segment, while hotels were closed during lockdown owners used this time to invest and upgrade hotel rooms. These led to an increase in sales of shower enclosures in 2020.

Supply Structure

The overall shower enclosure market is fragmented, with a high share of unbranded products from China. Similarly to previous years, the share of cheap shower wall products (mainly from China) remains high. These products are produced predominantly on an OEM basis, in a particular design and under a specific brand.

The bath screen segment is supplied by manufacturers of shower enclosures. LEROY MERLIN with its SENSEA brand became a leader in 2020. The rest of the market is split between Russian and Chinese manufacturers.

In the conventional shower cubicle sector, SENSEA and TRITON lead the market.

In the shower enclosure market, Asian companies kept the leading position. Domestic manufacturers find it difficult to compete with low-priced Chinese imports in the economy segment and European imports in the high-end segment. As a result, they either switch from manufacturing to importing or maintain low sales levels.

The hydrotherapy shower cubicle market is dominated by Asian imports. Various Asian manufacturers are trying to penetrate the market. As a result, the supply structure is changing rapidly.

Forecasts

BRG's forecast is based on the assumption that oil prices would remain above USD 40 per barrel and the pandemic would not get much worse. However, there are a few factors that can make things worse for Russia. Firstly, if COVID-19 becomes more aggressive, then the government would not be able to hide this from the population. Secondly, if oil prices remain under USD 40 for a prolonged period of time, since Russia needs an oil price around USD 40 a barrel to balance its federal budget. Thirdly, President Putin may resort to external wars or aggressive moves as a means to divert the population's attention away from the current economic crisis. Finally, the relationship with the US is very important.

The demand for holiday homes is expected to remain strong in the first half of 2021 supporting both new installations and replacement of shower enclosures. However, it is expected to dip in 2022 as most people who could afford would have already purchased by that time.

Around 75% of new build dwellings in Russia is purchased with mortgages. The government allocated funds to subsidise mortgages. The state support programme is planned to last at least until July 2021. Due to the turmoil caused by the pandemic, devaluation of the RUR and further Western sanctions the housing completion levels are expected to dip in 2022 when the state subsidies are withdrawn.

The industry experts believe that the spending level would continue to stay on high in the first half of 2021. People who have money have already purchased (or committed to buy) dwellings, dachas or shower enclosures. Therefore, these spendings are likely to start falling by the end of 2021.

Many real estate agents consider the current situation as a real estate bubble. As long as there is state support, people cannot travel abroad (would be purchasing second homes in Russia instead of overseas) and spend on renovation or acquisitions unspent travel money the construction market is unlikely to crash. However, all these drivers are likely to evaporate by 2022 leading to a fall in new build sales. The market is expected to fall in 2022 and pick up in 2023. The overall market is set to grow in the long term, as the replacement level has remained low, penetration of shower enclosure products is increasing and the market is far from saturation.

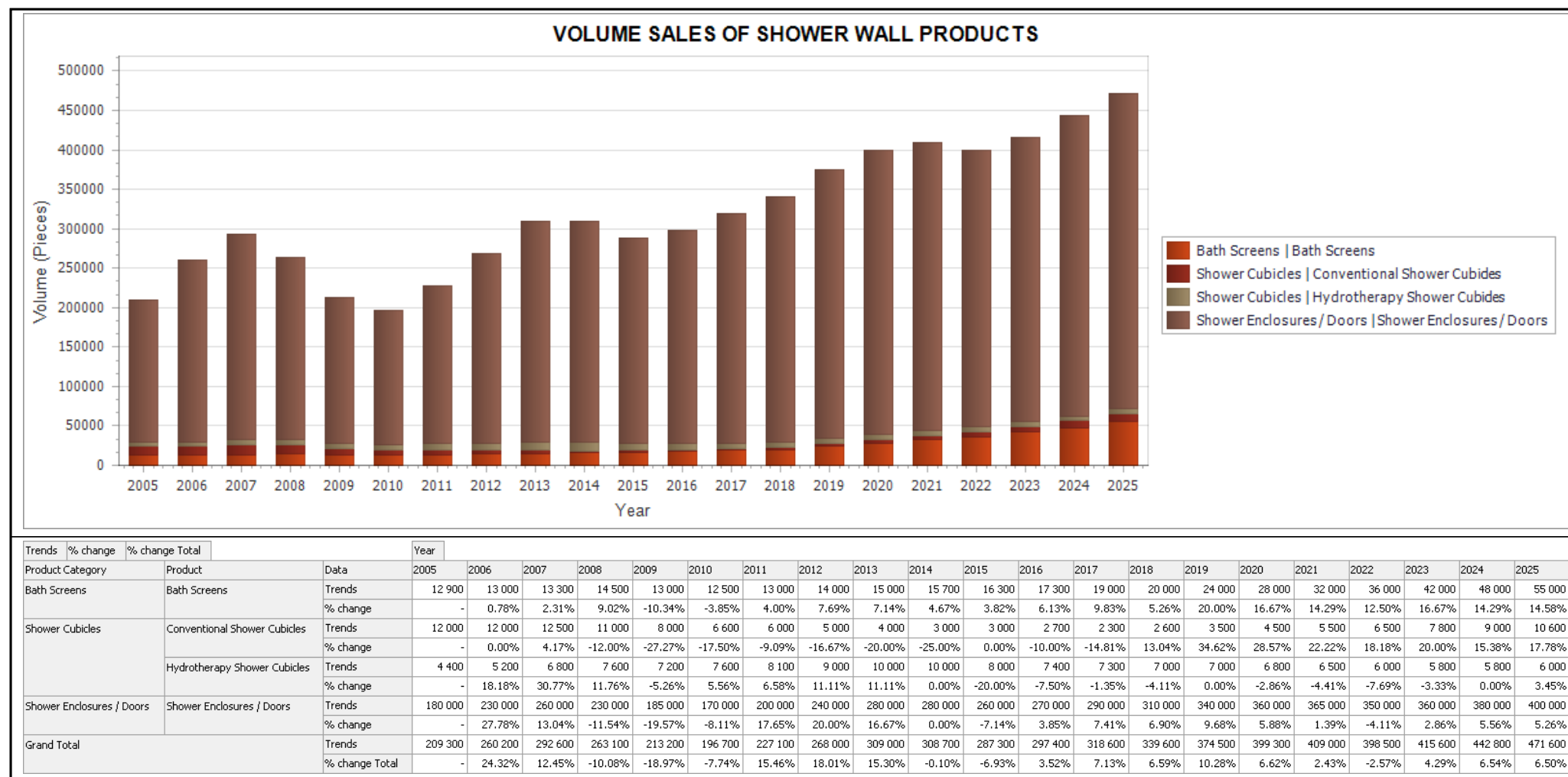
The planned expansion of Moscow, the replacement of '*Khrushchovki*' buildings by modern blocks in Moscow, and regional (construction) development are forecast to positively affect the shower wall market in the long term. It is estimated that Asian imports will be the main beneficiary, as some Russian manufacturers that entered

the segment recently have experienced difficulties in competing with low-priced Asian imports.

The purchasing power of the general population remains lower than in most EU countries. As a result, not everyone, particularly in rural areas, can afford modern products. Therefore, economic growth and the increasing purchasing power of households should positively affect sales.

4.2 Historical Trends and Forecasts : Shower Wall

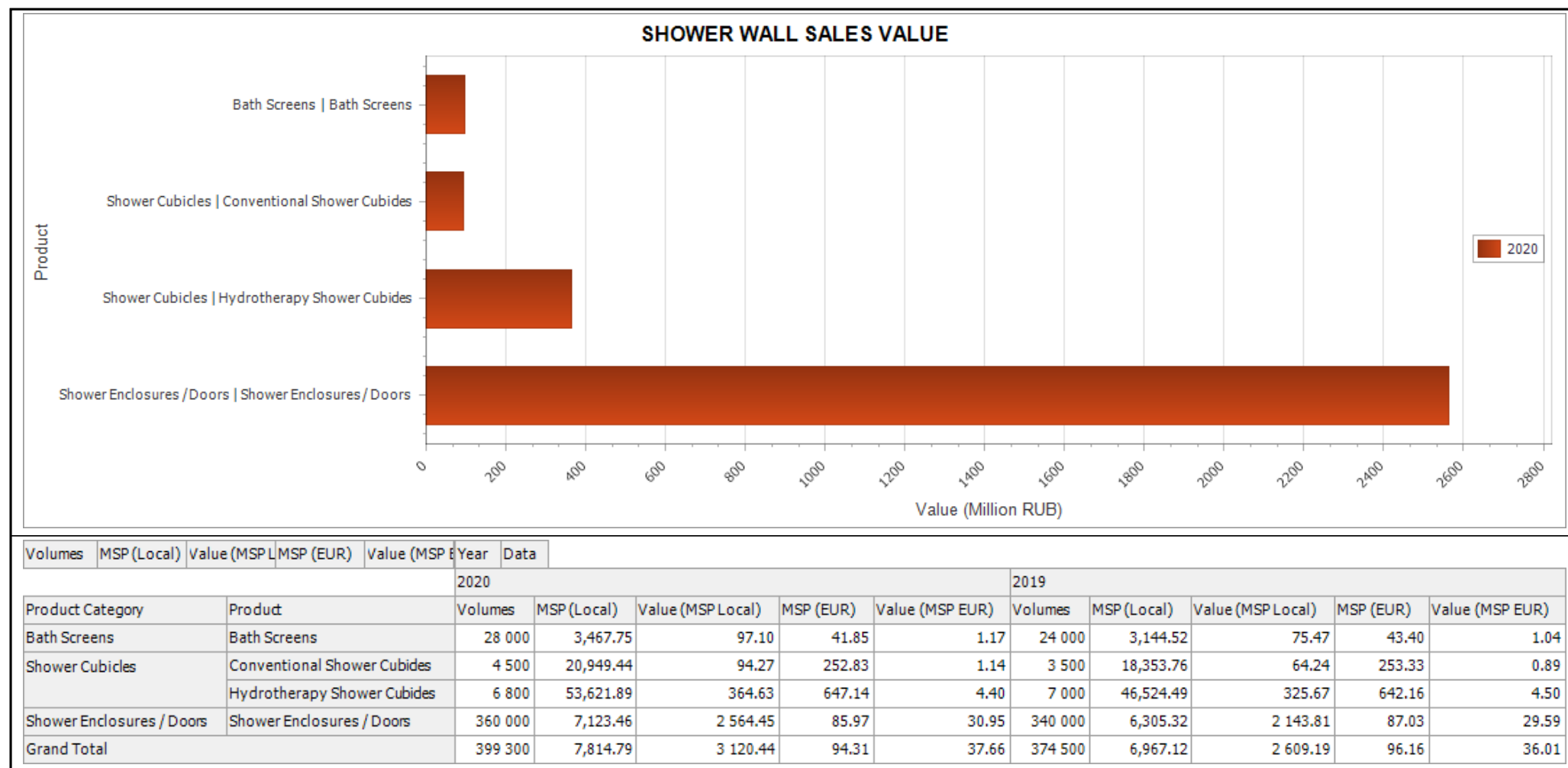
RU - SUMMARY OF TRENDS IN THE SHOWER WALL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

4.3.1 Prices and Market Values : Shower Wall

RU - ESTIMATED VALUES OF THE SHOWER WALL MARKET

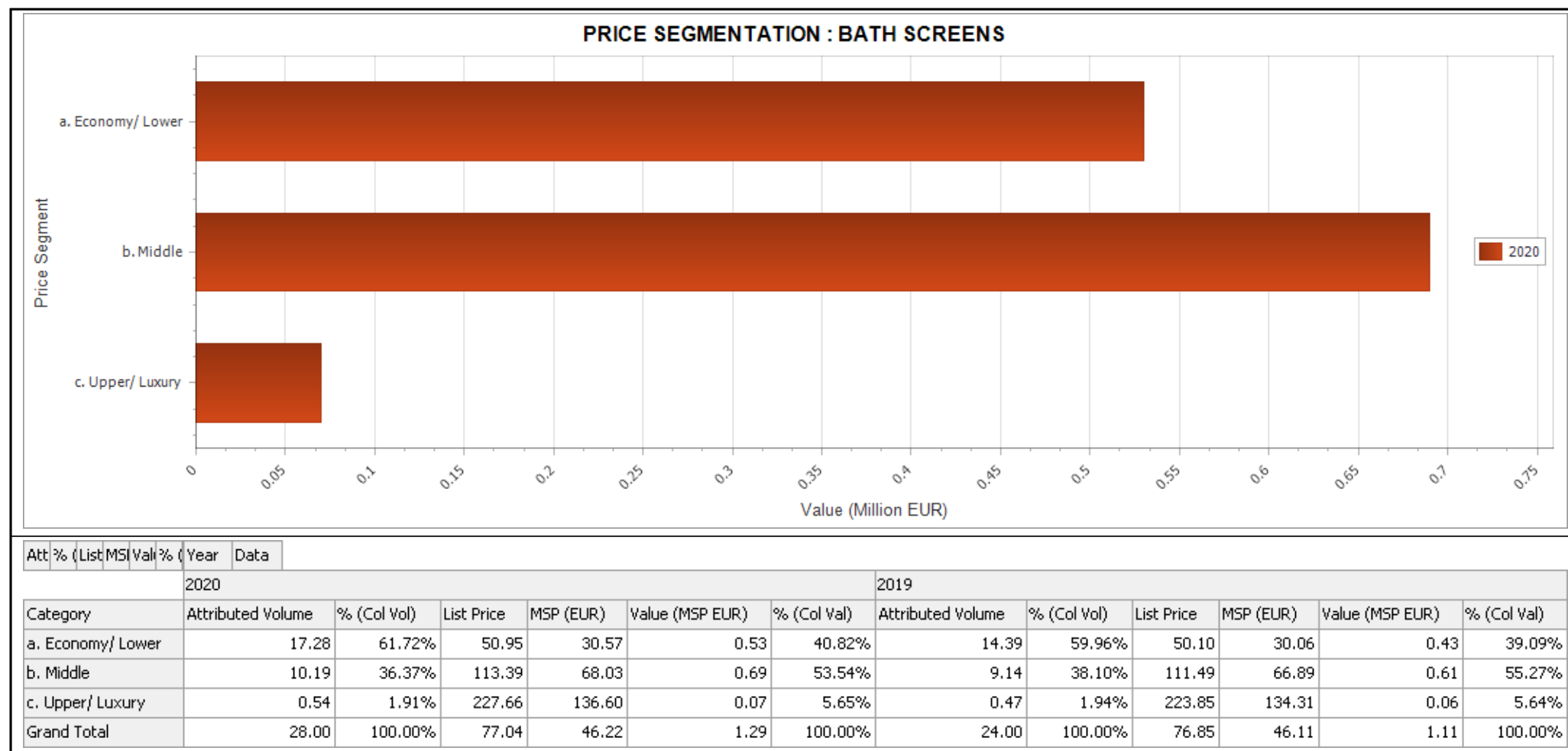


Source: BRG based on industry interviews.

Values Shown in Millions (at MSP = Manufacturers' Selling Price). Local Prices Shown in RUB. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

4.3.2 Price Segmentation : Bath Screens

RU - ESTIMATED PRICE SEGMENTATION FOR BATH SCREENS

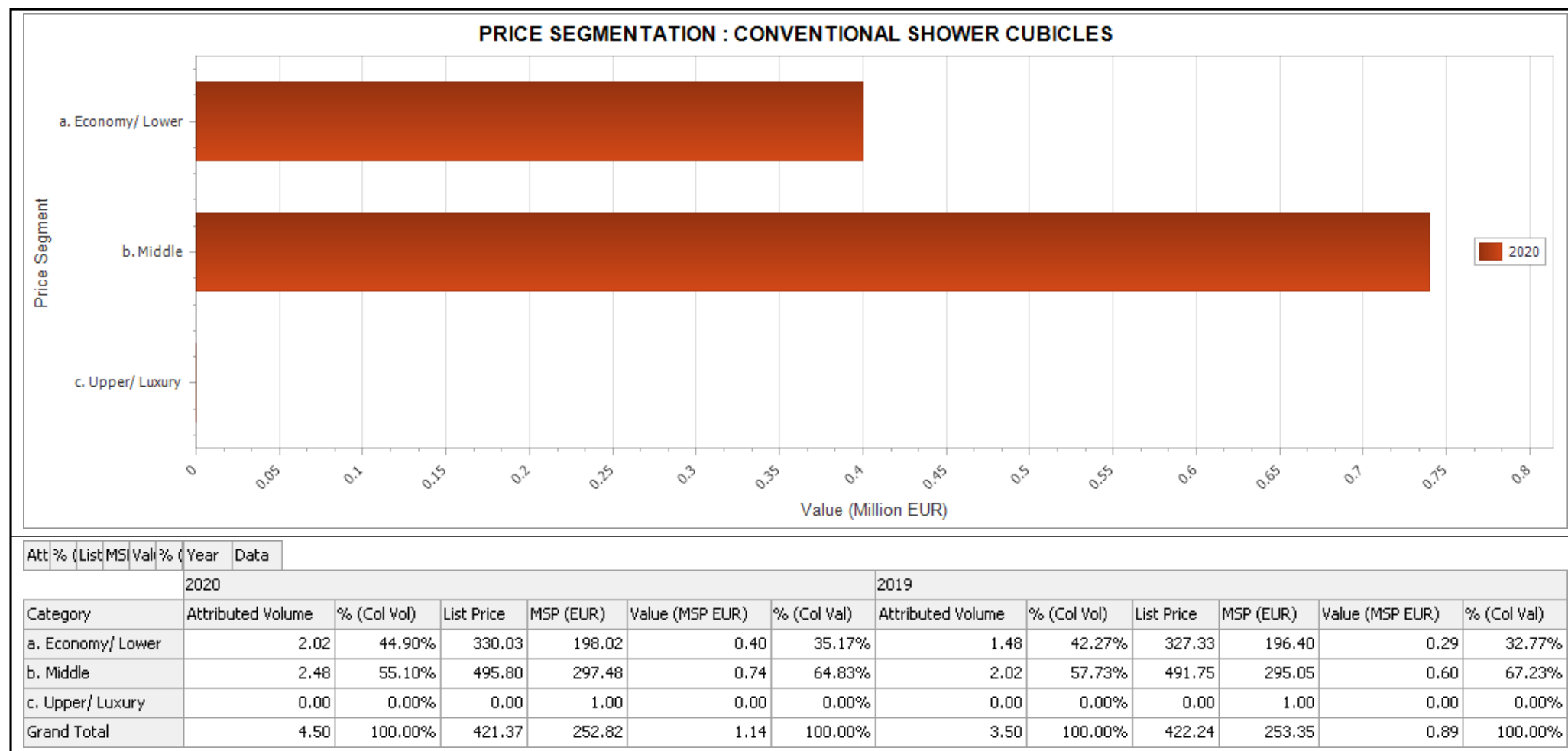


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€100, Upper/ Luxury >€100

4.3.3 Price Segmentation : Conventional Shower Cubicles

RU - ESTIMATED PRICE SEGMENTATION FOR CONVENTIONAL SHOWER CUBICLES

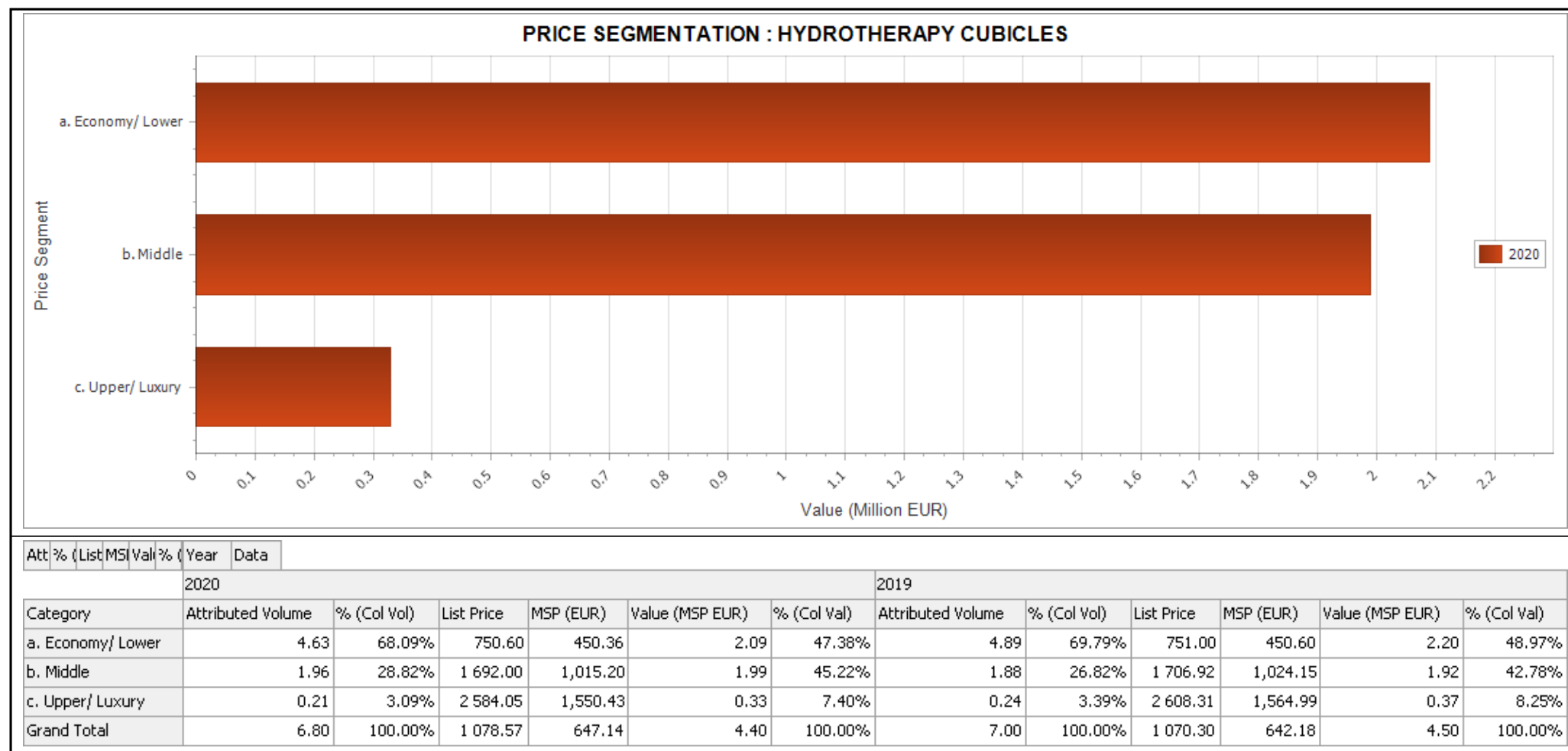


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€250, Middle €250-€400, Upper/ Luxury >€400

4.3.4 Price Segmentation : Hydrotherapy Shower Cubicles

RU - ESTIMATED PRICE SEGMENTATION FOR HYDROTHERAPY CUBICLES

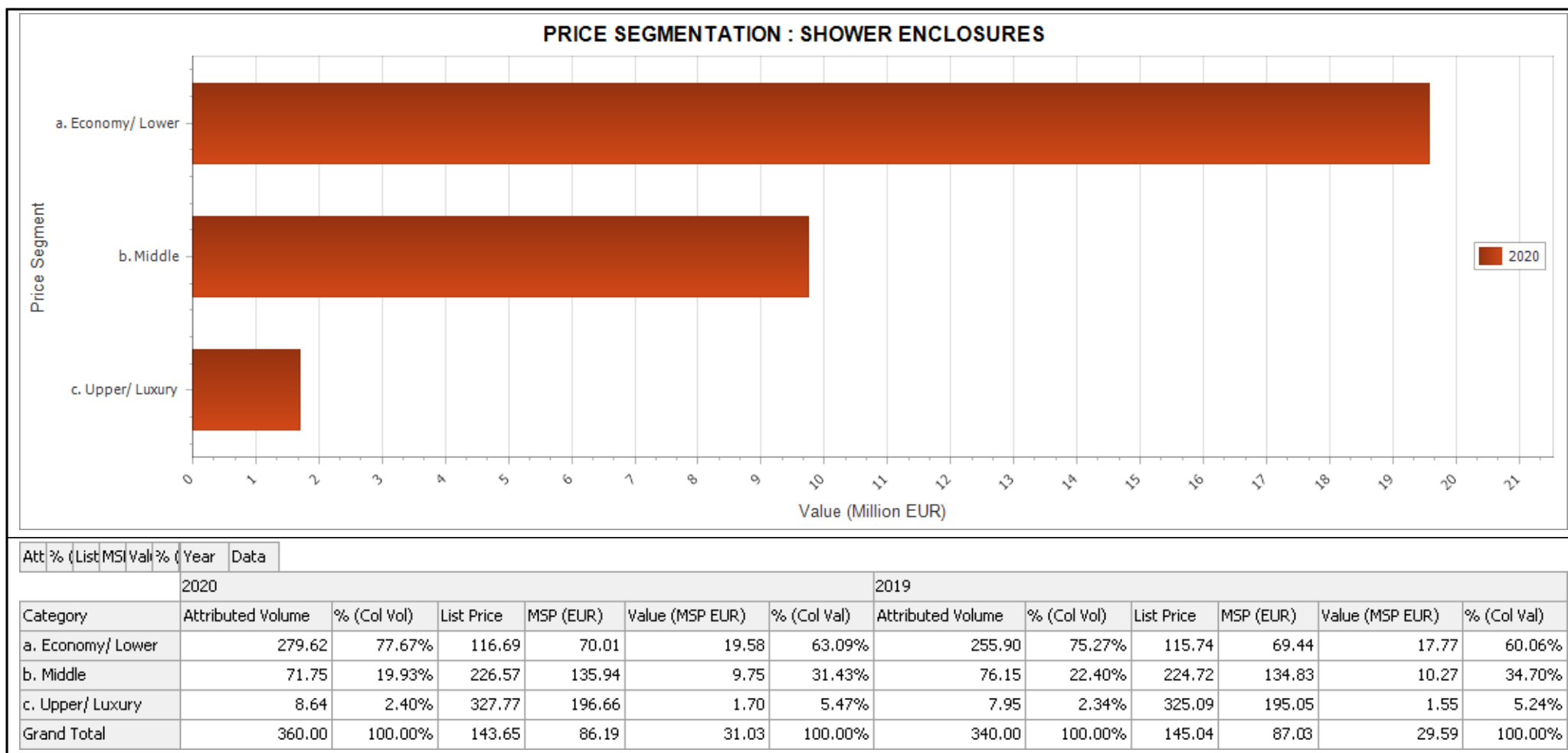


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€800, Middle€800-€1300, Upper/ Luxury >€1300

4.3.5 Price Segmentation : Shower Enclosures

RU - ESTIMATED PRICE SEGMENTATION FOR SHOWER ENCLOSURES

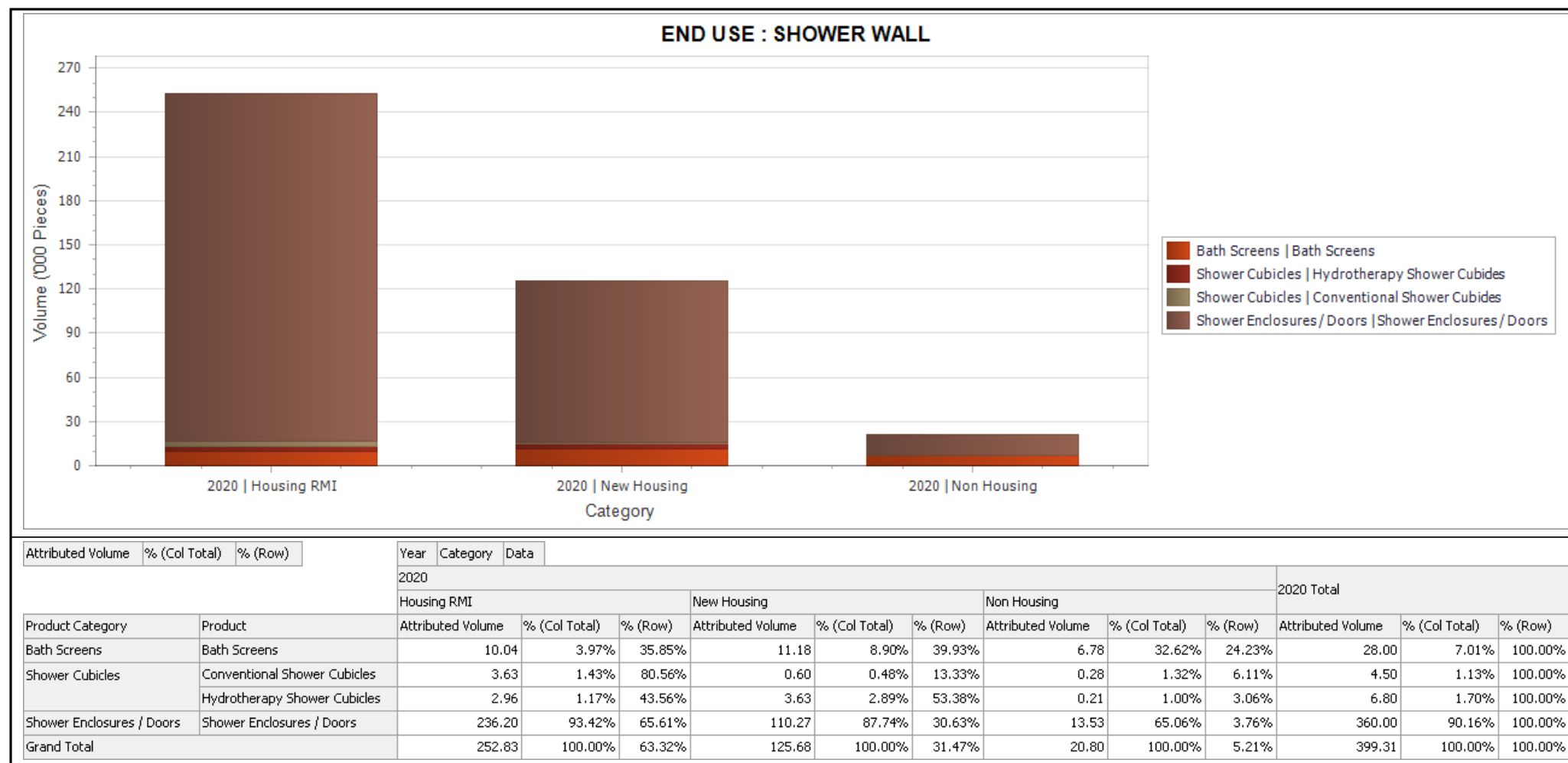


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€170, Upper/ Luxury >€170

4.4.1 End Use : Base Year

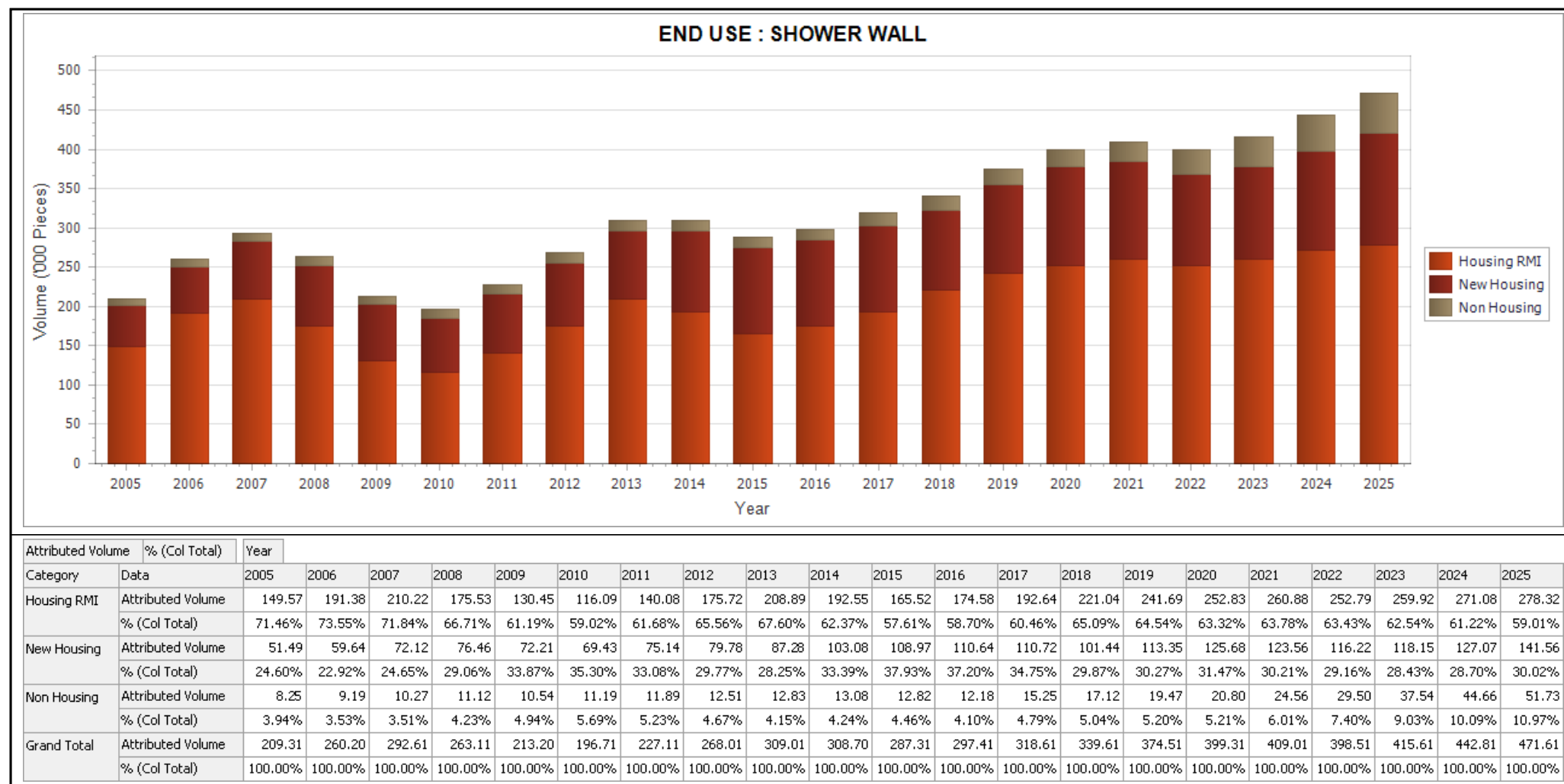
RU - SALES OF SHOWER WALL BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.2 End Use : Historical and Forecasts

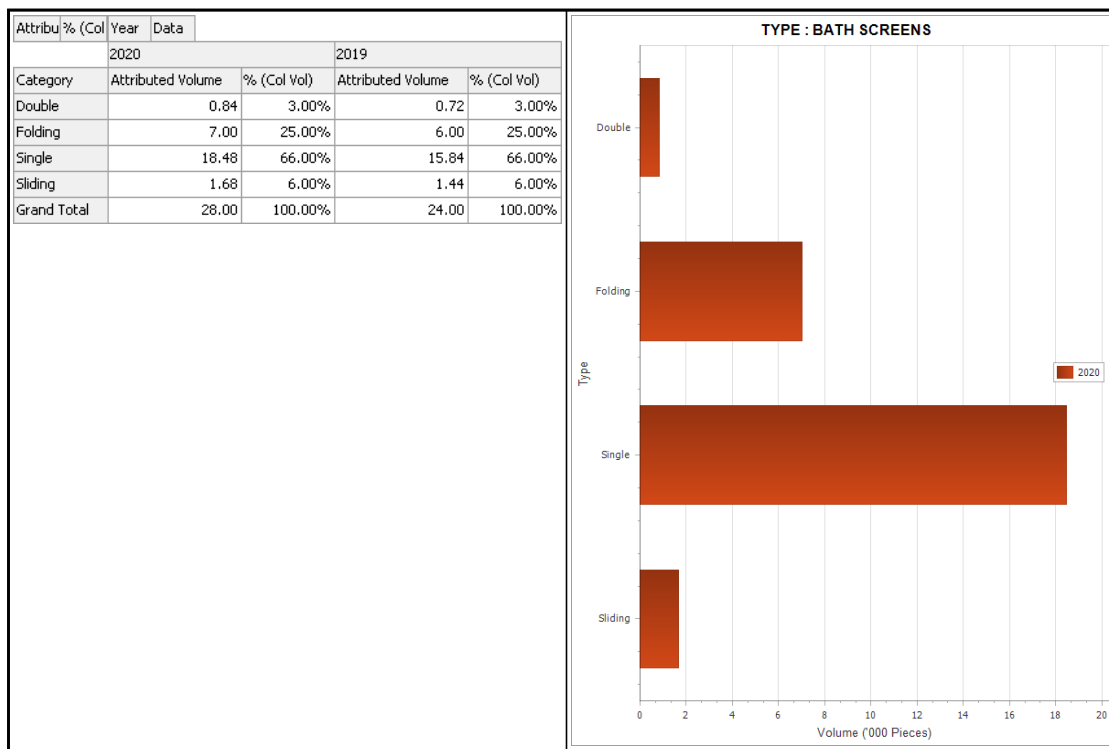
RU - SALES OF SHOWER WALL PRODUCTS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.3 Sales by Type : Bath Screens

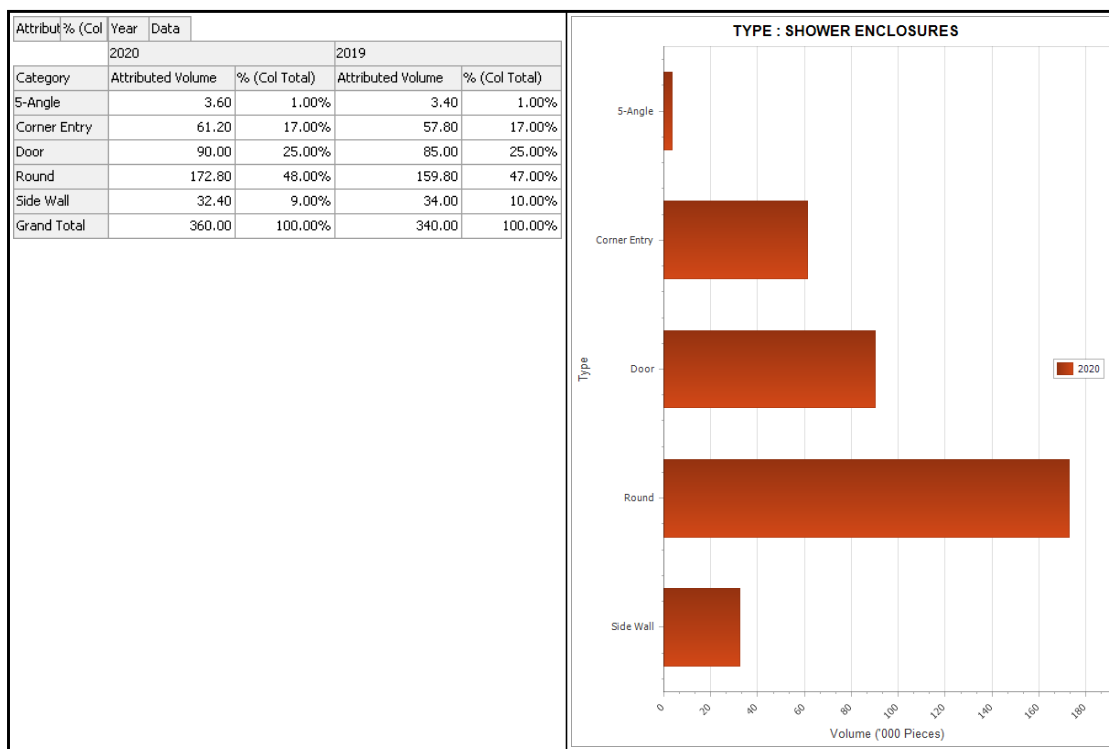
RU - BATH SCREEN SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.4 Sales by Type : Shower Enclosures

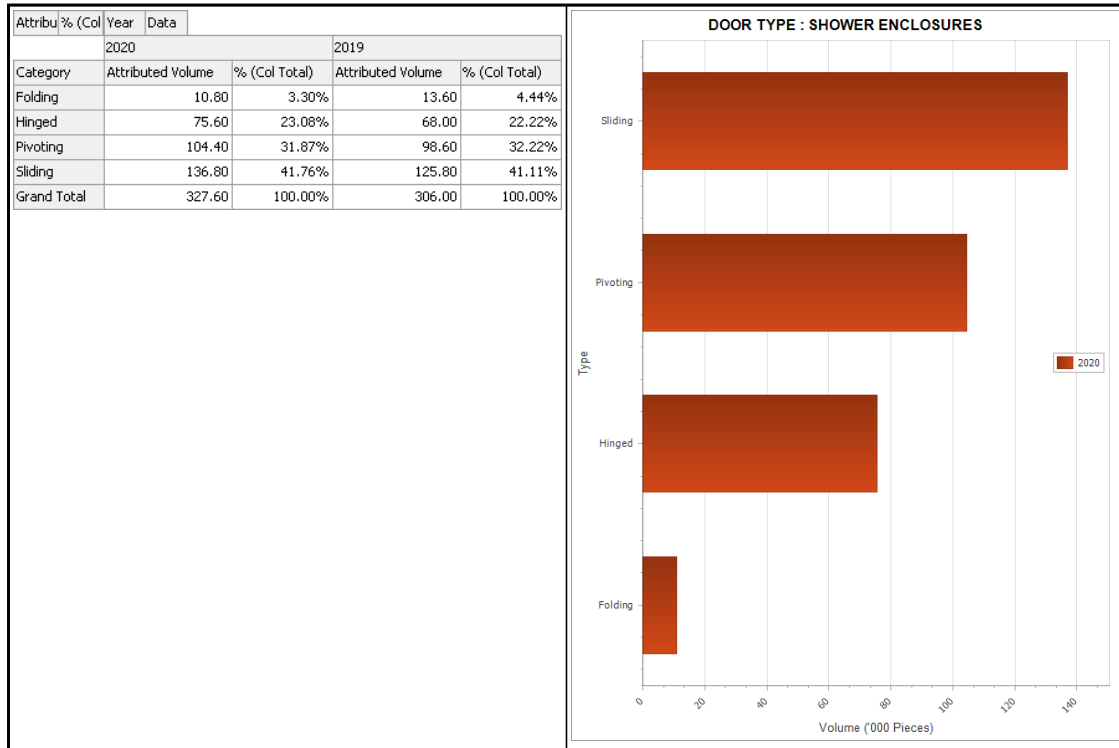
RU - SHOWER ENCLOSURE SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

4.4.5 Sales by Type of Door : Shower Enclosures

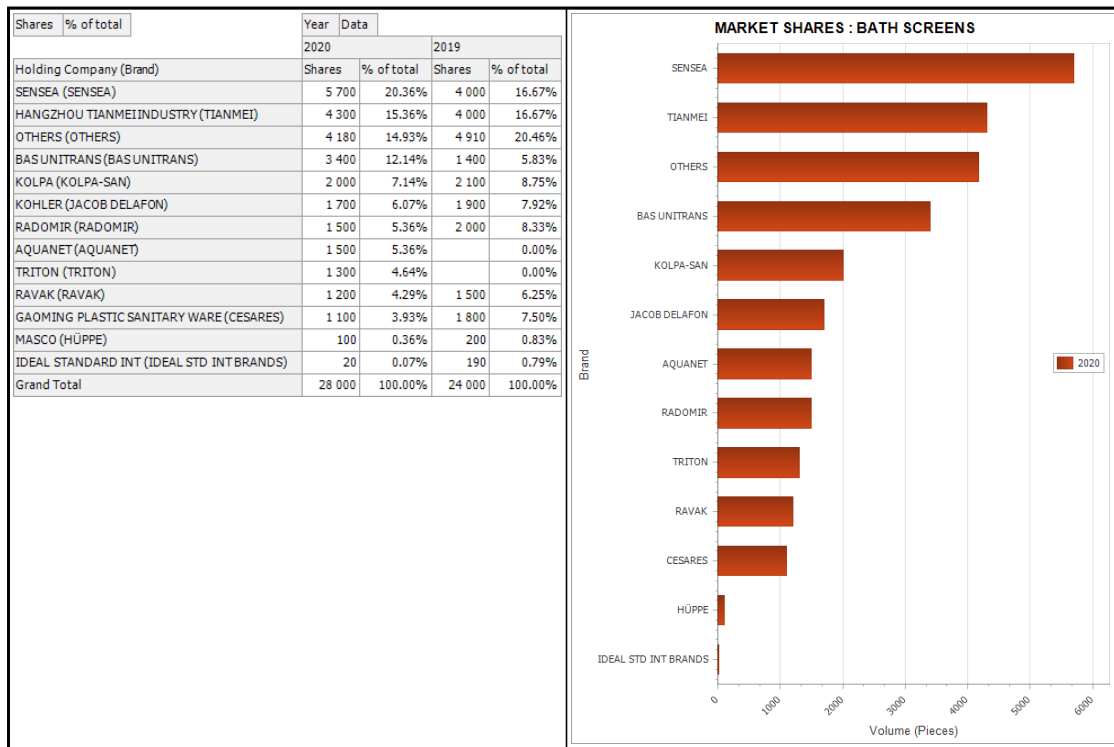
RU - SHOWER ENCLOSURE SALES BY DOOR TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.5.1 Market Shares : Bath Screens

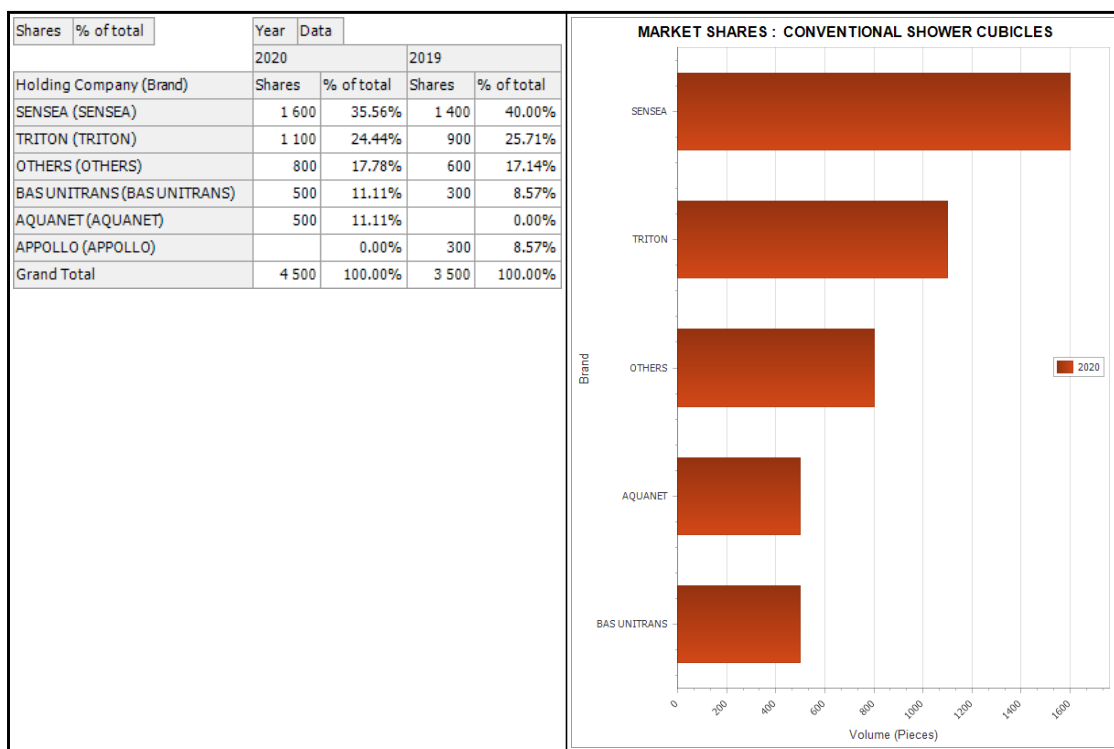
RU - ESTIMATED MARKET SHARES FOR BATH SCREENS



Source: BRG based on industry interviews.

4.5.2 Market Shares : Conventional Shower Cubicles

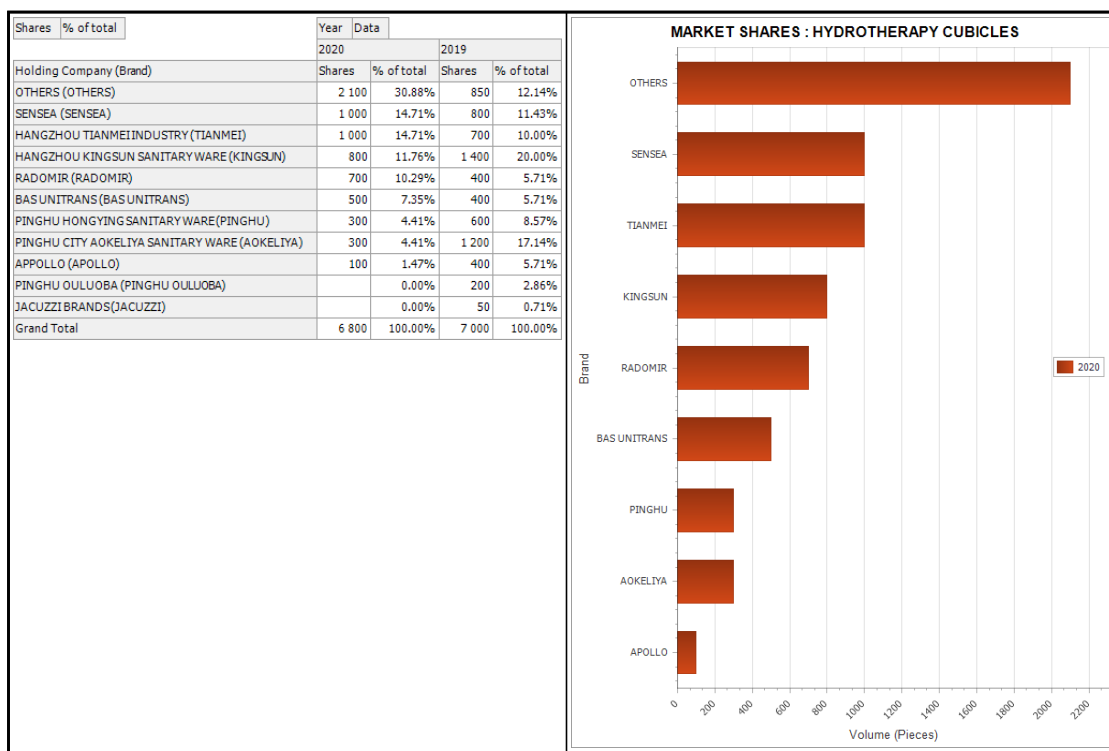
RU - ESTIMATED MARKET SHARES FOR CONVENTIONAL SHOWER CUBICLES



Source: BRG based on industry interviews.

4.5.3 Market Shares : Hydrotherapy Shower Cubicles

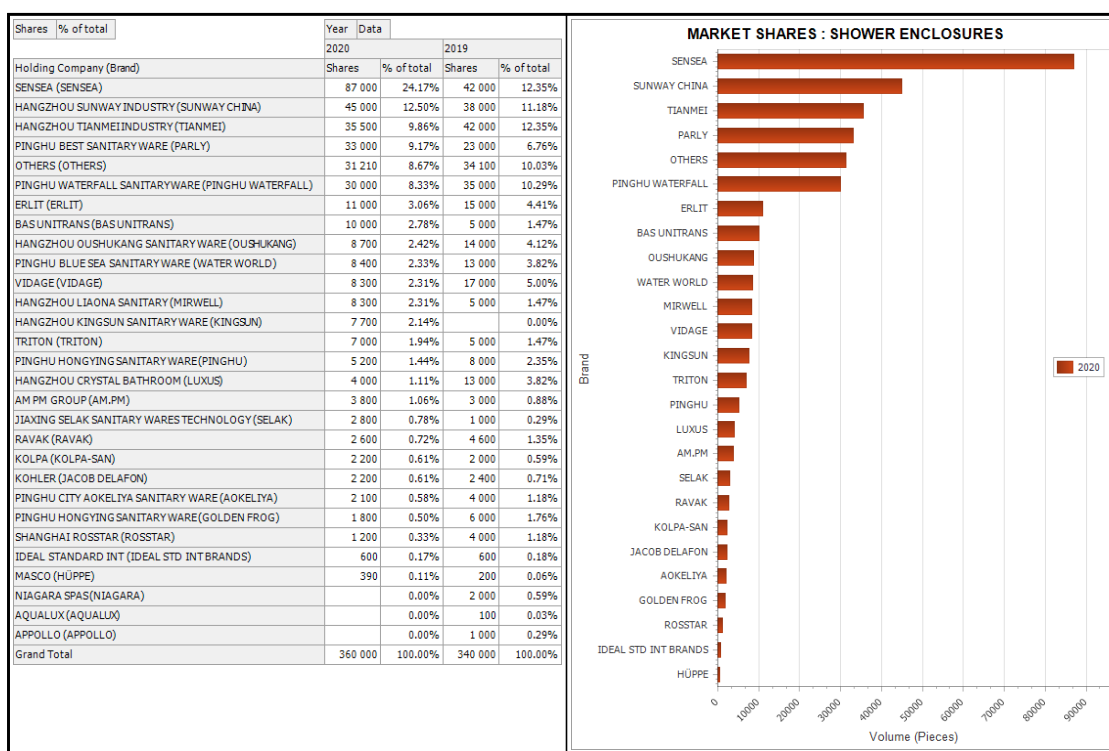
RU - ESTIMATED MARKET SHARES FOR HYDROTHERAPY CUBICLES



Source: BRG based on industry interviews.

4.5.4 Market Shares : Shower Enclosures

RU - ESTIMATED MARKET SHARES FOR SHOWER ENCLOSURES



Source: BRG based on industry interviews.

4.6.1 Route to Market: Shower Wall
RU - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	91.0%
	Wholesalers / Merchants
	91.0%

Retail Level	Manufacturer 0.0%	Wholesaler 8.0%	Manufacturer 8.0%	Wholesaler 24.0%	Manufacturer 1.1%	Wholesaler 24.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.0%		32.0%		25.1%	

Manufacturer 0.0%	Wholesaler 17.0%	Internet 0.0%	DIY 3.0%	Specialist 2.1%
Installers				
22.1%				

End Use Level	Manufacturer 0.0%	Wholesaler 16.0%	Internet 8.0%	DIY 29.0%	Specialist 23.0%	Installer 18.9%	Manufacturer 0.0%	Wholesaler 2.0%	Internet 0.0%	DIY 0.0%	Specialist 0.0%	Installer 3.2%
	Residential						Non-Residential					
	94.8%						5.2%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	31.5%			63.3%			1.5%			3.7%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	20.0%	11.5%		1.0%	62.3%		1.5%	0.0%		3.0%	0.7%	

4.6.2 Route to Market: Shower Wall
RU - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	83.0%
	Wholesalers / Merchants
	83.0%

Retail Level	Manufacturer 0.0%	Wholesaler 8.0%	Manufacturer 14.0%	Wholesaler 18.0%	Manufacturer 3.0%	Wholesaler 21.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.0%		32.0%		24.0%	

Manufacturer 0.0%	Wholesaler 17.0%	Internet 0.0%	DIY 3.0%	Specialist 4.0%
Installers				
24.0%				

End Use Level	Manufacturer 0.0%	Wholesaler 16.0%	Internet 8.0%	DIY 29.0%	Specialist 20.0%	Installer 16.0%	Manufacturer 0.0%	Wholesaler 3.0%	Internet 0.0%	DIY 0.0%	Specialist 0.0%	Installer 8.0%
	Residential						Non-Residential					
	89.0%						11.0%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	30.0%			59.0%			3.0%			8.0%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	20.0%	10.0%		1.0%	58.0%		3.0%	0.0%		7.0%	1.0%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

4.6.3 Route to Market - Consolidated View : Shower Wall

RU - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2020

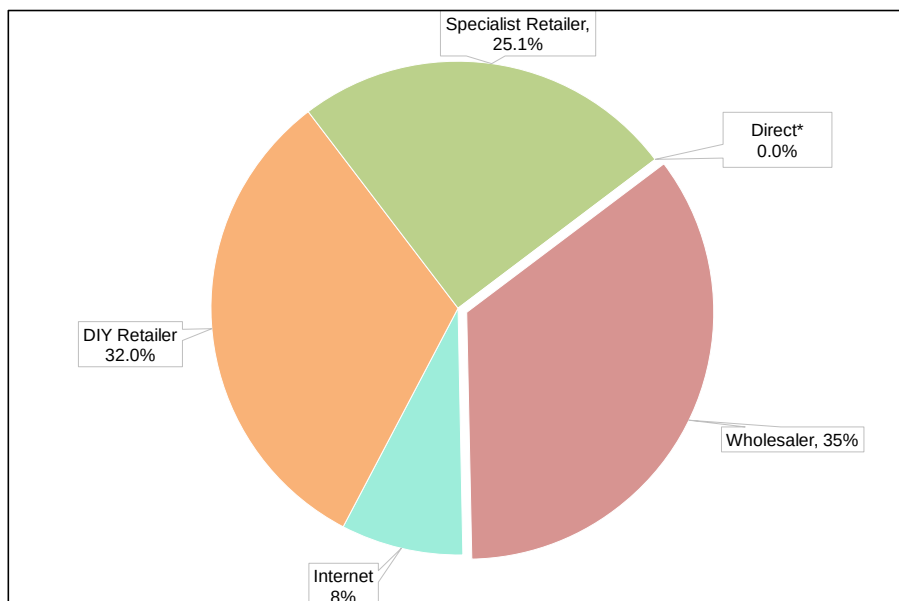
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
35.0%	8.0%	32.0%	25.1%	0.0%	21.0%	4.5%	73.8%	0.7%
100%					25.5%		74.5%	

4.6.4 Route to Market - Consolidated View : Shower Wall

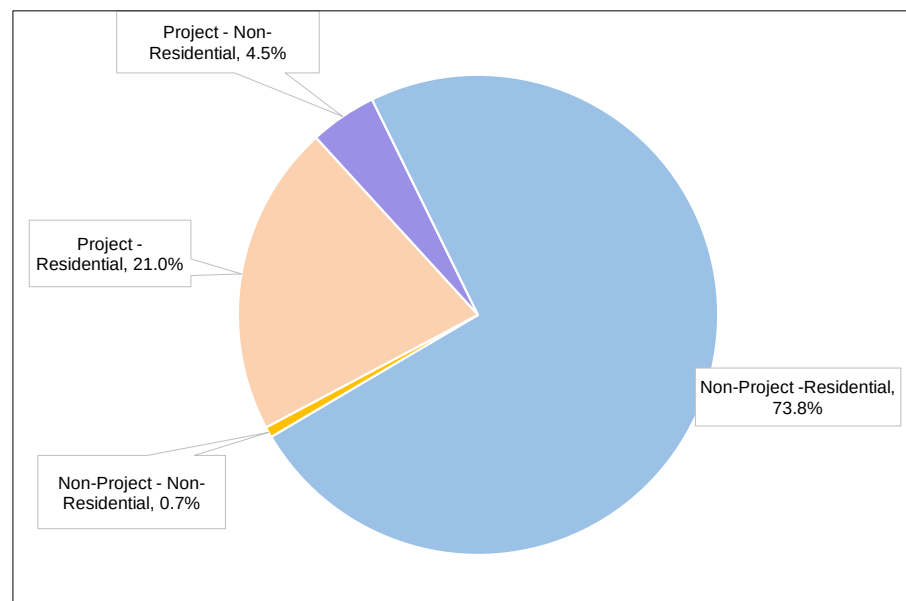
RU - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
36.0%	8.0%	32.0%	24.0%	0.0%	21.0%	10.0%	68.0%	1.0%
100%					31.0%		69.0%	

RU - SALES OF SHOWER WALL BY DISTRIBUTION CHANNEL: 2020



RU - SALES OF SHOWER WALL BY POINT OF DECISION AND END-USE SECTOR: 2020



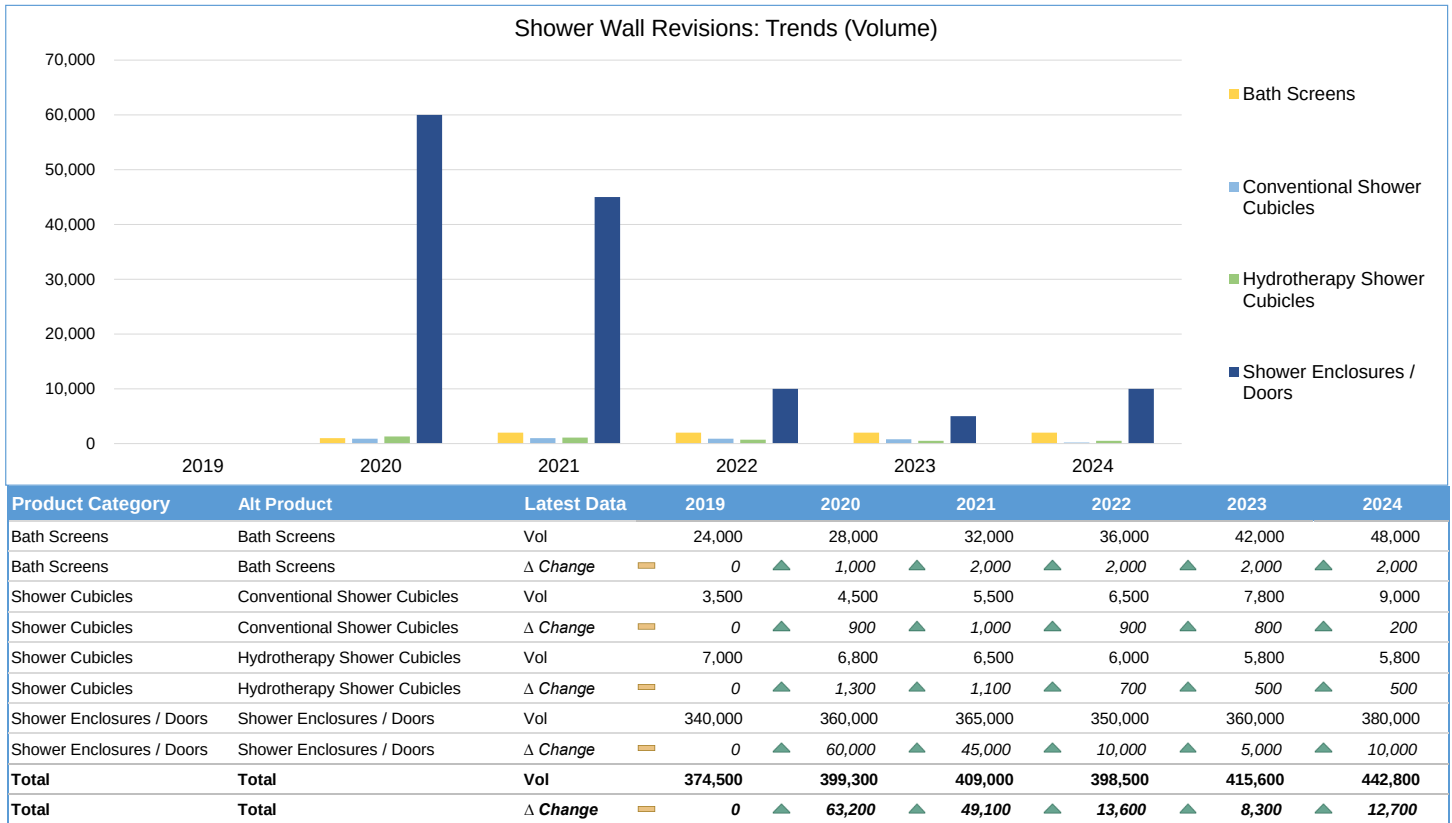
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

4.7 Revisions in the Russian Shower Wall Market (April 2021)

RU - REVISIONS IN THE RUSSIAN SHOWER WALL MARKET

Data Comparison: October 2020



No revisions have been made to historical volumes and values for this market.

RUSSIA

BATHROOM FURNITURE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

The financial crisis in the late 1990s resulted in vital changes to the domestic production of bathroom furniture. This allowed Russian manufacturers to position themselves strongly on the market. The main focus was on the quality versus price relationship approach, which was also supported by local knowledge about what customers could afford. Since 2000, the market has expanded at an accelerating pace and it is estimated that domestic manufacturers account for the significant share of the market. The fast-growing market has attracted many new players in recent years, and almost all cities with a population of over one million have two or three local manufacturers. These manufacturers are usually operating in the economy price range segment.

The market is extremely price driven and, therefore, local manufacturers have gained the significant share of the market by manufacturing simple, affordable, small, but still visually attractive bathroom furniture sets. In order to keep their positions and distinguish themselves from the general market (which is usually the low-price segment), the largest national manufacturers are trying to operate in the middle price segment. Some Russian manufacturers have started to supply a number of European brands on an OEM basis. Russian bathroom furniture producers are planning further expansion in Western Europe, mainly via OEM supply.

Due to the lack of space in most Soviet flats, the most popular type of bathroom furniture is a small base unit with a mirror or mirror cabinet installed above. Most manufacturers usually sell bathroom furniture in sets including a base unit, a mirror cabinet and, in some cases, one or more separate cabinets. The most commonly used material for monobloc countertops in Russia is ceramic. It is fairly standard in all segments of the market, especially in the economy, lower and middle sectors. In spite of high sales, there is a marginal trend of moving away from ceramic sinks to alternative models in the upper price segment, the most popular being synthetic. Most of the casings sold in the Russian market have been made from MDF. However, there is a shift towards waterproof chipboard. Synthetic and solid wood are used in the upper price segment.

The market is immature and, considering that most of the products are sold in the new housing segment, there is still strong replacement potential in the RMI segment. However, the potential of the segment depends on the purchasing power of Russian households following the overall economic situation in the country.

Recent Market Trends

A significant share of bathroom furniture goes to new housing, making the segment very sensitive to dwelling completions. Despite a hectic year the Russian bathroom furniture market increased in 2020 supported by extraordinary replacement demand. During lockdowns people were locked at home or moved to summer

houses/villas. Considering that many families had more time and more money (unspent holiday savings) they decided to renovate existing dwellings in the first half of 2020. However, some CSW manufacturers decreased productions or were closed in the first half of the year. As a result, despite healthy demand, bathroom furniture manufacturers were experiencing a shortage of washbasins and other raw materials and were unable to satisfy the demand. Therefore, the market experienced a fall in the first half of 2020 compared to the same period of previous year.

People usually stay at summer houses for short periods of time and these premises are not well maintained. When people realised that they would stay in summer houses for much longer due to the pandemic owners started upgrading bathrooms. Supply started improving and with healthy demand sales of bathroom furniture started increasing in the summer.

In the second half of 2020, a construction boom took place in Russia. Many buyers returned to the market and started actively purchasing flats. All of the above led to healthy increase in sales of bathroom furniture.

Many Russian manufacturers found themselves in an advantageous position due to the significant fluctuation of the Russian rouble, devaluation of national currency and flooded the market with cheap products. The market structure in terms of suppliers remains almost unchanged apart from the emergence of new players and disappearance of smaller manufacturers.

The most important trend that emerged in recent years is manufacturers trying to sell different products that belong to other product families, in order to either grow or maintain their turnovers, as the bathroom furniture sector is saturated in the current economic climate. An increasing number of bathroom furniture manufacturers have launched their own online shops, keeping retail margins under pressure. AQUANET and MARKA #1 went further and started to open their own retail outlets in large cities.

Regional specialist wholesalers are also trying to get involved in the production of bathroom furniture or OEM sales. However, no one has reached significant success so far.

Prices and Market Values

The bathroom furniture market is very fragmented, with many local manufacturers and importers. As a result, there is significant competition in each price segment. Most products sold in the base units segment are locally produced, low-priced furniture. The majority of domestic manufacturers and some importers operate in the lower and economy segments. Italian manufacturers offer a variety of solutions and designs and operate in the luxury segment. Their retail prices can reach over EUR 2,000. Italians are followed by German manufacturers (DURAVIT, KERAMAG, VILLEROY & BOCH, SCHOCK, etc.) that offer products in the luxury and upper price segments. Other European brands, e.g. LAUFEN, JIKA and IDO,

mostly operate in the middle and upper middle segments. Their sets are usually priced below EUR 1,500 in retail. The average price of bathroom furniture increased in RUR in 2020.

New Housing

The new housing segment increased in 2020 due to increasing penetration of the product and despite a fall in completions. The share of the sector has remained high since bathroom furniture started to actively penetrate the market about a decade ago. Predominantly middle and upper price products are sold in the sector. Base units are always installed with a mirror or mirror cabinets. Separate cabinets comprise only around half/two thirds of sets sold to new housing. Floor standing models are mainly purchased by wealthy individuals who have bathroom spaces large enough to contain them. Wall hung models occupy less space and are popular among middle class families with smaller bathrooms.

Housing RMI

The RMI segment plays an important role in the market for bathroom furniture, accounting for the significant share of sales. Most of the dwelling stock, consisting of Soviet-built blocks of flats, has rather small bathrooms. Therefore, the most common practice when installing bathroom furniture is to have a base unit with a mirror or mirror cabinet installed above. A considerable number of mirrors have small shelves to store toiletries on the side.

Non-Housing

The non-housing market has no significant role in the Russian bathroom furniture market and its total market share remains negligible. Separate cabinets are sold very rarely in the commercial, industrial and institutional markets. The largest end-use segment remains the hospitality industry, where predominantly mirrors and mirror cabinets are installed.

Supply Structure

The Russian bathroom furniture market is vastly dominated by local manufacturers, which control more than 90% of total supply. The leading domestic manufacturers supplying the lower price segment include AQUATON, AQWELLA, OPADIRIS, VIGO and AQUANET. They have successfully adapted to the peculiarities of the Russian market, characterised by a huge number of Soviet-built flats with small bathrooms and price-driven customer preferences. They offer acceptable quality and good design at affordable prices. Foreign brands, mainly trying to occupy the upper price segment, have not managed to gain significant market share. Due to the consistently low purchasing power of the general public, demand continues to be low in these price segments.

AQUATON has started expansion in regions, and has been opening warehouses since 2018.

AQWELLA initially operated via wholesalers, but in recent years has started to expand to regions and directly offer goods to dealers. AQWELLA only closed temporarily in April 2020 due to low sales.

AQUANET started to increase its OEM base and has supplied several clients on an OEM basis since 2018. It is also one of the important players in the DIY and online sector.

MISTY emerged recently in the upper price segment, with old-style designs. The company initially distributed AQUATON but established its own production in late 2015. It offered clients deferred payment and, as a result, managed to quickly penetrate the market. The company sales declined as its sales channels were affected the most by the pandemic.

AQUATON, VIGO, AQUANET and ONIKA identified online sales potential and opened online shops in 2018-2019. Most online sales take place in large cities.

Almost all well-known foreign brands are present in the Russian bathroom furniture market, but their sales are small and mainly in the upper segment. JACOB DELAFON, VILLEROY & BOCH, IDEAL STANDARD INTERNATIONAL and GORENJE are among the leading foreign brands in this market.

Forecasts

BRG's forecast is based on the assumption that oil prices would remain above USD 40 per barrel and the pandemic would not get much worse. However, there are a few factors that can make things worse for Russia. Firstly, if COVID-19 becomes more aggressive, then the government would not be able to hide this from the population. Secondly, if oil prices remain under USD 40 for a prolonged period of time, since Russia needs an oil price around USD 40 a barrel to balance its federal budget. Thirdly, President Putin may resort to external wars or aggressive moves as a means to divert the population's attention away from the current economic crisis. Finally, the relationship with the US is very important.

The Russian market was hit by a significant slump in oil prices, Western sanctions and the spread of the COVID-19 virus in 2020. The last lockdown ended in Russia in January 2021.

Many people moved to summer houses and villas during the summer period in 2020. Most summer houses are poorly maintained and people diverted money that was allocated for holidays to renovation. The demand for second homes (namely houses) is expected to remain strong in 2021 supporting both new installations and replacement of bathroom furniture. However, it is expected to dip in 2022 as most people who could afford would have already purchased by that time.

Around 75% of new build dwellings in Russia is purchased with mortgages. The government allocated funds to subsidise mortgages. The state support programme

is planned to last at least until July 2021. As a result, interest rates declined significantly and fixed at 6.5%. Consumers wanted to utilise this opportunity and buyers returned to the market. Due to a reasonable level of demand for new dwellings almost all construction companies continued to work as normal in 2021. Low interest rates played a very important role for the market and in fact represented a turning point for the construction sector. The demand for new housing is so high that prices even increased in large cities. Due to the turmoil caused by the pandemic, devaluation of the RUR and further Western sanctions the housing completion levels are expected to dip in 2022 when the state subsidies are withdrawn negatively influencing sales of bathroom furniture.

The industry experts believe that the spending level would continue to stay on the same level in the first half of 2021 as in the last quarter of 2020. People who have money have already purchased (or committed to buy) dwellings, dachas or baths/shower trays. Therefore, these spendings are likely to start falling by the end of 2021. Based on the current situation, some people will start travelling in the summer and, as a result, some funds will be diverted from renovation to leisure activity. On another hand, some people lost jobs and purchasing power for others declined due to significant devaluation of the RUR. Therefore, working class people are likely to struggle with finances and mortgage/loan payments in the near future.

Many real estate agents consider the current situation as a real estate bubble. As long as there is state support, people cannot travel abroad (would be purchasing second homes in Russia instead of overseas) and spend on renovation or acquisitions unspent travel money the construction market is unlikely to crash. However, all these drivers are likely to evaporate by 2022.

The overall bathroom furniture market is forecast to decline in 2022 due to the decreased purchasing power of the general population, devaluation of local currency, Western sanctions and an expected fall in construction. However, considering that the bathroom market remained under significant pressure and replacement levels were low in the recent years the fall should be limited.

The overall bathroom furniture market is only expected to pick up in 2023 unless it is hit by other economic disasters or the continuous spread of the coronavirus. The forecasts are based on the current economic environment. Based on the number of players, the market seems stable in terms of suppliers.

The planned expansion of Moscow, the replacement of '*Khrushovki*' buildings by modern blocks in Moscow, and regional (construction) development are forecast to positively affect the bathroom furniture market in the long term.

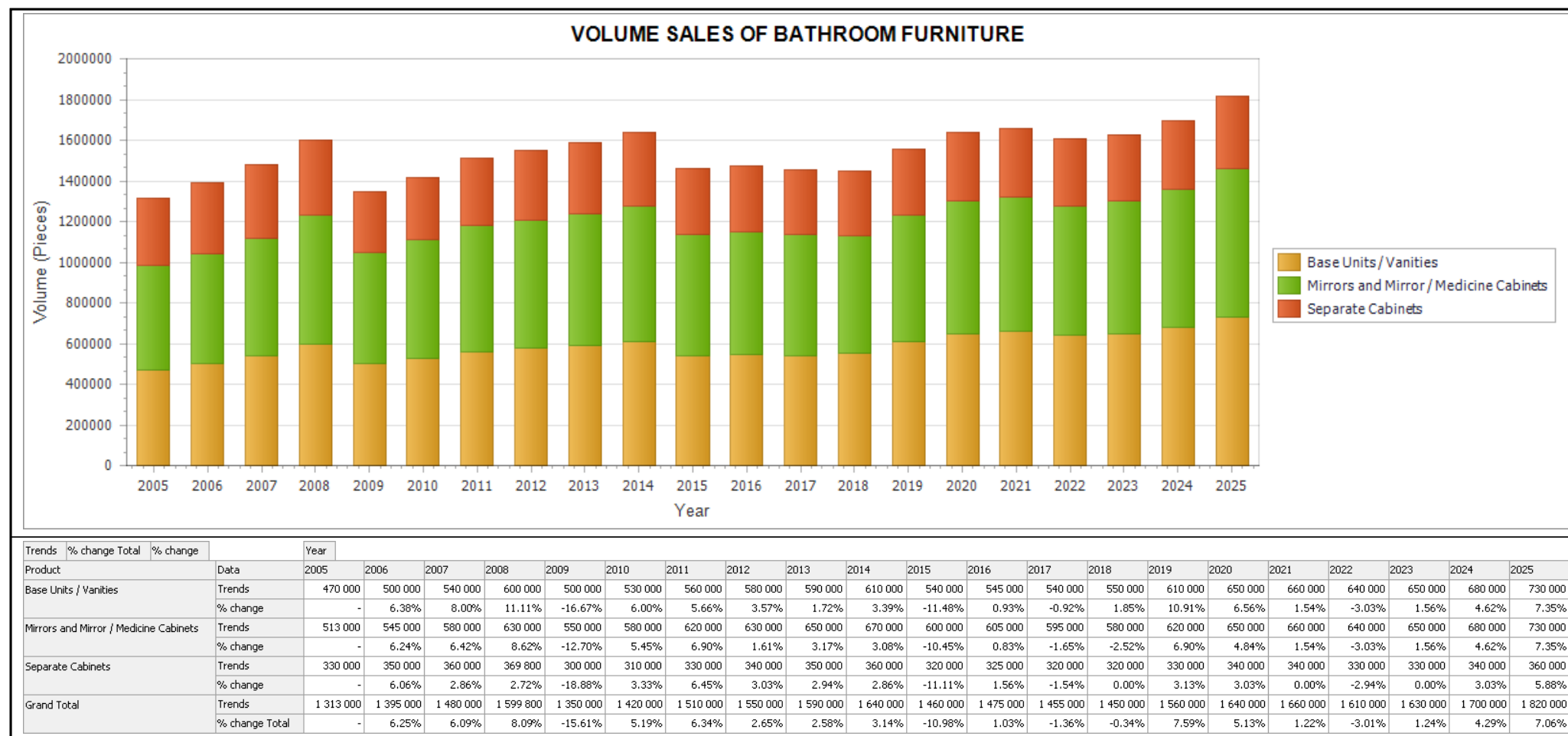
The market is very sensitive to the political and economic situation. A stable political environment leads to consumer confidence and higher spending (which translates into replacement, renovation and construction, leading to more installations). However, during periods of political/economic instability people tend to spend less which, in turn, also affects sales of bathroom products. Therefore, the most important variables affecting the market will be political activity, the spread of

the coronavirus and oil/gas prices. BRG's forecast is based on the assumption that the political situation will not change in Russia and that oil and gas prices should gradually recover; President Putin will probably not make aggressive steps that force the West to impose further sanctions.

The purchasing power of the general population remains lower than in most EU countries. As a result, not everyone, particularly in rural areas, can afford modern products. Therefore, economic growth and the increasing purchasing power of households should positively affect sales.

5.2 Historical Trends & Forecasts : Bathroom Furniture

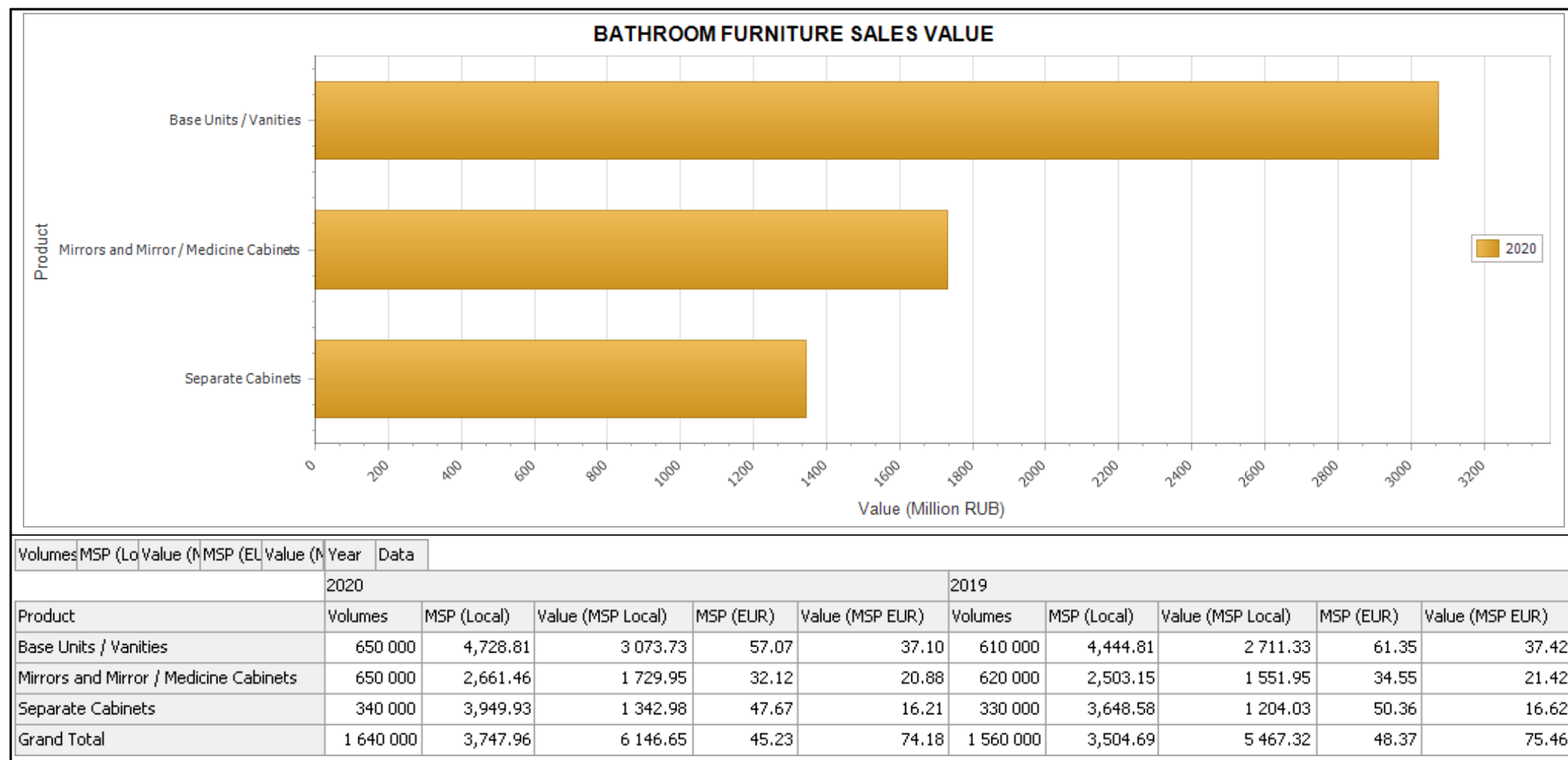
RU - SUMMARY OF TRENDS IN THE BATHROOM FURNITURE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

5.3.1 Prices and Market Values : Bathroom Furniture

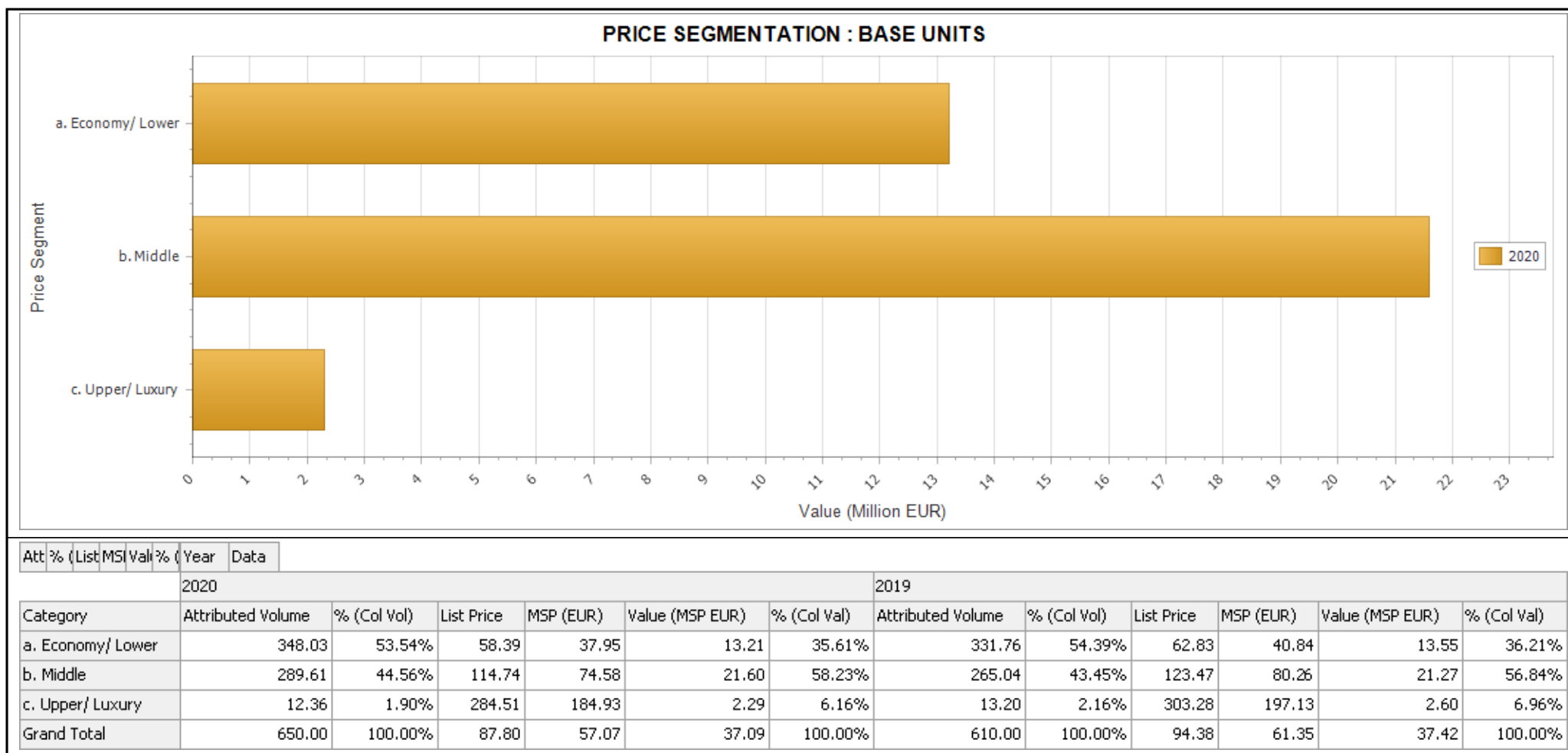
RU - ESTIMATED VALUES OF THE BATHROOM FURNITURE MARKET



Source: BRG based on industry interviews. Local Prices Shown in RUB. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

5.3.2 Price Segmentation : Base Units

RU - ESTIMATED PRICE SEGMENTATION FOR BASE UNITS

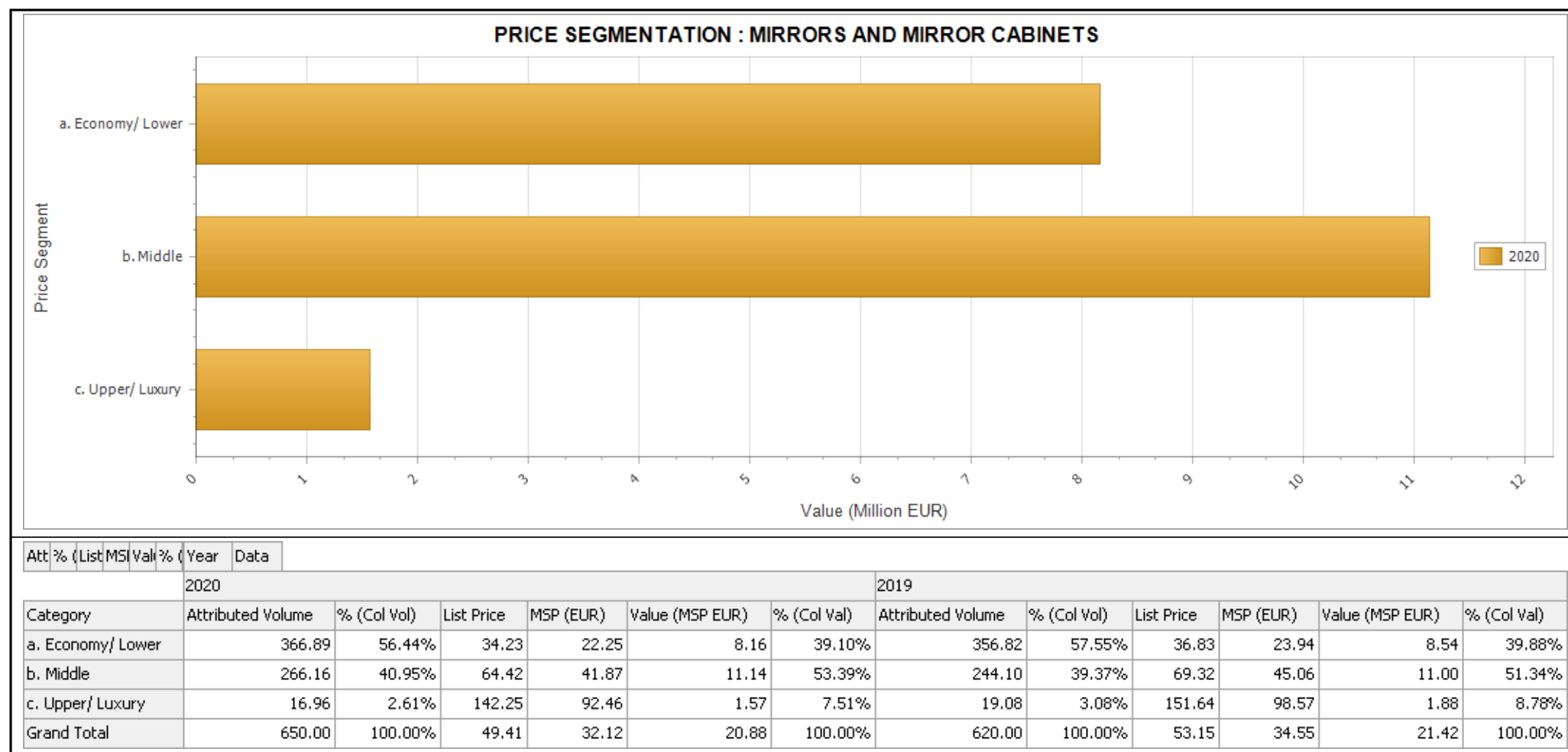


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€100, Upper/ Luxury >€100

5.3.3 Price Segmentation : Mirrors and Mirror Cabinets

RU - ESTIMATED PRICE SEGMENTATION FOR MIRRORS AND MIRROR CABINETS

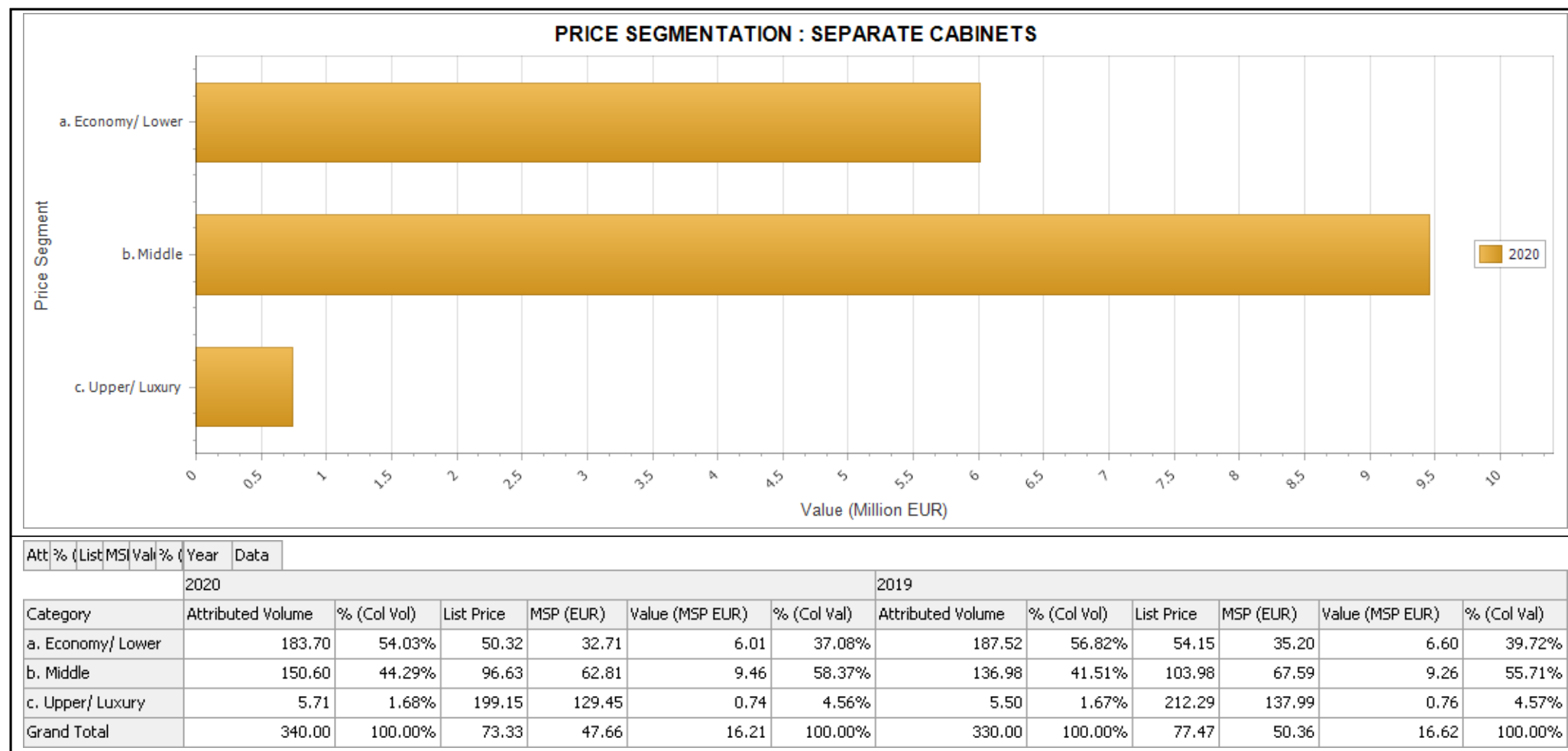


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€30, Middle €30-€60, Upper/ Luxury >€60

5.3.4 Price Segmentation : Separate Cabinets

RU - ESTIMATED PRICE SEGMENTATION FOR SEPARATE CABINETS

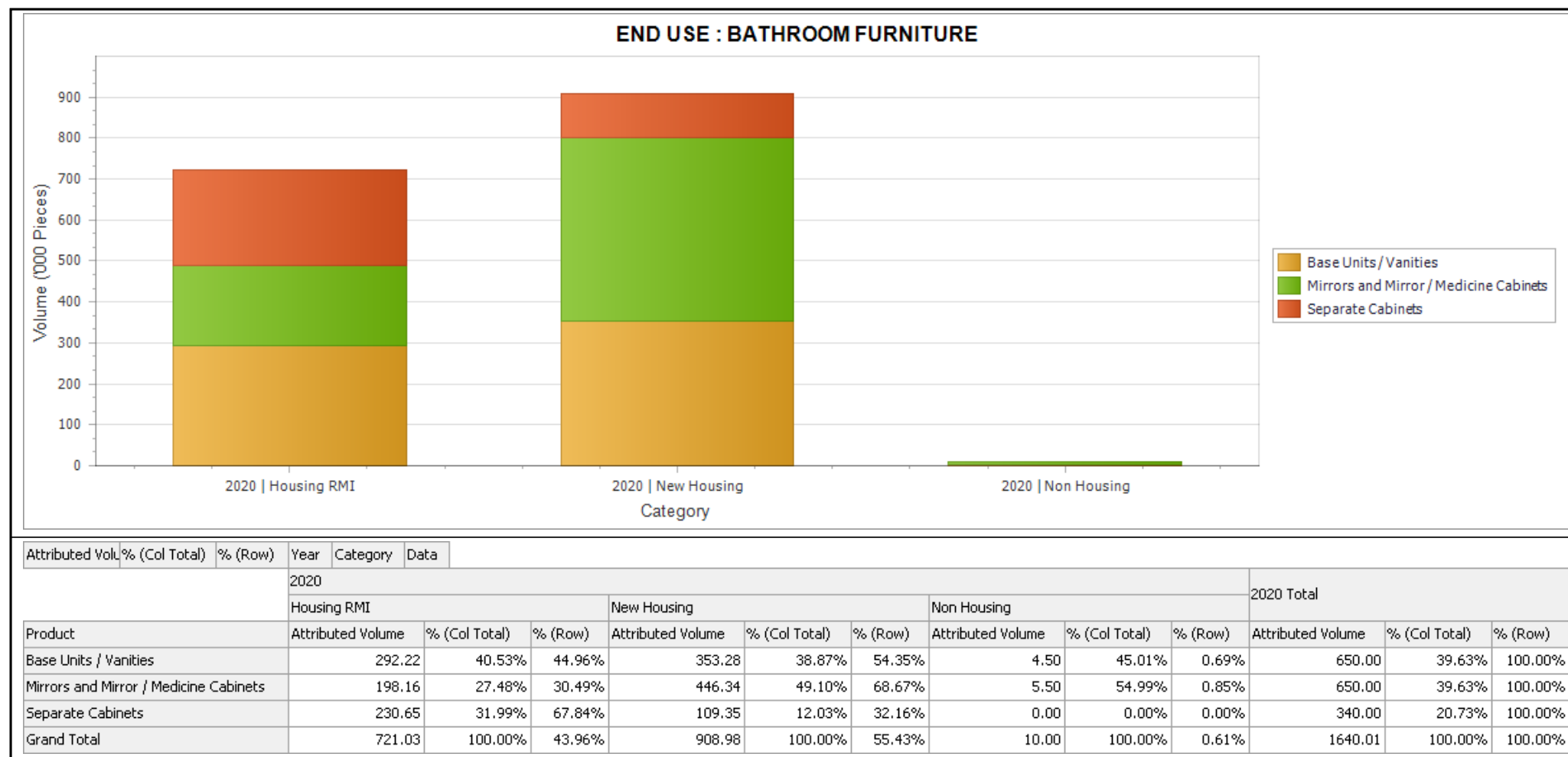


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€40, Middle €40-€80, Upper/ Luxury >€80

5.4.1 End Use : Base Year

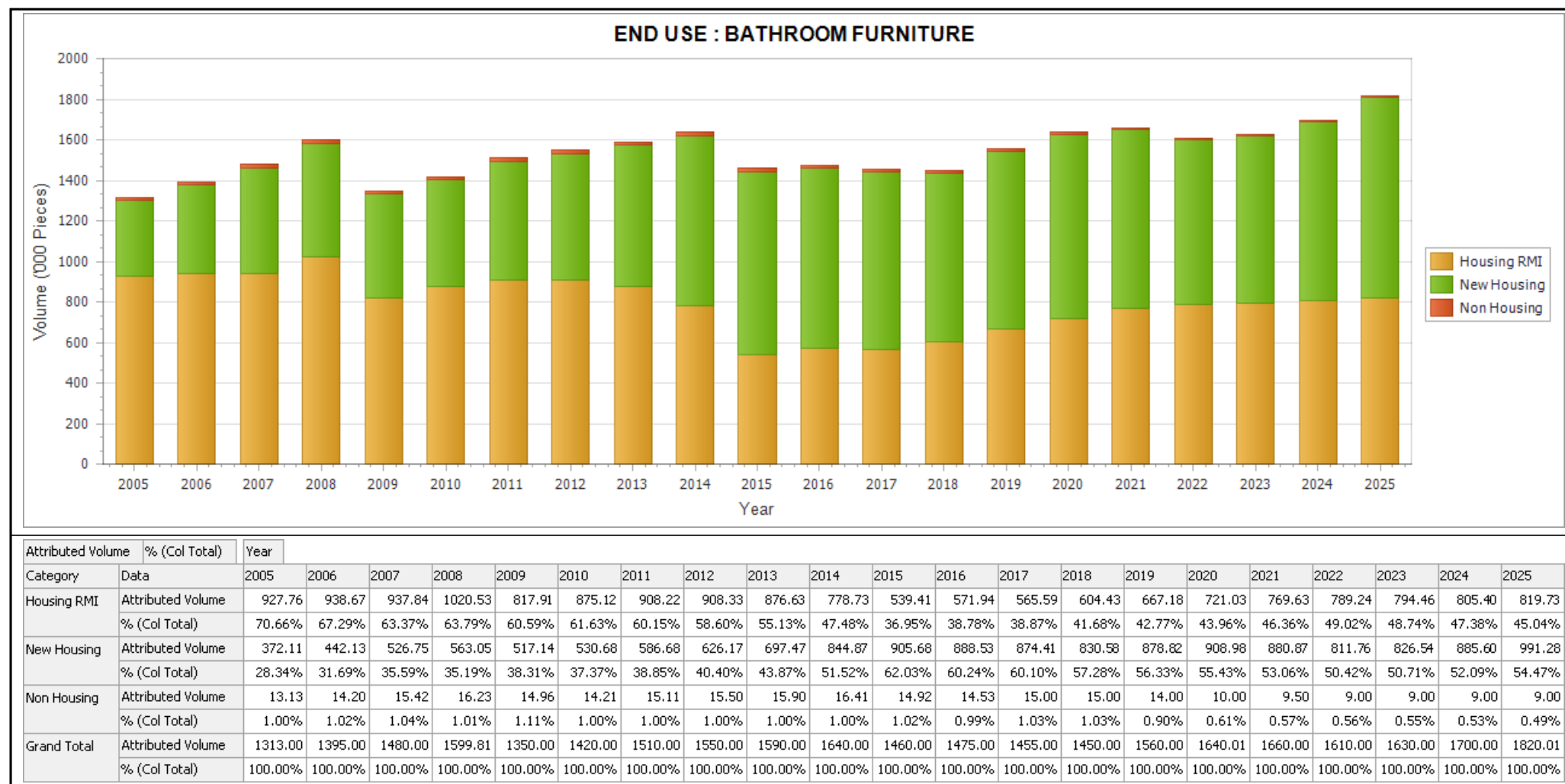
RU - SALES OF BATHROOM FURNITURE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.2 End Use : Historical and Forecasts

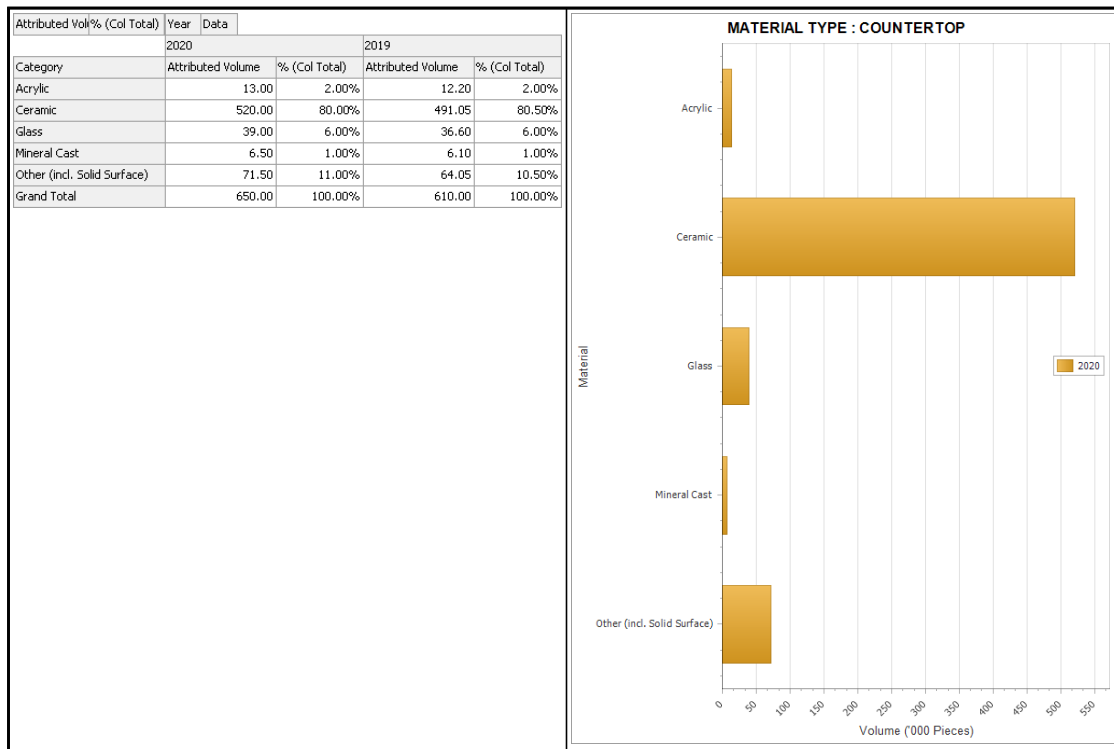
RU - SALES OF BATHROOM FURNITURE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.3 Sales by Type of Washbasin Material : Base Units

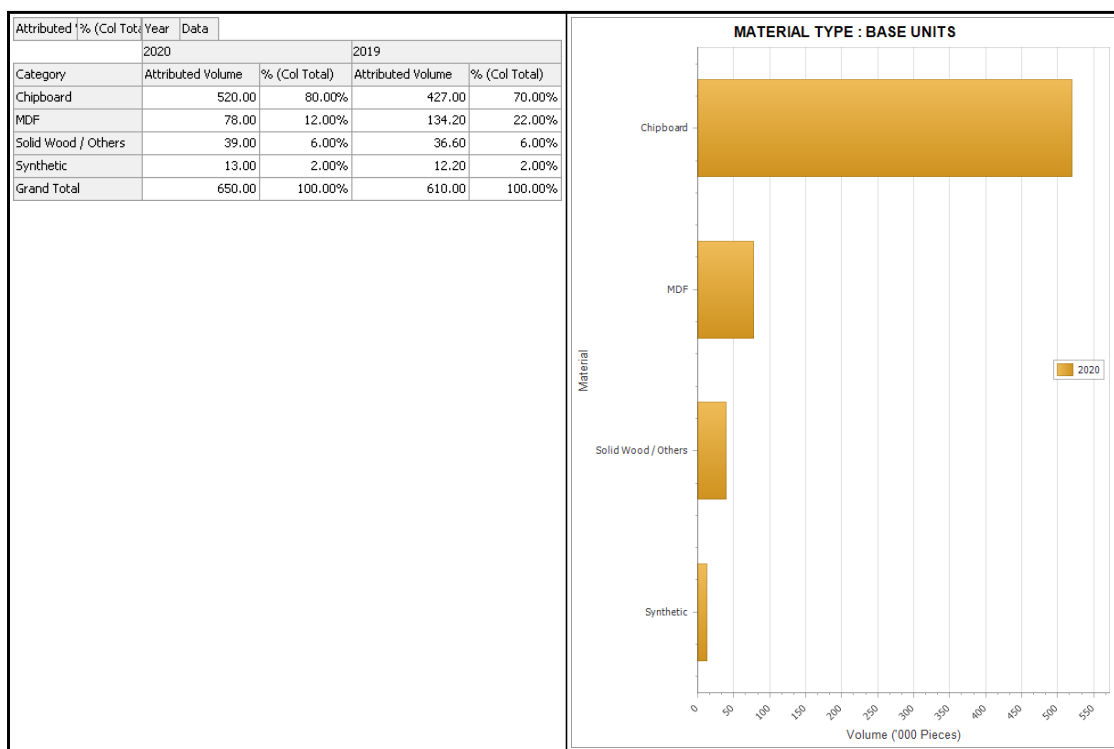
RU - BASE UNIT SALES BY WASHBASIN MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.4.4 Sales by Type of Material : Base Units

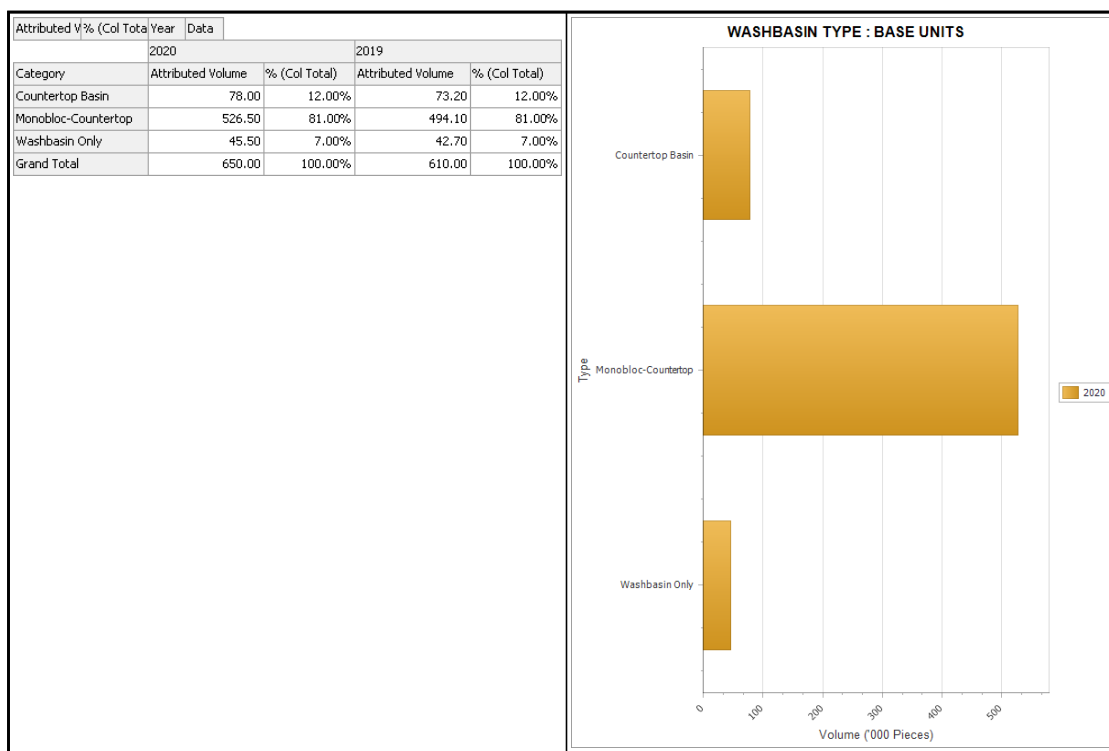
RU - BASE UNIT SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.5 Sales by Type of Washbasin : Base Units

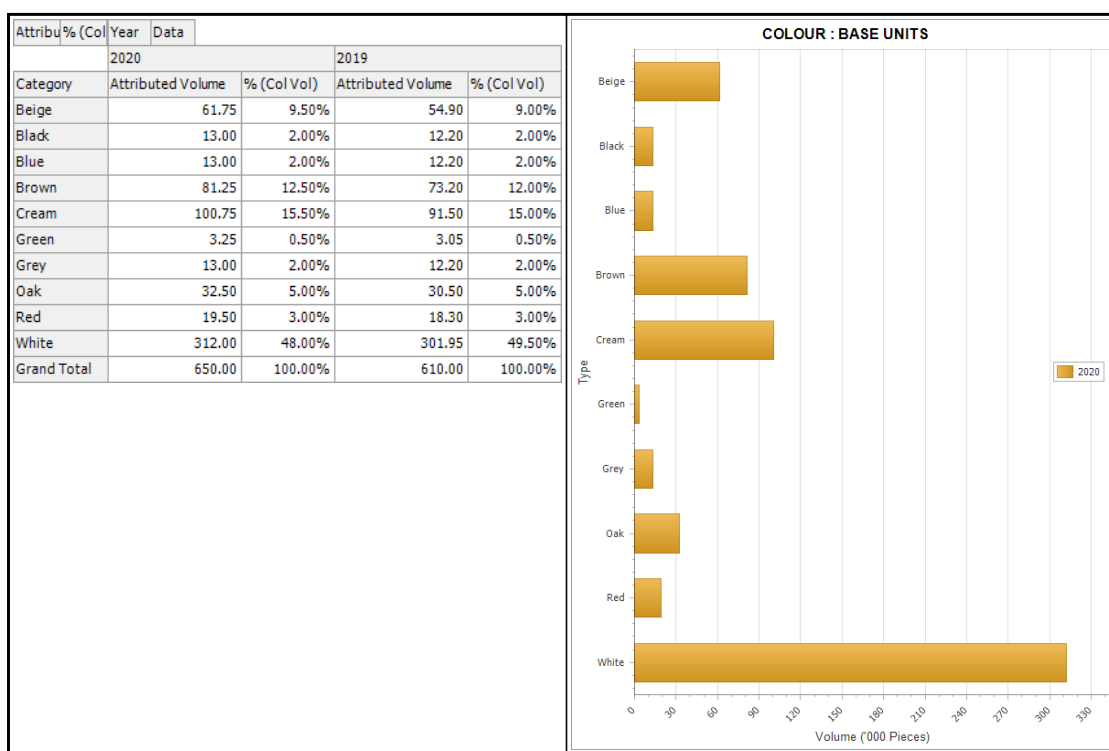
RU - BASE UNIT SALES BY WASHBASIN TYPE ('000 PIECES)



N.B. Washbasins only (non-countertop) are included in the above volumes for purposes of completeness.

5.4.6 Sales by Type of Colour : Base Units

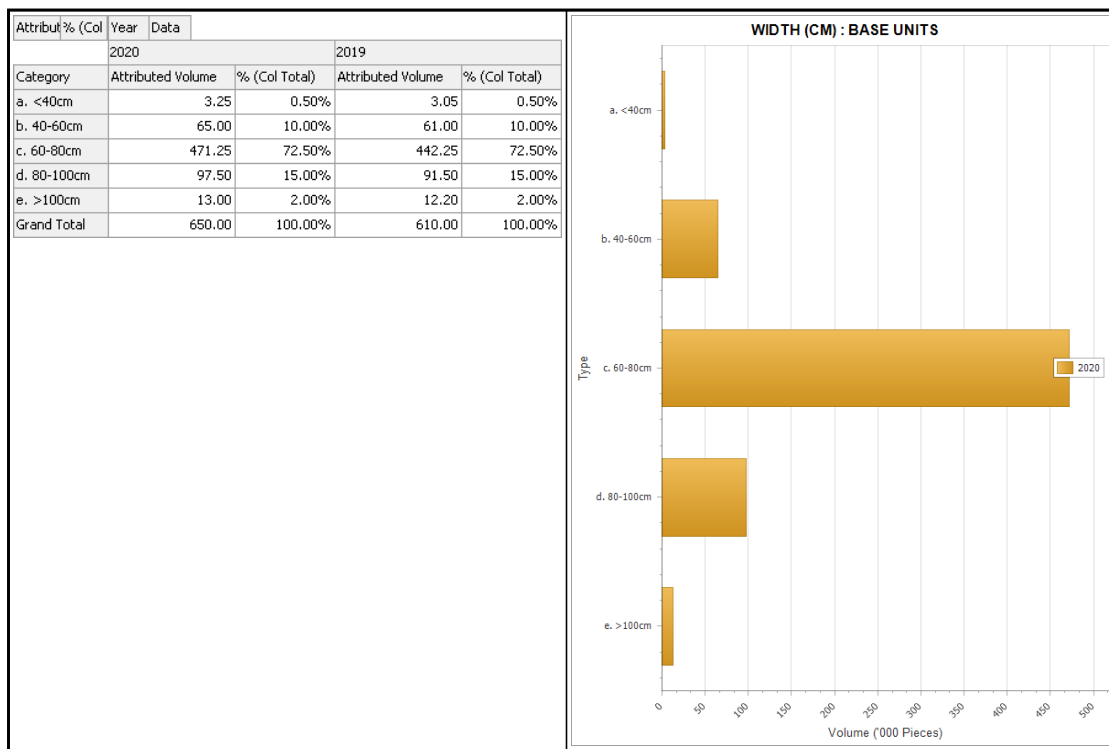
RU - BASE UNIT SALES BY COLOUR ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.7 Sales by Width : Base Units

RU - BASE UNIT SALES BY WIDTH ('000 PIECES)



Source: BRG based on industry interviews

5.4.8 Sales by Type : Mirror and Mirror Cabinets

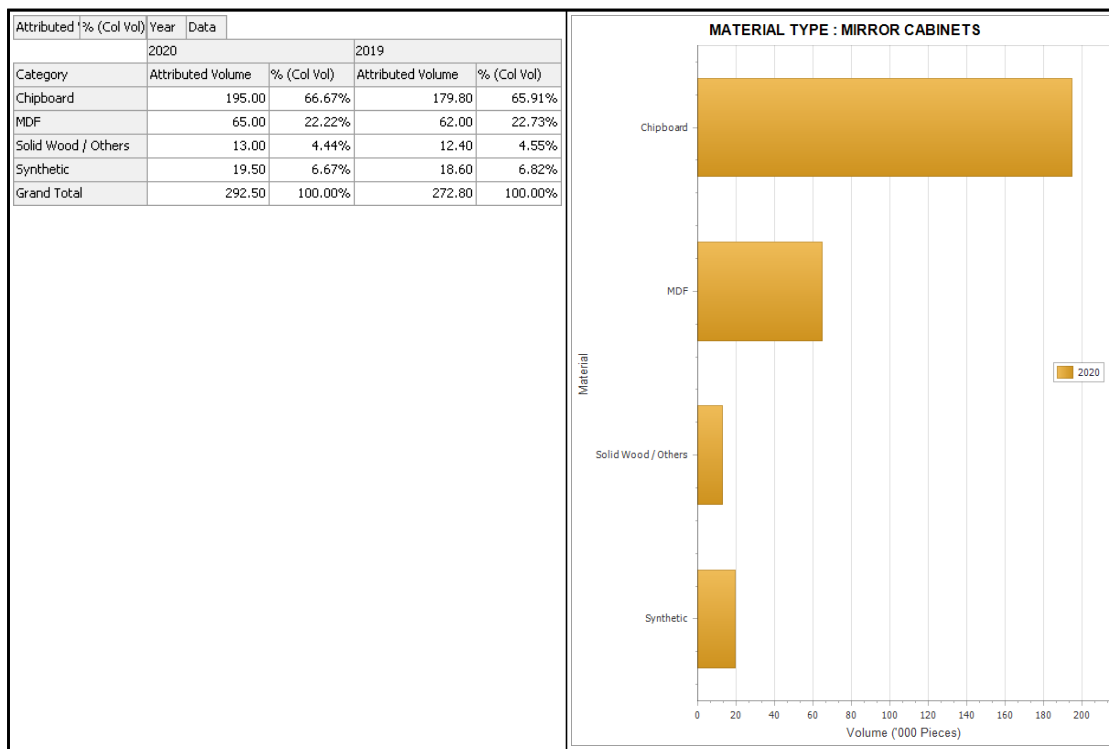
RU - MIRROR AND MIRROR CABINET SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.9 Sales by Type of Material : Mirror Cabinets

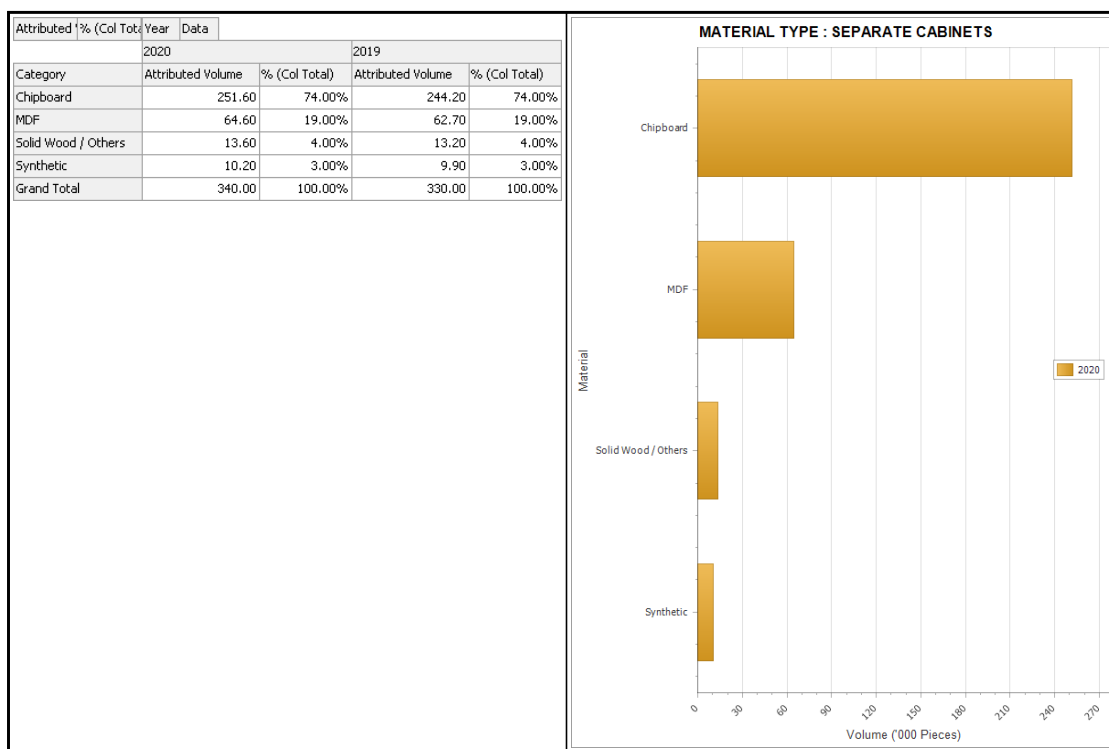
RU - MIRROR CABINET SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.4.10 Sales by Type of Material : Separate Cabinets

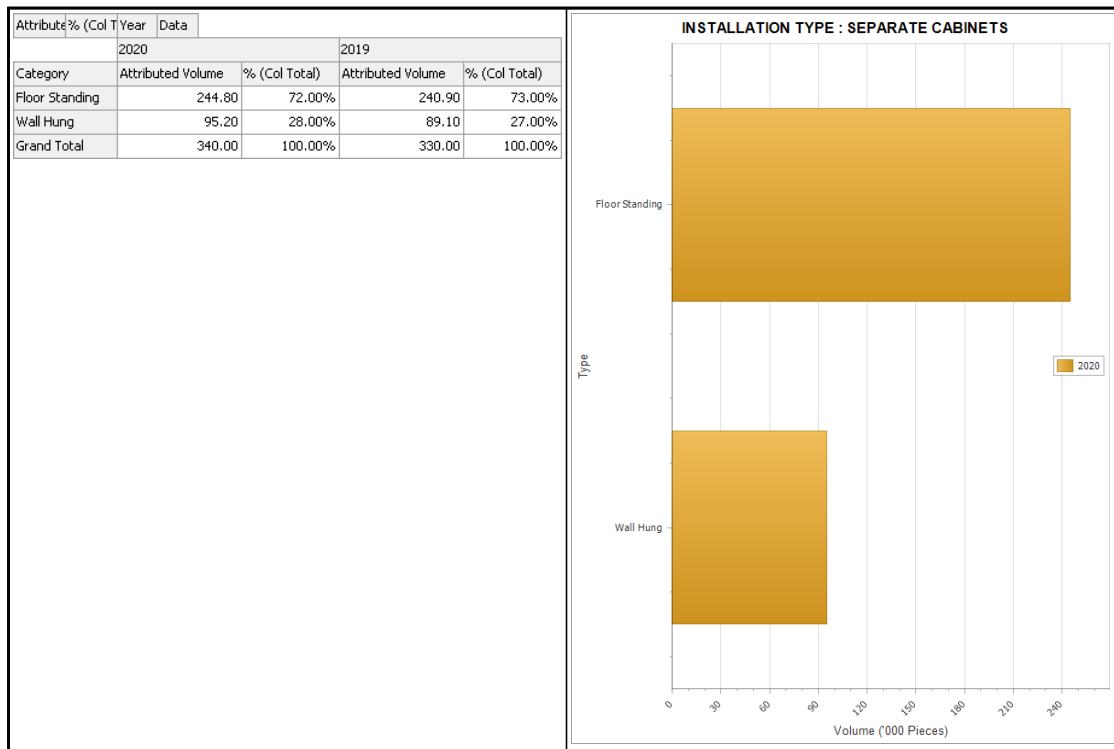
RU - SEPARATE CABINET SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.11 Sales by Type of Installation : Separate Cabinets

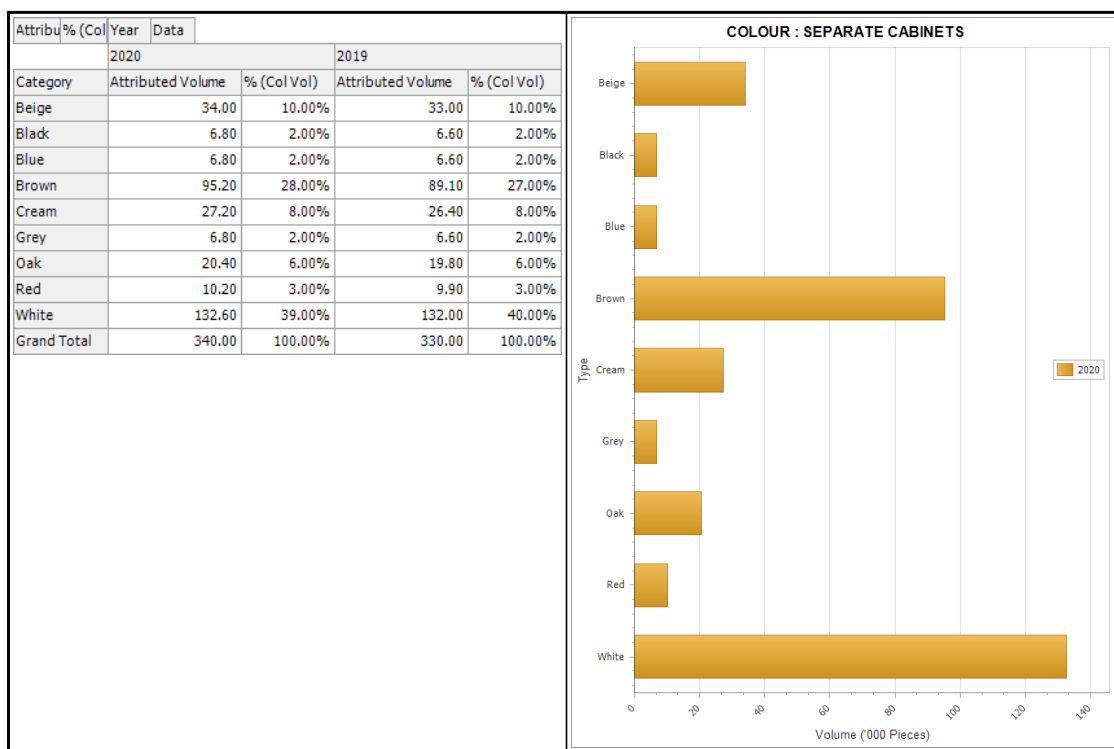
RU - SEPARATE CABINET SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.4.12 Sales by Type of Colour : Separate Cabinets

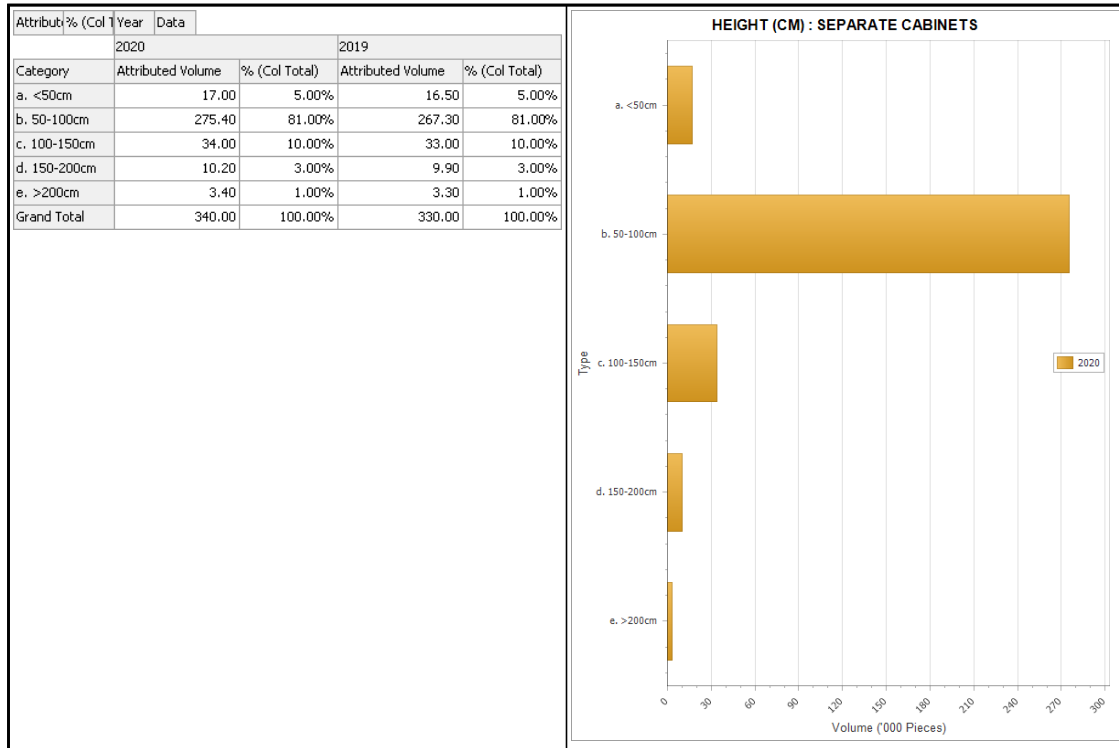
RU - SEPARATE CABINET SALES BY COLOUR ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.13 Sales by Height : Separate Cabinets

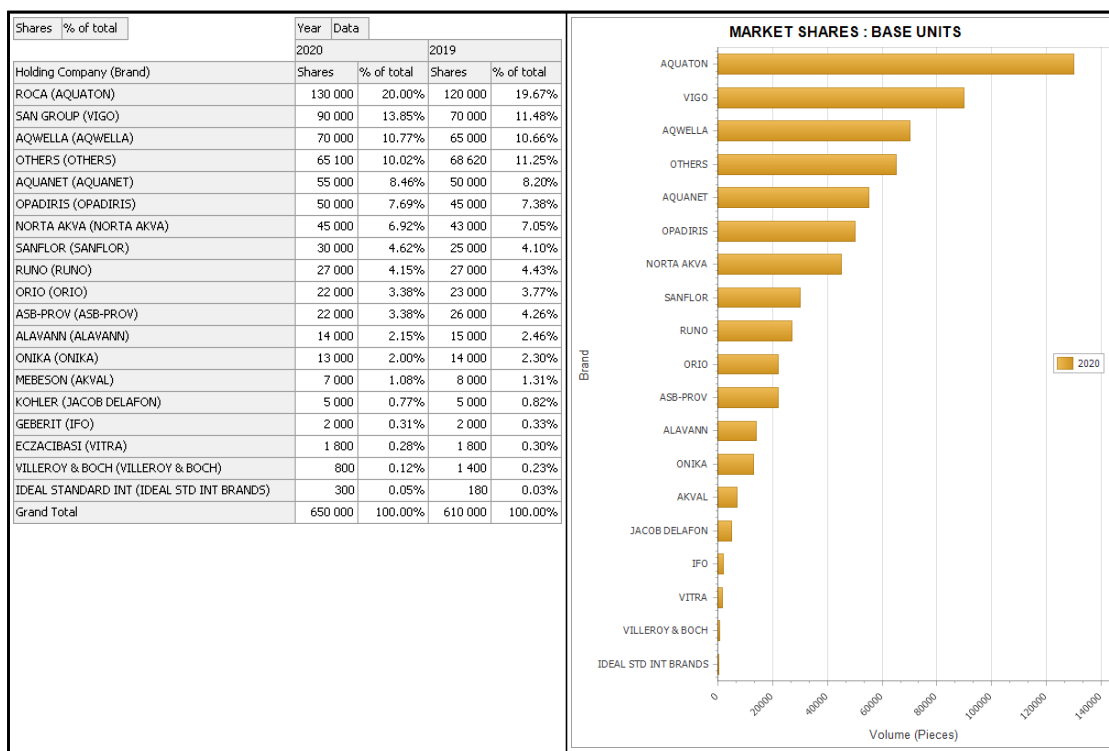
RU - SEPARATE CABINET SALES BY HEIGHT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.5.1 Market Shares : Base Units

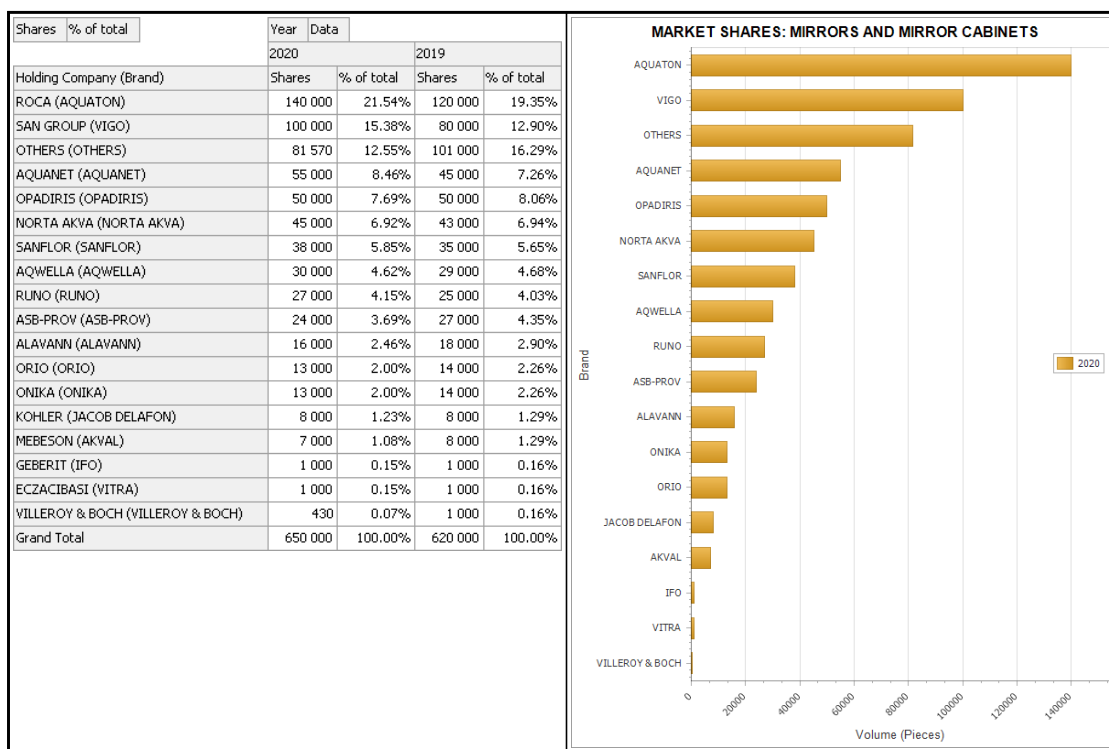
RU - ESTIMATED MARKET SHARES FOR BASE UNITS



Source: BRG based on industry interviews.

5.5.2 Market Shares : Mirror and Mirror Cabinets

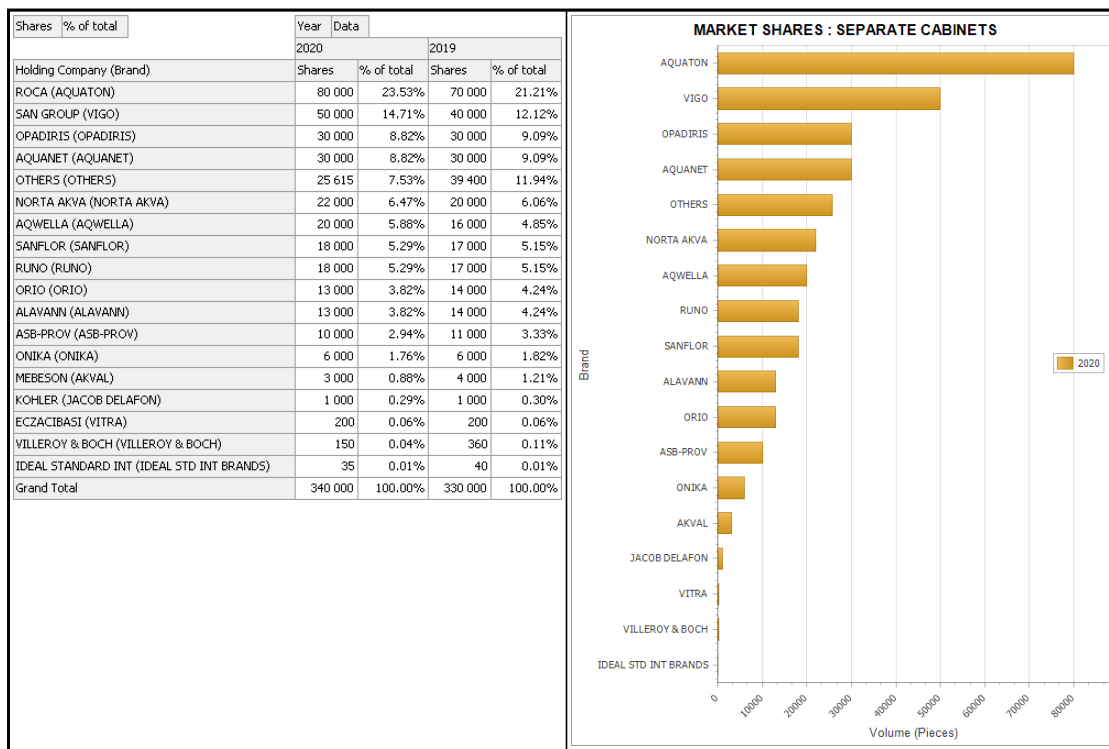
RU - ESTIMATED MARKET SHARES FOR MIRRORS AND MIRROR CABINETS



Source: BRG based on industry interviews.

5.5.3 Market Shares : Separate Cabinets

RU - ESTIMATED MARKET SHARES FOR SEPARATE CABINETS



Source: BRG based on industry interviews.

5.6.1

Route to Market: Bathroom Furniture
RU - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

59.0%
Wholesalers / Merchants
59.0%

Retail Level

Manufacturer	Wholesaler
4.2%	5.0%
Internet Retailers	
9.2%	

Manufacturer	Wholesaler
25.4%	10.0%
DIY Retailers	
35.4%	

Manufacturer	Wholesaler
11.5%	24.0%
Specialist Retailers	
35.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	17.0%	0.0%	4.0%	3.5%
Installers				
24.5%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	3.0%	9.2%	31.4%	32.0%	23.9%
Residential					
99.4%					

New Build			Residential RMI		
55.4%			44.0%		
Project	Non-Project		Project	Non-Project	
14.0%	41.4%		1.0%	43.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.0%	0.0%	0.0%	0.6%
Non-Residential					
0.6%					

New Build			Non-Residential RMI		
0.2%			0.4%		
Project	Non-Project		Project	Non-Project	
0.2%	0.0%		0.3%	0.1%	

5.6.2

Route to Market: Bathroom Furniture
RU - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

51.0%
Wholesalers / Merchants
51.0%

Retail Level

Manufacturer	Wholesaler
11.0%	3.0%
Internet Retailers	
14.0%	

Manufacturer	Wholesaler
26.0%	8.0%
DIY Retailers	
34.0%	

Manufacturer	Wholesaler
12.0%	22.0%
Specialist Retailers	
34.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	15.0%	0.0%	4.0%	4.0%
Installers				
23.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	3.0%	14.0%	30.0%	30.0%	22.5%
Residential					
99.5%					

New Build			Residential RMI		
54.5%			45.0%		
Project	Non-Project		Project	Non-Project	
13.0%	41.5%		1.0%	44.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.0%	0.0%	0.0%	0.5%
Non-Residential					
0.5%					

New Build			Non-Residential RMI		
0.1%			0.4%		
Project	Non-Project		Project	Non-Project	
0.1%	0.0%		0.3%	0.1%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

5.6.3 Route to Market - Consolidated View : Bathroom Furniture

RU - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2020

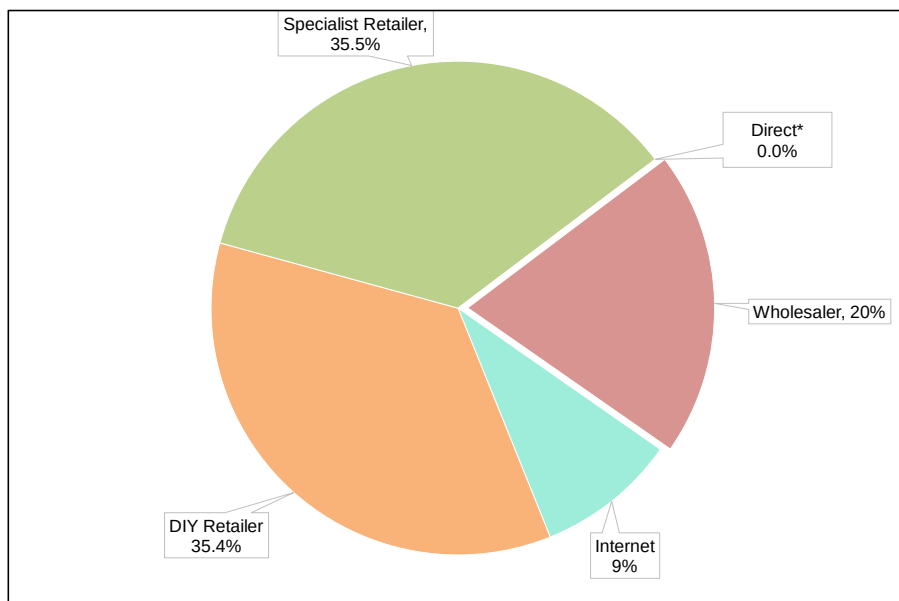
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
20.0%	9.2%	35.4%	35.5%	0.0%	15.0%	0.5%	84.4%	0.1%
100%					15.5%		84.5%	

5.6.4 Route to Market - Consolidated View : Bathroom Furniture

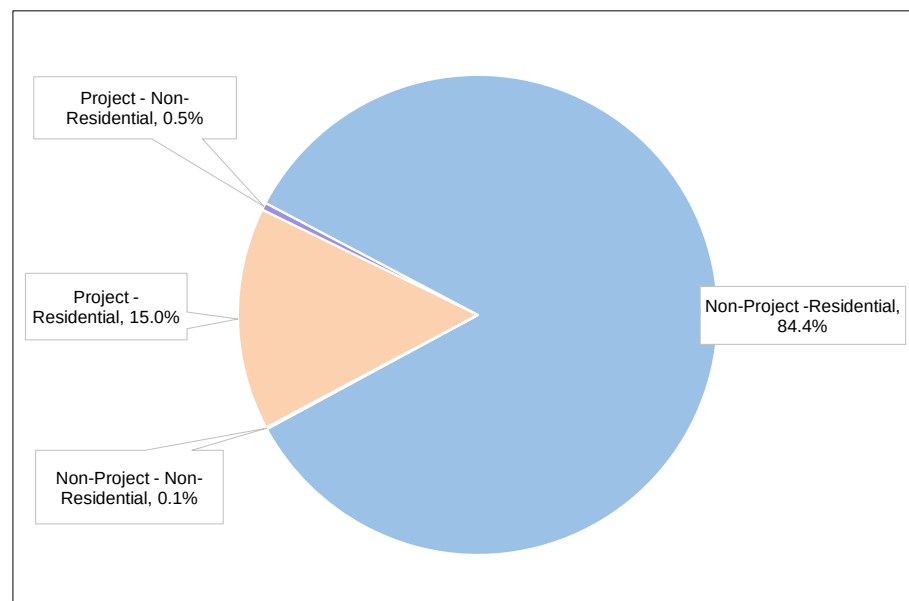
RU - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
18.0%	14.0%	34.0%	34.0%	0.0%	14.0%	0.4%	85.5%	0.1%
100%					14.4%		85.6%	

RU - SALES OF BATHROOM FURNITURE BY DISTRIBUTION CHANNEL: 2020



RU - SALES OF BATHROOM FURNITURE BY POINT OF DECISION AND END-USE SECTOR: 2020



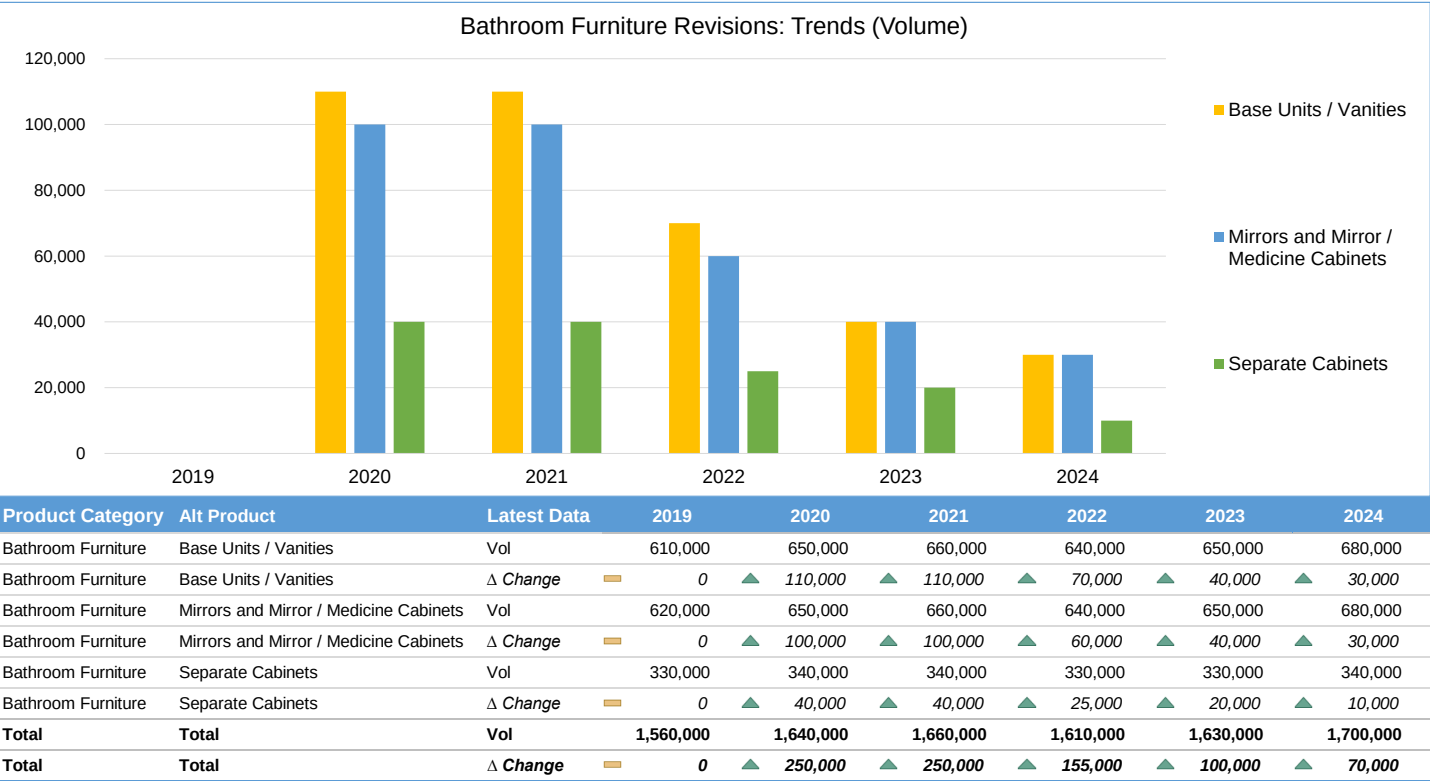
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

5.7 Revisions in the Russian Bathroom Furniture Market (April 2021)

RU - REVISIONS IN THE RUSSIAN BATHROOM FURNITURE MARKET

Data Comparison: October 2020



No changes were made to the historical volumes and values for this market.

RUSSIA

BATHROOM ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

The market for bathroom accessories in Russia includes products that are installed during the building phase and are then hardly ever replaced. Replacement usually happens only if the entire bathroom is renovated or an item is broken. Therefore, sales numbers are low in relation to other products. Other products have limited durability and are replaced on a regular basis because they have short lifespans or should be replaced for hygiene reasons. Numbers of units sold are usually high for these products. Across these products, list prices range from very low to high, depending on the brand and distribution channel.

The Russian market for bathroom accessories is fragmented, with over 100 manufacturers and thousands of models present on the market. The market grew mainly due to replacements of low-quality products and increasing construction activity in recent years. The attachment of the Russian people to their summer houses, known as '*dacha*', also provides a market opportunity for the essential bathroom accessory products.

Most sales comprise toothbrush holders and tumblers, soap holders, shower storage units, toilet paper holders, towel holders and toilet brushes, as these are considered to be key products that are essential to every bathroom. These products also tend to be replaced more regularly than other products, especially in the case of toilet brushes, which have only limited durability due to hygiene reasons. They are low in price but have a high turnover rate. Shower storage units are popular in the Russian market, due to their functionality and fair prices. The domestic manufacturers mainly specialise in the production of steel units. Toothbrush holders and tumblers are generally mounted on the wall above the washbasin and will accommodate at least one, but sometimes two tumblers made of either glass or plastic. Soap holders can be mounted on a wall or hung on baths, but most models are separate plastic ones for hand washbasins. Some soap holders are combined with other accessories, such as toothbrush holders. Toilet paper holders without covers are the most popular in Russia, although other types are being increasingly sold. The combination of their low price and functionality means that a large number of towel and bathrobe hooks are sold each year. However, due to the nature of this product type and the fact that such hooks can be purchased in a number of retail outlets, sales volumes are consequently difficult to quantify.

Russian consumers seem to prefer wall mounted bathroom accessories, including towel holders, toothbrush holders and tumblers, and shelves. The main material within the market is metal, although synthetic and glass bathroom accessories also feature strongly. The other main material types, including wood and ceramic, have a negligible share. Wood is usually used in designer products. Metal accessories are combined with other materials such as glass, ceramic or wood. BRG quantifies this market in value, not volume.

With the increasing purchasing power of the general population and a growing economy, in addition to an increasing offering and variety of products, the population likes to make bathrooms more comfortable. The market is still far from being mature and households' spending is relatively low, and very much depends on disposable income and the overall economic situation.

There is an insignificant shift from steel to plastic products. The penetration and the number of accessories installed per dwelling have been growing over the last decade (apart from 2015). Growth is forecast to resume when Russia overcomes the ongoing economic difficulties and pandemic.

Recent Market Trends

Bathroom accessory sales increased in 2020 in terms of value. A higher share of low quality products, with shorter lifespans, has been leading to more frequent replacements.

The market remains extremely fragmented and no manufacturers have achieved significant sales. Predominantly, imported models are affected, due to the fluctuating exchange rate of the Russian currency.

Some DIYs have started to gradually source directly from China. Predominantly middle price segment imports have suffered in terms of importers. Luxury product sales remained almost stable, as the wealthy population still gives preference to quality products.

The share of ad hoc sales has remained high, leading to an emergence of new Chinese players.

The most important trend in 2020 was the entrance of new players from other sectors. Bathroom furniture and bath manufacturers have started to source and sell bathroom accessories in order to maintain or boost sales.

Prices and Market Values

Prices vary widely and depend on the quality of the material, design and complexity. For example, metallic products are mainly made of cast iron, steel, stainless steel or a combination of different metals. The quality of any chrome cover influences the product cost further. Design and complexity play the most important roles in the product price.

The largest share of the market is attributable to the economy and lower segment, accounting for almost two thirds of sales. The leading position within this price sector has been captured by Chinese imports. The threat to the existing players in the market comes from Chinese imports, as they occupy most of the total market. Consequently, the share of such imports in volume terms is much higher. The lower price segment has remained the largest in terms of both value and

volume.

It is followed by the middle price segment, which is supported by strong demand from the middle class. This segment of the market is also dominated by Chinese products, mainly those that are copied from well-known brands and/or designs.

Almost all European manufacturers have product series that can be categorised within the upper price range. The products in the economy and lower price segments are normally distributed via the showrooms of retailers that specialise in bathroom products.

The luxury price segment has the smallest value share of the market. Here, design and aesthetics are vital product characteristics. The key suppliers in this price segment include GROHE, HANSGROHE, JADO, KEUCO, DORNBRACHT and DEVON & DEVON.

New Housing

Most dwellings built in Russia are fully equipped with a bathroom suite that is complemented with some bathroom furniture pieces and accessories. The segment is estimated to decrease further in the short term and pick up only after 2023. Although the overall market is likely to include mostly products from the lower to middle price segments, accessories from the upper and luxury segments are gaining popularity, with the suppliers being mainly Italian and German manufacturers.

Housing RMI

BRG assumes that overall bathroom accessory sales have mainly gone to the RMI sector. It is estimated that most bathroom accessories are replaced on average every five to eight years, so it is no surprise that this is the most important segment for bathroom accessories. In the last few years, bathroom accessories have been replaced more frequently as a result of a wider product offering as well as consumers' ability to buy cheaper products. This segment is expected to grow in the long term.

Non-Housing

The sales value of bathroom accessories in the overall non-housing sector has decreased. The segment's value is supported by non-residential construction, as well as the refurbishment and replacement of bathroom accessories in hotels, sanatoriums and other institutions. Most bathroom accessories sold to this end-use segment are principally installed in hotels, offices, public buildings and restaurants.

Supply Structure

Imports account for the majority of the market. Chinese imports captured a significant share of the market. The rest of the market is mainly divided between

the Italian and German suppliers in the upper and luxury segments of the market, and Czech, Polish and Turkish products in the middle price segment. Other imports come from Denmark and other Scandinavian countries, as well as the Netherlands and Spain. GROHE, KEUCO and HANSGROHE are among the well-known European brands in the Russian bathroom accessories market.

Products sold and then rebranded under distributors' own labels are an important feature of the DIY supply structure, as well as those products sold in department stores and supermarkets. DIY players like LEROY MERLIN have continued to strengthen their positions, and source OEM products from China directly.

Forecasts

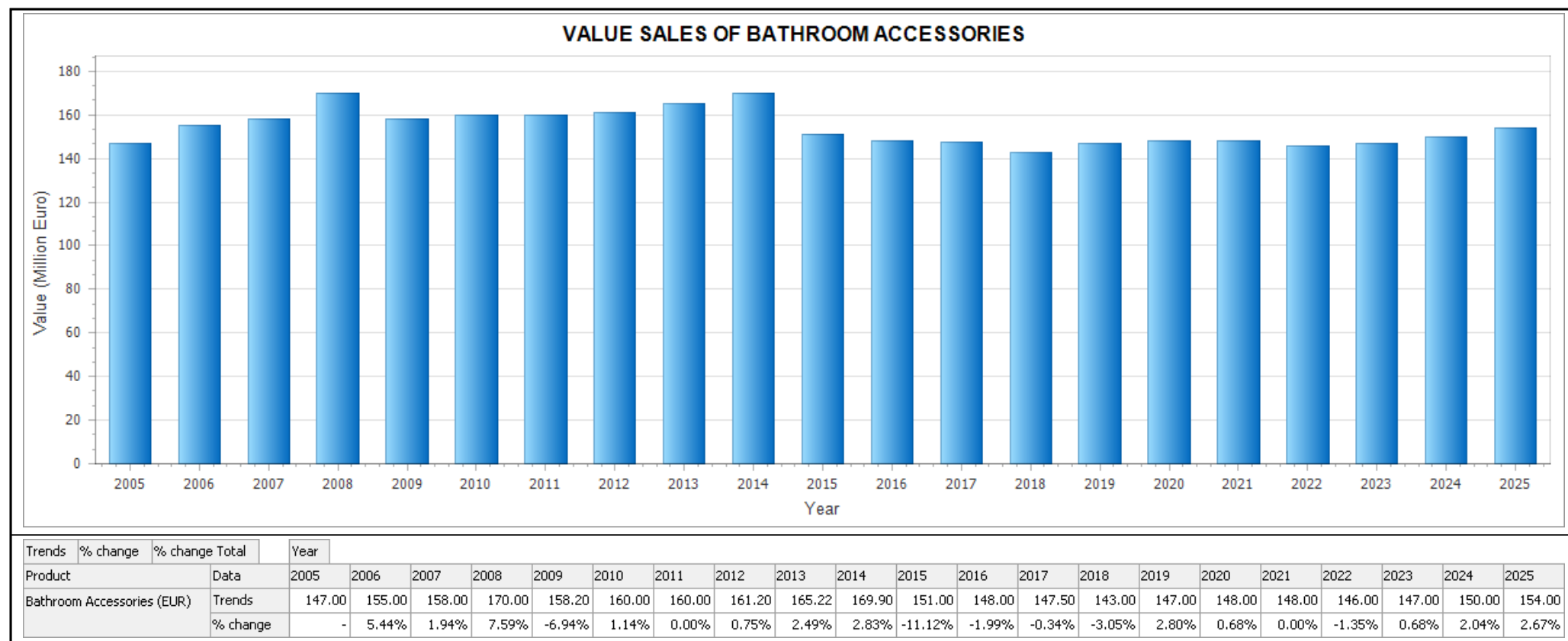
Due to an unstable economic environment and increasing inflation, bathroom accessories are expected to become less affordable for the general population. The overall bathroom accessories market is forecast to decline in 2022 due to the decreased purchasing power of the general population, devaluation of local currency, low oil prices (which translates into lower state spending), Western sanctions and an expected fall in construction. However, considering that replacement levels were relatively low and the bathroom market remained under significant pressure in the recent years the fall should be limited. Due to the fact that bathroom accessories are relatively cheap when compared to other bathroom products, most people can afford to replace broken items. The lifespan of products, due to low quality, is gradually declining and they will require more frequent replacement. The overall bathroom accessories market is only expected to pick up in 2023 unless it is hit by other unexpected crises.

The market is very sensitive to the political and economic situation. A stable political environment leads to consumer confidence and higher spending (which translates into replacement, renovation and construction, leading to more installations). However, during periods of political/economic instability people tend to spend less which, in turn, also affects sales of bathroom products. Therefore, the most important variables affecting the market will be political activity, the spread of the coronavirus and oil/gas prices. BRG's forecast is based on the assumption that the political situation will not change in Russia and that oil and gas prices should gradually recover; President Putin will probably not make aggressive steps that force the West to impose further sanctions.

The purchasing power of the general population remains lower than in most EU countries. As a result, not everyone, particularly in rural areas, can afford modern products. Therefore, economic growth and the increasing purchasing power of households should positively affect sales.

6.2 Historical Trends and Forecasts

RU - SUMMARY OF TRENDS IN THE BATHROOM ACCESSORIES MARKET : HISTORICAL AND FORECASTS (MILLION EURO)



Source: BRG based on industry interviews.

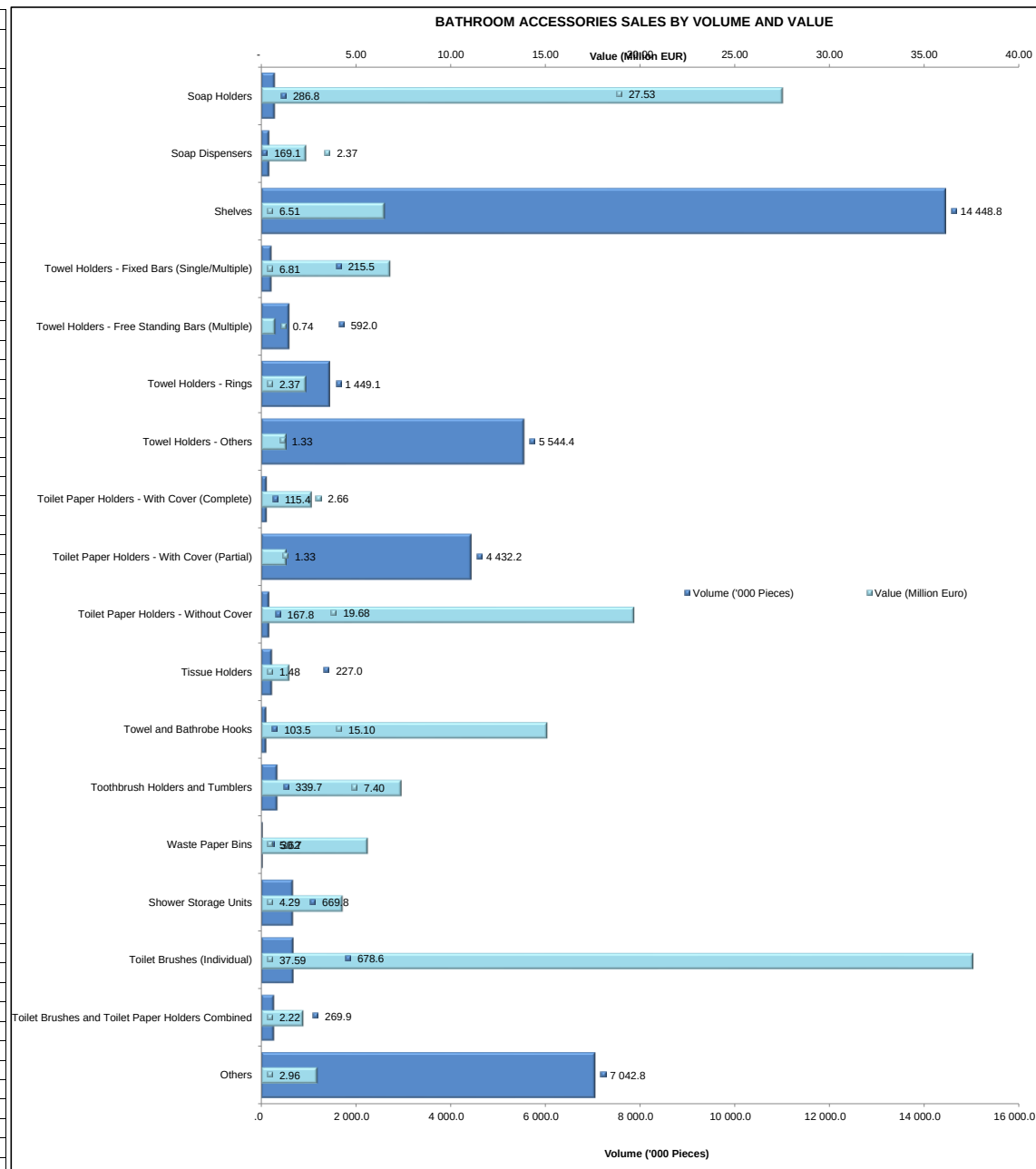
6.3 Prices and Market Values : Bathroom Accessories

RU - ESTIMATED VALUES OF THE BATHROOM ACCESSORIES MARKET BY TYPE OF PRODUCT

Market Value		2020		
		Volume ('000 Pieces)	Value (Million RUB)	Value (Million EUR)
Soap Holders	Volume / Value	7 042.8	2 274.8	27.5
	Share	19.1%	18.6%	18.6%
	Average Price (RUB/EUR)		323.0	3.9
Soap Dispensers	Volume / Value	269.9	195.7	2.4
	Share	0.7%	1.6%	1.6%
	Average Price (RUB/EUR)		725.0	8.8
Shelves	Volume / Value	678.6	538.1	6.5
	Share	1.8%	4.4%	4.4%
	Average Price (RUB/EUR)		793.0	9.6
Towel Holders: Fixed Bars (Single/Multiple)	Volume / Value	669.8	562.6	6.8
	Share	1.8%	4.6%	4.6%
	Average Price (RUB/EUR)		840.0	10.2
Towel Holders: Free Standing Bars (Multiple)	Volume / Value	30.7	61.2	0.7
	Share	0.1%	0.5%	0.5%
	Average Price (RUB/EUR)		1 990.0	24.1
Towel Holders: Rings	Volume / Value	339.7	195.7	2.4
	Share	0.9%	1.6%	1.6%
	Average Price (RUB/EUR)		576.0	7.0
Towel Holders: Others	Volume / Value	103.5	110.1	1.3
	Share	0.3%	0.9%	0.9%
	Average Price (RUB/EUR)		1 063.0	12.9
Toilet Paper Holders: With Cover (Complete)	Volume / Value	227.0	220.1	2.7
	Share	0.6%	1.8%	1.8%
	Average Price (RUB/EUR)		970.0	11.7
Toilet Paper Holders: With Cover (Partial)	Volume / Value	167.8	110.1	1.3
	Share	0.5%	0.9%	0.9%
	Average Price (RUB/EUR)		656.0	7.9
Toilet Paper Holders: Without Cover	Volume / Value	4 432.2	1 626.6	19.7
	Share	12.0%	13.3%	13.3%
	Average Price (RUB/EUR)		367.0	4.4
Tissue Holders	Volume / Value	115.4	122.3	1.5
	Share	0.3%	1.0%	1.0%
	Average Price (RUB/EUR)		1 060.0	12.8
Towel and Bathrobe Hooks	Volume / Value	5 544.4	1 247.5	15.1
	Share	15.1%	10.2%	10.2%
	Average Price (RUB/EUR)		225.0	2.7
Toothbrush Holders and Tumblers	Volume / Value	1 449.1	611.5	7.4
	Share	3.9%	5.0%	5.0%
	Average Price (RUB/EUR)		422.0	5.1
Waste Paper Bins	Volume / Value	592.0	464.8	5.6
	Share	1.6%	3.8%	3.8%
	Average Price (RUB/EUR)		785.0	9.5
Shower Storage Units	Volume / Value	215.5	354.7	4.3
	Share	0.6%	2.9%	2.9%
	Average Price (RUB/EUR)		1 646.0	19.9
Toilet Brushes (Individual)	Volume / Value	14 448.8	3 106.5	37.6
	Share	39.3%	25.4%	25.4%
	Average Price (RUB/EUR)		215.0	2.6
Toilet Brushes and Toilet Paper Holders Combined	Volume / Value	169.1	183.5	2.2
	Share	0.5%	1.5%	1.5%
	Average Price (RUB/EUR)		1 085.0	13.1
Others	Volume / Value	286.8	244.6	3.0
	Share	0.8%	2.0%	2.0%
	Average Price (RUB/EUR)		853.0	10.3
TOTAL	Volume in '000/Value in Million	36783.1	12230.3	148.0
	Share	100.0%	100.0%	100.0%
	Average Price (RUB/EUR)		332.5	4.0

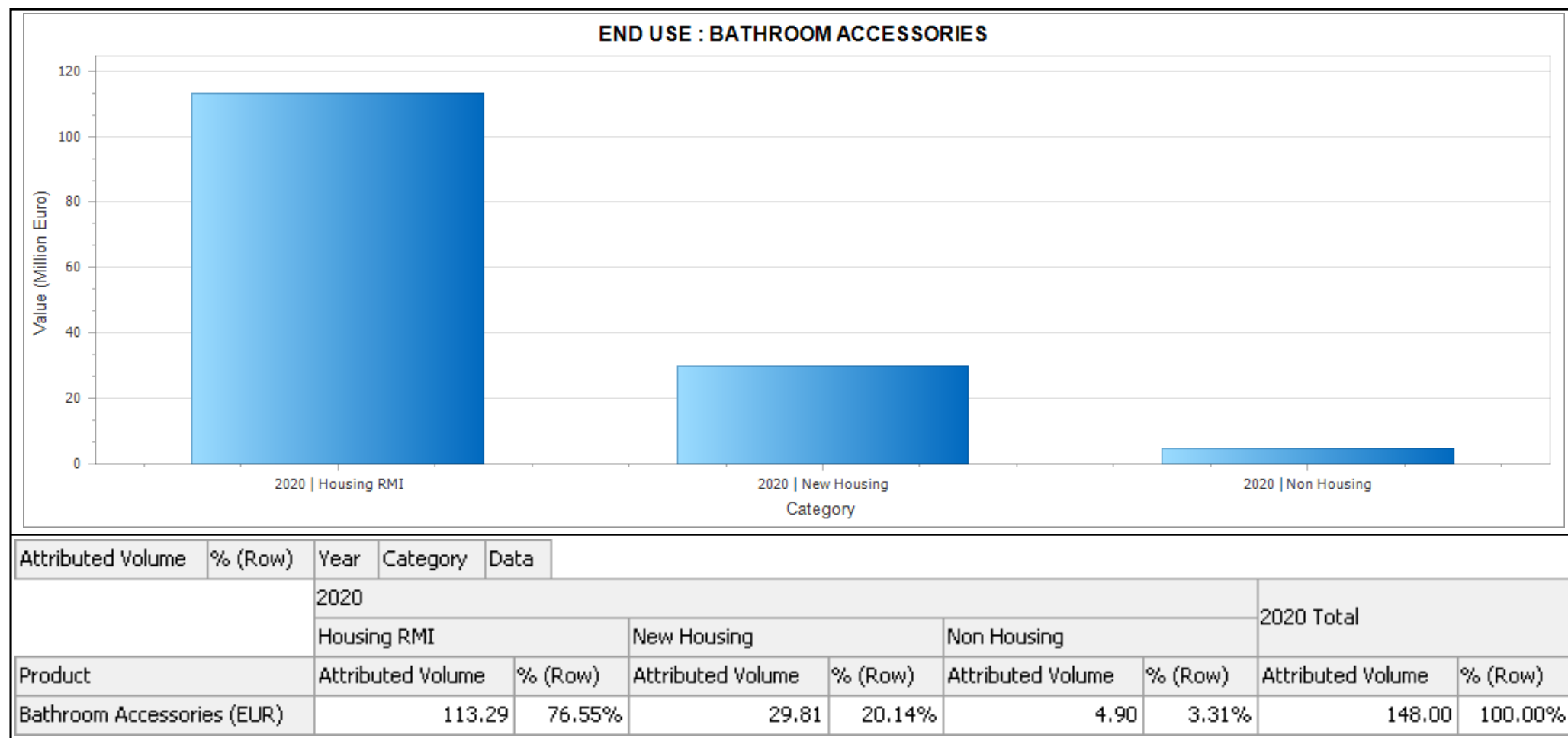
Source: BRG based on industry interviews

N.B. Prices Shown at MSP (= Manufacturers' Selling Price).



6.4.1 End Use : Base Year

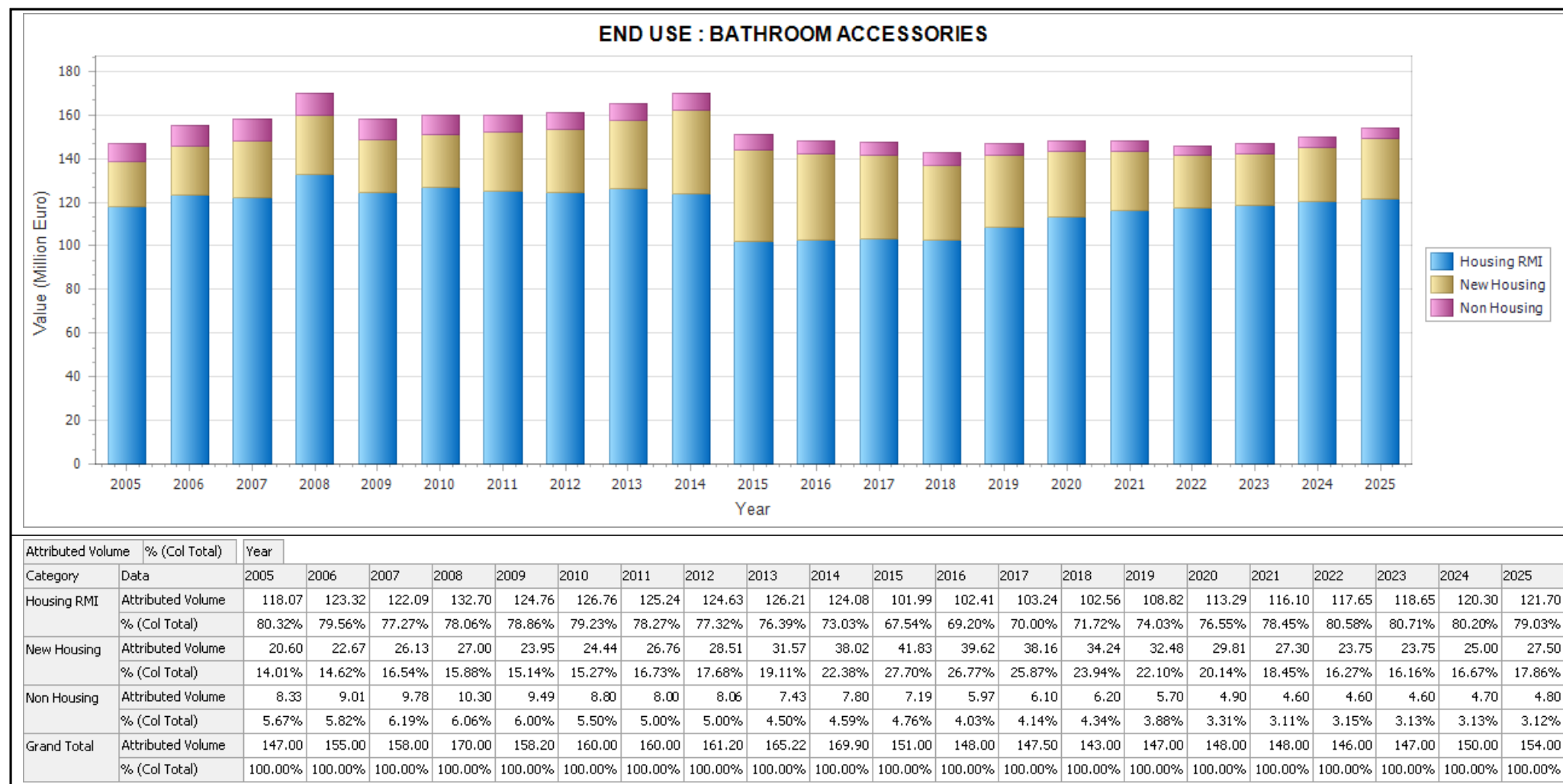
RU - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.2 End Use : Historical and Forecasts

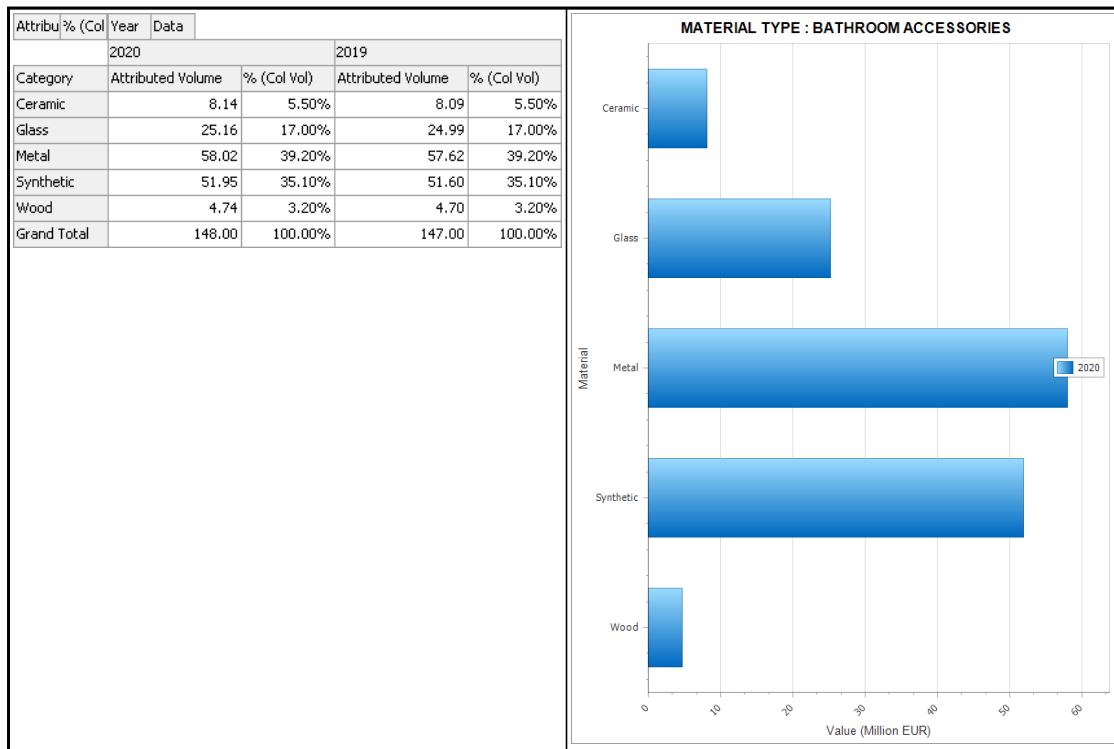
RU - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.3 Sales by Type of Material : Bathroom Accessories

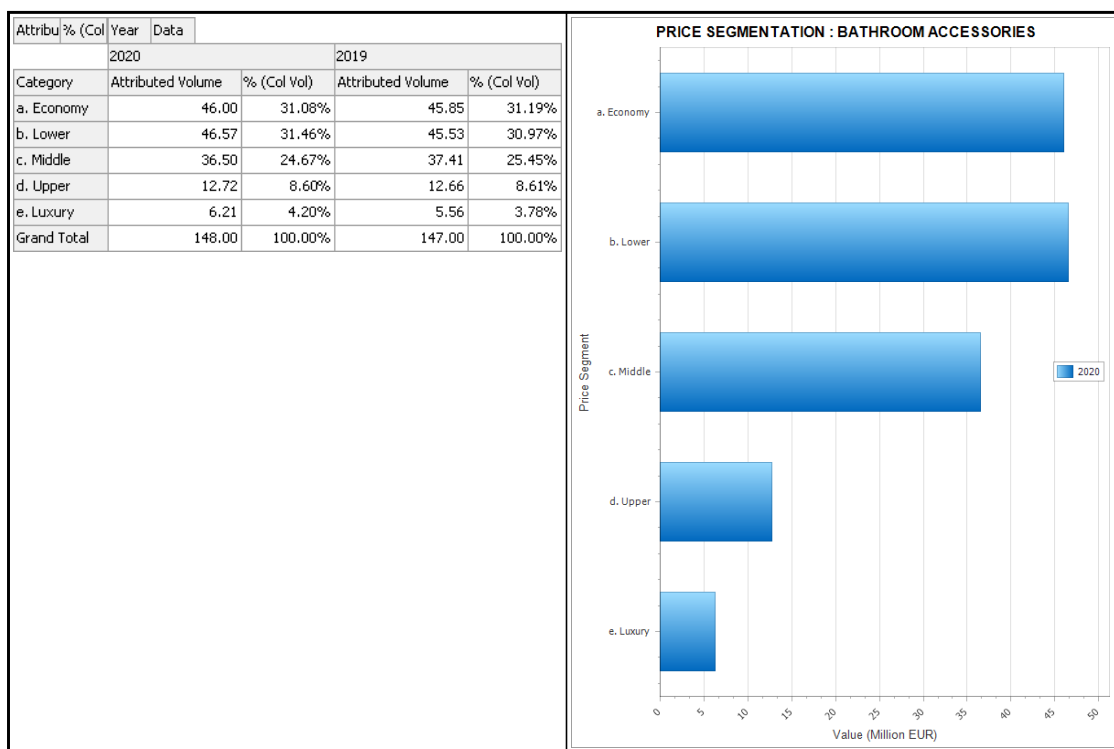
RU - BATHROOM ACCESSORY SALES BY MAIN MATERIAL TYPE (MILLION EUR)



Source: BRG based on industry interviews

6.4.4 Sales by Price Segment : Bathroom Accessories

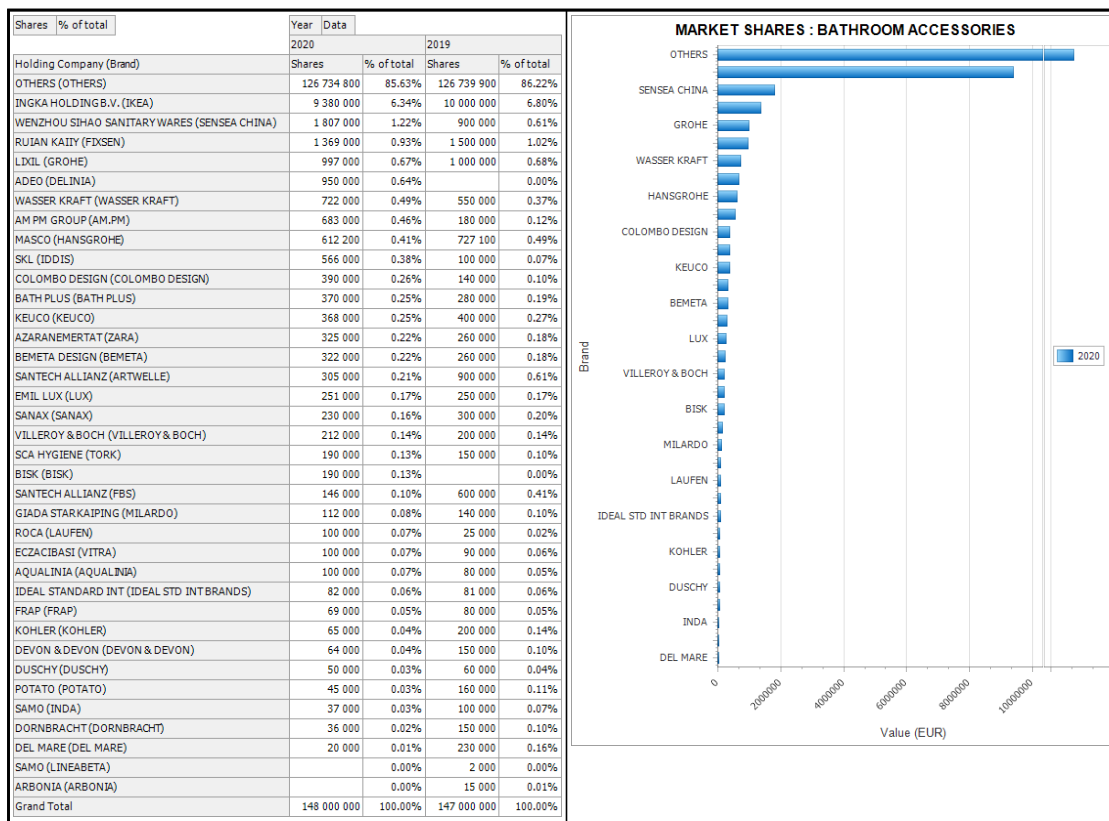
RU - BATHROOM ACCESSORY SALES BY PRICE SEGMENT (MILLION EUR)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.5 Market Shares : Bathroom Accessories

RU - ESTIMATED MARKET SHARES FOR BATHROOM ACCESSORIES (EUR)



Source: BRG based on industry interviews.

6.6.1 Route to Market: Bathroom Accessories (EUR)
RU - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	82.9%
	Wholesalers / Merchants
	82.9%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	9.0%	10.8%	33.0%	6.3%	35.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	9.0%		43.8%		41.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	2.0%	0.0%	3.0%	11.3%
Installers				
16.3%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	3.9%	9.0%	40.8%	30.0%	13.0%
	Residential					
	96.7%					

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.0%	0.0%	0.0%	3.3%
Non-Residential					
3.3%					

New Build		Residential RMI	
20.1%		76.5%	
Project	Non-Project	Project	Non-Project
3.0%	17.1%	0.0%	76.5%

New Build		Non-Residential RMI	
1.0%		2.3%	
Project	Non-Project	Project	Non-Project
1.0%	0.0%	2.0%	0.3%

6.6.2 Route to Market: Bathroom Accessories (EUR)
RU - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	79.0%
	Wholesalers / Merchants
	79.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	9.0%	14.0%	28.0%	7.0%	36.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	9.0%		42.0%		43.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	2.0%	0.0%	3.0%	13.0%
Installers				
47.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	4.0%	7.0%	12.0%	30.0%	43.8%
	Residential					
	96.9%					
New Build			Residential RMI			
17.9%			79.0%			
Project	Non-Project		Project	Non-Project		
3.0%	14.9%		0.0%	79.0%		

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.0%	0.0%	0.0%	3.1%
Non-Residential					
3.1%					
New Build			Non-Residential RMI		
1.0%			2.1%		
Project	Non-Project		Project	Non-Project	
1.0%	0.0%		1.8%	0.3%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

6.6.3 Route to Market - Consolidated View : Bathroom Accessories

RU - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2020

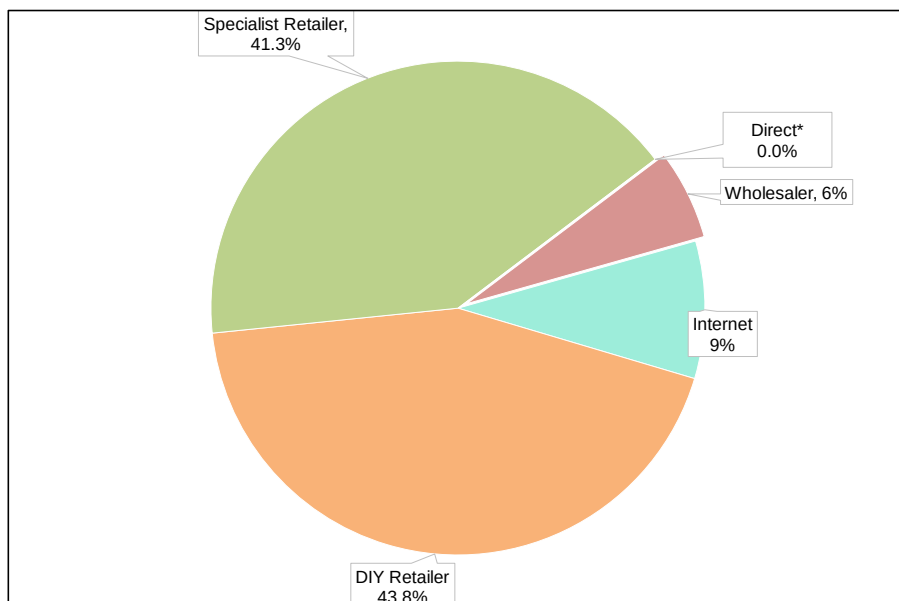
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
5.9%	9.0%	43.8%	41.3%	0.0%	3.0%	3.0%	93.7%	0.3%
100%					6.0%		94.0%	

6.6.4 Route to Market - Consolidated View : Bathroom Accessories

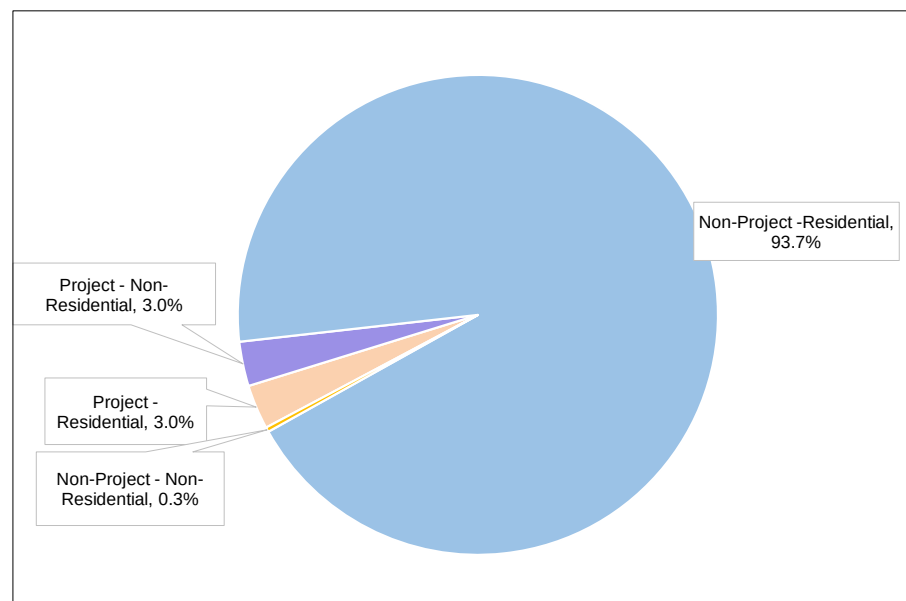
RU - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
6.0%	9.0%	42.0%	43.0%	0.1%	3.0%	2.8%	93.9%	0.3%
100%					5.8%		94.2%	

RU - SALES OF BATHROOM ACCESSORIES BY DISTRIBUTION CHANNEL: 2020



RU - SALES OF BATHROOM ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2020



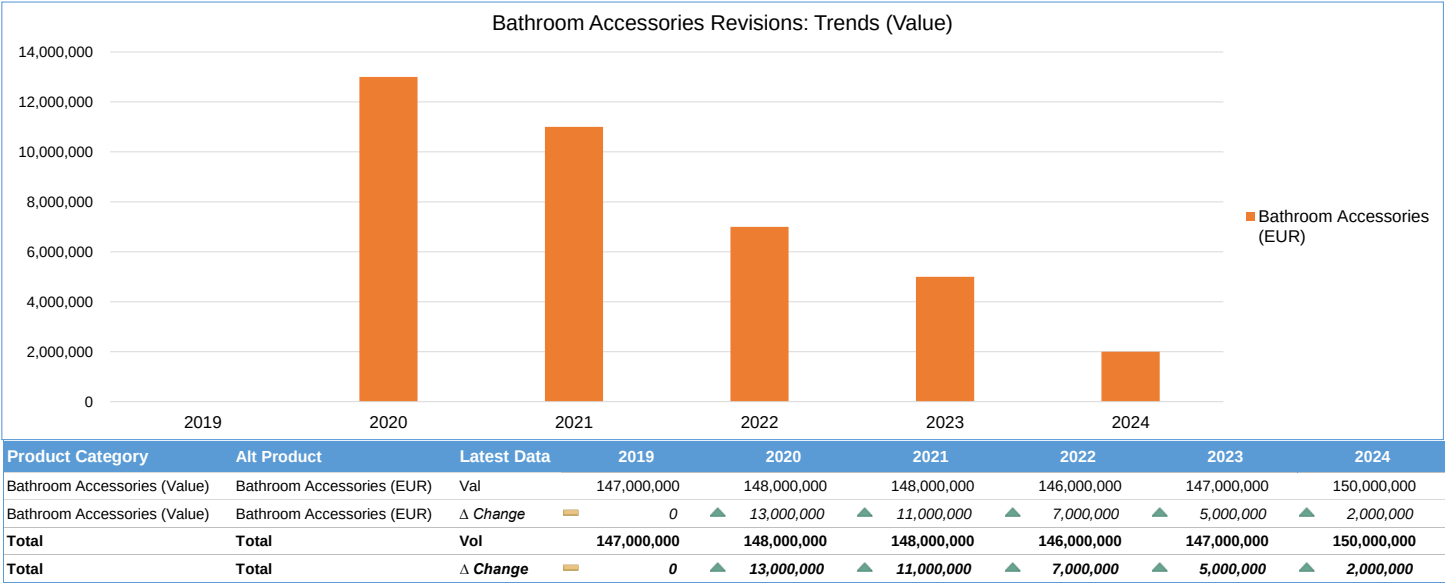
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

6.7 Revisions in the Russian Bathroom Accessories Market (April 2021)

RU - REVISIONS IN THE RUSSIAN BATHROOM ACCESSORIES MARKET

Data Comparison: October 2020



No revisions have been made to historical values for this market.

RUSSIA

SHOWER ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

The overall shower accessories market has developed in a similar way to the taps and mixers market in Russia. Most shower heads sold in the market are cheap, single function models, but multifunctional shower heads are very popular in the new housing segment. Sales of fixed heads and jets are very small in the Russian market, since they are mainly used in non-residential establishments such as sports centres and hotels.

Plastic hoses have many advantages over metal hoses. For instance, plastic hoses do not damage the surfaces of the bathroom (tiles, enamel, etc.). Furthermore, high quality PVC models have longer lifespans than metal models. However, metal hoses are still popular and account for a significant share, particularly among the middle-aged and senior population. Metal hoses are supplied by Russian manufacturers, while plastic hoses are imported.

Shower holders are traditionally more popular in Russia than shower bars. The market for shower pipes is small and growing. Manufacturers mainly target the upper market segment.

About half of shower sets sold are combinations of heads and hoses. These sets are usually sold in the low price sector. Sales of sets that include mixers are rare. This type of set is sold in the upper market segments.

Shower hoses are replaced more frequently than other products. Shower heads are usually cleaned by households and are more durable, while it is very difficult to fix the damaged hose.

Recent Market Trends

Overall sales of shower accessories increased in 2020. The shower accessories segment very much resembles the taps and mixers market. The main trend has been the strengthening of Asian OEM brands. Overall, the Russian shower accessories market has been flooded by low quality products in recent years, from not only Asia but also Eastern Europe. As a result, the lifespan of these products has decreased. New product lines have been introduced to the market and some old lines have been divested. The market is moving from unbranded to OEM products, with some Russian companies having two or three brands in their portfolio. Some of the brands only pop up on the market for one year and then disappear again. Sales of plastic hoses have continued to increase, as they are cheaper models.

Prices and Market Values

In Russia, almost all shower accessories are imported. Many incumbent importers have offered higher discounts to balance the price increase due to the currency

fluctuation, and in order to keep a foothold in the turbulent market. After a couple of years of significant discounts and price freezes, manufacturers have found themselves in the position of being able to increase prices. The average MSP has increased in EUR and RUR, except for shower panels. Almost all products are imported and prices are usually fixed in USD or EUR. The products are some of the cheapest, and the price increases have not influenced purchasing decisions negatively.

New Housing

Usually, three shower accessories are installed in each new dwelling. Due to a lower number of housing completions in 2020, the segment recorded a fall. Similarly to previous years, middle and upper-priced shower accessories had the highest share in the new housing sector. Russian or Asian products are predominantly installed in social housing, while in private housing preference is given to European-branded products. Sales in the new housing segment are expected to fall in the short term, due to the forecast slowdown in construction.

Housing RMI

The shower accessories market is mainly a replacement market, accounting for the vast majority of sales. Although good quality shower heads are replaced about every 10 years, the lifespans of the products have been declining, creating potential for increased replacement levels. The replacement market is far from saturation, and it is expected to record healthy growth in the long term.

Non-Housing

Within the non-housing segment, most shower accessories are installed in hotels. Sales of shower accessories recorded a fall in 2020. The non-housing market is very close to saturation and there is only marginal growth potential left. The segment is expected to decrease in the short term and then resume slow growth in the long term. Businesses have been cautious about construction investments in recent years (and this was exacerbated by the pandemic), which translates into lower completion levels.

Supply Structure

Only one domestic manufacturer ARKON (besides the assembler CENTR SANTEKHNIKI), has been present in the market, with the rest of the market being imports from Europe and predominantly Asia. The Russian manufacturer only produces steel shower hoses and heads. They have not invested in upgrades of production facilities or the development and design of new products, and this has facilitated the gradual decline of these companies.

Over 80% of the Russian shower accessories market is accounted for by cheap Chinese imports, which affects overall sales of the domestic and foreign suppliers. Similarly to mixers, shower accessories are usually unbranded or

branded on demand, coming in designs that are popular or requested and that are several times cheaper than the originals. The supply remains unstable, with a high share of ad hoc sales.

Other imports in the shower accessories market are supplied from Western European countries. HANSGROHE, GROHE, IDEAL STANDARD (with IDEAL STANDARD and VIDIMA brands), DAMIXA and ORAS are the most visible ones.

Forecasts

Several market drivers that incepted in 2020 progressed to 2021 driving the shower accessories market up. Around 75% of new build dwellings in Russia is purchased with mortgages. The government allocated funds to subsidise mortgages. The state support programme is planned to last at least until July 2021. Due to a reasonable level of demand for new dwellings almost all construction companies continued to work as normal in 2021. Low interest rates played a very important role for the market and in fact represented a turning point for the construction sector. The demand for new housing is so high that prices even increased in large cities. People who have money have already purchased (or committed to buy) dwellings, dachas or sanitary ware. Therefore, these spendings are likely to start falling by the end of 2021.

Many people moved to summer houses and villas during the summer period in 2020. Most summer houses are poorly maintained and people diverted money that was allocated for holidays to renovation. The demand for second homes (namely houses) is expected to remain strong in 2021 supporting both new installations and replacement of shower accessories. The demand is expected to dip in 2022 as most people who could afford holiday homes would have already purchased by that time.

The spending levels would continue to stay high in 2021 driving the overall market up. On another hand, some people lost jobs and purchasing power for others declined due to significant devaluation of the RUR. Therefore, working class people are likely to struggle with finances. As a result, the market of shower accessories is expected to record marginal decline in 2021 and 2022. The overall market is expected to start growing from 2023 onwards unless it is hit by other unexpected events or the continuous spread of the coronavirus. Consumer spending is estimated to pick up as the current crisis is expected to settle and economic growth stabilises. The overall market is set to grow in the long term, as the replacement level has remained low in recent years and the market is far from saturation.

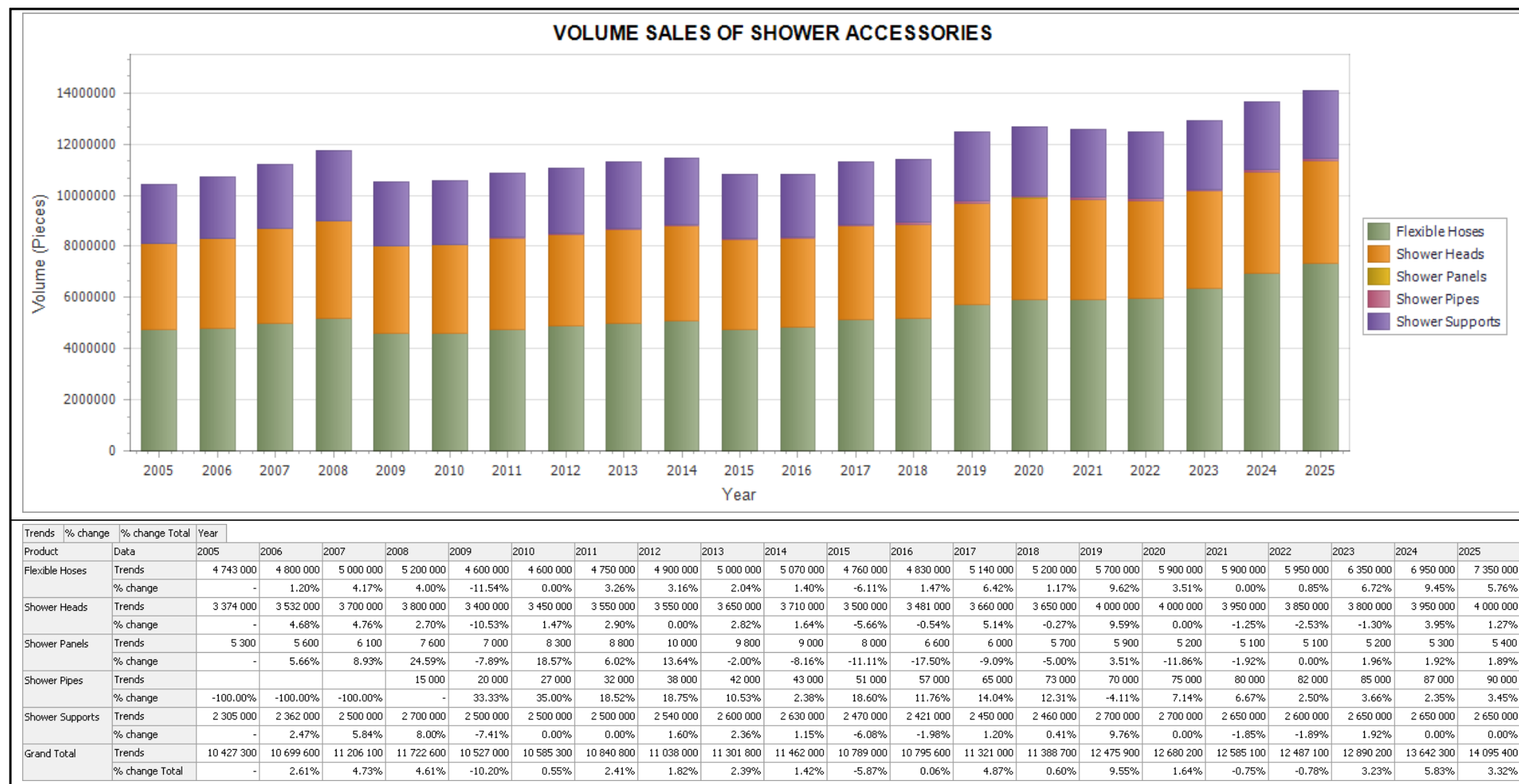
The products sold in recent years have been of low quality with short lifespans. Due to the fact that shower accessories are relatively cheap when compared to other bathroom products, most people can afford to replace a broken item; however, the lifespan of products, due to low quality, is short and they require more frequent replacement.

The purchasing power of the general population remains lower than in most EU countries. As a result, not everyone, particularly in rural areas, can afford modern products. Therefore, economic growth and the increasing purchasing power of households should positively affect sales.

Russian shower accessories production is becoming almost obsolete and it is likely that all mixers will be imported at some point. There are no signs of foreign manufacturers establishing production in Russia or local players expanding. Therefore, fluctuations in exchange rates could affect overall sales.

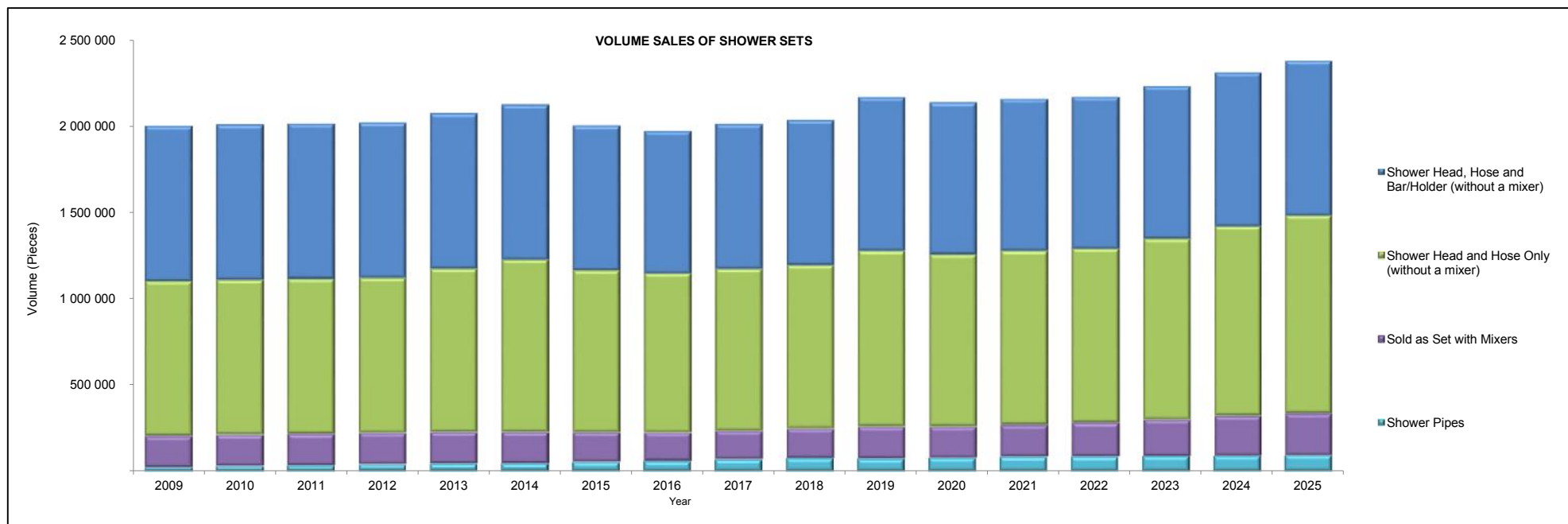
7.2.1 Historical Trends & Forecasts : Shower Accessories

RU - SUMMARY OF TRENDS IN THE SHOWER ACCESSORIES MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

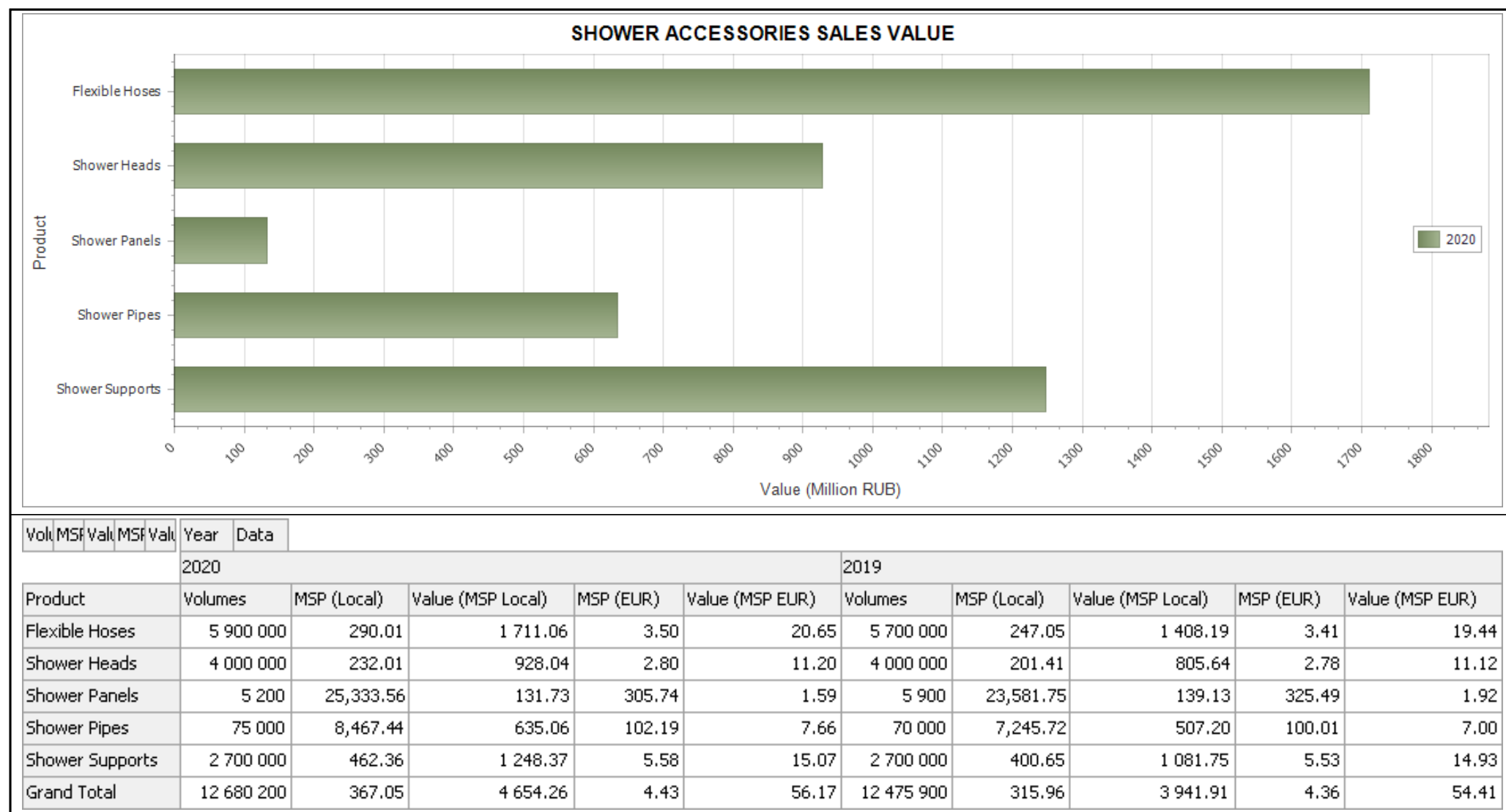
7.2.2 Historical Trends and Forecasts : Shower Sets
RU - SUMMARY OF TRENDS IN THE SHOWER SETS MARKET : HISTORICAL AND FORECASTS



Product Type	Product	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Shower Sets	Shower Head, Hose and Bar/Holder (without a mixer)	900 000	900 000	900 000	900 000	900 000	900 000	840 000	827 000	840 000	841 000	890 000	880 000	880 000	880 000	885 000	890 000	895 000
	% Change	-	0.00%	0.00%	0.00%	0.00%	0.00%	-6.67%	-1.55%	1.57%	0.12%	5.83%	-1.12%	0.00%	0.00%	0.57%	0.56%	0.56%
	Shower Head and Hose Only (without a mixer)	900 000	900 000	900 000	900 000	950 000	1 000 000	940 000	924 000	940 000	950 000	1 020 000	1 000 000	1 010 000	1 010 000	1 050 000	1 100 000	1 150 000
	% Change	-	0.00%	0.00%	0.00%	5.56%	5.26%	-6.00%	-1.70%	1.73%	1.06%	7.37%	-1.96%	1.00%	0.00%	3.96%	4.76%	4.55%
	Sold as Set with Mixers	180 000	180 000	180 000	180 000	180 000	180 000	170 000	163 000	165 000	170 000	185 000	180 000	185 000	195 000	210 000	230 000	240 000
	% Change	-	0.00%	0.00%	0.00%	0.00%	0.00%	-5.56%	-4.12%	1.23%	3.03%	8.82%	-2.70%	2.78%	5.41%	7.69%	9.52%	4.35%
	Shower Pipes	20 000	27 000	32 000	38 000	42 000	43 000	51 000	57 000	65 000	73 000	70 000	75 000	80 000	82 000	85 000	87 000	90 000
	% Change	-	35.00%	18.52%	18.75%	10.53%	2.38%	18.60%	11.76%	14.04%	12.31%	-4.11%	7.14%	6.67%	2.50%	3.66%	2.35%	3.45%
Grand Total		2 000 000	2 007 000	2 012 000	2 018 000	2 072 000	2 123 000	2 001 000	1 971 000	2 010 000	2 034 000	2 165 000	2 135 000	2 155 000	2 167 000	2 230 000	2 307 000	2 375 000
% Change Total		-	0.35%	0.25%	0.30%	2.68%	2.46%	-5.75%	-1.50%	1.98%	1.19%	6.44%	-1.39%	0.94%	0.56%	2.91%	3.45%	2.95%

Source: BRG based on Industry Interviews.

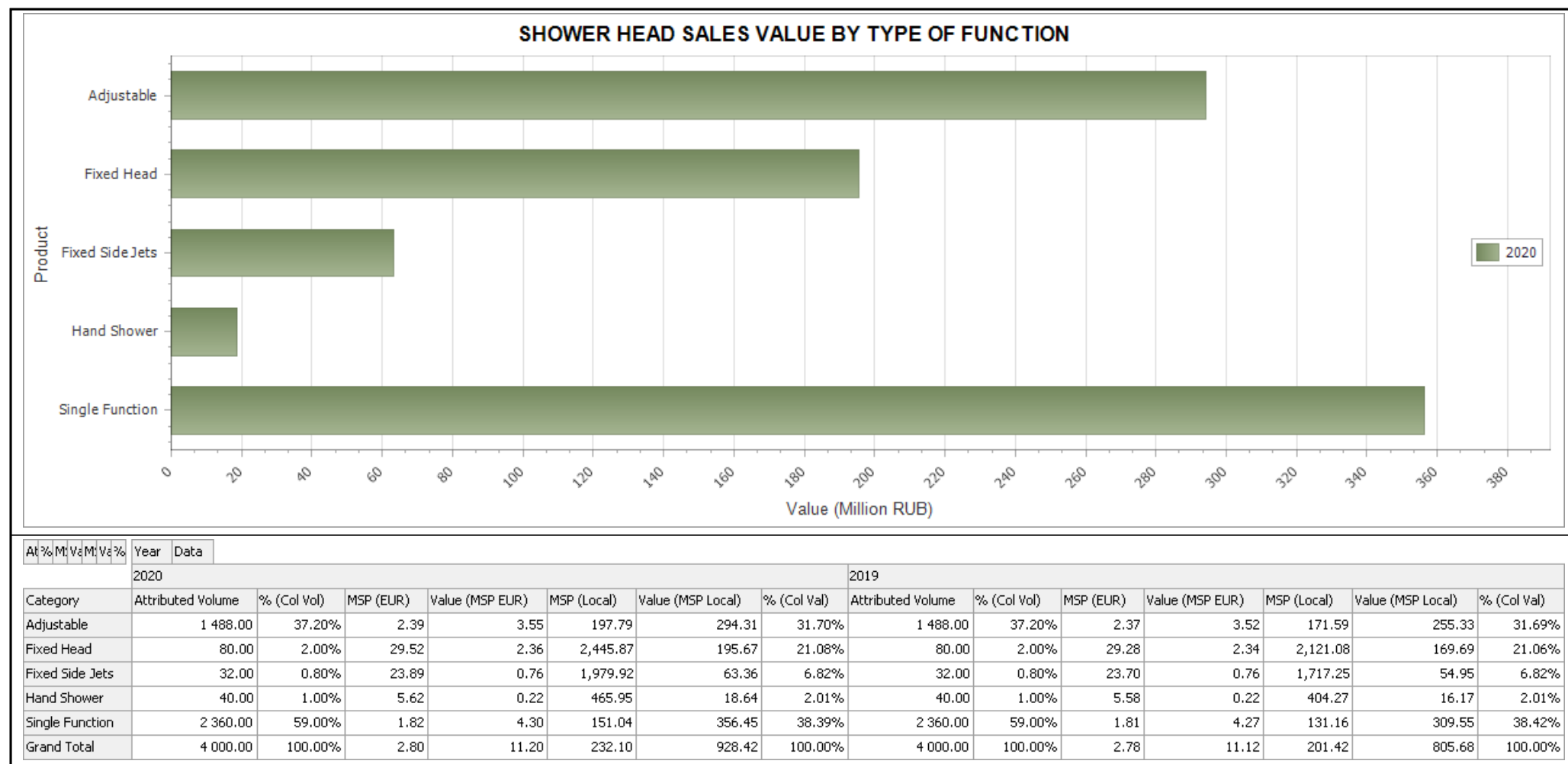
7.3.1 Prices and Market Values : Shower Accessories
RU - ESTIMATED VALUES OF THE SHOWER ACCESSORIES MARKET



Source: BRG based on industry interviews. Local Prices Shown in RUB. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

7.3.2 Prices and Market Values by Type : Shower Heads

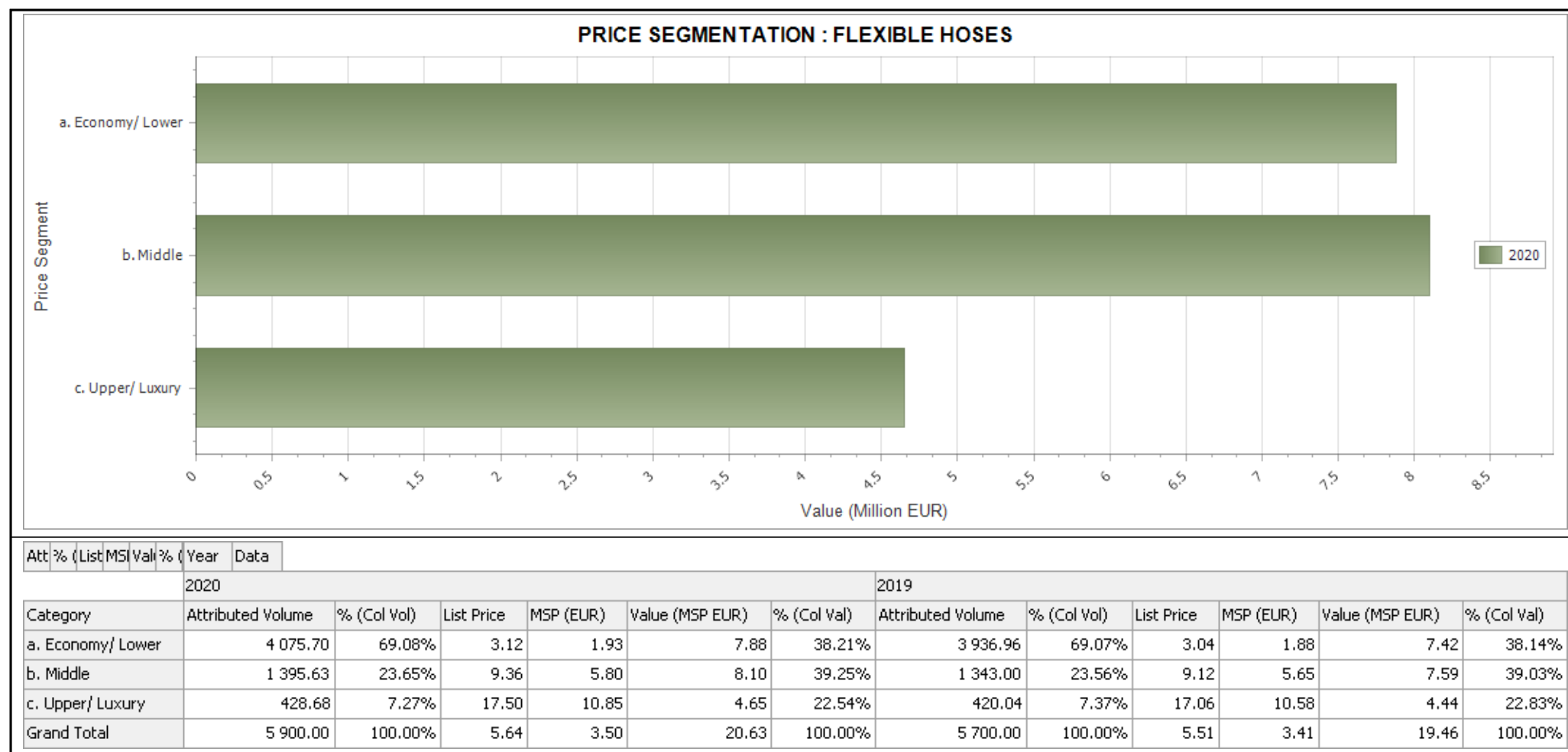
RU - ESTIMATED VALUES OF THE SHOWER HEAD MARKET BY TYPE OF FUNCTION



Source: BRG based on industry interviews. Local Prices Shown in RUB. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

7.3.3 Price Segmentation : Flexible Hoses

RU - ESTIMATED PRICE SEGMENTATION FOR FLEXIBLE HOSES

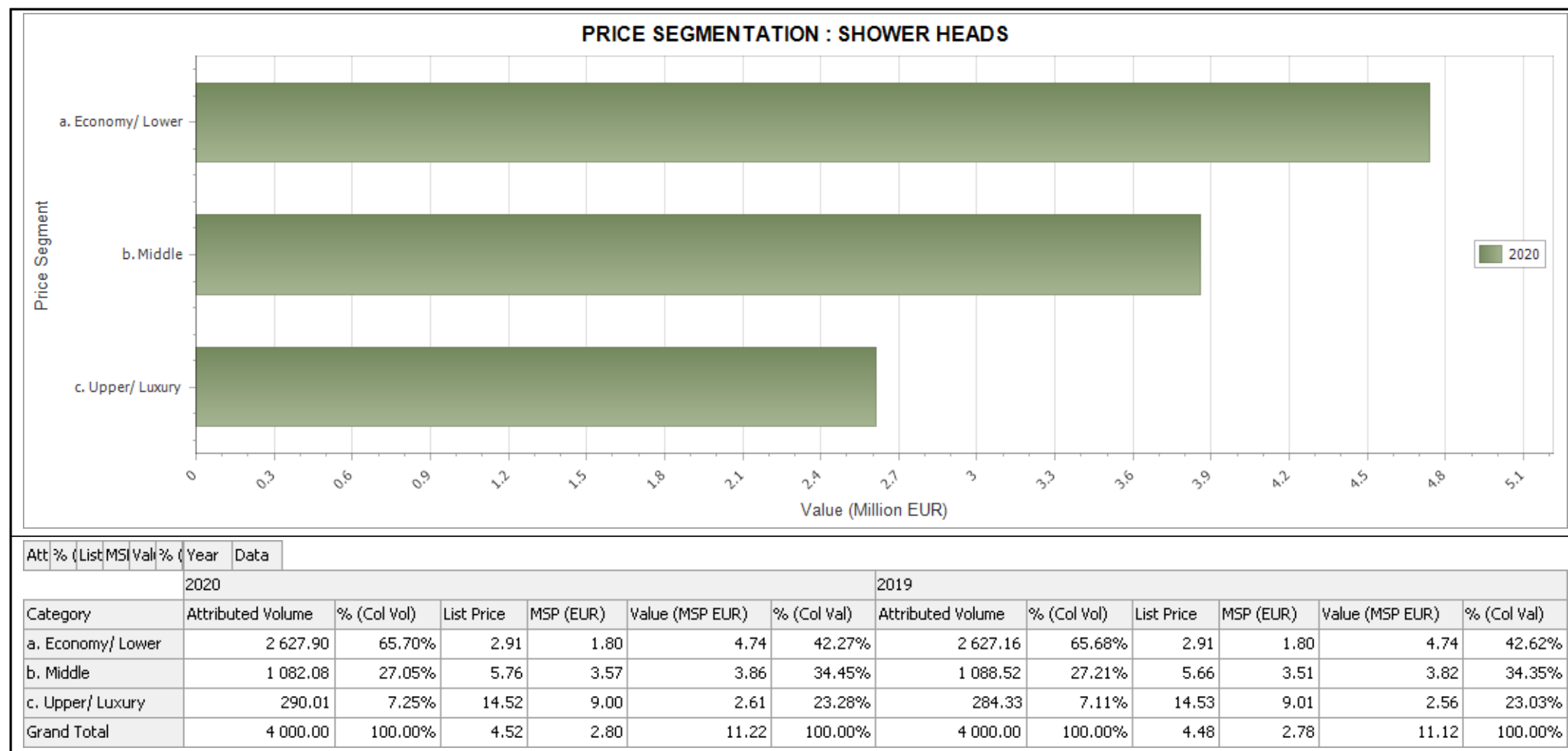


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€3, Middle €3-€8, Upper/ Luxury >€8

7.3.4 Price Segmentation : Shower Heads

RU - ESTIMATED PRICE SEGMENTATION FOR SHOWER HEADS

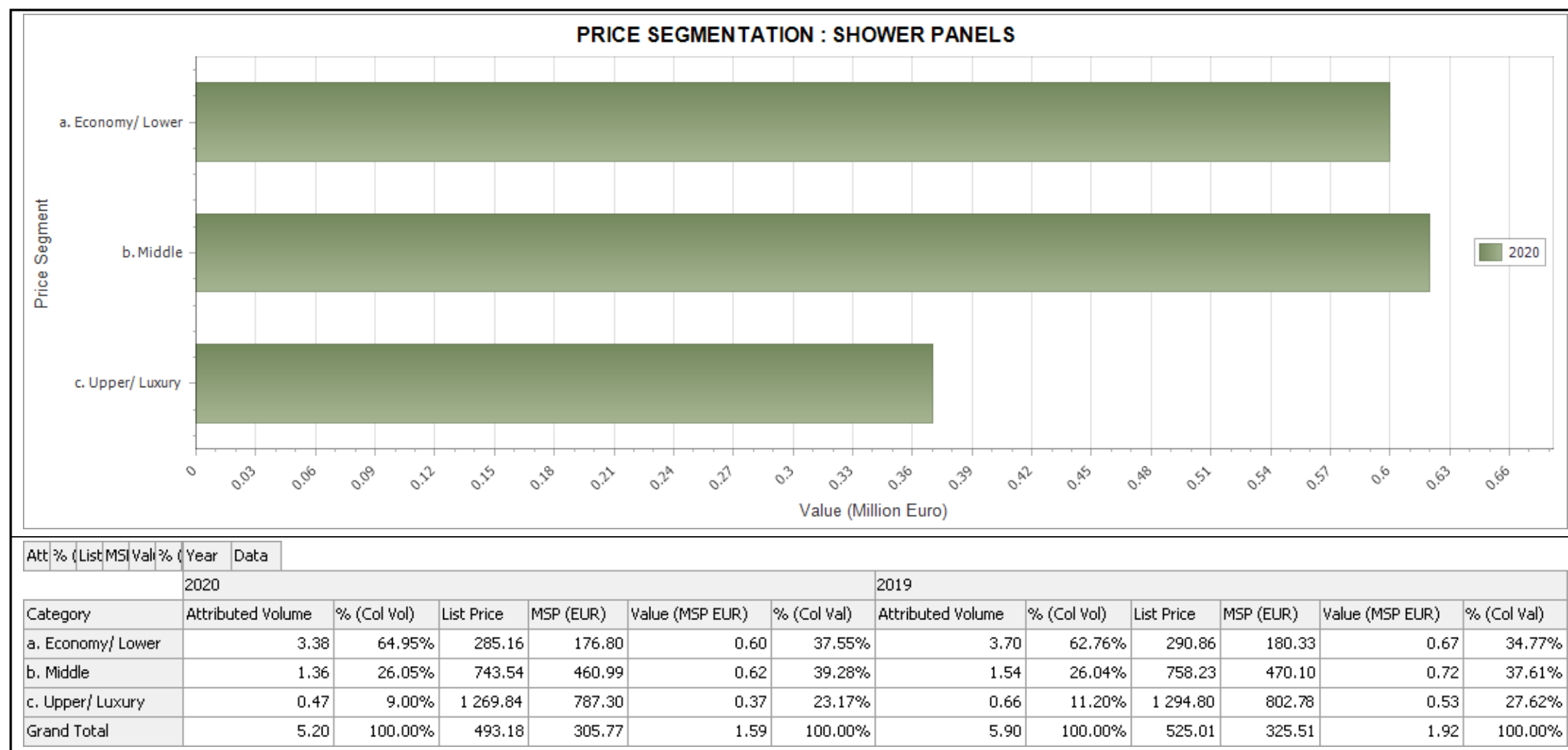


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€3, Middle €3-€8, Upper/ Luxury >€8

7.3.5 Price Segmentation : Shower Panels

RU - ESTIMATED PRICE SEGMENTATION FOR SHOWER PANELS

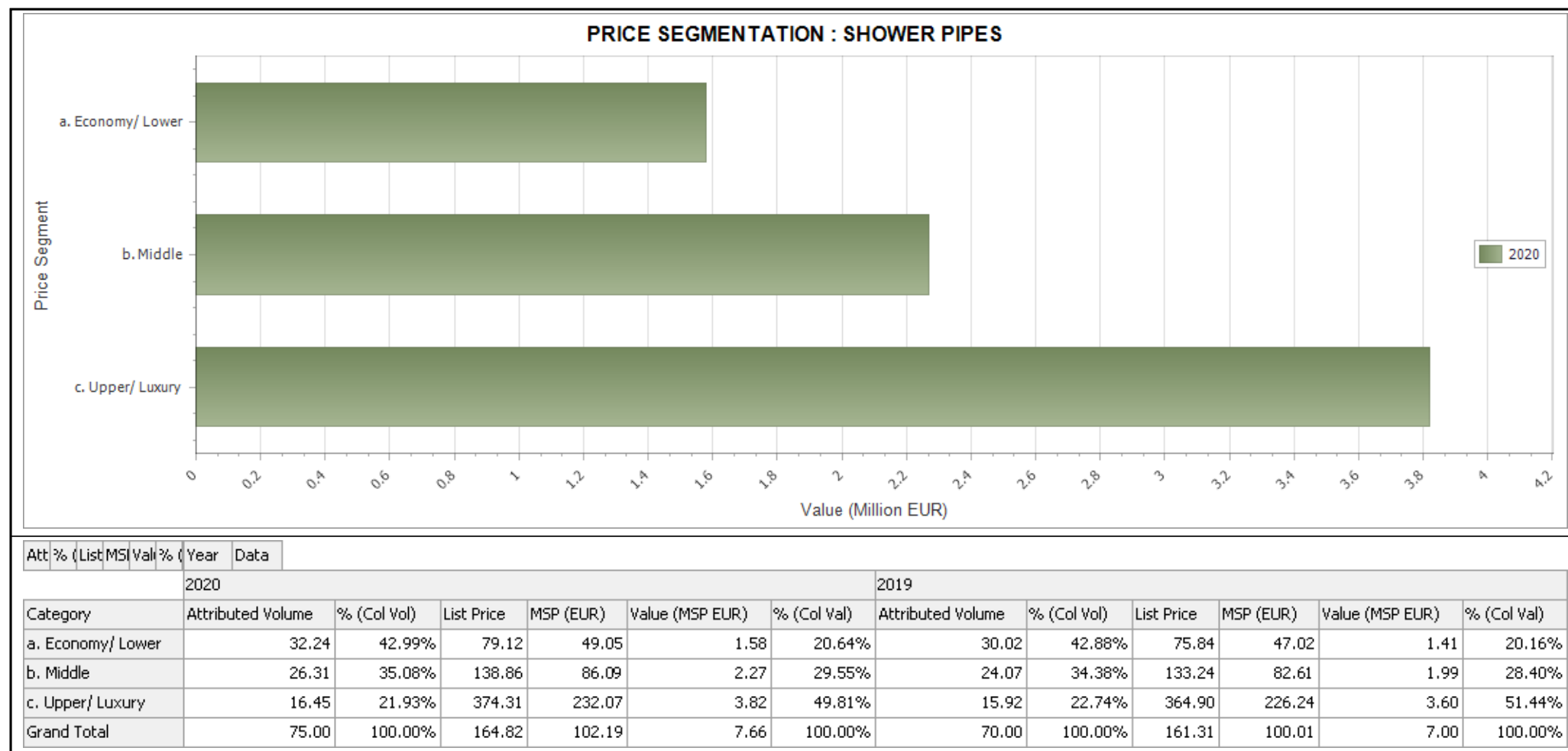


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€500, Upper/ Luxury >€500

7.3.6 Price Segmentation : Shower Pipes

RU - ESTIMATED PRICE SEGMENTATION FOR SHOWER PIPES

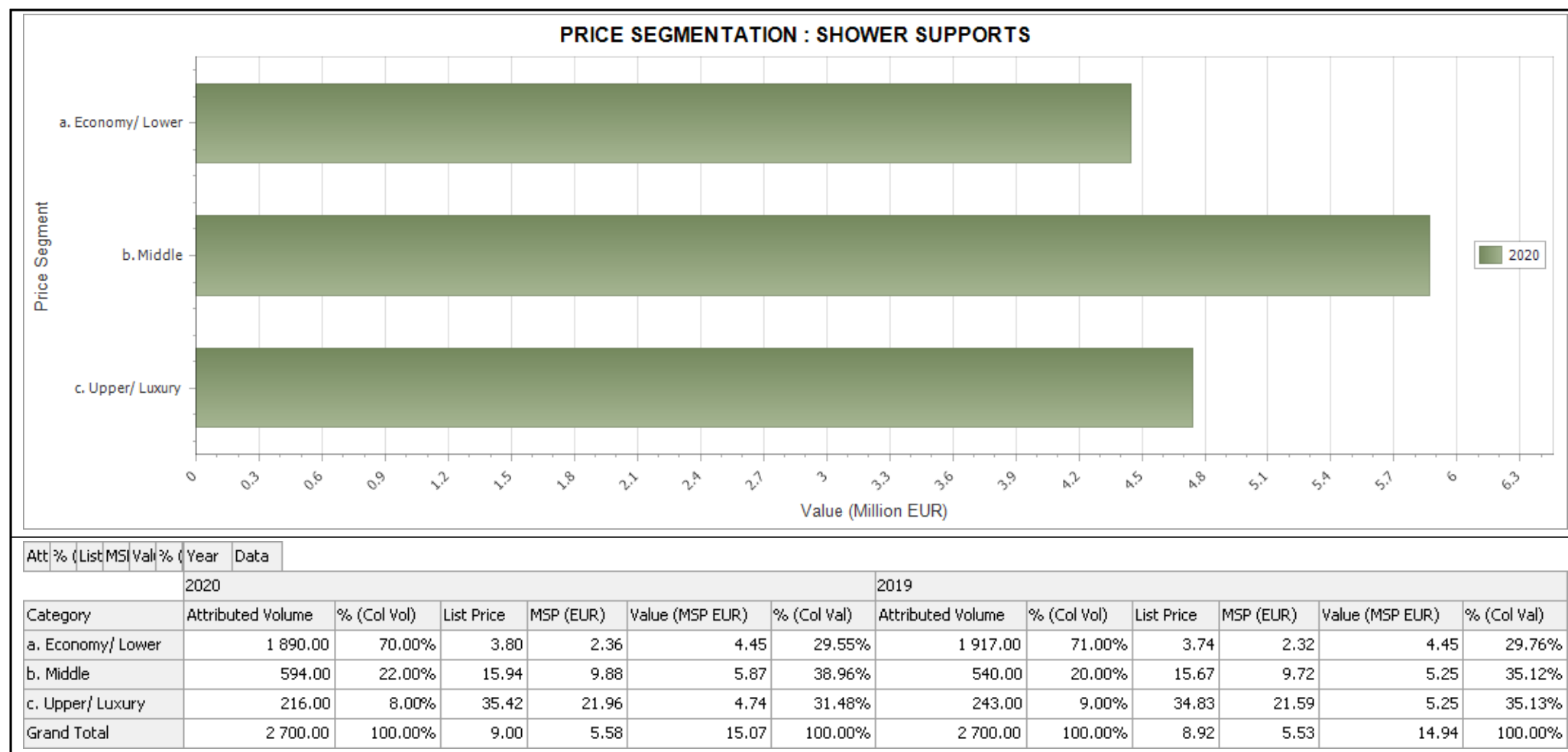


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€70, Middle €70-€160, Upper/ Luxury >€160

7.3.7 Price Segmentation : Shower Supports

RU - ESTIMATED PRICE SEGMENTATION FOR SHOWER SUPPORTS

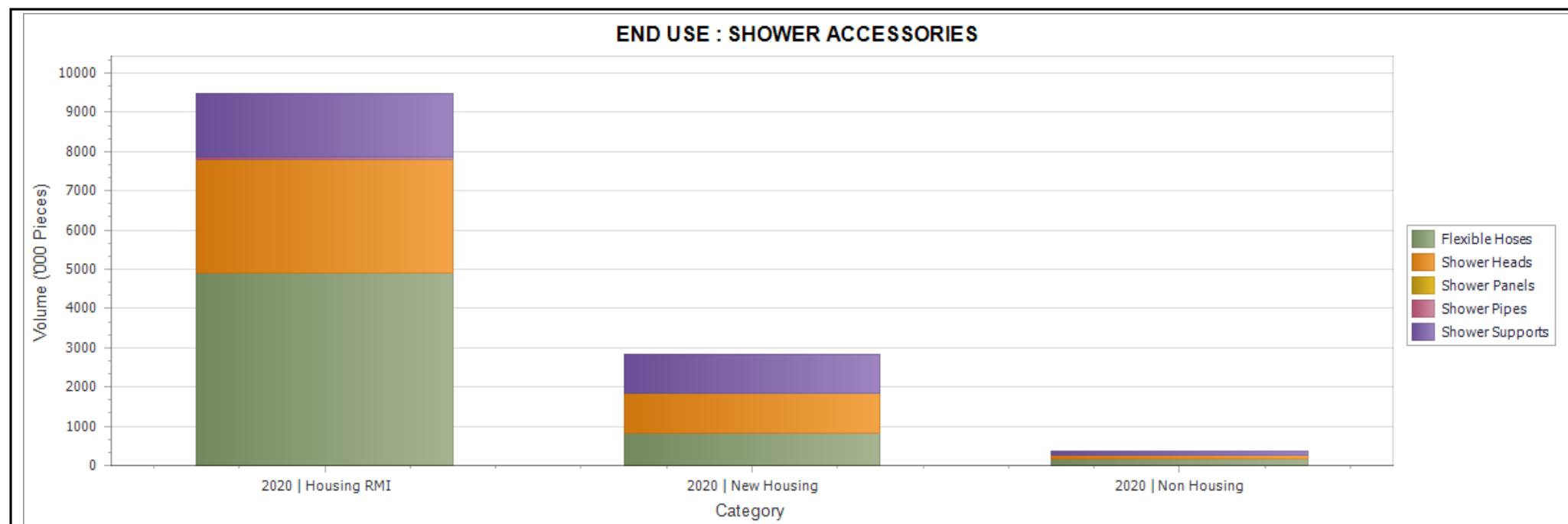


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€5, Middle €5-€15, Upper/ Luxury >€15

7.4.1 End Use : Base Year

RU - SALES OF SHOWER ACCESSORIES BY TYPE AND END USE SEGMENT ('000 PIECES)

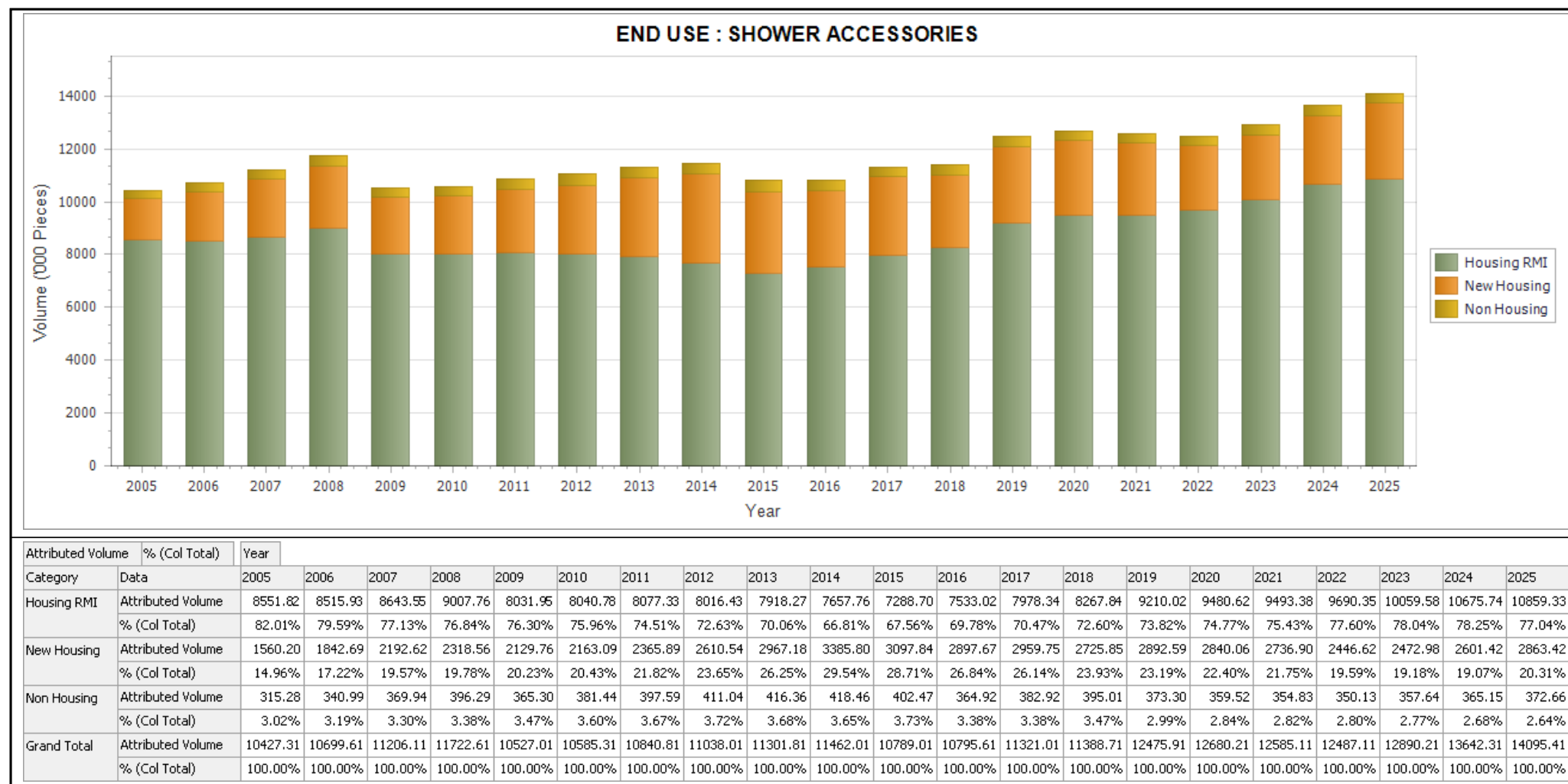


Attribu	% (Co	% (Ro	Year	Category	Data							
2020										2020 Total		
Housing RMI				New Housing			Non Housing					
Product	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)
Flexible Hoses	4900.48	51.69%	83.06%	830.01	29.23%	14.07%	169.51	47.15%	2.87%	5900.00	46.53%	100.00%
Shower Heads	2902.38	30.61%	72.56%	998.26	35.15%	24.96%	99.36	27.64%	2.48%	4000.00	31.55%	100.00%
Shower Panels	2.29	0.02%	43.97%	2.83	0.10%	54.49%	0.08	0.02%	1.54%	5.20	0.04%	100.00%
Shower Pipes	47.81	0.50%	63.74%	26.93	0.95%	35.90%	0.27	0.08%	0.36%	75.00	0.59%	100.00%
Shower Supports	1627.67	17.17%	60.28%	982.03	34.58%	36.37%	90.30	25.12%	3.34%	2700.00	21.29%	100.00%
Grand Total	9480.62	100.00%	74.77%	2840.06	100.00%	22.40%	359.52	100.00%	2.84%	12680.21	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.2 End Use : Historical and Forecasts

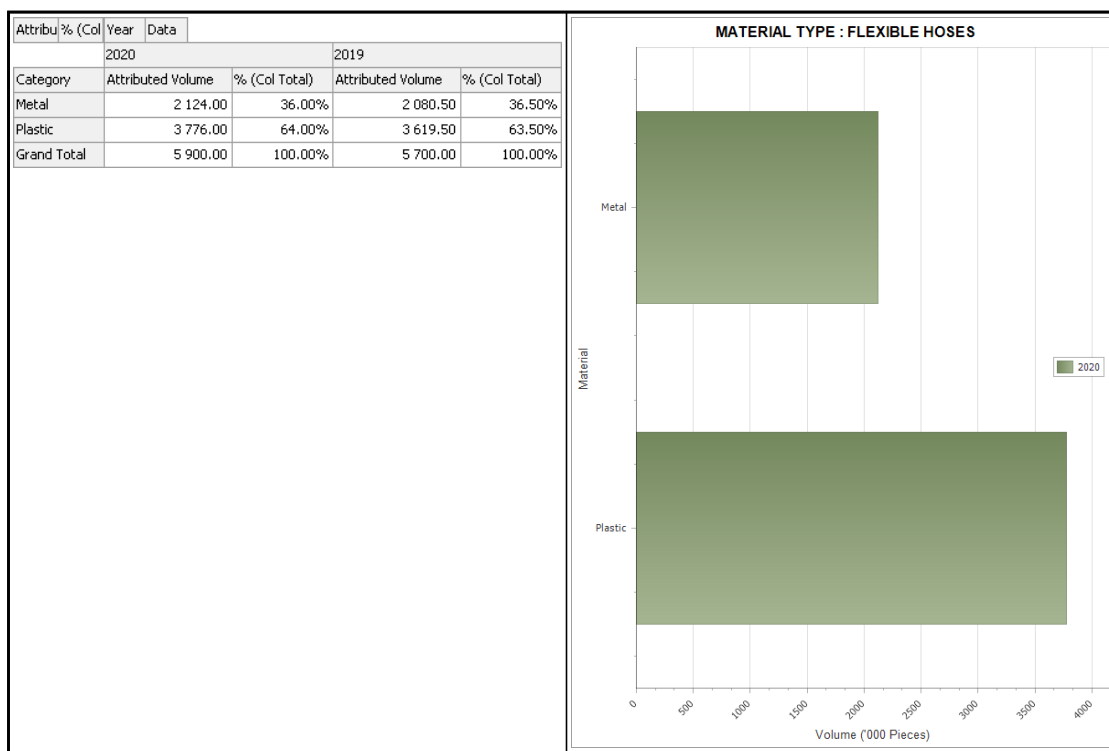
RU - SALES OF SHOWER ACCESSORIES BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.3 Sales By Type of Material : Flexible Hoses

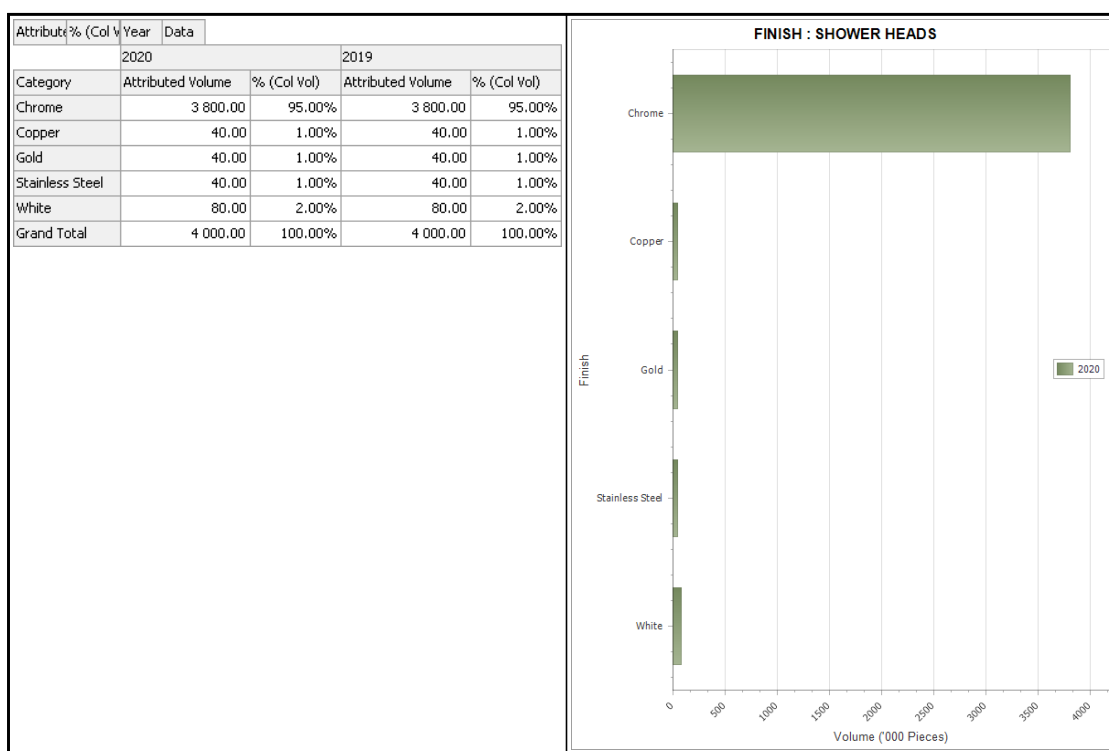
RU - FLEXIBLE HOSE SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.4 Sales by Type of Finish : Shower Heads

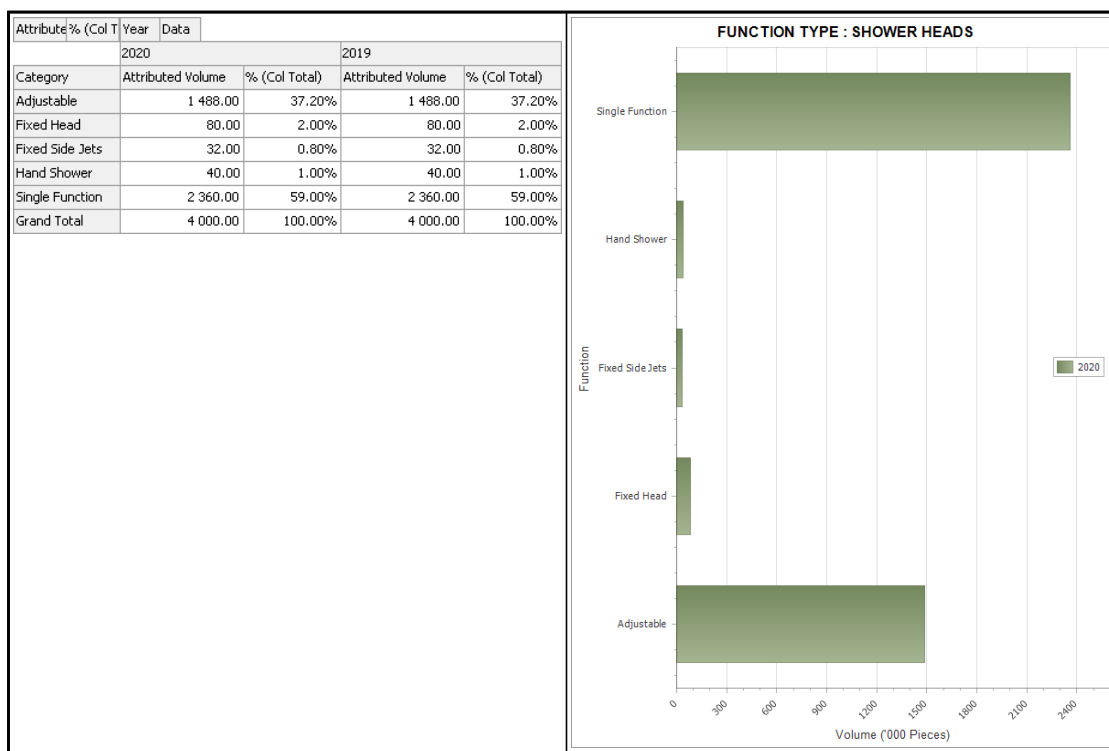
RU - SHOWER HEAD SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.5 Sales By Type of Function : Shower Heads

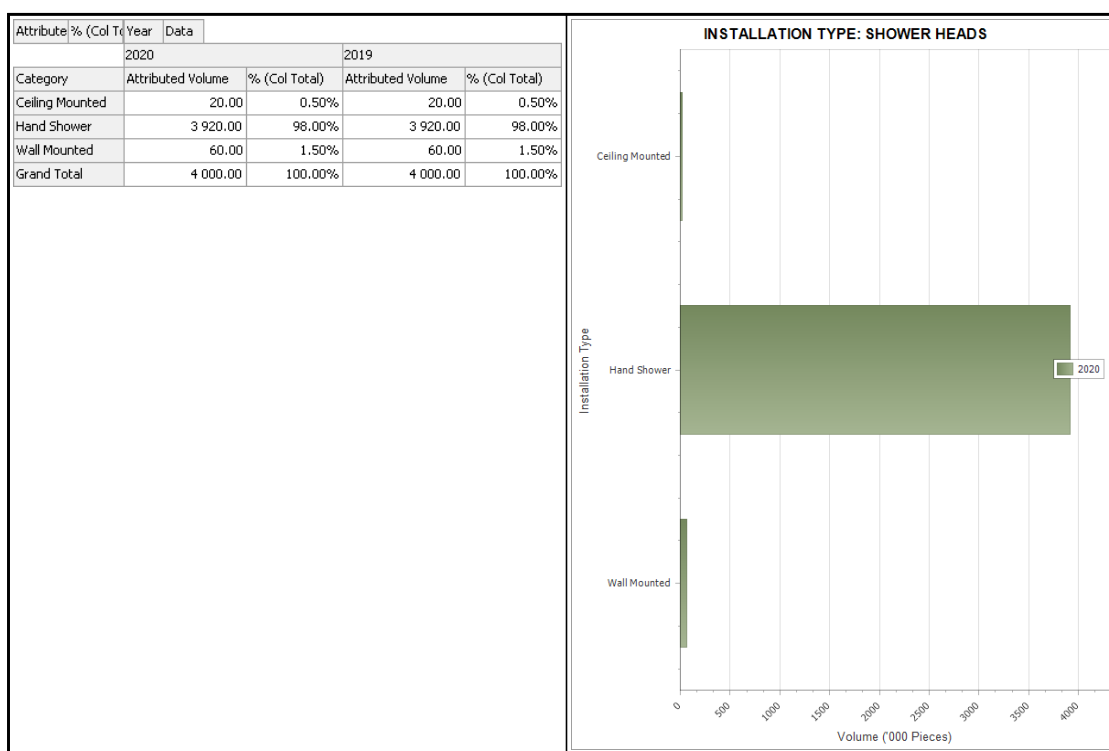
RU - SHOWER HEAD SALES BY FUNCTION TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.6 Sales by Type of Installation : Shower Heads

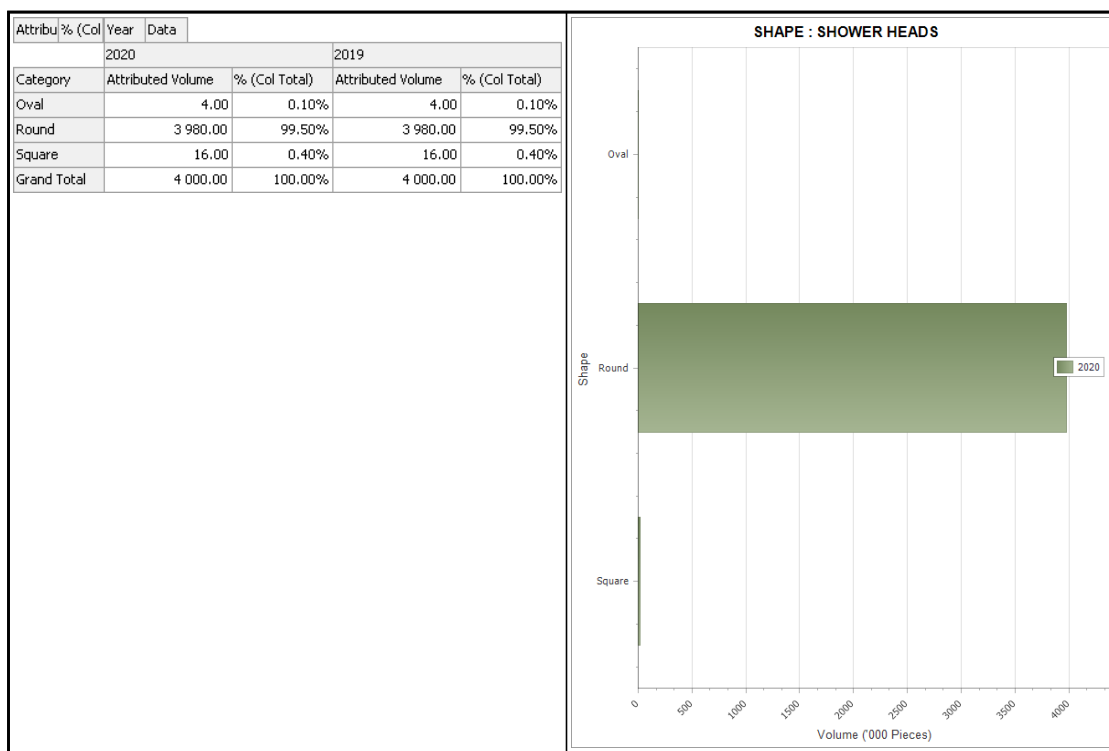
RU - SHOWER HEAD SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.7 Sales By Type of Shape : Shower Heads

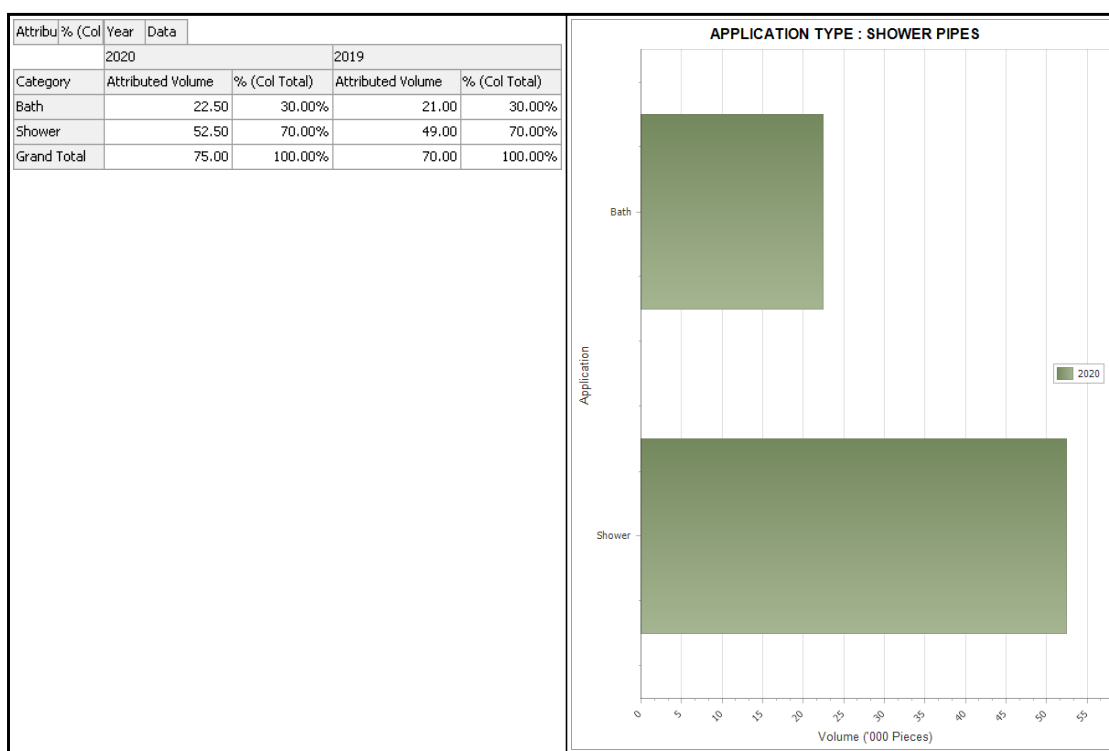
RU - SHOWER HEAD SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.8 Sales by Type of Application : Shower Pipes

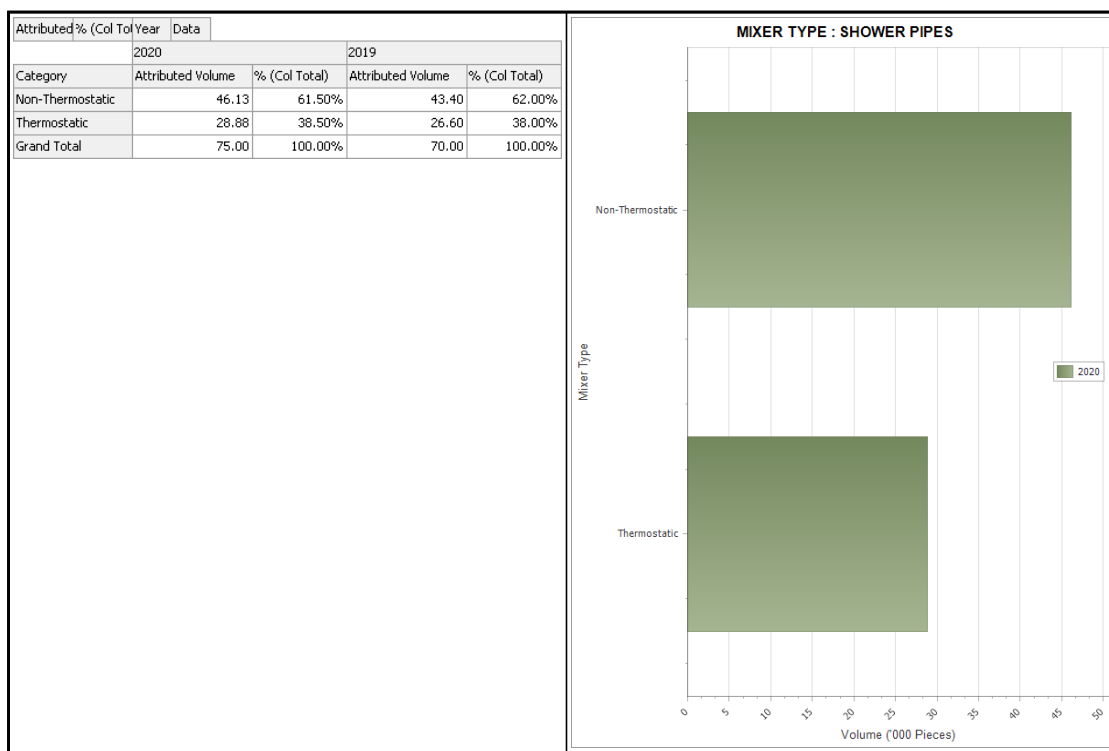
RU - SHOWER PIPE SALES BY APPLICATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.9 Sales by Type of Mixer : Shower Pipes

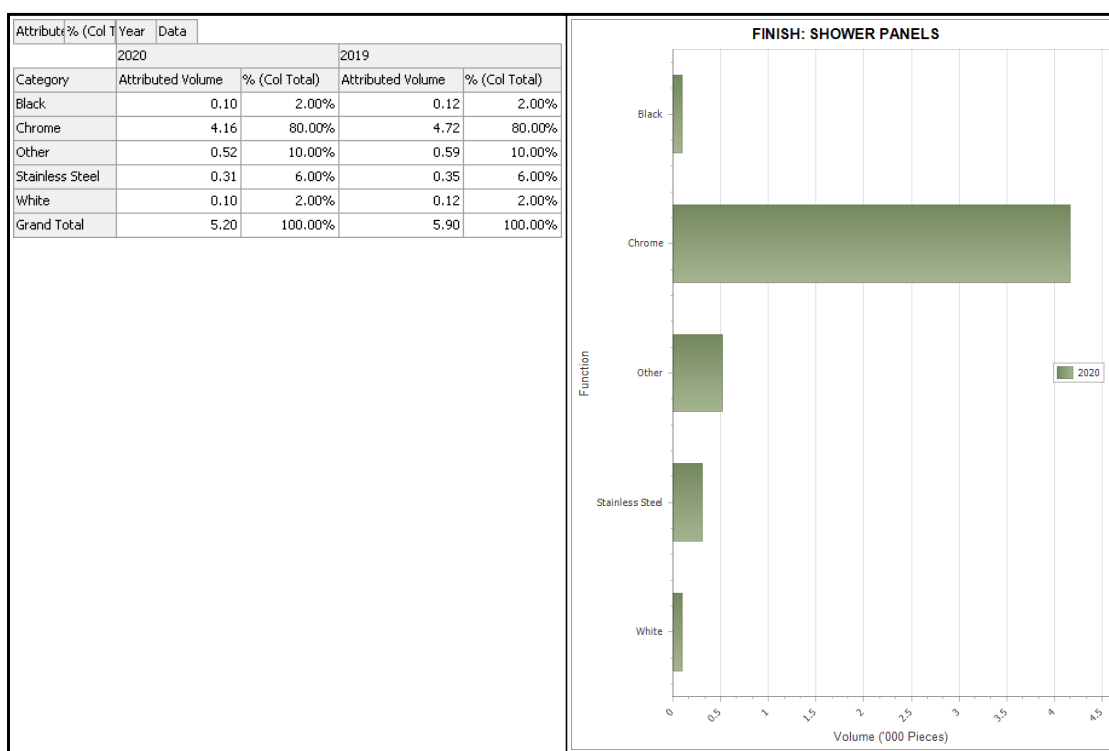
RU - SHOWER PIPE SALES BY MIXER TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.10 Sales by Type of Finish: Shower Panels

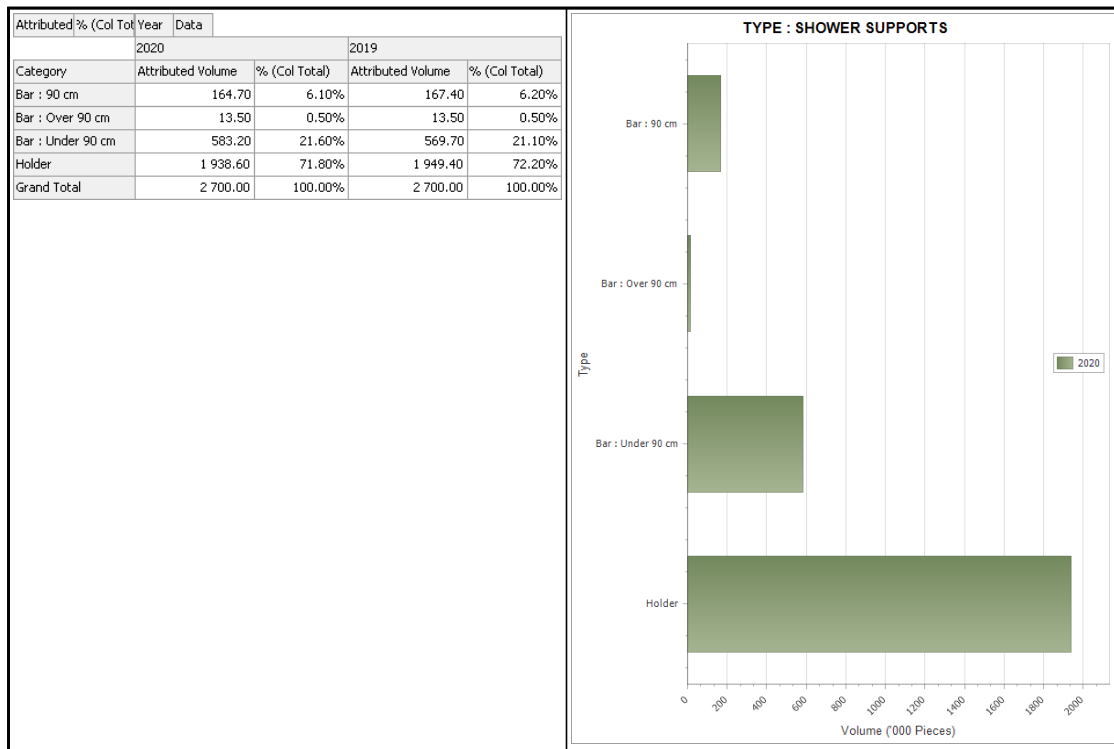
RU - SHOWER PANEL SALES BY FINISH ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.11 Sales By Type : Shower Supports

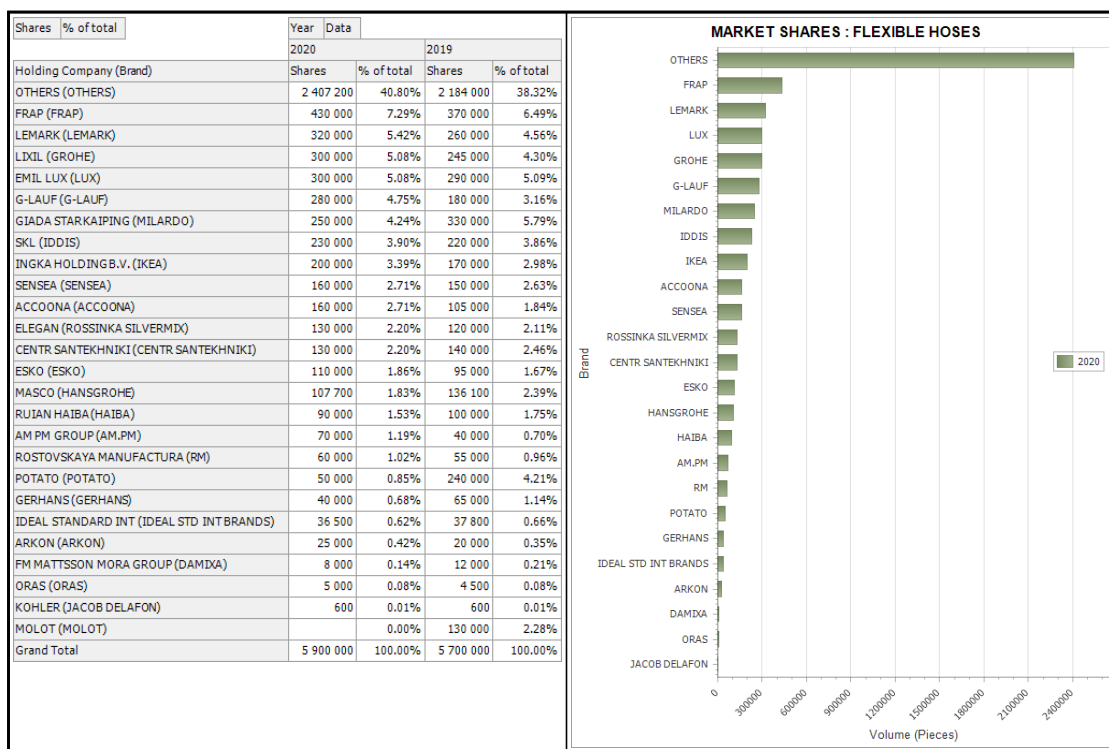
RU - SHOWER SUPPORT SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.5.1 Market Shares : Flexible Hoses

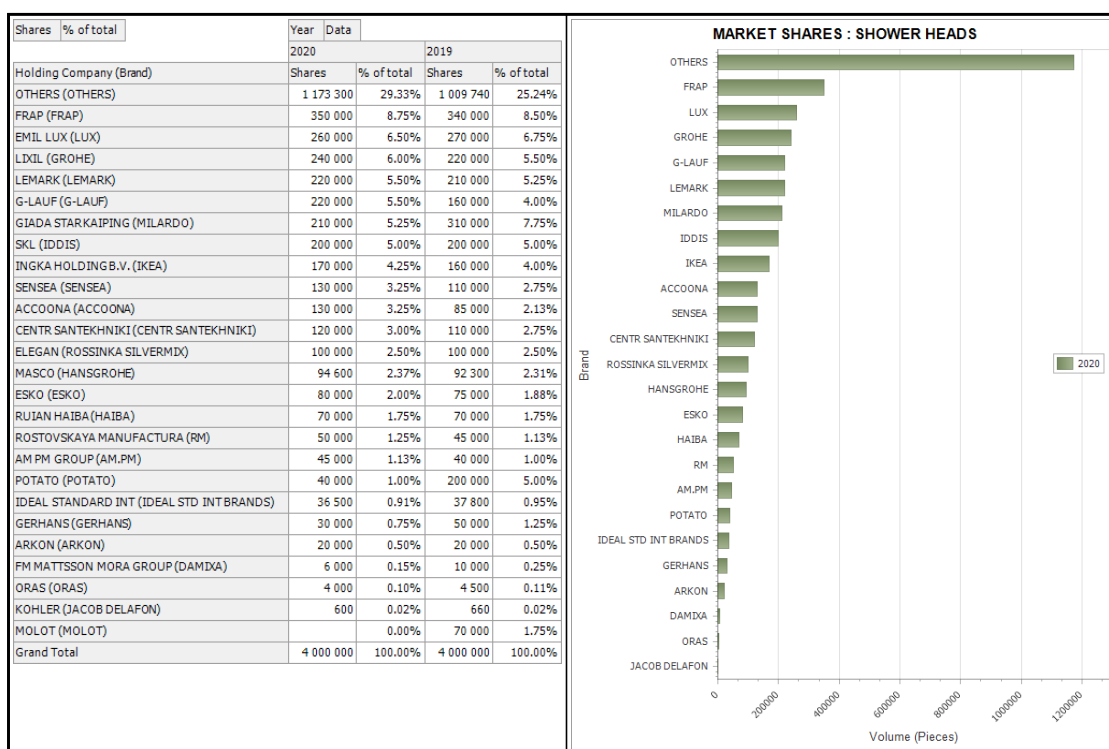
RU - ESTIMATED MARKET SHARES FOR FLEXIBLE HOSES



Source: BRG based on industry interviews.

7.5.2 Market Shares : Shower Heads

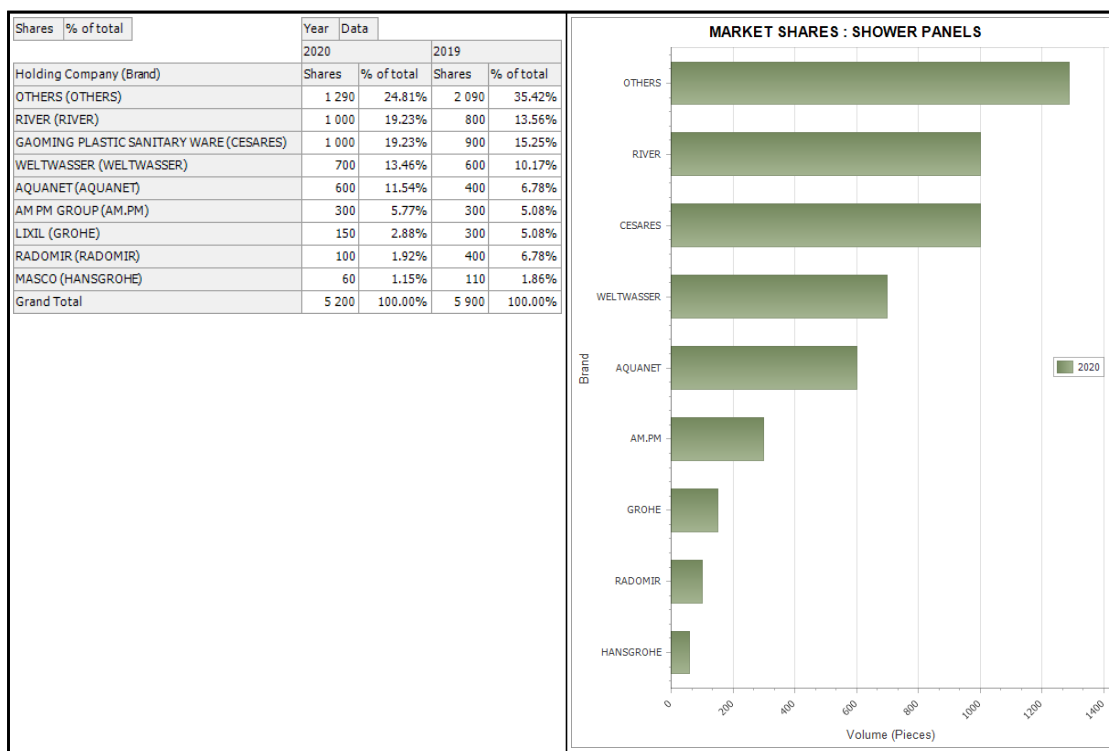
RU - ESTIMATED MARKET SHARES FOR SHOWER HEADS



Source: BRG based on industry interviews.

7.5.3 Market Shares : Shower Panels

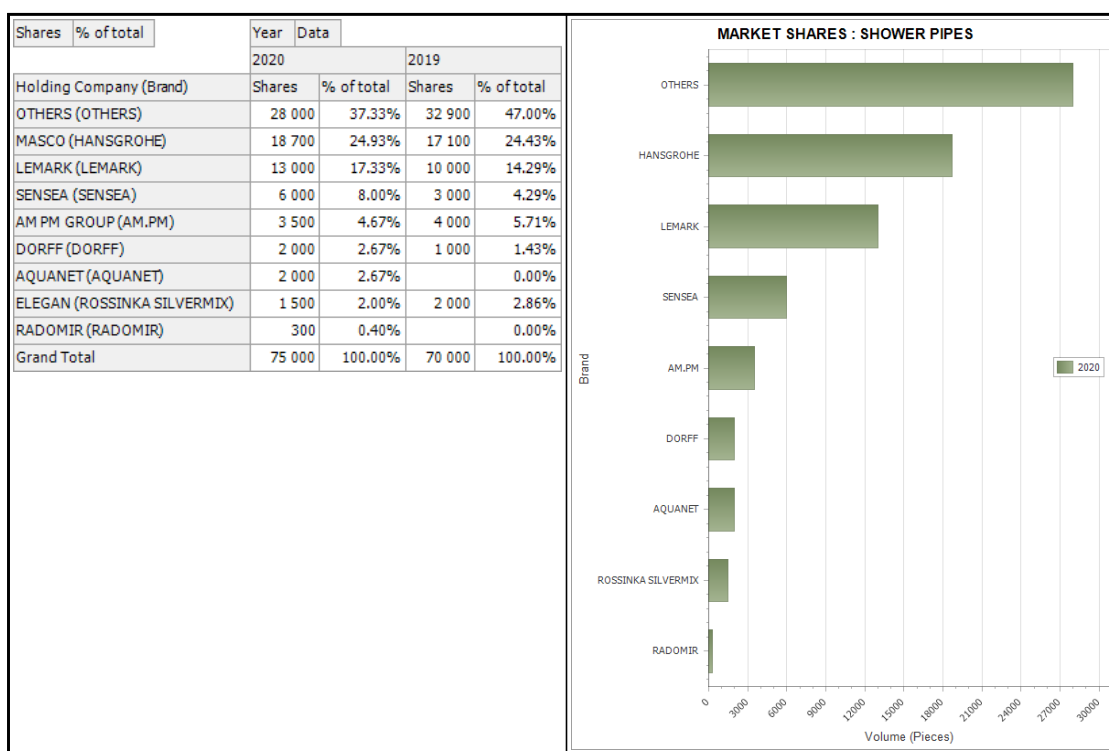
RU - ESTIMATED MARKET SHARES FOR SHOWER PANELS



Source: BRG based on industry interviews.

7.5.4 Market Shares : Shower Pipes

RU - ESTIMATED MARKET SHARES FOR SHOWER PIPES



Source: BRG based on industry interviews.

7.6.1

Route to Market: Shower Accessories
RU - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

85.6%
Wholesalers / Merchants
85.6%

Retail Level

Manufacturer	Wholesaler
0.0%	9.0%
Internet Retailers	
9.0%	

Manufacturer	Wholesaler
11.1%	26.0%
DIY Retailers	
37.1%	

Manufacturer	Wholesaler
3.3%	31.0%
Specialist Retailers	
34.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	13.0%	0.0%	3.0%	7.3%
Installers				
23.3%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	6.6%	9.0%	34.1%	27.0%	20.5%
Residential					
97.2%					
New Build			Residential RMI		
22.4%			74.8%		
Project	Non-Project		Project	Non-Project	
8.0%	14.4%		1.0%	73.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.0%	0.0%	0.0%	2.8%
Non-Residential					
2.8%					
New Build			Non-Residential RMI		
0.2%			2.6%		
Project	Non-Project		Project	Non-Project	
0.2%	0.0%		0.2%	2.4%	

7.6.2

Route to Market: Shower Accessories
RU - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

82.0%
Wholesalers / Merchants
82.0%

Retail Level

Manufacturer	Wholesaler
0.0%	9.0%
Internet Retailers	
9.0%	

Manufacturer	Wholesaler
14.0%	23.0%
DIY Retailers	
37.0%	

Manufacturer	Wholesaler
4.0%	31.0%
Specialist Retailers	
35.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	13.0%	0.0%	3.0%	8.0%
Installers				
24.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	6.0%	9.0%	34.0%	27.0%	21.4%
Residential					
97.4%					
New Build			Residential RMI		
20.3%			77.0%		
Project	Non-Project		Project	Non-Project	
7.0%	13.3%		1.0%	76.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.0%	0.0%	0.0%	2.6%
Non-Residential					
2.6%					
New Build			Non-Residential RMI		
0.2%			2.4%		
Project	Non-Project		Project	Non-Project	
0.2%	0.0%		0.2%	2.2%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

7.6.3 Route to Market - Consolidated View : Shower Accessories

RU - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2020

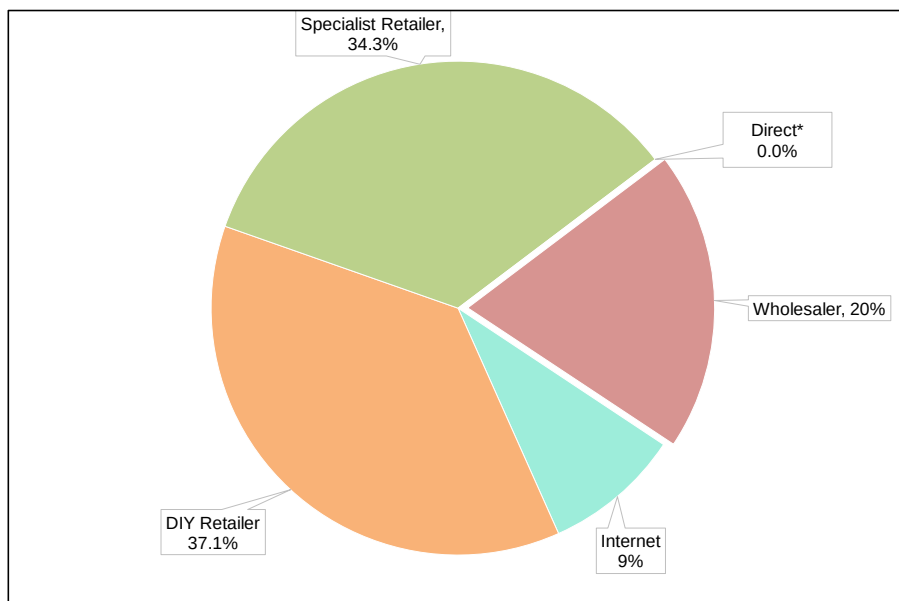
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
19.6%	9.0%	37.1%	34.3%	0.0%	9.0%	0.4%	88.2%	2.4%
100%					9.4%		90.6%	

7.6.4 Route to Market - Consolidated View : Shower Accessories

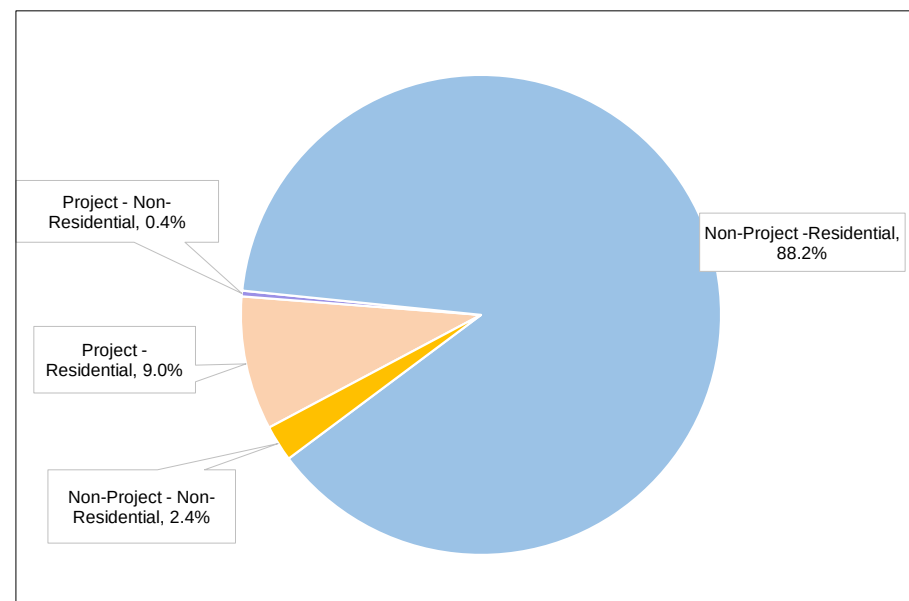
RU - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
19.0%	9.0%	37.0%	35.0%	0.0%	8.0%	0.4%	89.4%	2.2%
100%					8.4%		91.6%	

RU - SALES OF SHOWER ACCESSORIES BY DISTRIBUTION CHANNEL: 2020



RU - SALES OF SHOWER ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2020



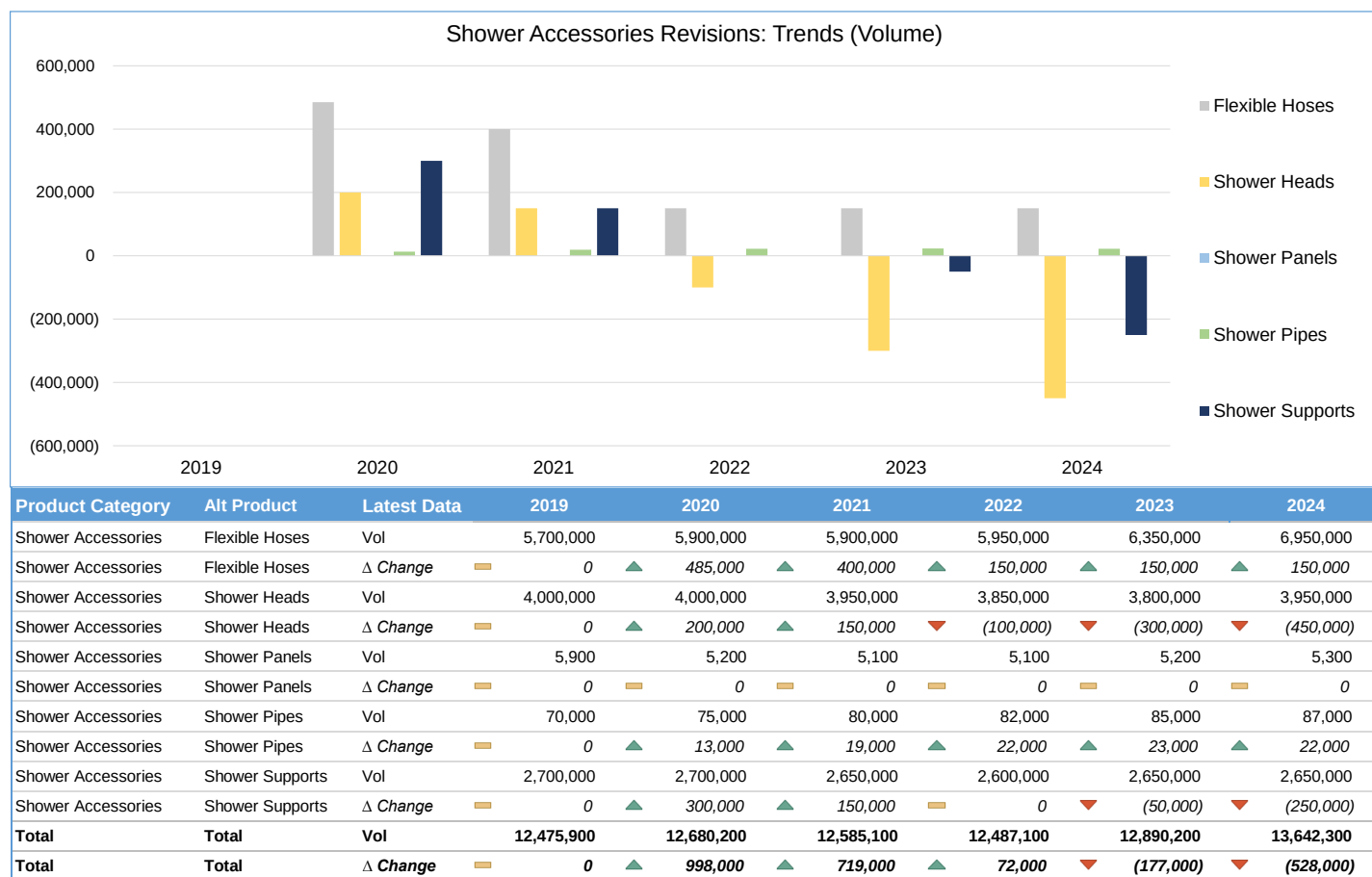
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

7.7 Revisions in the Russian Shower Accessories Market (April 2021)

RU - REVISIONS IN THE RUSSIAN SHOWER ACCESSORIES MARKET

Data Comparison: October 2020



Historical prices of shower pipes have been revised downwards.

RUSSIA

KITCHEN SINKS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

Since the collapse of communism, it has been a bumpy ride for Russian kitchen sink producers. A deteriorating economy and a series of unfavourable socio-political developments exposed domestic manufacturers to unprecedented changes, which led to the loss of traditional export markets and a large share of sales going to local consumers. With an almost non-existent middle segment and a shrinking lower segment that is oversupplied by struggling local manufacturers, imports made their way to the developing upper segment, which is preferred by a new generation of wealthy Russians.

Due to the improved economic climate and the growing purchasing power of the population, the demand for higher-quality products increased considerably in the few years up to 2019. This trend, particularly clear in Moscow, St Petersburg and other large cities, is now slowly spreading to the regions, where these kinds of trends are usually delayed by several years. A stabilising economy, the increasing income of the general population and stronger consumer confidence led to growing demand for renovation work after a decade of deterioration of the housing stock in the new millennium. Russian manufacturers did not manage to fully recover from the difficulties of the early 1990s and increase production enough to satisfy the starving market and, thus, imports were increased in both the economy and lower segments.

There are five main material segments, with stainless steel accounting for the majority of sales. Inset installations account for the majority of sink installations, and undermounted installations are a niche sector – with mainly synthetic granite products.

Stainless steel sinks are sold in a large variety of quality and price segments, ranging from simple, cheap designs to custom-made luxury products. Countries of origin include Germany, Ukraine, Turkey and China. Both imported and local products are of a much better quality than they used to be. Enamelled steel sinks are today seen as rather old-fashioned products, with installation limited to communal housing and government-financed refurbishment projects; most sales are for replacement in 'Khrushchevki' blocks. The majority of sales are in the low price segment of the market, and most of the cast iron supply comes from China.

Ceramic products are sold only rarely, and mainly as part of a designer kitchen or to custom projects. This niche market has only two large suppliers, namely BLANCO and TEKA, which both have relatively constant sales volumes in Russia. Ceramic kitchen sinks are sold mostly as part of premium designer kitchen furniture, shipped directly from abroad on request.

Synthetic sinks hold a relatively much smaller share but are becoming increasingly popular, especially in the wealthy districts of Moscow. It is estimated that synthetic sinks form the largest share of all premium product sales. Synthetic sinks, and

especially granite sinks, are seen as prestigious, high-quality products that are becoming increasingly popular in large cities and economic centres with a developing upper middle class. Sales in the regions are still at a very low level. The trend has become more evident in recent years due to the shrinking price gap between stainless and synthetic sinks. This led to the emergence of new market players in Russia, who managed to drive average prices even lower.

Recent Market Trends

Despite a challenging year the Russian kitchen sink market increased slightly in 2020 supported by extraordinary replacement demand. During lockdowns people were locked at home or moved to summer houses/villas. Considering that many families had more time and more money (unspent holiday savings) they decided to renovate existing dwellings in the first half of 2020 supporting sales of sinks.

Many Russians usually stay at summer houses for short periods of time and these premises are not well maintained. When people realised that they would stay in summer houses for much longer due to the pandemic owners started upgrades and with healthy demand sales of kitchen sinks started increasing in the summer.

In the second half of 2020, a construction boom took place in Russia. Many buyers returned to the market and started actively purchasing flats and houses. All of the above led to healthy increase in sales of sinks.

Many Russian manufacturers found themselves in an advantageous position due to the significant fluctuation of the Russian rouble and devaluation of national currency. The kitchen sink sector recorded growth in 2020 predominantly driven by the replacement demand. There is a trend towards more durable and aesthetic products, and stainless and synthetic sinks. This trend, particularly clear in Moscow, St Petersburg and other large cities, is slowly spreading to the regions.

The market has attracted new players, and some Russian importers have expanded into this market or introduced OEM brands. The market has continued to be price driven, but the population is gradually moving towards stainless and synthetic sinks as relatively cheap and durable alternatives.

Prices and Market Values

Recent trends indicate a shift towards better quality, but not necessarily more expensive products, in the middle and economy segments. Common retailer and wholesaler margins are within the range of 20-30%. There is a clear price segmentation of the kitchen sink market. Companies involved in one segment do not associate with brands or producers in other price segments.

Regional prices vary, reflecting logistics expenses associated with the market accessibility. In remote regions, the distribution chain can involve two or three different wholesalers and dealers before reaching the end user. It should be noted that price fluctuation is very common for cheap Chinese and Turkish imports, which

are often supplied on a short-term contract basis. Once the contract is over, a new price is negotiated. The price can vary for different shipments of the same product and brand.

Most kitchen sinks are produced in Russia. Only ceramic kitchen sink products are imported. Russian manufacturers gradually increased prices in RUR throughout 2019 in order to compensate for increasing production costs and capitalise on the widened price gap between imported and local production. The typical price increase was around 2-3% in RUR. Prices of stainless steel models increased most significantly, due to the growing cost of materials.

New Housing

The share of new housing decreased in 2020, due to the fall in housing completions. New housing installations depend on the type of investor: there are municipal housing applications which are pre-fitted with cheap Russian-made sinks (sometimes enamelled) that are later replaced by the new occupant, or the flat can be sold as an empty shell and often then installed with a modern kitchen. Private construction involves more varied and upmarket sinks, with stainless and synthetic sinks being the most popular.

The wealth of a region and the proportion of municipal to private housing are the principal factors to determine the end-use consumption by product type. Sales in the new housing segment are expected to have a fall in the short term, due to the ongoing economic problems in the country.

Housing RMI

Replacement accounts for the largest part of the market, and the majority of cast iron and enamelled steel sink sales belong to this segment. Enamelled sinks are usually installed in summer houses, as they are smaller and cheaper. The market is driven largely by home improvement, partially for the replacement of old kitchen sinks. The demand in this sector is very high and the product price range is wide. Even though the political and economic situation remains fragile, the market is expected to grow in the long term. It is still far from saturation and is expected to grow healthily when economic recovery starts and oil prices increase (as forecast).

Non-Housing

Non-housing installations are predominantly stainless steel and enamelled steel. In 2020, non-housing installations remained minimal and declined due to the pandemic. Many restaurant and cafes were closed during lockdowns and owners invested less in the replacement. Plus some new projects were put on hold due the uncertain environment. There are only a few specialist distributors working in this segment, as the majority of commercial, industrial and institutional establishments do not find premium products attractive (they are considered too expensive, with a high level of wear and tear). Thus, distributors are reluctant to stock specialised sinks that are sold in small volumes. The segment is expected to remain almost

stable in the short term.

Supply Structure

Combined with a modern design, stainless steel sinks represent a formidable source of competition for the Russian-based production of FRANKE, IKEA and TEKAR (with its UKINOX brand). Other large brands are local: VLADIKS and KROMRUS. The rest of the market comprises importers.

FRANKE has the largest production capacity in Russia. It gradually shifted its residential kitchen sink production to professional kitchen sink production. It is believed that FRANKE plans to concentrate its commercial sink production in Russia.

Several small manufacturers emerged on the base of KROMRUS (former employees started independent production of sinks).

Several new Russian manufacturers emerged and took over the synthetic sink market. The largest players are ULGRAN, FLORENTINA, GRANDFEST and POLGRAN.

The enamelled steel sink market is mainly supplied by VIZ from Russia. There is still substantial demand for these products from municipal construction projects.

The ceramic sinks market is dominated by only two major suppliers, TEKA and BLANCO, both offering around 10 colour schemes. Ceramic kitchen sinks are mostly sold as part of premium designer kitchen furniture that is shipped directly from abroad, based on orders.

The demand for synthetic sinks, which are viewed as high quality and trendy products, has expanded rapidly in large Russian cities, where recommendations from friends and relatives are valued more than commercial advertising.

Forecasts

BRG's forecast is based on the assumption that oil prices would remain above USD 40 per barrel and the pandemic would not get much worse. However, there are a few factors that can make things worse for Russia. Firstly, if COVID-19 becomes more aggressive, then the government would not be able to hide this from the population. Secondly, if oil prices remain under USD 40 for a prolonged period of time, since Russia needs an oil price around USD 40 a barrel to balance its federal budget. Thirdly, President Putin may resort to external wars or aggressive moves as a means to divert the population's attention away from the current economic crisis. Finally, the relationship with the US is very important. The Russian market was hit by a significant slump in oil prices, Western sanctions and the spread of the COVID-19 virus in 2020. The last lockdown ended in Russia in January 2021.

Several market drivers that incepted in 2020 progressed to 2021 and affected further development. Around 75% of new build dwellings in Russia is purchased with mortgages. The government allocated funds to subsidise mortgages. The state support programme is planned to last at least until July 2021. Due to a reasonable level of demand for new dwellings almost all construction companies continued to work as normal. Low interest rates played a very important role for the market and in fact represented a turning point for the construction sector. The demand for new housing is so high that prices even increased in large cities. People who have money have already purchased (or committed to buy) dwellings, dachas or kitchen sinks. Therefore, these spendings are likely to start falling by the end of 2021.

Many people moved to summer houses and villas during the summer period in 2020. Most summer houses are poorly maintained and people diverted money that was allocated for holidays to renovation. The demand for second homes (namely houses) is expected to remain strong in 2021 supporting both new installations and replacement of kitchen sinks. The demand is expected to dip in 2022 as most people who could afford holiday homes would have already purchased by that time.

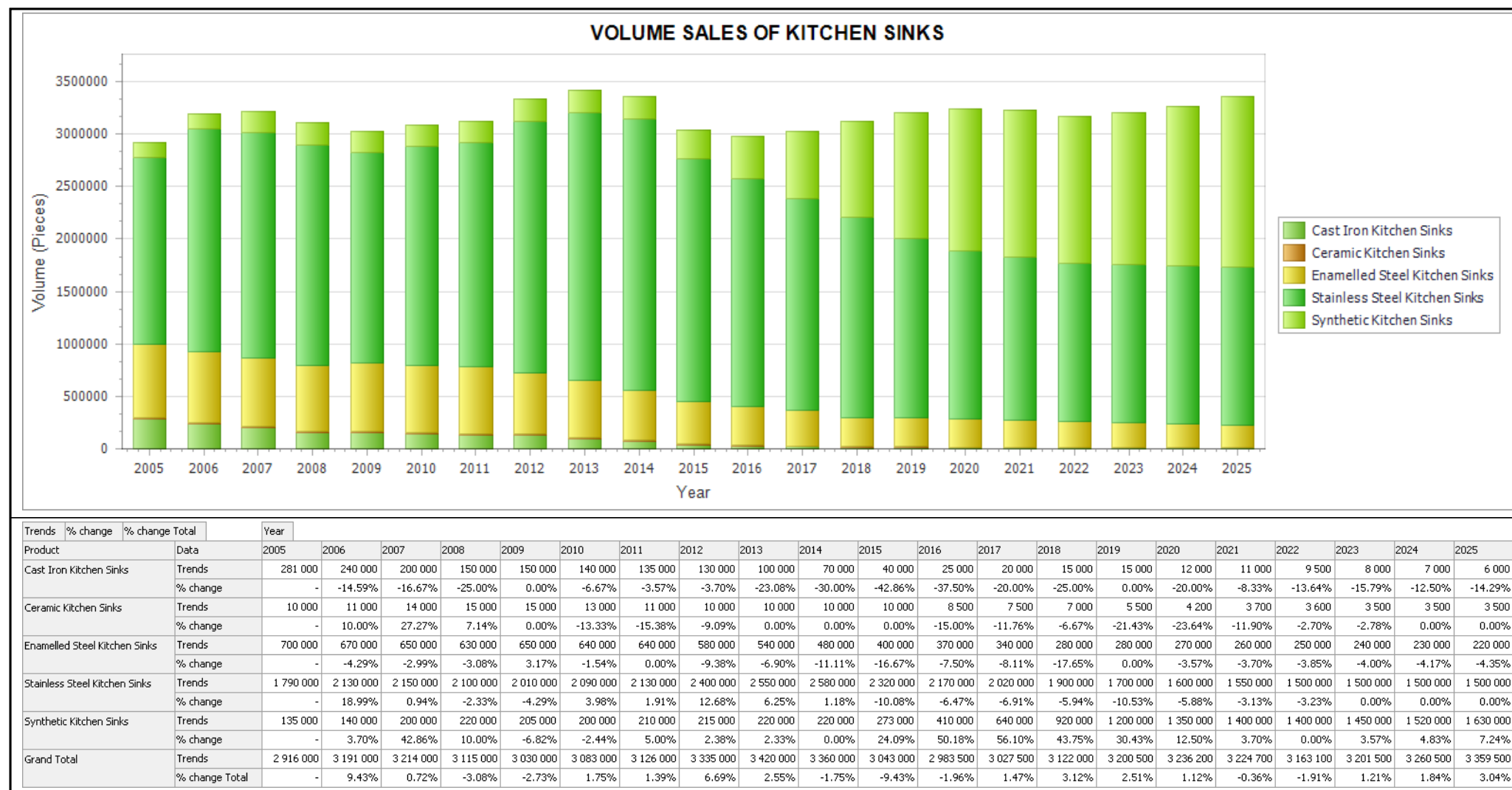
The spending levels would continue to stay high in 2021 supporting the market. On another hand, some people lost jobs and purchasing power for others declined due to significant devaluation of the RUR. Therefore, working class people are likely to struggle with finances leading to fall in the market in 2021 and 2022. The overall market is expected to start growing from 2023 onwards. Consumer spending is estimated to pick up in 2023 as the current crisis is expected to settle and economic growth stabilises.

The market is very sensitive to the political and economic situation. A stable political environment leads to consumer confidence and higher spending (which translates into replacement, renovation and construction, leading to more installations). However, during periods of political/economic instability people tend to spend less which, in turn, also affects sales of kitchen sinks. Therefore, the most important variables affecting the market will be political activity, the spread of the coronavirus and oil/gas prices. BRG's forecast is based on the assumption that the political situation will not change in Russia and that oil and gas prices should gradually recover; President Putin will probably not make aggressive steps that force the West to impose further sanctions.

The purchasing power of the general population remains lower than in most EU countries. As a result, not everyone, particularly in rural areas, can afford modern products. Therefore, economic growth and the increasing purchasing power of households should positively affect sales.

8.2 Historical Trends and Forecasts : Kitchen Sinks

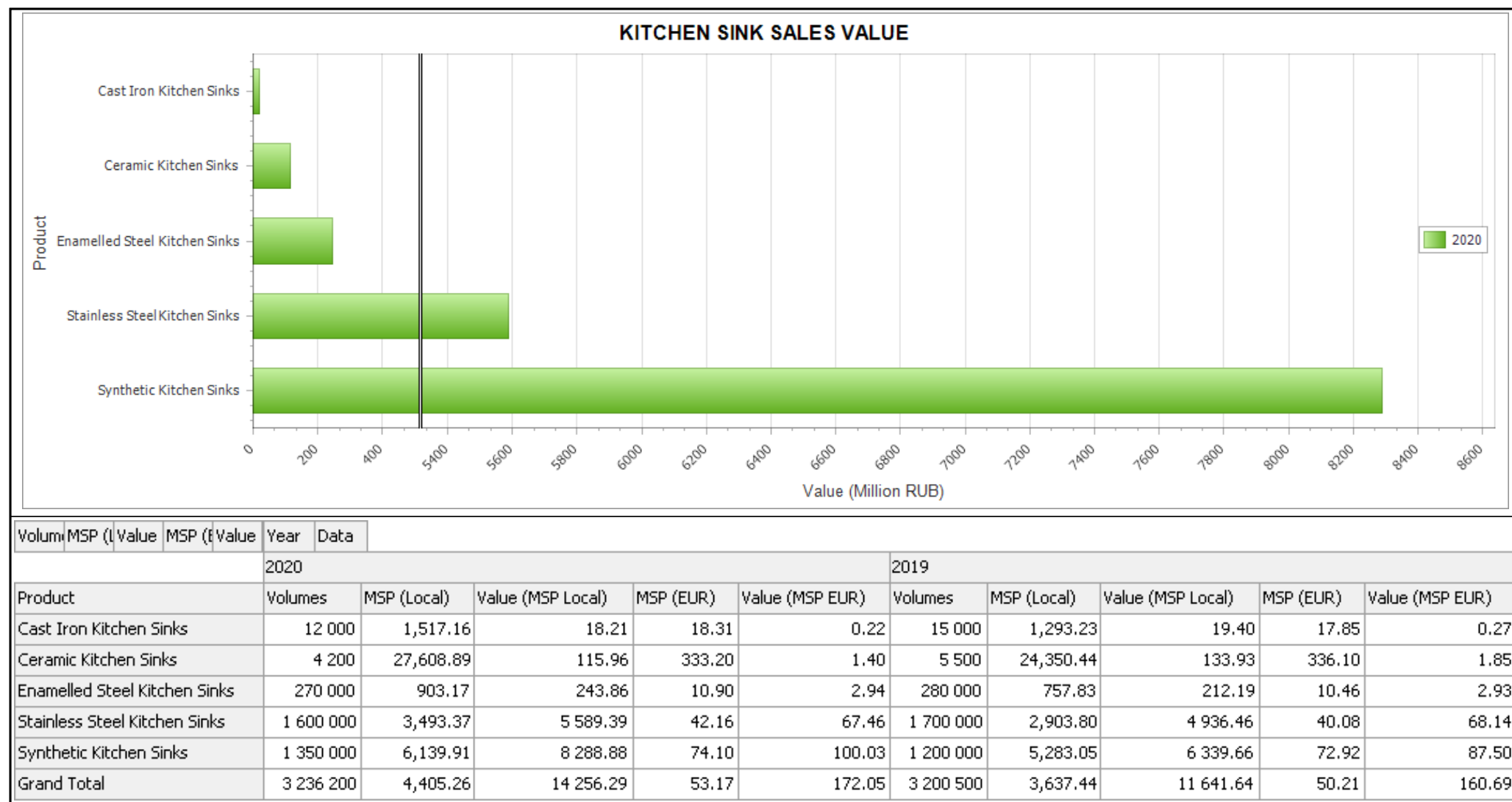
RU - SUMMARY OF TRENDS IN THE KITCHEN SINK MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

8.3.1 Prices and Market Values : Kitchen Sinks

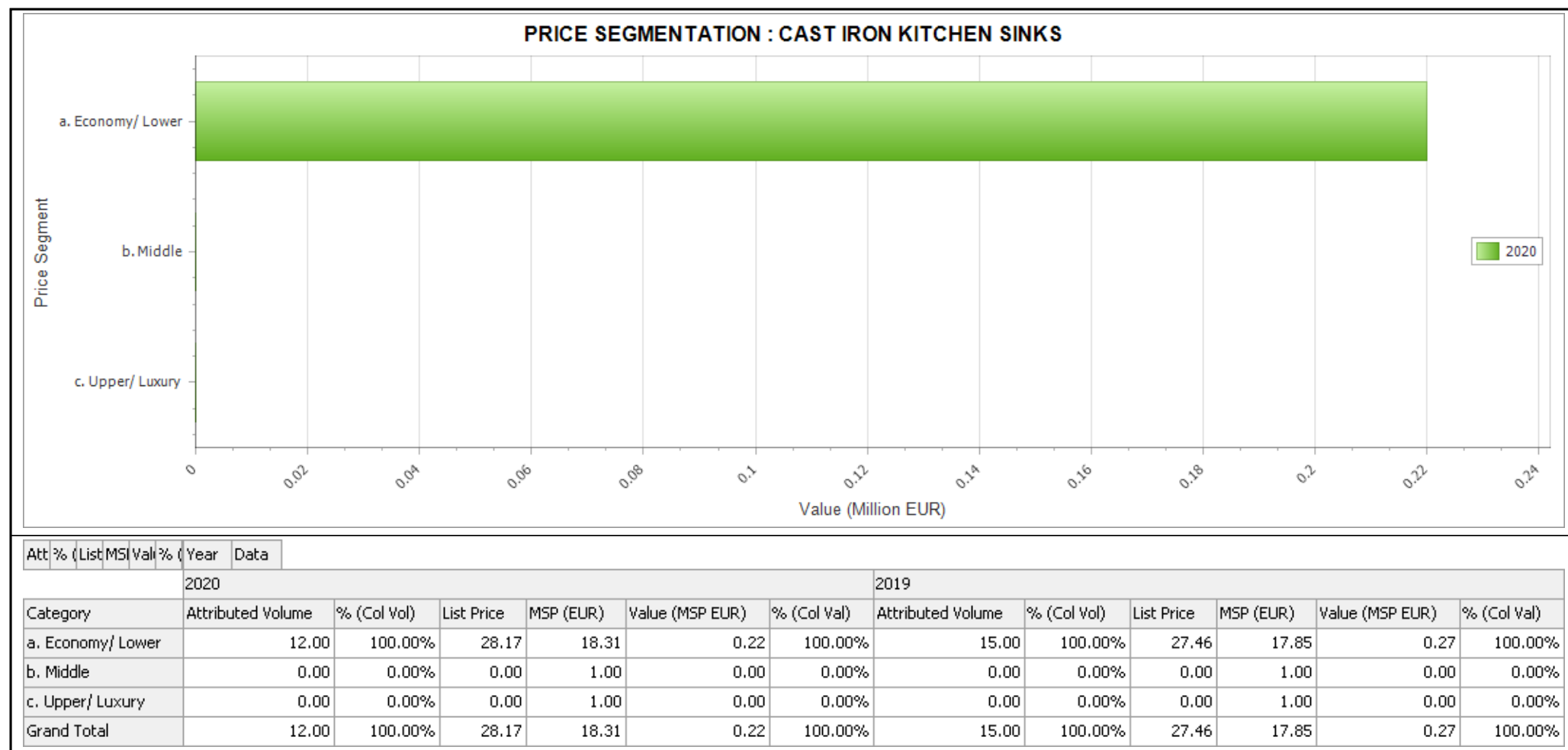
RU - ESTIMATED VALUES OF THE KITCHEN SINK MARKET



Source: BRG based on industry interviews. Local Prices Shown in RUB. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

8.3.2 Price Segmentation : Cast Iron Kitchen Sinks

RU - ESTIMATED PRICE SEGMENTATION FOR CAST IRON KITCHEN SINKS

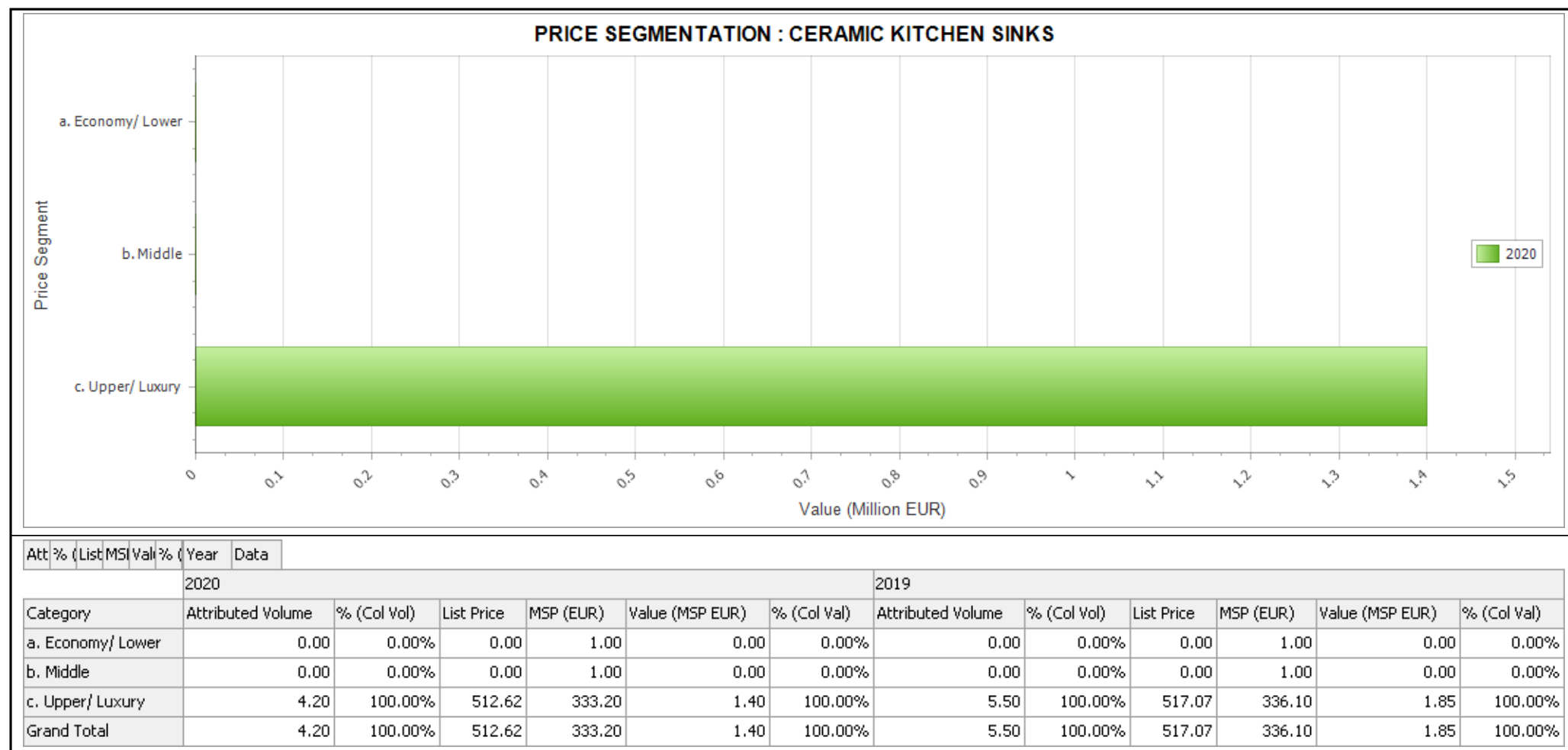


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€30, Middle €30-€60, Upper/ Luxury >€60

8.3.3 Price Segmentation : Ceramic Kitchen Sinks

RU - ESTIMATED PRICE SEGMENTATION FOR CERAMIC KITCHEN SINKS

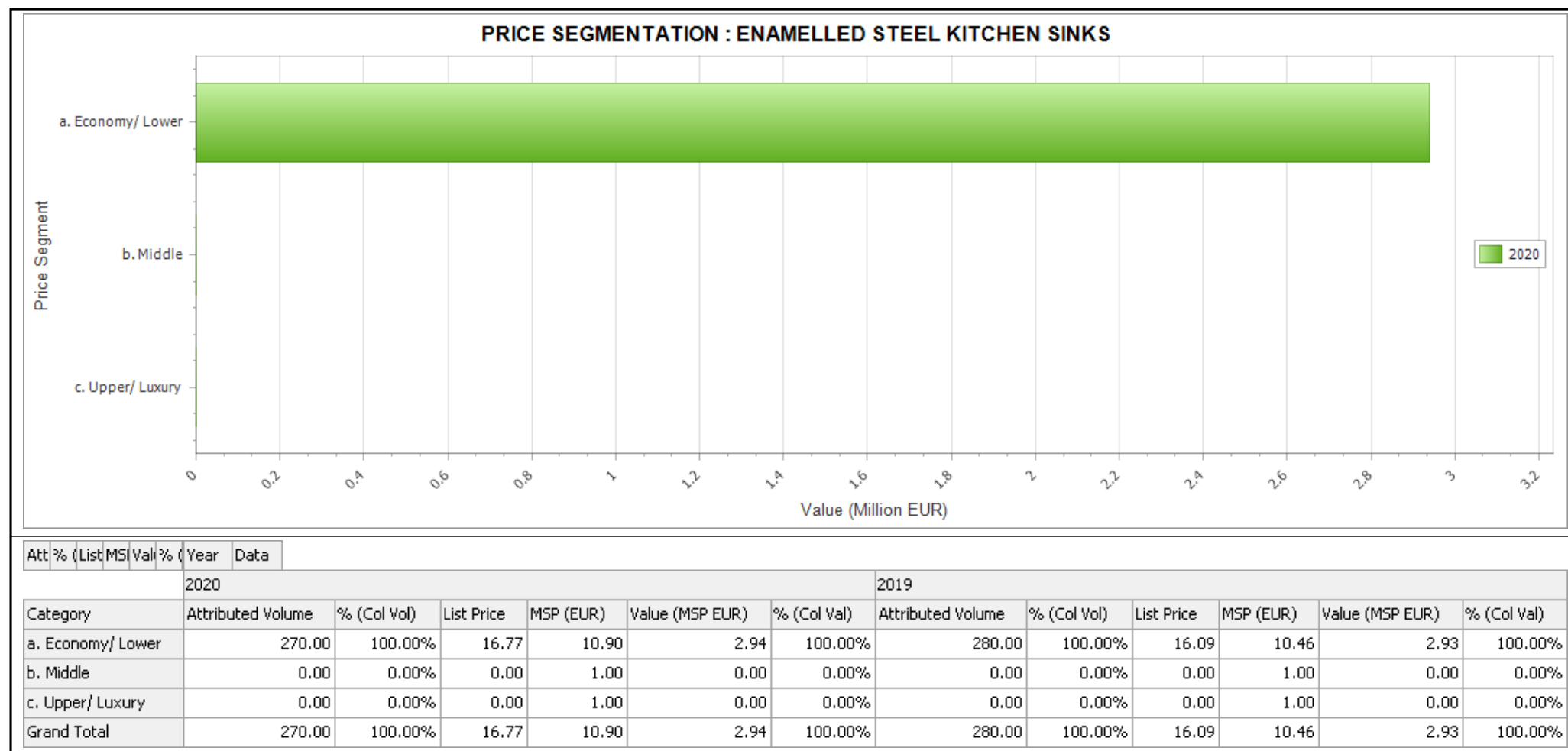


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

8.3.4 Price Segmentation : Enamelled Steel Kitchen Sinks

RU - ESTIMATED PRICE SEGMENTATION FOR ENAMELLED STEEL KITCHEN SINKS

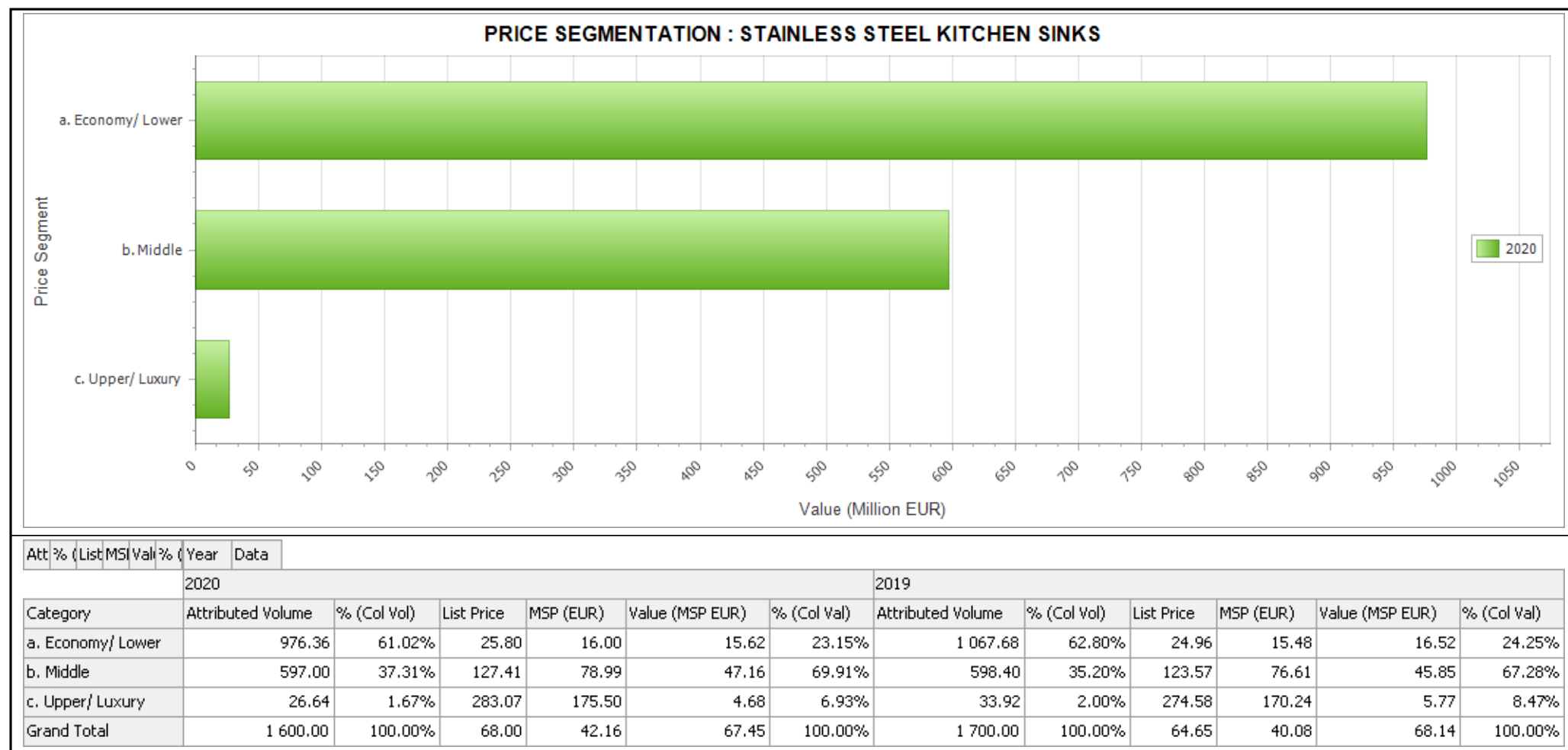


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€40, Middle €40-€80, Upper/ Luxury >€80

8.3.5 Price Segmentation : Stainless Steel Kitchen Sinks

RU - ESTIMATED PRICE SEGMENTATION FOR STAINLESS STEEL KITCHEN SINKS

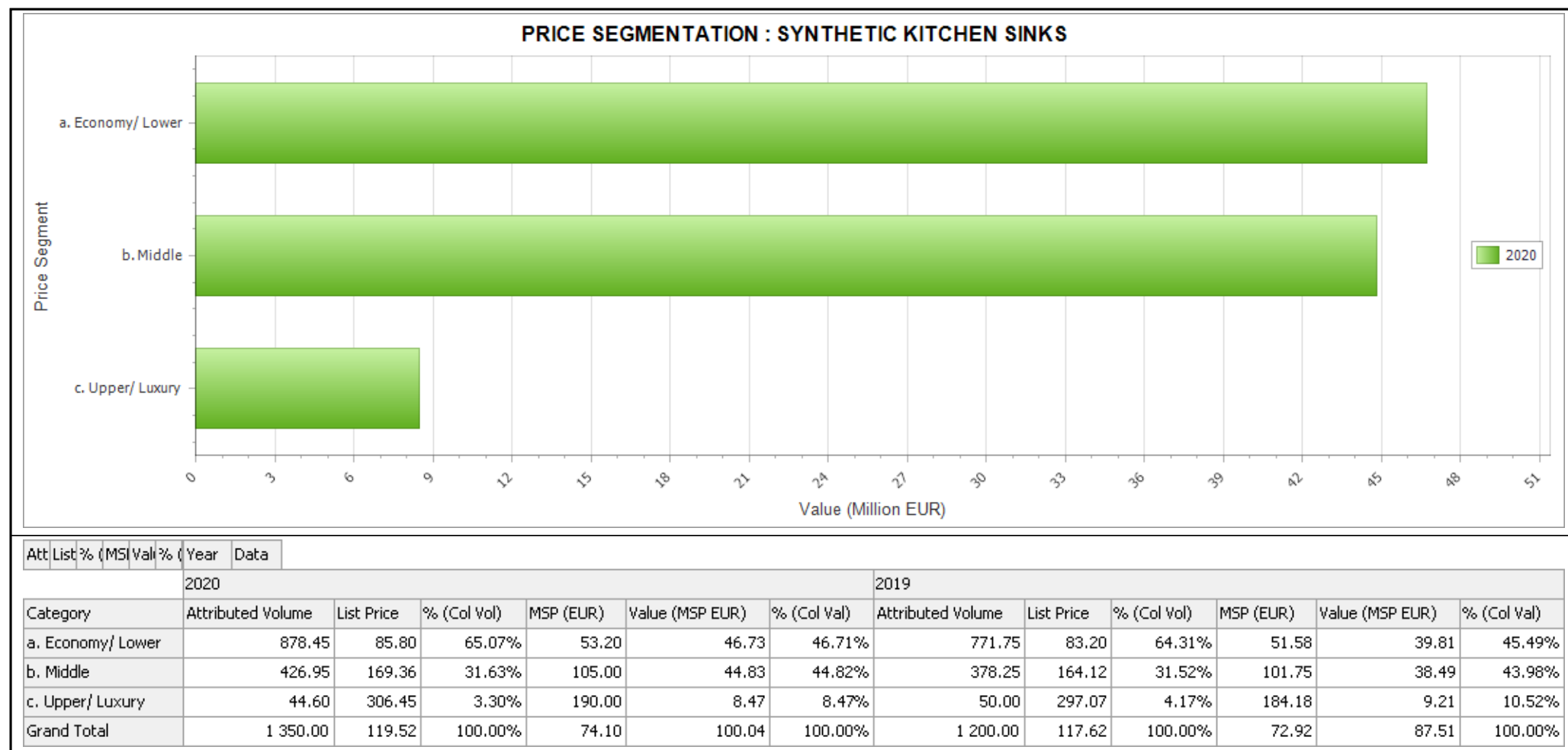


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€100, Upper/ Luxury >€100

8.3.6 Price Segmentation : Synthetic Kitchen Sinks

RU - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC KITCHEN SINKS

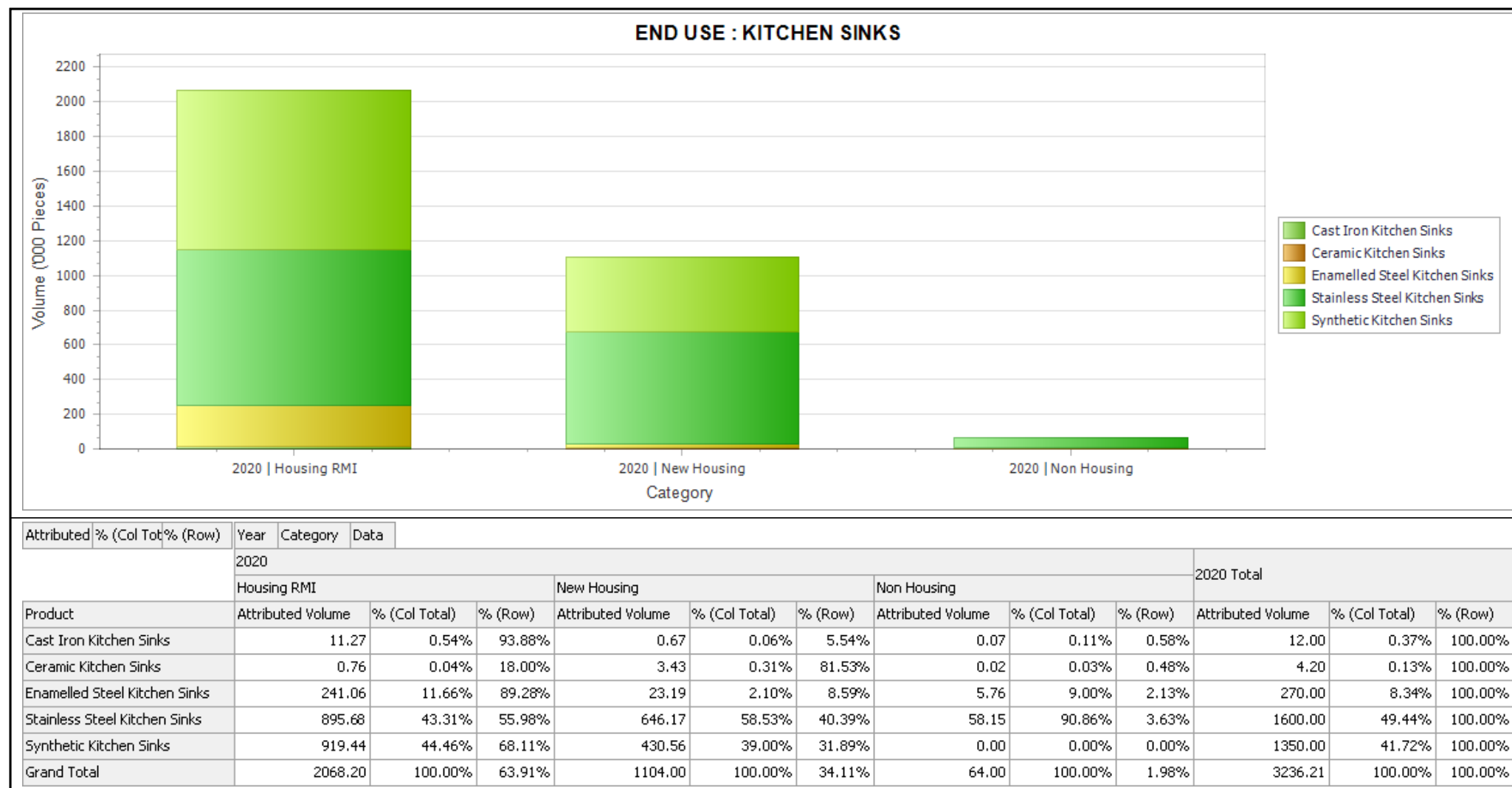


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

8.4.1 End Use : Base Year

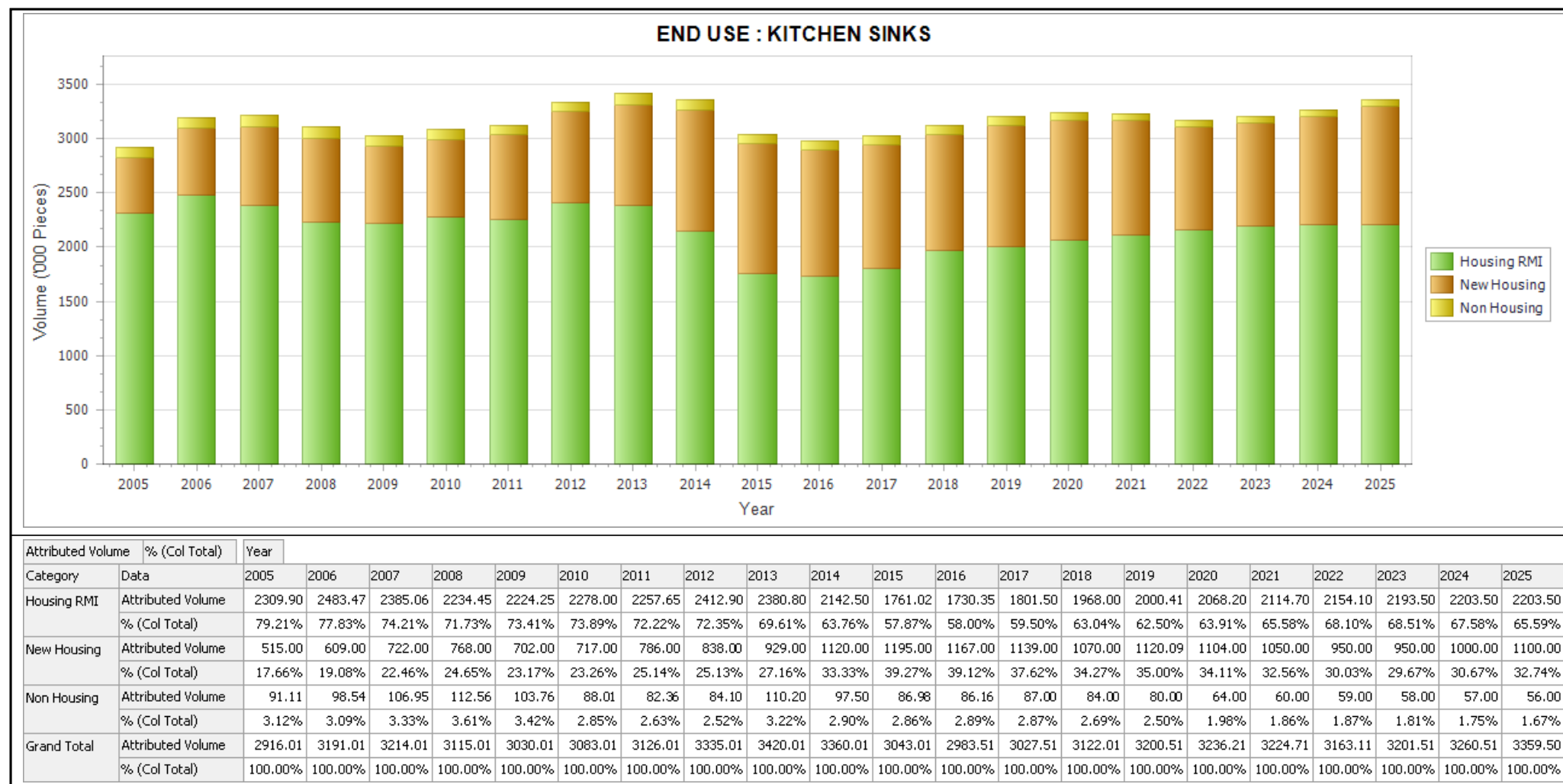
RU - SALES OF KITCHEN SINKS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.2 End Use : Historical and Forecasts

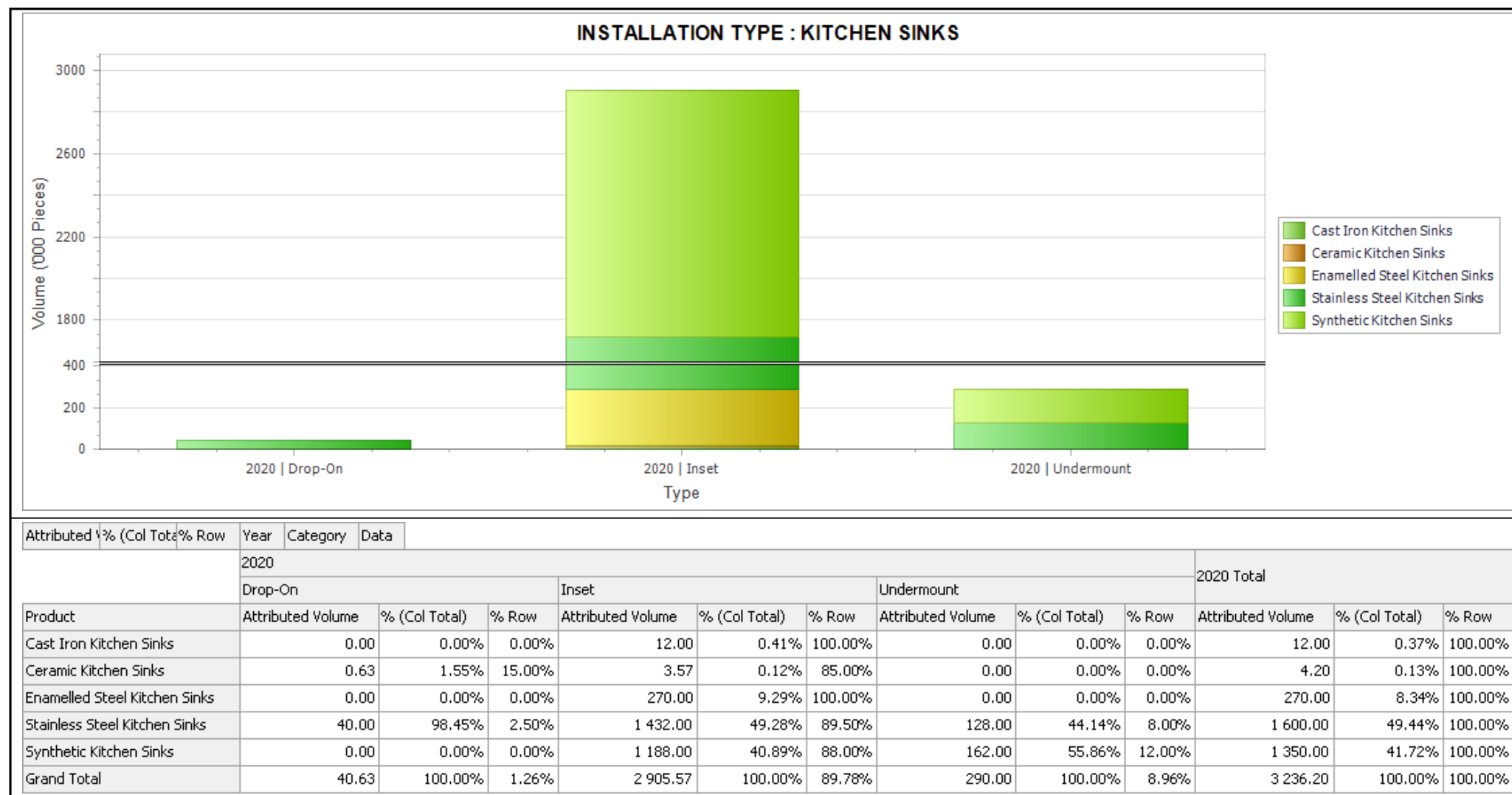
RU - SALES OF KITCHEN SINKS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.3 Sales by Type of Installation : Kitchen Sinks

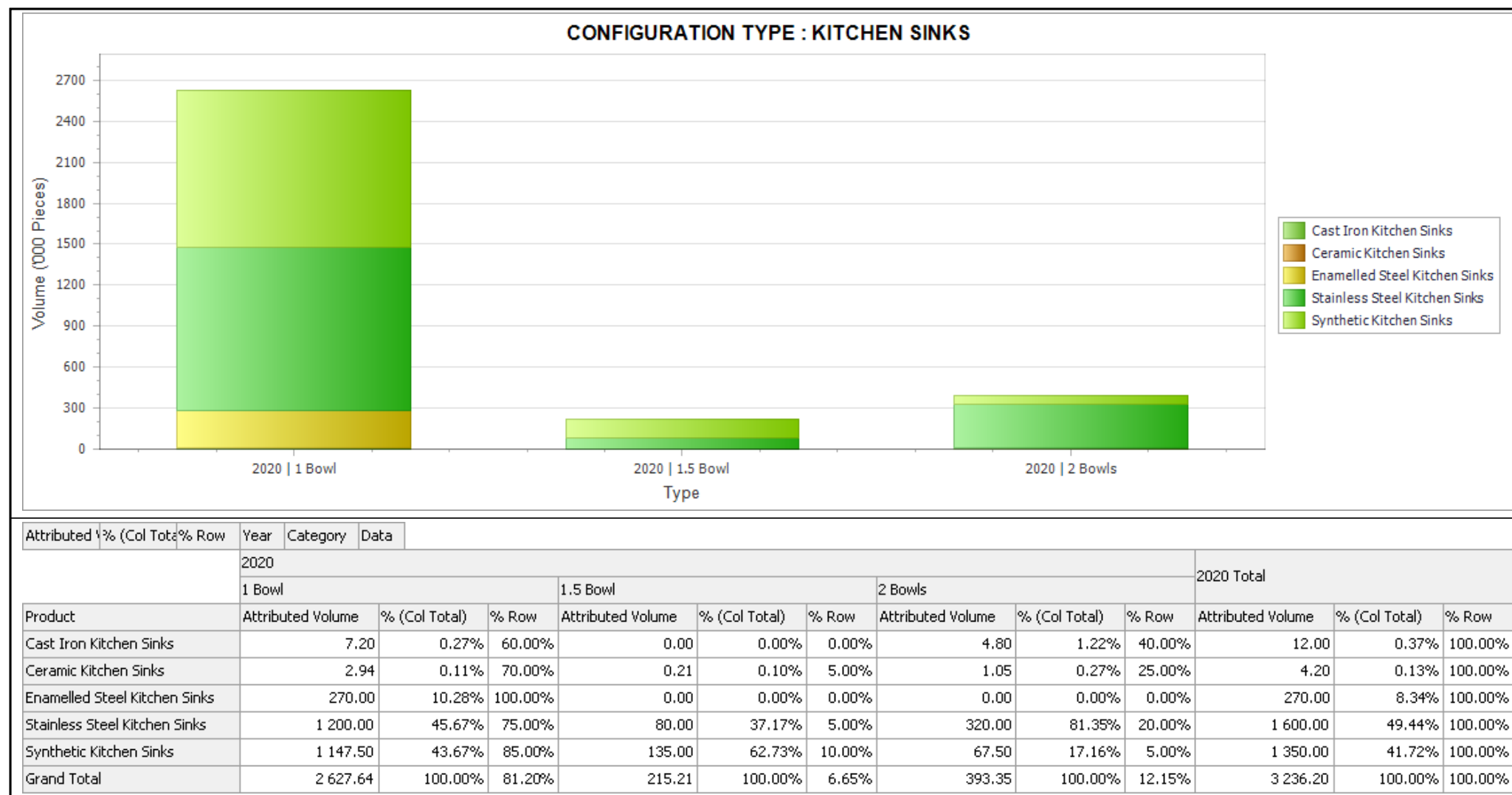
RU - KITCHEN SINK SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.4 Sales by Type of Configuration : Kitchen Sinks

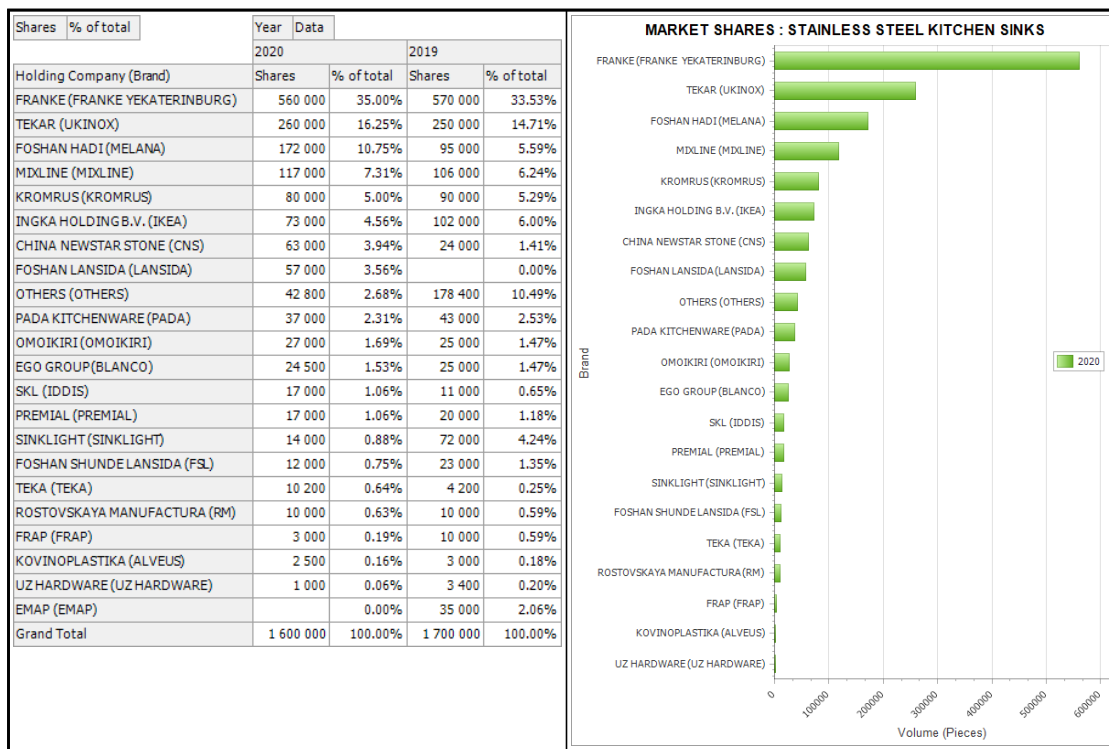
RU - KITCHEN SINK SALES BY CONFIGURATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.5.1 Market Shares : Stainless Steel Kitchen Sinks

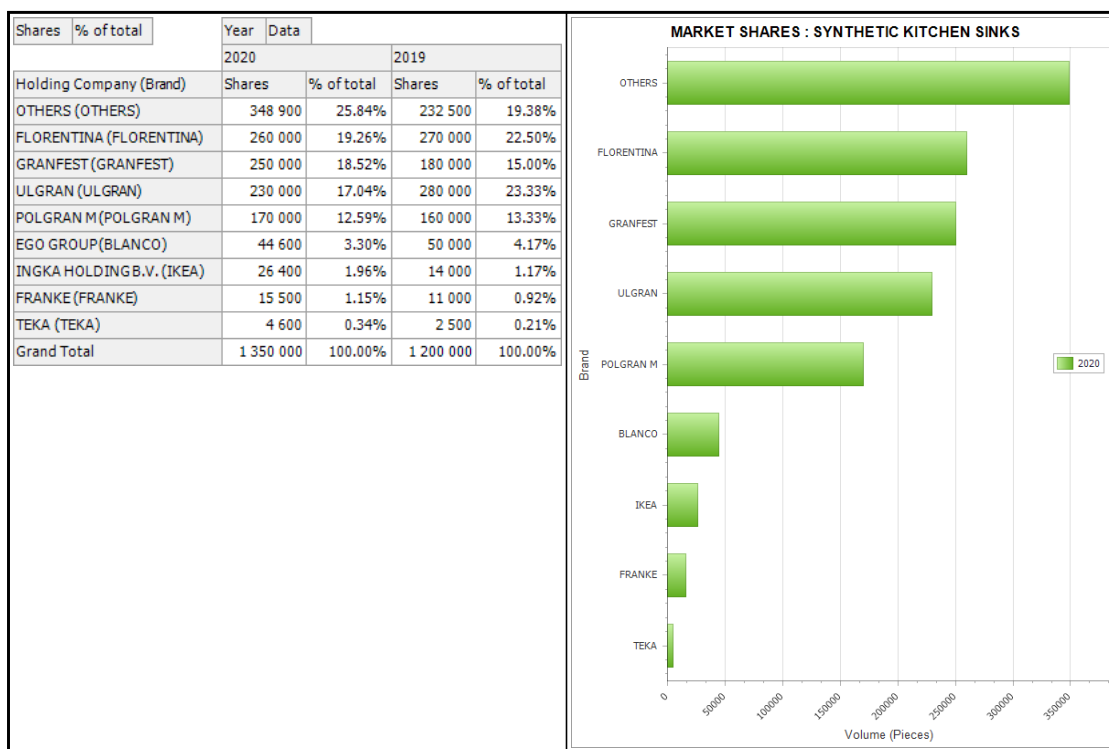
RU - ESTIMATED MARKET SHARES FOR STAINLESS STEEL KITCHEN SINKS



Source: BRG based on industry interviews.

8.5.2 Market Shares : Synthetic Sinks

RU - ESTIMATED MARKET SHARES FOR SYNTHETIC KITCHEN SINKS



Source: BRG based on industry interviews.

8.6.1

Route to Market: Kitchen Sinks
RU - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Worktop Manufacturers
4.8%
4.8%

Wholesale Level

Manufacturers	Worktop Manufacturer
74.9%	1.0%
Wholesalers / Merchants	
75.9%	

Retail Level

Manufacturer	Worktop Manufacturer	Wholesaler
0.0%	0.0%	7.0%
Internet Retailers		
7.0%		

Manufacturer	Worktop Manufacturer	Wholesaler
12.6%	0.0%	23.0%
DIY Retailers		
35.6%		

Manufacturer	Worktop Manufacturer	Wholesaler
7.7%	2.0%	33.0%
Specialist Retailers		
42.7%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	0.0%	10.0%	0.0%	3.0%	2.2%
Installers					
15.2%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	1.8%	2.9%	7.0%	32.6%	40.0%	13.7%
Residential						
98.0%						
New Build			Residential RMI			
34.1%			63.9%			
Project	Non-Project		Project	Non-Project		
14.0%	20.1%		1.0%	62.9%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.0%	0.0%	0.0%	0.5%	1.5%
Non-Residential						
2.0%						
New Build			Non-Residential RMI			
0.8%			1.2%			
Project	Non-Project		Project	Non-Project		
0.8%	0.0%		1.0%	0.2%		

8.6.2

Route to Market: Kitchen Sinks
RU - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Worktop Manufacturers
3.5%
3.5%

Wholesale Level

Manufacturers	Worktop Manufacturer
72.5%	1.0%
Wholesalers / Merchants	
73.5%	

Manufacturer	Worktop Manufacturer	Wholesaler
0.0%	0.0%	7.0%
Internet Retailers		
7.0%		

Manufacturer	Worktop Manufacturer	Wholesaler
16.0%	0.0%	19.0%
DIY Retailers		
35.0%		

Manufacturer	Worktop Manufacturer	Wholesaler
8.0%	2.0%	33.0%
Specialist Retailers		
43.0%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	0.0%	10.0%	0.0%	3.0%	6.7%
Installers					
19.7%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.5%	4.5%	7.0%	32.0%	36.0%	18.3%
Residential 98.3%						
New Build			Residential RMI			
32.7%			65.6%			
Project	Non-Project		Project	Non-Project		
14.0%	18.7%		1.0%	64.6%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.0%	0.0%	0.0%	0.3%	1.4%
Non-Residential						
1.7%						
New Build			Non-Residential RMI			
0.5%			1.2%			
Project	Non-Project		Project	Non-Project		
0.5%	0.0%		1.0%	0.2%		

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

8.6.3 Route to Market - Consolidated View : Kitchen Sinks

RU - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2020

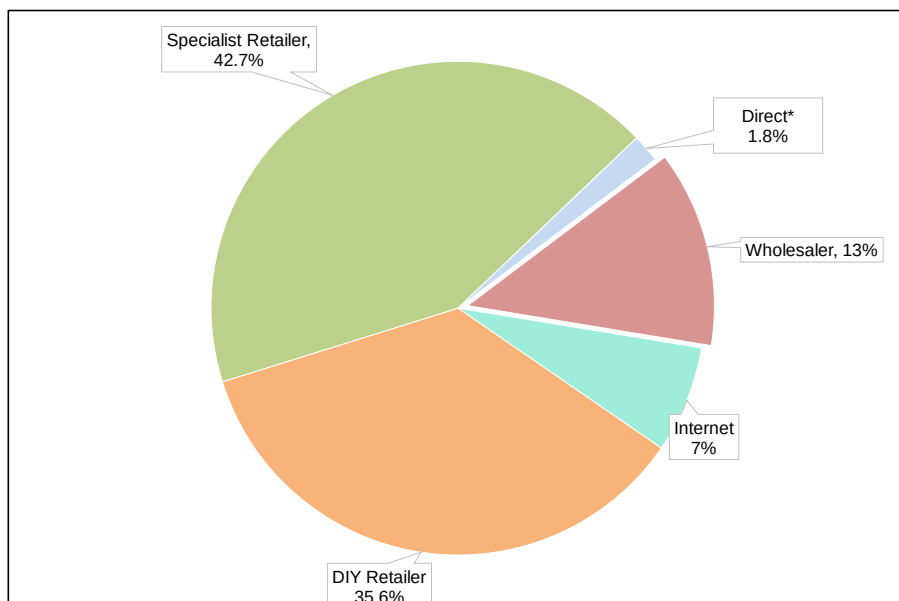
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
12.9%	7.0%	35.6%	42.7%	1.8%	15.0%	1.8%	83.0%	0.2%
100%					16.8%		83.2%	

8.6.4 Route to Market - Consolidated View : Kitchen Sinks

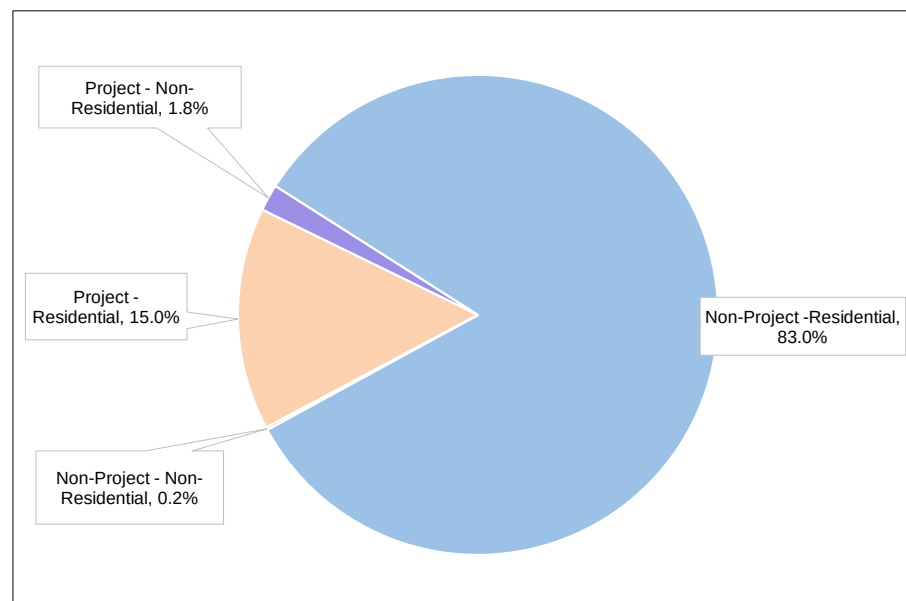
RU - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
14.5%	7.0%	35.0%	43.0%	0.5%	15.0%	1.5%	83.3%	0.2%
100%					16.5%		83.5%	

RU - SALES OF KITCHEN SINKS BY DISTRIBUTION CHANNEL: 2020



RU - SALES OF KITCHEN SINKS BY POINT OF DECISION AND END-USE SECTOR: 2020



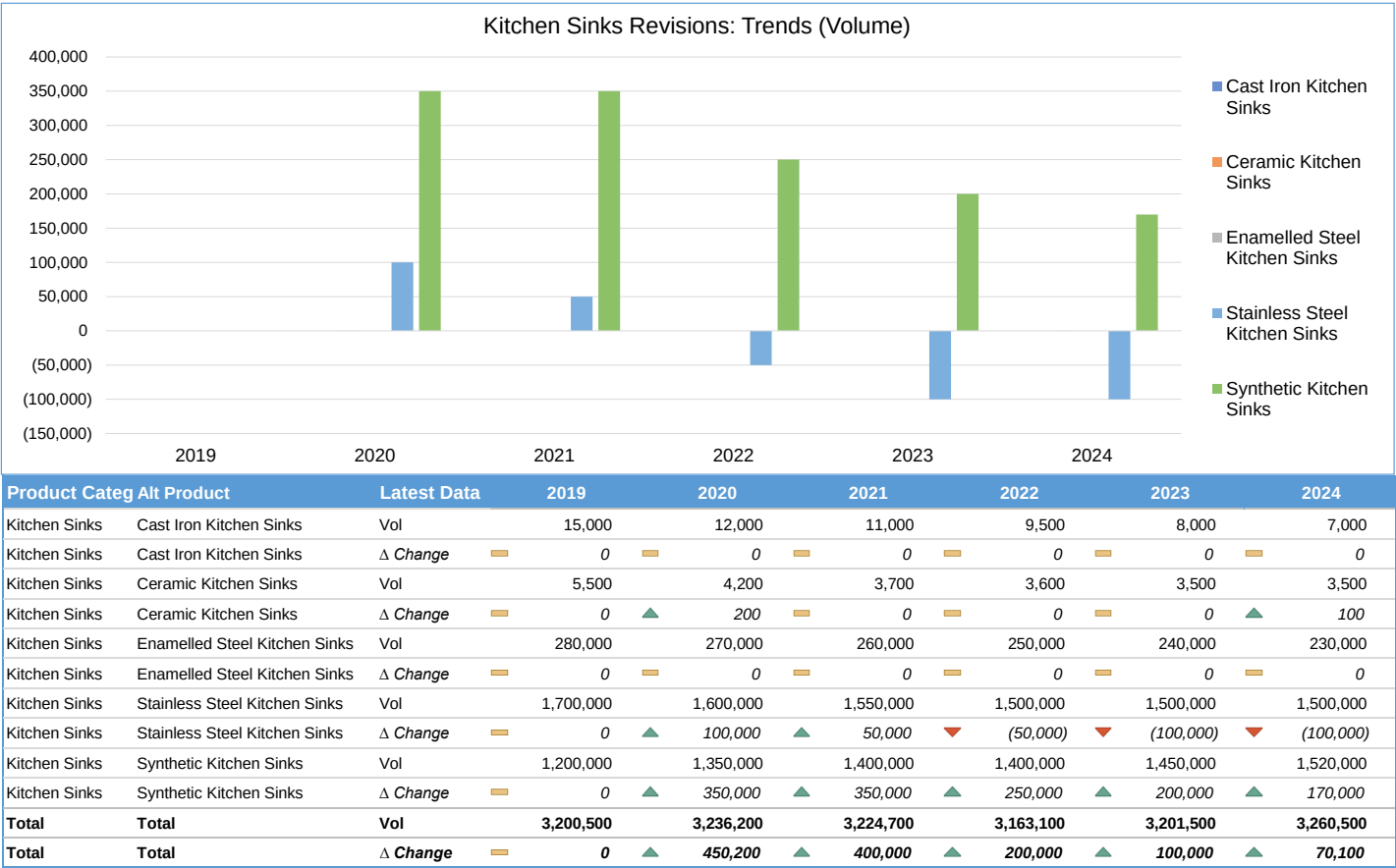
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

8.7 Revisions in the Russian Kitchen Sinks Market (April 2021)

RU - REVISIONS IN THE RUSSIAN KITCHEN SINKS MARKET

Data Comparison: October 2020



No revisions have been made to historical volumes and values for this market.

RUSSIA

KITCHEN TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

One of the most striking features of the Russian kitchen taps and mixers market remains the design gap between Russian and imported products which, according to the industry feedback, is such that they are seen as two separate markets. Russian tap and mixer manufacturers tend to offer less design function than importers. This has led to a large demand for imported mixers, which are seen to offer more aesthetic qualities; some importers have started to offer mixers that are especially adapted for the Russian market. Most European taps and mixers tend to be installed in new individual housing and quality renovations, while low-priced Russian and Chinese mixers go to municipal projects in either new construction or renovation, or, are bought directly by private consumers for replacement.

The share of pillar taps is negligible and there is only a marginal use for these taps in summer houses, which often do not have hot water. In contrast, the share of two head mixers remains high but there is, however, a growing trend towards one head mixers. Other regions are more conservative, but also have less access to new products and advertising. The traditional Russian two head mixer with the long swivel is still in demand, which has prompted some foreign suppliers to start manufacturing similar models that are specifically designed for the Russian market. Two head mixers are traditionally used in non-housing applications.

Foreign brands actively promote two head mixers with ceramic fittings. Individual showerette mixers are an exotic product, sold actively in Moscow and a few other big cities, but not so much anywhere else in Russia. Showerettes are mainly sold together with kitchen furniture (not as separate pieces), or to hairdressing salons. Common problems with water pressure and high levels of water hardness shorten the showerette's servicing period.

Recent Market Trends

Sales of kitchen taps and mixers increased in 2020, being driven by replacement demand. The Russian kitchen taps and mixers market has been flooded by low quality models in recent years. This is attributed to not only Asian but also European imports. As a result, the lifespans of these products have decreased. Some of them require replacement after one year. Therefore, the market has seen the divestment of some old brands as well as the introduction of new tap and mixer brands, as the market has moved from unbranded to OEM products, with some Russian companies having two or more brands in their portfolio.

Internet sales have increased further. Predominantly, branded products in the middle and upper segments are sold online.

Prices and Market Values

The average local MSP in RUR has increased insignificantly but decreased in EUR due to appreciation of the latter currency. In order to successfully compete, most manufacturers have been forced to introduce cheaper models by neglecting the quality.

The majority of one head and two head mixers are sold in the economy and lower sectors. Most Chinese brands undercut other producers on price, with some mixers sold in retail for as little as EUR 8. However, the marketing of European-quality mixers from the Far East is seriously undermined by negative perceptions about products from China.

New Housing

The wealth of target regions and the proportion of municipal to private housing are the principal factors that determine the end-use consumption by product type. It is common practice to change already-installed kitchen furniture for more expensive alternatives when moving into a new house. Sales to new housing installations decreased due to a lower number of completions in 2020. In social housing, predominantly Russian or Asian products were installed, while in private residential housing preference was given to European-branded production. Usually, established European brands manage to win commercial projects in large cities. Sales in the new housing segment are expected to fall in the short term, due to the ongoing economic problems in the country.

Housing RMI

Sales to this segment increased in 2020. The market is driven largely by home improvement, partially for the replacement of old kitchen mixers. Most kitchen mixers sold were associated with this sector. Demand in this sector remains strong, and the product price range is very wide. Even though the economic crisis has entered a latent phase, the market is expected to grow in the long term.

Non-Housing

One head mixers dominate the non-housing segment, which represented a marginal share in 2020. Demand for kitchen mixers comes from restaurants/cafés and, to a lesser extent, from hotels and state organisations. The non-housing market is saturated, and there is only marginal growth potential left. Sales declined in 2020 as demand from restaurants and cafes declined due to the pandemic and lockdowns.

Supply Structure

ARKON is the only local mixer manufacturer. In addition, VARION and CENTR SANTEKHNIKI have assembly operations in Russia. Sales of different product

types, even from the same brand, vary regionally. Regional dealers ask for more conventional two head mixers, whereas Moscow dealers prefer single lever products. The growing market for single lever mixers is supplied mainly by importers. There is very little Russian production of single head mixers.

There are only a few sink manufacturers that offer taps and mixers: BLANCO, TEKA and FRANKE. Nevertheless, sales of mixers by sink manufacturers are marginal, with their mixers being mainly sold in combination with their sinks via kitchen furniture retailers.

In addition to the well-known brands mentioned above, there are substantial volumes of anonymous OEM and unbranded imports coming from Asia. There is no mandated certification process for imported taps and mixers. Chinese imports became an ever-larger threat to Russian producers and economy importers from Europe. The mixers are usually unbranded, branded by the distributor or branded on demand, coming in designs that are popular or requested and several times cheaper than the copied Western originals. The cumulative share of Chinese brands on the Russian market for kitchen taps and mixers is estimated to account for over two thirds of total sales. There is no common pattern in the distribution flow of Chinese imports. Wholesalers shuttle between China and Russia, looking for attractive deals from different Chinese manufacturers of various brands in order to resell the products to Russian-based wholesalers that specialise in kitchen and bathroom products. There is a fair amount of 'grey' importing, via non-commercial channels, taking place.

The main driving force behind the Chinese brands' presence on the Russian market is the wholesalers. There are two main types of wholesalers offering Asian brands. The majority of regional distributors cater to less wealthy Russians. As opposed to Western imports, apart from several exemptions there is no consistent presence of Chinese brands on the market. However, some Chinese manufacturers have made significant efforts to produce a low-cost Western imitation design. With the improving incomes of the general public and a greater interest in researching purchases, economy and medium class mixers from Europe are growing in demand.

Forecasts

BRG's forecast is based on the assumption that oil prices would remain above USD 40 per barrel and the pandemic would not get much worse. However, there are a few factors that can make things worse for Russia. Firstly, if COVID-19 becomes more aggressive, then the government would not be able to hide this from the population. Secondly, if oil prices remain under USD 40 for a prolonged period of time, since Russia needs an oil price around USD 40 a barrel to balance its federal budget. Thirdly, President Putin may resort to external wars or aggressive moves as a means to divert the population's attention away from the current economic crisis. Finally, the relationship with the US is very important. The Russian market was hit by a significant slump in oil prices, Western sanctions and the spread of the COVID-19 virus in 2020. The last lockdown ended in Russia in

January 2021.

Several market drivers that inceptioned in 2020 progressed to 2021. Around 75% of new build dwellings in Russia is purchased with mortgages. The government allocated funds to subsidise mortgages. The state support programme is planned to last at least until July 2021. Due to a reasonable level of demand for new dwellings almost all construction companies continued to work as normal. Low interest rates played a very important role for the market and in fact represented a turning point for the construction sector. The demand for new housing is so high that prices even increased in large cities. People who have money have already purchased (or committed to buy) dwellings, dachas or kitchen mixers. Therefore, these spendings are likely to start falling by the end of 2021.

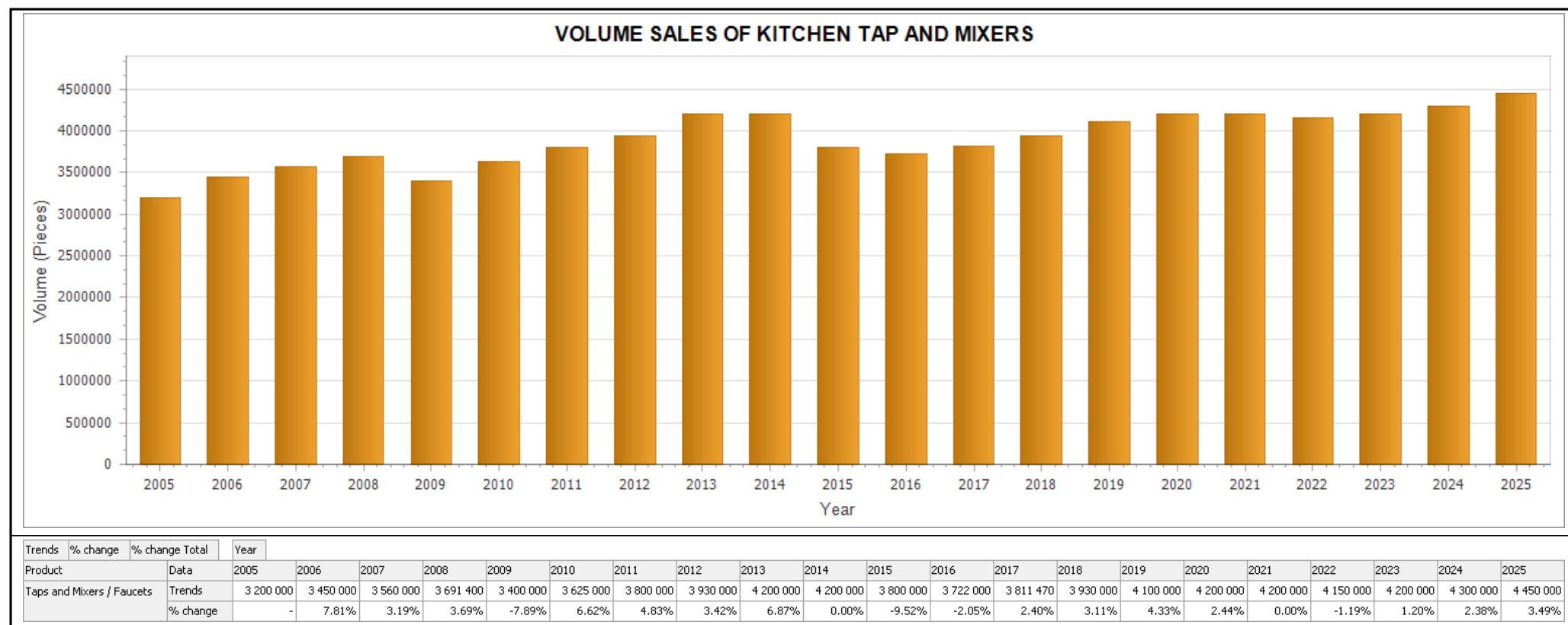
Many people moved to summer houses and villas during the summer period in 2020. Most summer houses are poorly maintained and people diverted money that was allocated for holidays to renovation. The demand for second homes (namely houses) is expected to remain strong in 2021 supporting both new installations and replacement of kitchen mixers. The demand is expected to dip in 2022 as most people who could afford holiday homes would have already purchased by that time.

The spending levels would continue to stay high in 2021 driving the overall kitchen mixers market up. On another hand, some people lost jobs and purchasing power for others declined due to significant devaluation of the RUR. Therefore, working class people are likely to struggle with finances. The overall market is expected to start growing from 2023 onwards. Consumer spending is estimated to pick up in 2023 as the current crisis is expected to settle and economic growth stabilises. The overall market is set to grow in the long term, as the replacement level has remained low over the last decade and the market is far from saturation.

The products sold in recent years have been of low quality with short lifespans. Due to the fact that mixers are relatively cheap when compared to other bathroom products, and most people can afford to replace a broken mixer; the lifespan of products, due to low quality, is gradually declining and they will require more frequent replacement.

Russian kitchen taps and mixers' production is dwindling and it is likely that all mixers will be imported at some point. There are no signs of foreign manufacturers establishing production in Russia or local players expanding. Therefore, fluctuations in exchange rates could affect overall sales.

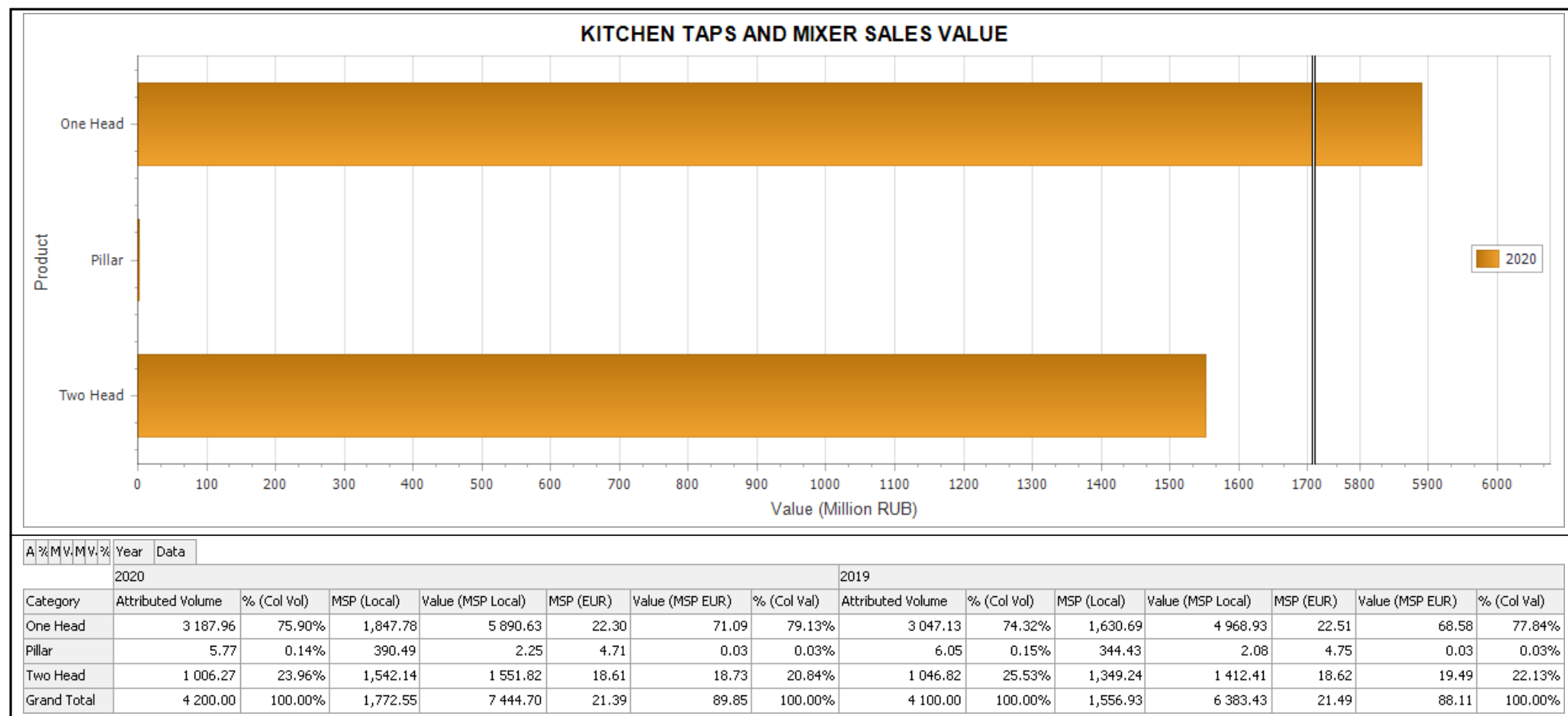
9.2 Historical Trends and Forecasts : Kitchen TM
RU - SUMMARY OF TRENDS IN THE KITCHEN TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

9.3.1 Prices and Market Values : Kitchen Taps & Mixers

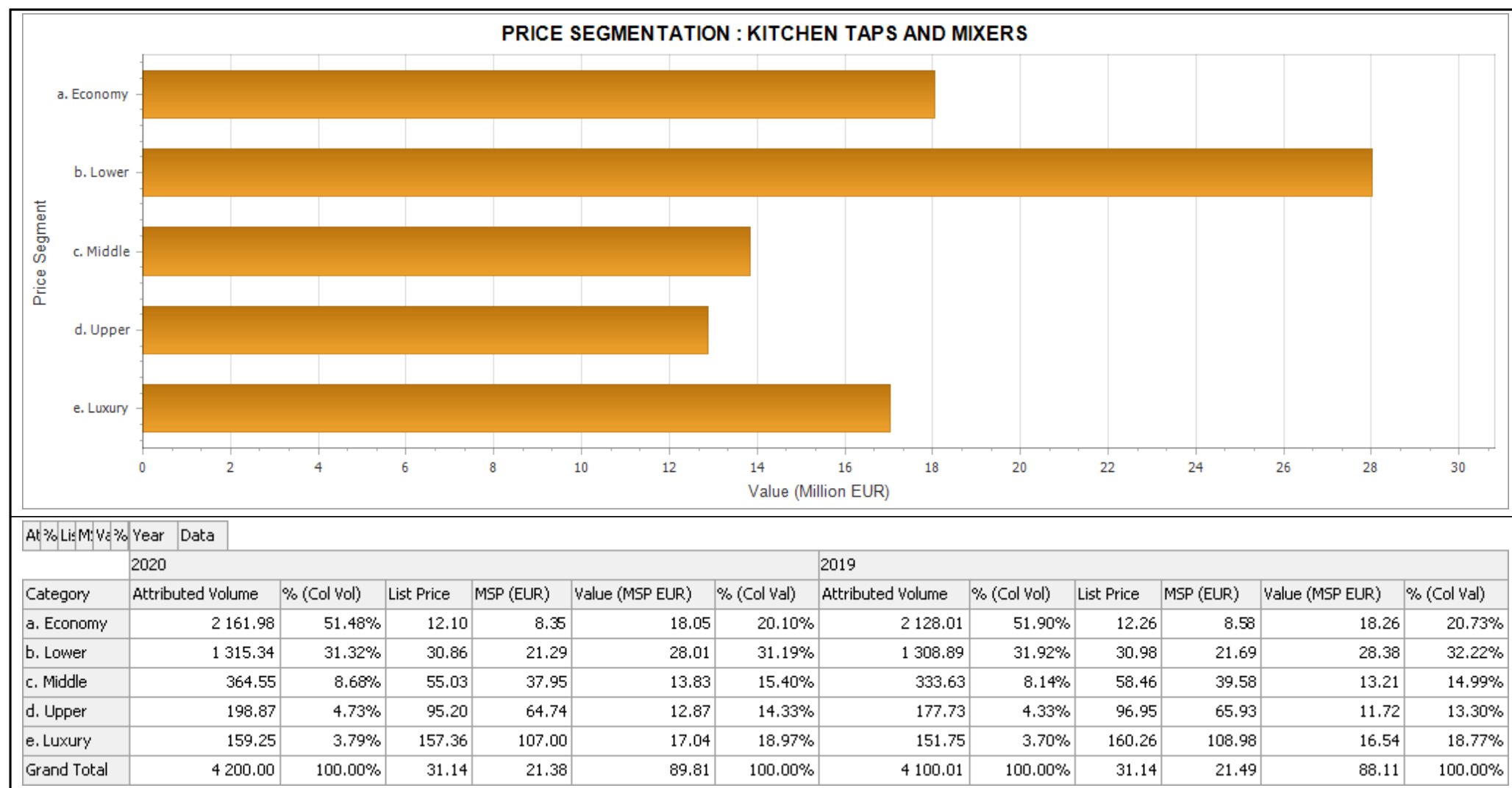
RU - ESTIMATED VALUES OF THE KITCHEN TAP AND MIXER MARKET



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in RUB. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

9.3.2 Price Segmentation : Kitchen Taps & Mixers

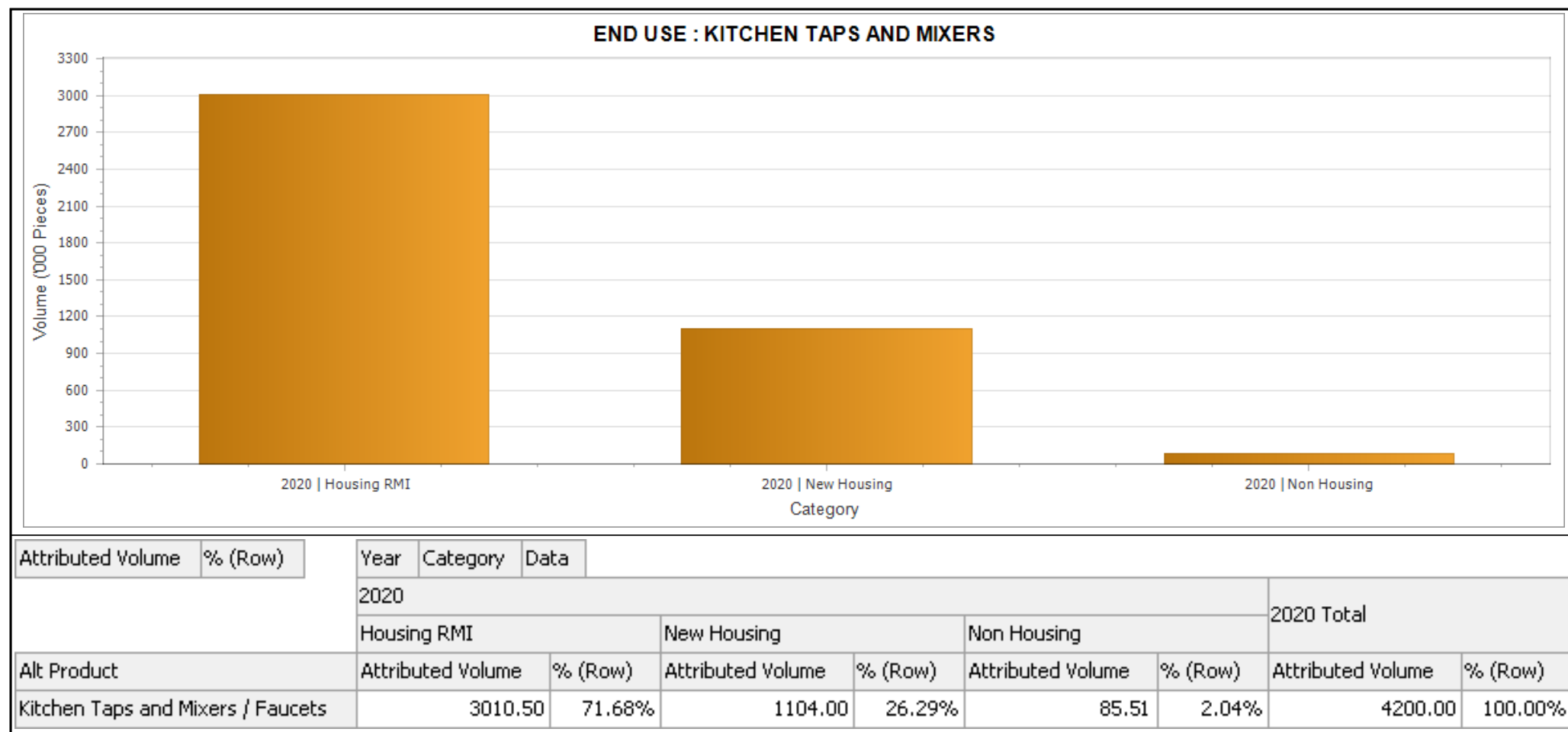
RU - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€35, Middle €35-€50, Upper €50-€80 and Luxury >€80

9.4.1 End Use : Base Year

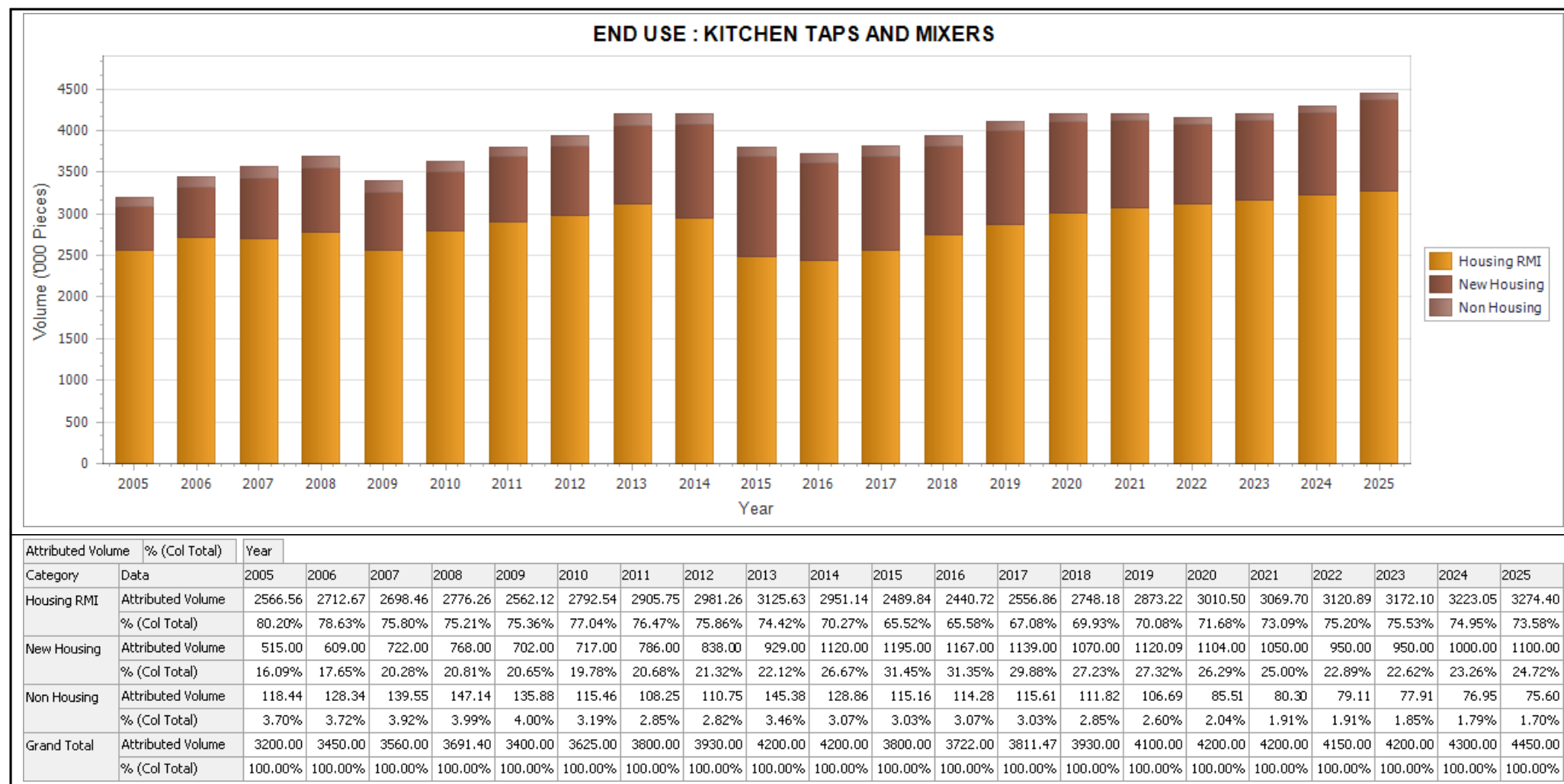
RU - SALES OF KITCHEN TAPS & MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

9.4.2 End Use : Historical and Forecasts

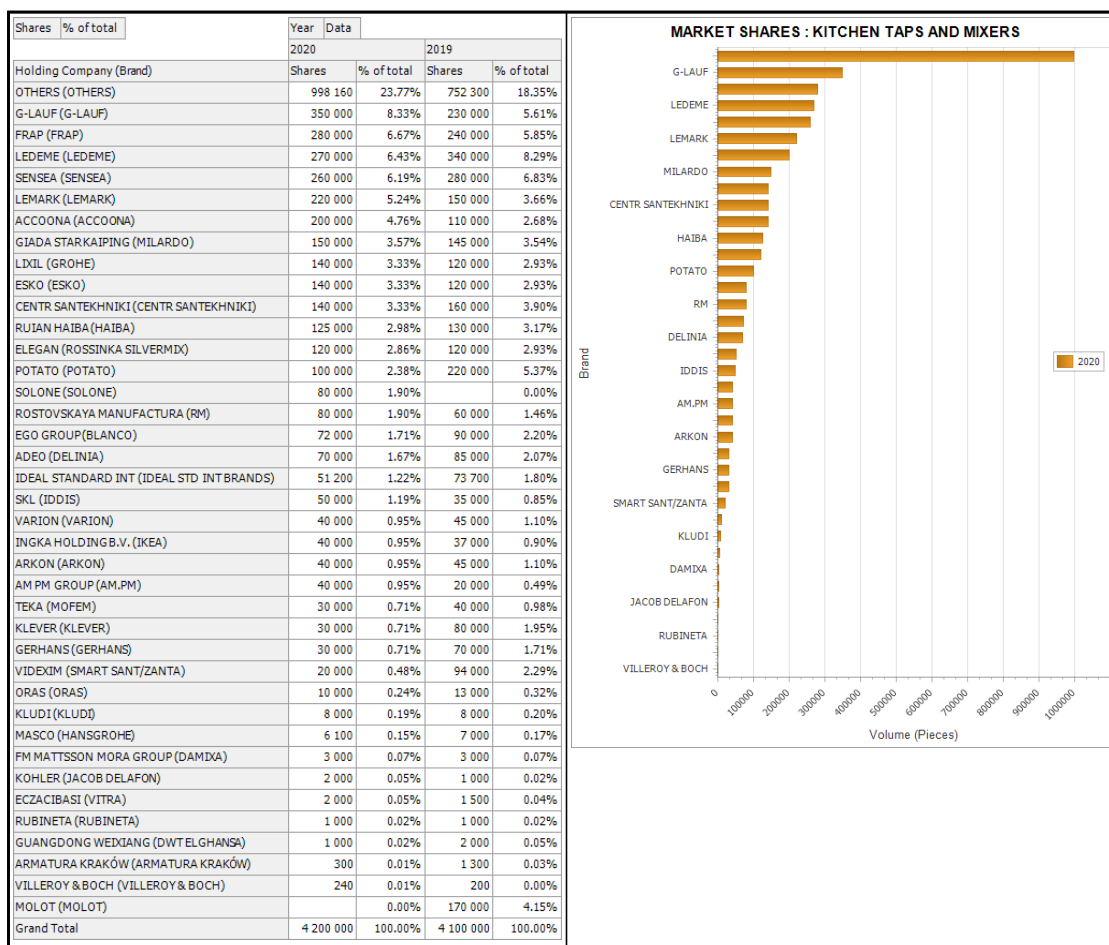
RU - SALES OF KITCHEN TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

9.5 Market Shares : Kitchen Taps & Mixers

RU - ESTIMATED MARKET SHARES FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews.

9.6.1

Route to Market: Kitchen Taps & Mixers / Faucets
RU - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

89.3%
Wholesalers / Merchants
89.3%

Retail Level

Manufacturer	Wholesaler
0.0%	8.0%
Internet Retailers	
8.0%	

Manufacturer	Wholesaler
9.8%	28.0%
DIY Retailers	
37.8%	

Manufacturer	Wholesaler
1.0%	38.0%
Specialist Retailers	
39.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	0.0%	0.0%	5.0%	19.0%
Installers				
24.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	14.3%	8.0%	32.8%	20.0%	22.9%
Residential					
98.0%					
New Build			Residential RMI		
26.3%			71.7%		
Project	Non-Project		Project	Non-Project	
20.0%	6.3%		1.0%	70.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	1.0%	0.0%	0.0%	0.0%	1.0%
Non-Residential					
2.0%					
New Build			Non-Residential RMI		
0.5%			1.5%		
Project	Non-Project		Project	Non-Project	
0.5%	0.0%		1.0%	0.5%	

9.6.2

Route to Market: Kitchen Taps & Mixers / Faucets
RU - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

87.0%
Wholesalers / Merchants
87.0%

Retail Level

Manufacturer	Wholesaler
0.0%	8.0%
Internet Retailers	
8.0%	

Manufacturer	Wholesaler
11.0%	26.0%
DIY Retailers	
37.0%	

Manufacturer	Wholesaler
2.0%	35.0%
Specialist Retailers	
37.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	0.0%	0.0%	5.0%	17.0%
Installers				
22.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	17.0%	8.0%	32.0%	20.0%	21.3%
Residential					
98.3%					
New Build			Residential RMI		
24.7%			73.6%		
Project	Non-Project		Project	Non-Project	
19.0%	5.7%		1.0%	72.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	1.0%	0.0%	0.0%	0.0%	0.7%
Non-Residential					
1.7%					
New Build			Non-Residential RMI		
0.4%			1.3%		
Project	Non-Project		Project	Non-Project	
0.4%	0.0%		0.6%	0.7%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

9.6.3 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

RU - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2020

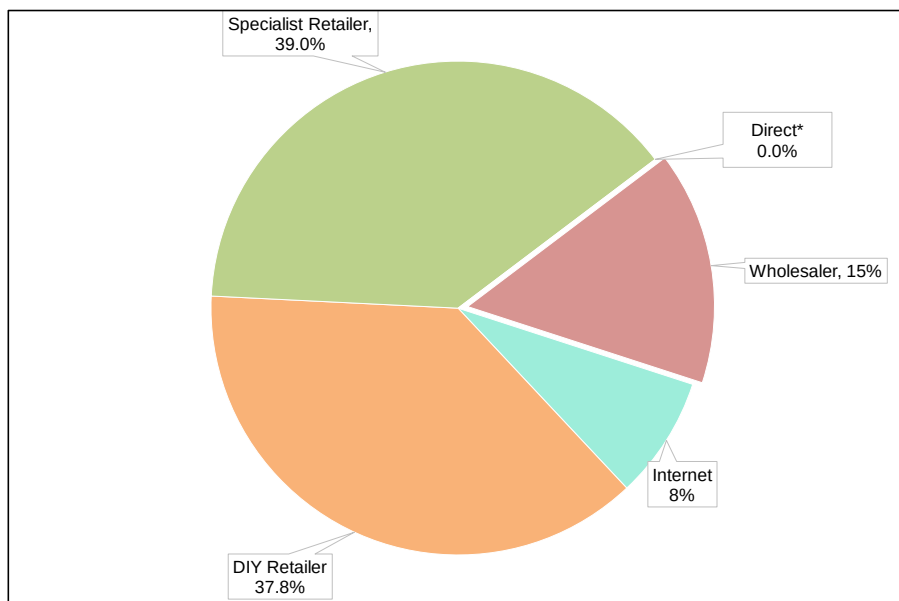
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
15.3%	8.0%	37.8%	39.0%	0.0%	21.0%	1.5%	77.0%	0.5%
100%					22.5%		77.5%	

9.6.4 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

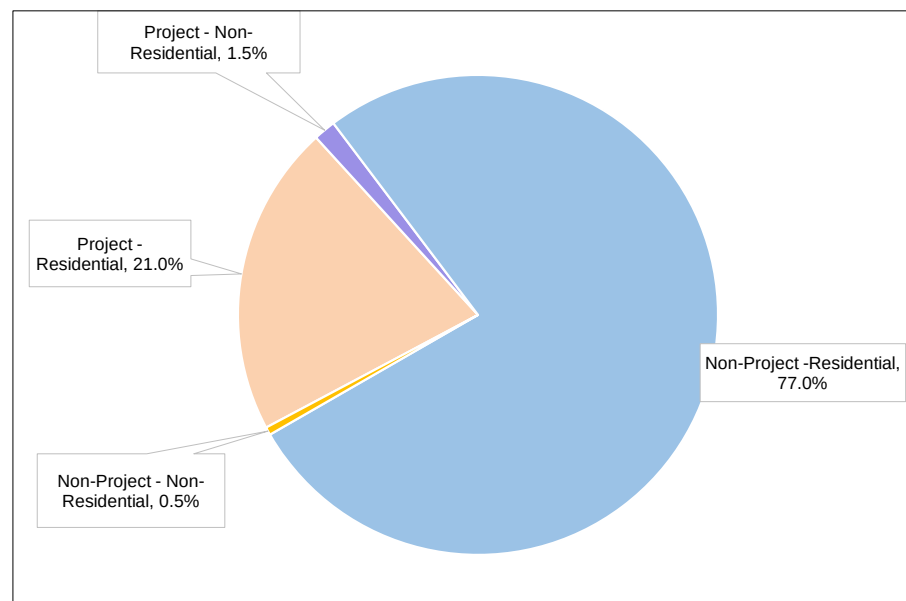
RU - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
18.0%	8.0%	37.0%	37.0%	0.0%	20.0%	1.0%	78.3%	0.7%
100%					21.0%		79.0%	

RU - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2020



RU - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2020



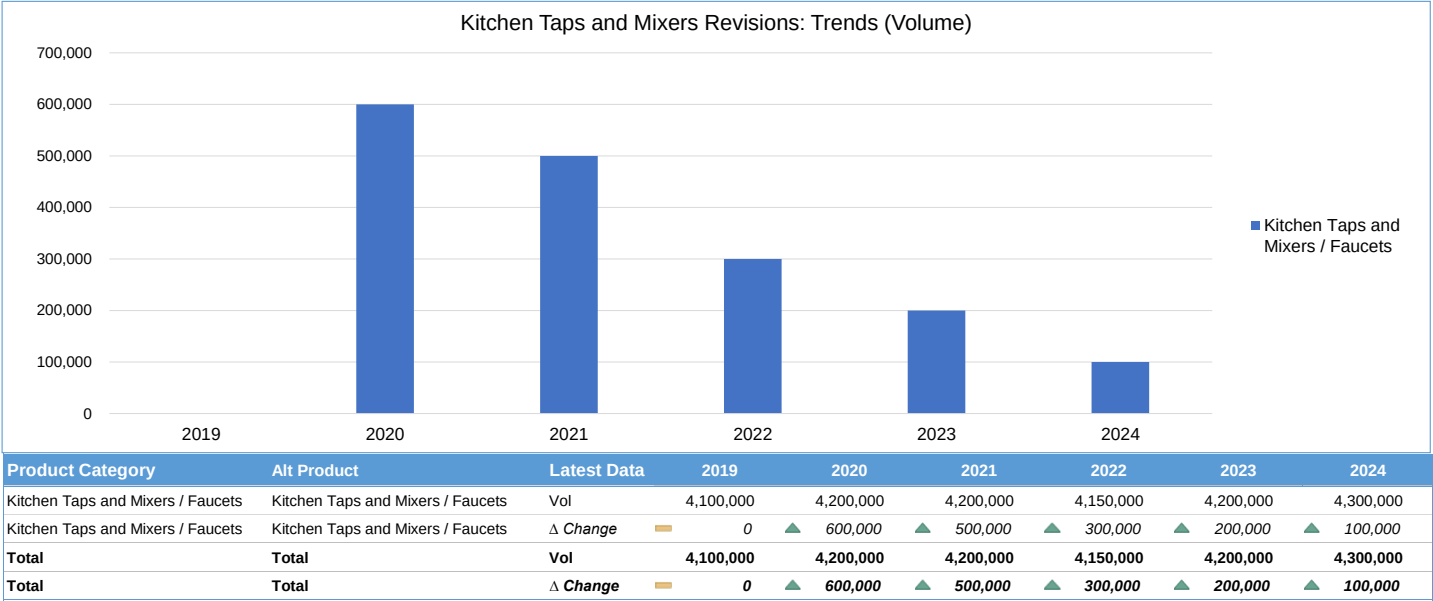
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

9.7 Revisions in the Russian Kitchen Taps and Mixers Market (April 2021)

RU - REVISIONS IN THE RUSSIAN KITCHEN TAPS AND MIXERS MARKET

Data Comparison: October 2020



No or only minor changes were made to the volumes or values for this market.